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# The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Germany

**BRG**  
BUILDING SOLUTIONS

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# Table of Contents

## The German Bathroom and Kitchen Market

- I.1 Introduction : Bathroom & Kitchen

### Background : Germany - Bathroom & Kitchen

|      |                                             |    |
|------|---------------------------------------------|----|
| II.0 | DE - Background                             | 14 |
| II.1 | Background : Overview                       | 15 |
| II.2 | Key Figures                                 | 22 |
| II.3 | Macroeconomic Trends and Forecasts          | 22 |
| II.4 | New Dwelling Construction                   | 23 |
| II.5 | Dwelling Stock by Type and Tenure           | 24 |
| II.6 | Overview of Impact of COVID-19 on Forecasts | 25 |

### Distribution : Germany - Bathroom & Kitchen

|         |                                             |    |
|---------|---------------------------------------------|----|
| III.0   | DE - Distribution                           | 26 |
| III.1   | Distribution : Bathroom & Kitchen           | 27 |
| III.2.1 | Summary of Leading Distributors             | 34 |
| III.2.2 | Summary of Leading Distributors (Continued) | 35 |

### Baths and Shower Trays - Germany

|       |                                                    |    |
|-------|----------------------------------------------------|----|
| 1.0   | DE - Baths and Shower Trays                        | 36 |
| 1.1   | Market Overview : Baths and Shower Trays           | 37 |
| 1.2   | Historical Trends and Forecasts                    | 45 |
| 1.3.1 | Prices and Market Values : Baths and Shower Trays  | 46 |
| 1.3.2 | Price Segmentation : Cast Iron Baths               | 47 |
| 1.3.3 | Price Segmentation : Steel Baths                   | 48 |
| 1.3.4 | Price Segmentation : Synthetic Baths               | 49 |
| 1.3.5 | Price Segmentation : Hydromassage Baths            | 50 |
| 1.3.6 | Price Segmentation : Ceramic Shower Trays          | 51 |
| 1.3.7 | Price Segmentation : Steel/ Cast Iron Shower Trays | 52 |
| 1.3.8 | Price Segmentation : Synthetic Shower Trays        | 53 |
| 1.4.1 | End Use : Base Year                                | 54 |
| 1.4.2 | End Use : Historical and Forecasts                 | 55 |
| 1.4.3 | Sales by Type : Baths                              | 56 |
| 1.4.4 | Sales by Shape : Shower Trays                      | 57 |
| 1.4.5 | Sales by Material : Synthetic Baths                | 58 |
| 1.4.6 | Sales by Material : Synthetic Shower Trays         | 58 |

|                                |                                                    |    |
|--------------------------------|----------------------------------------------------|----|
| 1.5.1                          | Market Shares : Steel Baths                        | 59 |
| 1.5.2                          | Market Shares : Synthetic Baths                    | 59 |
| 1.5.3                          | Market Shares : Hydromassage Baths                 | 60 |
| 1.5.4                          | Market Shares : Steel / Cast Iron Shower Trays     | 60 |
| 1.5.5                          | Market Shares : Synthetic Shower Trays             | 61 |
| 1.6.1/2                        | Imports & Exports : Cast Iron Baths                | 62 |
| 1.6.3/4                        | Imports & Exports : Steel Baths                    | 63 |
| 1.6.5/6                        | Imports & Exports : Synthetic Baths / Shower Trays | 64 |
| 1.7.1/2                        | Route to Market : Baths                            | 65 |
| 1.7.3/4                        | Consolidated View : Baths                          | 66 |
| 1.7.5/6                        | Route to Market : Shower Trays                     | 67 |
| 1.7.7/8                        | Consolidated View : Shower Trays                   | 68 |
| 1.8                            | Market Revision : Baths and Shower Trays           | 69 |
| <b>Sanitary Ware - Germany</b> |                                                    |    |
| 2.0                            | DE - Sanitary Ware                                 | 70 |
| 2.1                            | Market Sector Overview : Sanitary Ware             | 71 |
| 2.2.1                          | Historical Trends and Forecasts : Sanitary Ware    | 78 |
| 2.2.2                          | Historical Trend and Forecasts: Installation Mod.  | 79 |
| 2.3.1                          | Prices and Market Values : Sanitary Ware           | 80 |
| 2.3.2                          | Prices and Market Values by Type : CSW             | 81 |
| 2.3.3                          | Prices and Market Values by Type of Rim : WCs      | 82 |
| 2.3.4                          | Prices and Market Values by Type : Conc. Cisterns  | 83 |
| 2.3.5                          | Prices and Market Values : Non-Ceramic Washbasins  | 84 |
| 2.3.6                          | Price Segmentation : WCs                           | 85 |
| 2.3.7                          | Price Segmentation : Ceramic Washbasins            | 86 |
| 2.3.8                          | Price Segmentation : Concealed Plastic Cisterns    | 87 |
| 2.3.9                          | Price Segmentation : Exposed Plastic Cisterns      | 88 |
| 2.3.10                         | Price Segmentation : Non Ceramic Washbasins        | 89 |
| 2.4.1                          | End Use : Base Year                                | 90 |
| 2.4.2                          | End Use : Historical and Forecasts                 | 91 |
| 2.5.1                          | Market Shares : All Ceramic Sanitary Ware          | 92 |
| 2.5.2                          | Market Shares : WCs                                | 92 |
| 2.5.3                          | Market Shares : Ceramic Washbasins                 | 93 |
| 2.5.4                          | Market Shares : Other Ceramic Sanitary Ware        | 93 |
| 2.5.5                          | Market Shares : Concealed Plastic Cisterns         | 94 |
| 2.5.6                          | Market Shares : Exposed Plastic Cisterns           | 94 |



|         |                                           |     |
|---------|-------------------------------------------|-----|
| 2.6.1/2 | Imports & Exports : CSW All               | 95  |
| 2.6.3/4 | Imports & Exports: Plastic Cisterns       | 96  |
| 2.7.1/2 | Route to Market : Ceramic Sanitary Ware   | 97  |
| 2.7.3/4 | Consolidated View : Ceramic Sanitary Ware | 98  |
| 2.7.5/6 | Route to Market : Plastic Cisterns        | 99  |
| 2.7.7/8 | Consolidated View : Plastic Cisterns      | 100 |
| 2.8     | Market Revision : Sanitary Ware           | 101 |

## **Taps and Mixers - Germany**

|         |                                                   |     |
|---------|---------------------------------------------------|-----|
| 3.0     | DE - Taps and Mixers                              | 102 |
| 3.1     | Market Sector Overview : Taps and Mixers          | 103 |
| 3.2     | Historical Trends and Forecasts : Taps and Mixers | 111 |
| 3.3.1   | Prices and Market Values : Taps and Mixers        | 112 |
| 3.3.2   | Prices and Market Values by Type : Taps & Mixers  | 113 |
| 3.3.3   | Price Segmentation : Bath Taps and Mixers         | 114 |
| 3.3.4   | Price Segmentation : Bidet Taps and Mixers        | 115 |
| 3.3.5   | Price Segmentation : Kitchen Taps and Mixers      | 116 |
| 3.3.6   | Price Segmentation : Shower Taps and Mixers       | 117 |
| 3.3.7   | Price Segmentation : Washbasin Taps and Mixers    | 118 |
| 3.4.1   | End Use : Base Year                               | 119 |
| 3.4.2   | End Use : Historical and Forecasts                | 120 |
| 3.4.3   | Sales by Type and Application : Taps and Mixers   | 121 |
| 3.4.4   | Sales by Type of Finish : Taps and Mixers         | 122 |
| 3.4.5   | Sales by Type of Installation : Taps and Mixers   | 123 |
| 3.4.6   | Sales by Type of Mounting : Taps and Mixers       | 124 |
| 3.5     | Market Shares : Taps and Mixers                   | 125 |
| 3.6.1/2 | Imports & Exports : Mixers                        | 126 |
| 3.6.3/4 | Imports & Exports : Taps                          | 127 |
| 3.7.1/2 | Route to Market : Kitchen Taps and Mixers         | 128 |
| 3.7.3/4 | Consolidated View : Kitchen Taps and Mixers       | 129 |
| 3.7.5/6 | Route to Market : Sanitary Taps and Mixers        | 130 |
| 3.7.7/8 | Consolidated View : Sanitary Taps and Mixers      | 131 |
| 3.8     | Market Revision : Taps and Mixers                 | 132 |
| 3.9.1   | Historical Trends and Forecasts : Flushing Valves | 133 |
| 3.9.2   | Prices and Market Values : Flushing Valves        | 134 |
| 3.9.3   | Market Shares : Urinal Flushing Valves            | 135 |
| 3.9.4   | Market Shares : WC Flushing Valves                | 135 |

|                                     |                                                    |     |
|-------------------------------------|----------------------------------------------------|-----|
| 3.10                                | Market Revision : Flushing Valves                  | 136 |
| <b>Shower Wall - Germany</b>        |                                                    |     |
| 4.0                                 | DE - Shower Wall                                   | 137 |
| 4.1                                 | Market Sector Overview : Shower Wall               | 138 |
| 4.2                                 | Historical Trends and Forecasts : Shower Wall      | 144 |
| 4.3.1                               | Prices and Market Values : Shower Wall             | 145 |
| 4.3.2                               | Price Segmentation : Bath Screens                  | 146 |
| 4.3.3                               | Price Segmentation : Conventional Shower Cubicles  | 147 |
| 4.3.4                               | Price Segmentation : Hydrotherapy Shower Cubicles  | 148 |
| 4.3.5                               | Price Segmentation : Shower Enclosures             | 149 |
| 4.4.1                               | End Use : Base Year                                | 150 |
| 4.4.2                               | End Use : Historical and Forecasts                 | 151 |
| 4.4.3                               | Sales by Type : Bath Screens                       | 152 |
| 4.4.4                               | Sales by Type : Shower Enclosures                  | 152 |
| 4.4.5                               | Sales by Type of Door : Shower Enclosures          | 153 |
| 4.5.1                               | Market Shares : Bath Screens                       | 154 |
| 4.5.2                               | Market Shares : Conventional Shower Cubicles       | 154 |
| 4.5.3                               | Market Shares : Hydrotherapy Shower Cubicles       | 155 |
| 4.5.4                               | Market Shares : Shower Enclosures                  | 155 |
| 4.6.1/2                             | Route to Market : Shower Wall                      | 156 |
| 4.6.3/4                             | Consolidated View : Shower Wall                    | 157 |
| 4.7                                 | Market Revision : Shower Wall                      | 158 |
| <b>Bathroom Furniture - Germany</b> |                                                    |     |
| 5.0                                 | DE - Bathroom Furniture                            | 159 |
| 5.1                                 | Market Overview : Bathroom Furniture               | 160 |
| 5.2                                 | Historical Trends & Forecasts : Bathroom Furniture | 165 |
| 5.3.1                               | Prices and Market Values : Bathroom Furniture      | 166 |
| 5.3.2                               | Price Segmentation : Base Units                    | 167 |
| 5.3.3                               | Price Segmentation : Mirrors and Mirror Cabinets   | 168 |
| 5.3.4                               | Price Segmentation : Separate Cabinets             | 169 |
| 5.4.1                               | End Use : Base Year                                | 170 |
| 5.4.2                               | End Use : Historical and Forecasts                 | 171 |
| 5.4.3                               | Sales by Type of Washbasin Material : Base Units   | 172 |
| 5.4.4                               | Sales by Type of Material : Base Units             | 172 |
| 5.4.5                               | Sales by Type of Washbasin : Base Units            | 173 |
| 5.4.6                               | Sales by Type of Colour : Base Units               | 173 |

|                                       |                                                    |     |
|---------------------------------------|----------------------------------------------------|-----|
| 5.4.7                                 | Sales by Width : Base Units                        | 174 |
| 5.4.8                                 | Sales by Type : Mirror and Mirror Cabinets         | 174 |
| 5.4.9                                 | Sales by Type of Material : Mirror Cabinets        | 175 |
| 5.4.10                                | Sales by Type of Material : Separate Cabinets      | 175 |
| 5.4.11                                | Sales by Type of Installation : Separate Cabinets  | 176 |
| 5.4.12                                | Sales by Type of Colour : Separate Cabinets        | 176 |
| 5.4.13                                | Sales by Height : Separate Cabinets                | 177 |
| 5.5.1                                 | Market Shares : Base Units                         | 178 |
| 5.5.2                                 | Market Shares : Mirror and Mirror Cabinets         | 178 |
| 5.5.3                                 | Market Shares : Separate Cabinets                  | 179 |
| 5.6.1/2                               | Route to Market : Bathroom Furniture               | 180 |
| 5.6.3/4                               | Consolidated View : Bathroom Furniture             | 181 |
| 5.7                                   | Market Revision : Bathroom Furniture               | 182 |
| <b>Bathroom Accessories - Germany</b> |                                                    |     |
| 6.0                                   | DE - Bathroom Accessories                          | 183 |
| 6.1                                   | Market Overview : Bathroom Accessories             | 184 |
| 6.2                                   | Historical Trends and Forecasts                    | 190 |
| 6.3                                   | Prices and Market Values : Bathroom Accessories    | 191 |
| 6.4.1                                 | End Use : Base Year                                | 192 |
| 6.4.2                                 | End Use : Historical and Forecasts                 | 193 |
| 6.4.3                                 | Sales by Type of Material : Bathroom Accessories   | 194 |
| 6.4.4                                 | Sales by Price Segment : Bathroom Accessories      | 194 |
| 6.5                                   | Market Shares : Bathroom Accessories               | 195 |
| 6.6.1/2                               | Route to Market : Bathroom Accessories             | 196 |
| 6.6.3/4                               | Consolidated View : Bathroom Accessories           | 197 |
| 6.7                                   | Market Revision : Bathroom Accessories             | 198 |
| <b>Shower Accessories - Germany</b>   |                                                    |     |
| 7.0                                   | DE - Shower Accessories                            | 199 |
| 7.1                                   | Market Sector Overview : Shower Accessories        | 200 |
| 7.2.1                                 | Historical Trends & Forecasts : Shower Accessories | 207 |
| 7.2.2                                 | Historical Trends & Forecasts : Shower Sets        | 208 |
| 7.3.1                                 | Prices and Market Values : Shower Accessories      | 209 |
| 7.3.2                                 | Prices and Market Values by Type : Shower Heads    | 210 |
| 7.3.3                                 | Price Segmentation : Flexible Hoses                | 211 |
| 7.3.4                                 | Price Segmentation : Shower Heads                  | 212 |
| 7.3.5                                 | Price Segmentation : Shower Panels                 | 213 |

|         |                                              |     |
|---------|----------------------------------------------|-----|
| 7.3.6   | Price Segmentation : Shower Pipes            | 214 |
| 7.3.7   | Price Segmentation : Shower Supports         | 215 |
| 7.4.1   | End Use : Base Year                          | 216 |
| 7.4.2   | End Use : Historical and Forecasts           | 217 |
| 7.4.3   | Sales By Type of Material : Flexible Hoses   | 218 |
| 7.4.4   | Sales by Type of Finish : Shower Heads       | 218 |
| 7.4.5   | Sales By Type of Function : Shower Heads     | 219 |
| 7.4.6   | Sales by Type of Installation : Shower Heads | 219 |
| 7.4.7   | Sales By Type of Shape : Shower Heads        | 220 |
| 7.4.8   | Sales by Type of Application : Shower Pipes  | 220 |
| 7.4.9   | Sales by Type of Mixer : Shower Pipes        | 221 |
| 7.4.10  | Sales by Type of Finish: Shower Panels       | 221 |
| 7.4.11  | Sales By Type : Shower Supports              | 222 |
| 7.5.1   | Market Shares : Flexible Hoses               | 223 |
| 7.5.2   | Market Shares : Shower Heads                 | 223 |
| 7.5.3   | Market Shares : Shower Panels                | 224 |
| 7.5.4   | Market Shares : Shower Pipes                 | 224 |
| 7.6.1/2 | Route to Market : Shower Accessories         | 225 |
| 7.6.3/4 | Consolidated View : Shower Accessories       | 226 |
| 7.7     | Market Revision : Shower Accessories         | 227 |

## **Kitchen Sinks - Germany**

|       |                                                    |     |
|-------|----------------------------------------------------|-----|
| 8.0   | DE - Kitchen Sinks                                 | 228 |
| 8.1   | Market Sector Overview : Kitchen Sinks             | 229 |
| 8.2   | Historical Trends and Forecasts : Kitchen Sinks    | 234 |
| 8.3.1 | Prices and Market Values : Kitchen Sinks           | 235 |
| 8.3.2 | Price Segmentation : Ceramic Kitchen Sinks         | 236 |
| 8.3.3 | Price Segmentation : Enamelled Steel Kitchen Sinks | 237 |
| 8.3.4 | Price Segmentation : Stainless Steel Kitchen Sinks | 238 |
| 8.3.5 | Price Segmentation : Synthetic Kitchen Sinks       | 239 |
| 8.4.1 | End Use : Base Year                                | 240 |
| 8.4.2 | End Use : Historical and Forecasts                 | 241 |
| 8.4.3 | Sales by Type of Installation : Kitchen Sinks      | 242 |
| 8.4.4 | Sales by Type of Configuration : Kitchen Sinks     | 243 |
| 8.5.1 | Market Shares : Ceramic Kitchen Sinks              | 244 |
| 8.5.2 | Market Shares : Stainless Steel Kitchen Sinks      | 244 |
| 8.5.3 | Market Shares : Synthetic Sinks                    | 245 |

|         |                                   |     |
|---------|-----------------------------------|-----|
| 8.6.1/2 | Route to Market : Kitchen Sinks   | 246 |
| 8.6.3/4 | Consolidated View : Kitchen Sinks | 247 |
| 8.7     | Market Revision : Kitchen Sinks   | 248 |

### **Kitchen Tap and Mixers - Germany**

|         |                                                  |     |
|---------|--------------------------------------------------|-----|
| 9.0     | DE - Kitchen Taps & Mixers                       | 249 |
| 9.1     | Market Sector Overview : Kitchen TM              | 250 |
| 9.2     | Historical Trends and Forecasts : Kitchen TM     | 254 |
| 9.3.1   | Prices and Market Values : Kitchen Taps & Mixers | 255 |
| 9.3.2   | Price Segmentation : Kitchen Taps & Mixers       | 256 |
| 9.4.1   | End Use : Base Year                              | 257 |
| 9.4.2   | End Use : Historical and Forecasts               | 258 |
| 9.5     | Market Shares : Kitchen Taps & Mixers            | 259 |
| 9.6.1/2 | Route to Market : Kitchen Taps & Mixers          | 260 |
| 9.6.3/4 | Consolidated View : Kitchen Taps & Mixers        | 261 |
| 9.7     | Market Revision : Kitchen Taps & Mixers          | 262 |

## **Overview**

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

## **Product Coverage**

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

### **Baths and Shower Trays**

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

### **Sanitary Ware**

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

### **Taps and Mixers ('Faucets'), both sanitary and kitchen:**

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

### **Shower Wall**

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

## Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

## Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

## Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

## Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

## **Definitions**

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

## **Methodology**

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many



additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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# GERMANY

## BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



## **Geography and Demographics**

Germany, officially the Federal Republic of Germany, is a federal parliamentary republic located in Western Europe. It is divided into 16 federal states, collectively referred to as *Bundesländer*, and each state has its own constitution and remains autonomous, with considerable power over certain policy areas and its own energy incentive schemes. Germany has 90 cities with over 100,000 inhabitants, 11 metropolitan areas, and each state has its own capital. Despite its large population, Germany has only a few large cities, and only four have a population of over one million: Berlin, Hamburg, Munich, and Cologne. Still, these cities are much larger when the metropolitan area is considered, and around 73% of the population lives in urban areas.

The most important regions in terms of population are the Rhine-Ruhr metropolitan region around Düsseldorf and Cologne, the metropolitan regions around Berlin, Frankfurt/Rhine-Ruhr (the Rhine-Main region), and the Swabian industrial belt around Stuttgart. Other smaller concentrations exist around the cities of Bremen, Hamburg, Hannover, Nuremberg, and Munich. Around 80% of the population lives in the *Alte Bundesländer* (ABL), the former West Germany, compared to just 20% of the population being in the *Neue Bundesländer* (NBL), the former GDR (the German Democratic Republic), including the capital Berlin. The population in the NBL has been constantly declining due to internal migration to the ABL, mainly for economic reasons.

German is the official, and predominantly spoken, language of the Republic and it is also one of the 24 official working languages of the European Union. German is the most widely spoken language within the European Union, with some 100 million native speakers. Minority languages within Germany are Danish, Low German, Sorbian, Romany and Frisian, while Turkish, Kurdish, Polish, the Balkan languages, and Russian are the most used immigrant languages. According to the latest data released by the German Federal Statistical Office, Germany comprised about 83.019 million inhabitants in 2019. As Europe's largest economy and second-most populous nation (after Russia), Germany is a key member of the continent's economic, political and defence organisations.

Of all the European Union (EU) states, Germany has the highest percentage of immigrants in its population. Most immigrants come from other European countries, particularly Turkey, Russia, Poland, and Italy. The country is the second-most popular destination for immigrants in the world after the United States. The increase of immigration flows with refugees arriving from the Middle East (including refugees from Syria) and Africa, forced to flee war and personal persecution, has sustained the growing path of the German population, compensating for the extremely low and still-declining birth rate of around 1.6 children per year. Germany has one of the lowest birth rates in the world. As a result, it has an ageing society: 21% of the population is over 65 years old (compared to 15.8% in 1997), whereas only about 13% is under 15 years old. The

number of refugees entering Germany has dropped significantly and stabilised in recent years, after a sudden influx that started in 2013. The years 2015 and 2016 had an exceptionally high increase of refugees, with Germany welcoming people who were forced to flee war and personal persecution. The ongoing inflow phenomenon was initially having a clearly positive impact on domestic consumption since arrivals had to be supplied with essential goods and accommodation.

## **Macroeconomic Overview**

The German economy is the fourth-largest economy in the world according to nominal GDP, and the largest in Europe, based on data from the International Monetary Fund. After four years with extremely strong growth rates (2014-2017), the German economy started to experience a strong downturn in 2018 and even more so in 2019. According to EUROCONSTRUCT, Germany's industry is in a recession and its production has been declining for the past couple of years, which is the main reason for the economic weakness. The entire manufacturing sector has slowed down due to several reasons such as trade conflicts between USA, China, and the EU, as well as the United Kingdom exit from the EU. Global uncertainty led to negative consequences for investments and a worldwide weaker production and demand. The results are more pronounced in Germany due to its great reliance of exporting goods. For example, the automotive industry has fallen by more than 20% since mid-2018.

The construction industry is still on a high level, although the growth rate has slowed down significantly. The industry operates on the edge of its capacity limits and the number of total new completions could further be increased in 2019 when compared to 2018. According to industry feedback, the lack of professions leads to a growing backlog of housing permits and project starts are postponed and ongoing projects delayed. During the past years, the number of housing projects, that have not started or that are not completed yet, has been increasing. The need for housing is still a recent topic in Germany and ongoing demand is emphasised by the increase of dwelling permits in 2019 when compared to the previous year according to DESTATIS.

Interest rates and the unemployment rate are low. Income continued to rise, and private consumptions was on a similar level in 2019, while public consumption even slightly increased when compared to 2018. The mood in the trade is mixed, with lower export and import growth rates in 2019 when compared to the previous year. The overall job market remains robust, with employment reaching a new high level and unemployment falling below 2.4 million people. Structural challenges in the labour market nevertheless exist. There is an uncertainty related to the United Kingdom's withdrawal from the European Union, which could impact Germany's overall economic performance; the German economy is export-oriented and reduced import demand from the UK may affect Germany's economic performance. Moreover, there are international uncertainties between USA and China, which can have an influence on other countries.

Total unemployment continued to drop further in 2019 and has now been decreasing since 2009. This is mostly the result of an increased need for staff in employment-intensive industries, such as retail and restaurants. The situation on the labour market is favourable and reflects the overall positive economic climate. Germany has a clear problem of insufficient skilled labour, which hampers growth in the construction industry, among other industries. The government is aware of this problem and campaigns have been set in place to spread awareness about professions in the HVAC industry. Another approach to tackle the situation is by introducing a real immigration law. What started off as a debate in 2015 (as a result of the strong influx of refugees), turned into a first draft that was passed by the new government at the end of 2018. With Germany's population growing older and the anticipated retirement of the baby boomer generation, the immigration law is primarily concerned with facilitating the process for qualified immigrants to work in Germany. In June 2019, the government passed the Immigration Act, which creates a legal framework for targeted immigration of qualified specialists from third countries to Germany. The law is no longer limited to certain industries but is open to all industries. It also offers foreigners the opportunity to come to Germany for a limited time to find a job. The law applied from January 2020.

Like in 2018, the export growth rate shrank in 2019 due to global political conflicts between the US and China for example. Nevertheless, the total volume of goods exported increased when compared to previous year. Germany is an export driven economy that exports a significantly larger volume than it imports. According to the International Monetary Fund (IMF) and other political institutions, the high surplus of goods accounted to Germany is not ideal in the long run as this economic situation takes advantage of other countries' debts. In recent years, Germany has started to respond to these critics by showing that wages and national investments are increasing.

The forecast for the German economy remains promising, with solid growth rates expected in the long term, driven by solid private household, strong demand from new housing and government spending. In the short term, however, negative impacts of the COVID-19 crisis are expected to influence replacement demand and new housing completions in a negative way. It is expected that new housing demand will only be slightly affected as construction work has continued with minor interruptions only in 2020. The COVID-19 impact on the unemployment rate is evident in 2020 by a strong increase, which is expected to decline again in 2021 to a similar level of the year 2018. A similar development is expected for private consumption and the consumer price index. Both values are expected to plunge down in 2020, before rebounding the following year. These indicators support the positive trend of the construction industry, which is anticipated to grow again from 2021 onwards. The high GDP value, that is expected for 2021, reflects the quick recovery after the COVID-19 crisis.

## **Residential Construction**

### **Overview**

German construction improved in 2019 when compared to 2018 with about 14,100 more completed dwellings. Overall growth was driven by more apartment as well as slightly more one- and two-family house completions in the year. Total construction activity of new housing and RMI in Germany, which includes both residential and non-residential construction, grew in real terms, primarily driven by residential new construction in the year. Although the booming growth rates from previous years are over, the construction industry is still growing in Germany. In past few years there has been a sharp increase in demand for housing due to immigration and domestic migration. While immigration has slowed down considerably, domestic migration to top locations such as Berlin, Munich, Frankfurt, Hamburg, Cologne, Duesseldorf and Stuttgart prevails. While the population in these top seven locations grew by seven to 15 percent during that period (in total about one million more people in 2017 in comparison to 2007), only 286,000 new dwellings were built during the same period. The problem of available and affordable living space in popular areas is still notable. Other contributing factors are low interest rates and rising real income levels, which might motivate some Germans to invest in their own property.

According to DESTATIS, new housing construction permits slightly increased in 2019 when compared to 2018. This positive development is reflected in the marginal increase of apartment permits, and more so in the growth of one- and two-family house permits. In addition to more permits, there are still projects that are waiting in the pipeline for available labour. It is worthwhile to mention that the German construction industry is working at the limits of its capacity. Therefore, unless new capacities become available, demand from new housing nor refurbishments is unlikely going to be steep. With new housing developing on a high level, the German government implemented tax incentives to stimulate energetic refurbishments. For a period of ten years, building owners are encouraged to make investments into their property. They can deduct up to 20% of their investments (max. 40,000 euro) from their taxes in a period over three years. For example, insulations of walls and the roof, new windows and doors, upgrade or first-time installation of ventilation systems, upgrade of a heating system and the installation of digital systems to improve user-efficiency are supported measurements. These incentives are valid from 01. January 2020 and are likely to create stronger demand energetic renovations during the forecast period.

### **New Housing**

The German new residential construction market had an increase of about 14,100 dwellings in 2019, with total residential completions reaching around 300,000 dwellings. When taking a closer look one- and two-family houses completions slightly increased by 2,000 dwellings when compared to 2018. The number of new dwellings in multi-family houses increased by about 12,100 to reach a total of 195,000 completions in 2019. The new housing market benefitted from low

mortgage and interest rates, from strong demand due to a prevailing deficit of accommodations, rising incomes and a favourable employment situation, and investors searching for safe and stable forms of investment. Long-term influencing factors that contribute to growth in new housing include the improved state of the economy, decreasing unemployment and a growing population due to immigration. A constraint to growth is a lack of professionals and a shortage of skilled workers.

The availability and construction of social housing in Germany is declining annually, despite the need for affordable living space. The main reason for this is the privatisation of social housing, whereas the construction of new social housing is not feasible for real estate companies, housing associations, pension funds, insurance companies and/or fund providers, as these all invest in the real estate sector because it is regarded to be a safer investment. The problem with social housing is its higher risk factor due to a low return on investment. This is not only caused by low rent prices, but also by so-called socially disadvantaged tenants since they are associated with higher maintenance and administration costs, as well as a worsening resale potential of the real estate. In 2018 around 27,040 social housing dwellings were constructed, which is only 809 dwellings more than in 2017. According to recent estimation around 80,000 new social housing dwellings need to be constructed on a yearly basis to compensate for the overall decline.

The unexpected development of the COVID-19 crisis is likely to impact new housing in a slightly negative way. Demand for both new apartment buildings and one- and two-family houses are believed to decline in 2020. This is caused by minor interruptions as a result of lockdown measures on regional and national levels. Moreover, restricted movement within Europe might lead to shortage of workers and further delays. From 2021 onwards, apartment completions are expected to increase annually until 2024, whereas the completions of one- and two-family homes are set to decrease from 2022 onwards. The German government has announced a major housing construction programme to realise 1.5 million new dwellings – by allocating more than five billion euros until 2021 and introducing incentive programmes such as tax reduction for rented apartments, regulated rent prices, and submission of federal land to municipalities, among others. Its objection is to build more than 100,000 new social housing dwellings by 2021. With this kind of support, it can be expected that the construction industry is going to remain on a high output level.

### Housing RMI

In 1990, the German reunification led to a massive increase in new construction. Between 1995 and 2009, annual housing completions fell from approximately 600,000 units to only 159,000 units per annum; this was mainly due to the overall population decline driven by a lower immigration rate, prolonged economic stagnation and high unemployment, and increasingly strict energy regulations for new build housing. Of Germany's building stock, 28% was constructed before 1948, 46% between 1949 and 1978, 13% between 1979 and 1990, and 13% was built after 1991. These dwellings that were constructed during the boom and will

need renovation anytime soon. As previously mentioned, the German government implemented deductible tax for energetically refurbished dwellings. This might boost demand for renovations in near future.

Investments in the renovation of old buildings have risen only moderately in recent years, because renovation measures have been at an extremely high level for a decade now. Based on EUROCONSTRUCT data, around two thirds of total residential construction activity in terms of value is in existing buildings. In 2019, the value of residential RMI remained unchanged when compared to the previous year. A negative trend is expected for 2020 as a result of the COVID-19 crisis. This decline in demand is caused primarily by German end users, who try to stay isolated until the situation is regarded to be safe again. It is believed that around one third of Germans do not wish installers to enter their houses. Therefore, works that are not urgent are likely to be postponed until the situation improves. It is expected that demand is going to bounce back quickly as soon as the sense of insecurity and contamination is under control.

A high level of new housing construction and limited availability of professionals constraints demand for renovations. An installer, for example, is more likely to choose a new housing project where higher margins can be gained. Instead, a renovation project is more likely to be postponed until no more lucrative projects are available. Most installers in Germany do both, the installation of heating and sanitary. They can decide for the better project and often opt for new a bathroom installation, which have higher margins and end users are more likely to spend money for products that they use daily. Instead, the replacement of the heating source only becomes relevant when it breaks, while little attention is paid to it while it still functions. Therefore, despite the implementation of improved government incentives for heating products, demand might be lower than anticipated.

There are also constraints on RMI activities in rural areas, however, where a high housing surplus exists. In such areas, low rent prices do not justify investments in the property and, therefore, renovations are not seen as a means to increase the rent prices of a dwelling. Furthermore, the topic of building renovations is too complicated for many homeowners, who fail to be motivated by incentives. They perceive building renovation as complex, due to the availability of alternative energy solutions and various subsidies. Large renovation projects are often subject to the same strict energy requirements as new builds, which makes renovation costly while contributing to a small amount of energy savings, and it is, therefore, less appealing. Overall, it is expected that the RMI segment is likely to remain flat with a marginally declining value each year. Nevertheless, demand will remain from owners, who are keen to invest in their own properties while interest rates remain low and the economic conditions stay favourable. Properties are increasingly modernised to be age appropriate.

### **Non-Residential Construction**

The German non-residential market is heavily dependent on overall economic developments. According to EUROCONSTRUCT, four fifths of all construction



output in the non-residential segment is carried out by commercial developers. Public sector investments only dominate in the areas of healthcare and education. In 2019, total non-residential construction output experienced a marginal growth and it remained almost the same as in 2018. While demand remains high, the availability of existing properties on the market is shrinking. As for residential buildings, more than half of the total non-housing value is generated from RMI activities. For several years, the German real estate market has been growing, and this attracts foreign investments. Germany offers low interest rates and a positive return on investment when compared to other European countries. Nowadays, investments in hotels are regarded to be key sectors to generate more value. Commercial and retail buildings suffer from online trade – and demand is declining. In recent years, the government has increased funding for the renovation of schools, and the sector underwent the strongest growth rate in 2019. According to EUROCONSTRUCT, the volume spent for industrial, storage, office, commercial and agricultural buildings declined in 2019 when compared to previous year. The only exception are buildings for health and other types of buildings, including hotels.

According to recent development related to the COVID-19 crisis, the downturn of the non-residential new construction and renovation market is likely to continue in 2020. From 2021 onwards, the total non-residential building value is expected to slightly improve. This is emphasised by the strong growth of the GDP in 2021. The negative trend in the short term is initiated by the current uncertainty among commercial owners and business investors. Negative macroeconomic values for 2020 underline a declining trend. In the long term, a rapid recovery might be influenced by Brexit and global trade barriers.

## II.2 Key Figures

### DE - DEMOGRAPHICS AND HOUSEHOLDS

| Value                              | Year                       |
|------------------------------------|----------------------------|
| Segmentation                       | Category                   |
| Demographics                       | Population (% Rural)       |
|                                    | Population (% Urban)       |
|                                    | Population ('000)          |
| Households                         | Average Size (Persons h/h) |
|                                    | Total ('000)               |
| Persons per Household (% of Total) | 1                          |
|                                    | 2                          |
|                                    | 3                          |
|                                    | 4                          |
|                                    | 5+                         |

Source: BRG based on Country Statistics.

## II.3 Macroeconomic Trends and Forecasts

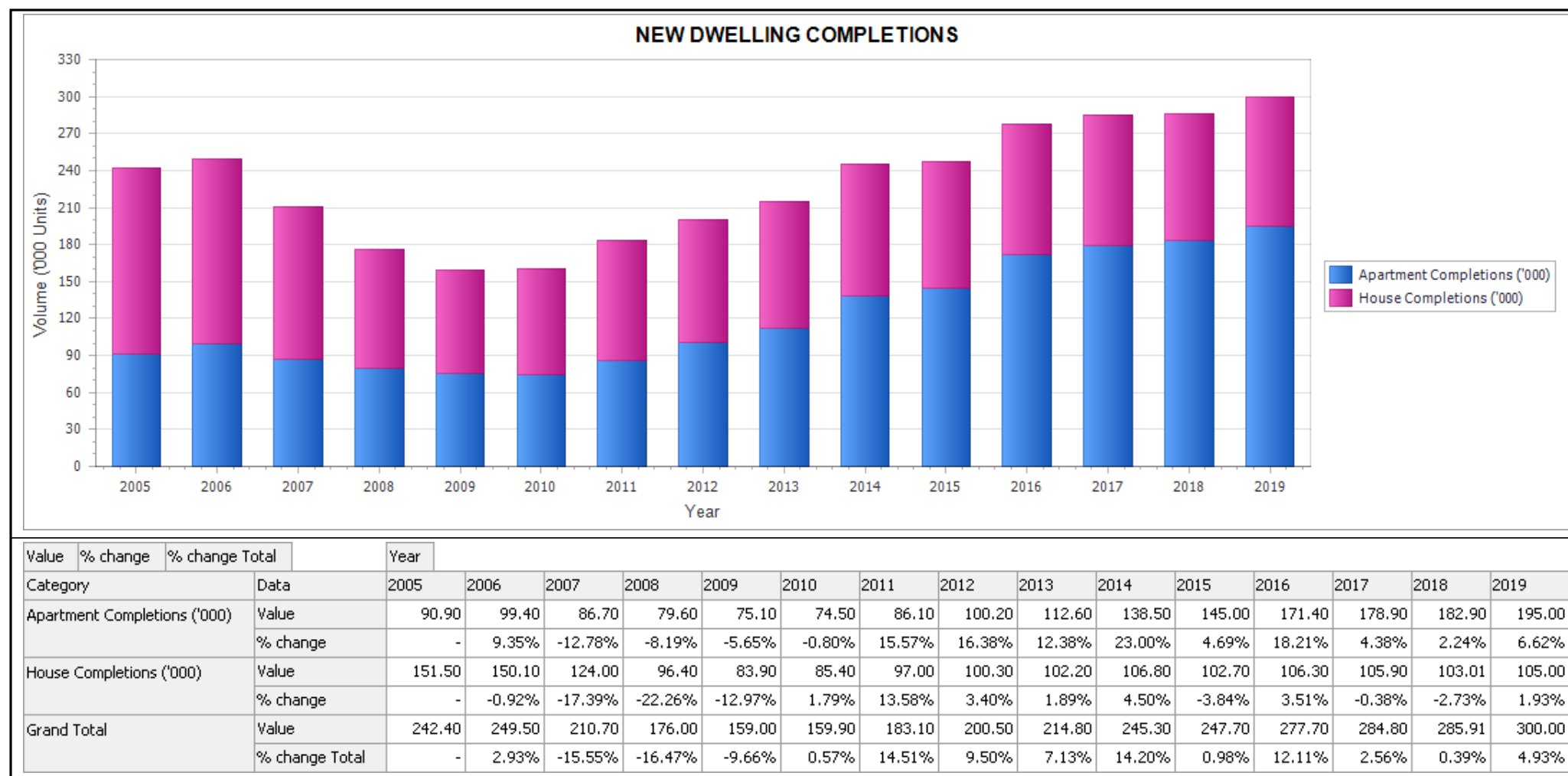
### DE - MACROECONOMIC KEY INDICATORS

| Value                                          | Year   |        |        |        |        |        |        |        |        |        |      |      |      |       |       |       |       |       |        |        |
|------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|------|------|------|-------|-------|-------|-------|-------|--------|--------|
| Category                                       | 2002   | 2003   | 2004   | 2005   | 2006   | 2007   | 2008   | 2009   | 2010   | 2011   | 2012 | 2013 | 2014 | 2015  | 2016  | 2017  | 2018  | 2019  | 2020   | 2021   |
| Consumer Price Index (% change)                | 1.35   | 1.08   | 1.75   | 1.94   | 1.80   | 2.29   | 2.73   | 0.25   | 1.12   | 2.50   | 2.14 | 1.61 | 0.76 | 0.67  | 0.38  | 1.71  | 1.95  | 1.35  | 0.32   | 1.18   |
| GDP (% change)                                 | 0.02   | - 0.71 | 1.19   | 0.73   | 3.82   | 2.98   | 0.97   | - 5.69 | 4.19   | 3.91   | 0.43 | 0.43 | 2.22 | 1.74  | 2.23  | 2.47  | 1.52  | 0.57  | - 6.95 | 5.15   |
| Government Balance (% of GDP)                  | - 3.88 | - 3.70 | - 3.33 | - 3.32 | - 1.65 | 0.26   | - 0.12 | - 3.15 | - 4.38 | - 0.88 | 0.01 | 0.04 | 0.58 | 0.94  | 1.18  | 1.24  | 1.87  | 1.45  | - 5.52 | - 1.19 |
| Household Saving Rate (% of Disposable Income) | 9.57   | 10.55  | 10.62  | 10.56  | 10.64  | 10.70  | 10.91  | 10.37  | 10.31  | 10.02  | 9.65 | 9.29 | 9.84 | 10.06 | 10.15 | 10.42 | 10.95 | 10.96 | 10.95  | 10.80  |
| Private Consumption (% change)                 | - 0.79 | 0.43   | 0.64   | 0.76   | 1.34   | - 0.25 | 0.35   | - 0.10 | 0.71   | 1.86   | 1.54 | 0.52 | 1.06 | 1.81  | 2.05  | 1.65  | 1.24  | 1.39  | 1.09   | 1.21   |
| Unemployment Rate (%)                          | 8.60   | 9.71   | 10.33  | 11.01  | 10.04  | 8.57   | 7.38   | 7.67   | 6.93   | 5.86   | 5.37 | 5.23 | 5.01 | 4.63  | 4.16  | 3.76  | 3.40  | 3.16  | 3.89   | 3.45   |

Source : IMF and OECD. N.B. No data available beyond 2021 at the time of publication

## II.4 New Dwelling Construction

### DE - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure  
DE - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

| Value                    |                                 | Year      |
|--------------------------|---------------------------------|-----------|
| Segmentation             | Category                        | 2019      |
| Dwelling Stock by Type   | Apartments (%)                  | 53.04     |
|                          | Apartments ('000)               | 23 293.00 |
|                          | Houses : Rural (%)              | 11.99     |
|                          | Houses : Rural ('000)           | 5 266.00  |
|                          | Houses : Urban (%)              | 34.98     |
|                          | Houses : Urban ('000)           | 15 361.00 |
| Dwelling Stock by Tenure | Primary Owned (%)               | 44.63     |
|                          | Primary Owned ('000)            | 19 600.00 |
|                          | Primary Rented : Private (%)    | 45.39     |
|                          | Primary Rented : Private ('000) | 19 935.00 |
|                          | Primary Rented : Public (%)     | 2.24      |
|                          | Primary Rented : Public ('000)  | 985.00    |
|                          | Secondary (%)                   | 4.46      |
|                          | Secondary ('000)                | 1 960.00  |
|                          | Vacant (%)                      | 3.28      |
|                          | Vacant ('000)                   | 1 440.00  |

Source: BRG based on Country Statistics.

## II.6 Overview of Impact of COVID-19 on Forecasts

### DE – OVERVIEW OF IMPACT OF COVID-19 TO DATE

|                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Start of the lockdown [expected start of easing]</b>                               | The official lockdown in Germany, which is more a prohibition of contact, started on 22 <sup>nd</sup> March. The degree of strictness varies within Germany, with Bavaria having the strictest regulations. It is expected that this situation will remain in place until 3 <sup>rd</sup> May. Small shops with a surface area smaller than 800 m <sup>2</sup> could open from 20 <sup>th</sup> April. No large events until end of August.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Number of officially confirmed cases</b>                                           | 160,000 cases [6,300 confirmed deaths] as of 28 <sup>th</sup> April 2020 / population 83 million (end 2019).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>General measures in place to support the economy</b>                               | The federal government has approved coronavirus emergency aid for the self-employed and small businesses that are suffering financial difficulties. The total amount is up to €50 billion of federal funds. The government provides immediate financial aid in the form of grants to ensure the economic survival of applicants and to bridge acute liquidity shortages. The funds can be used to pay for ongoing operating costs such as rent, loans for business premises, leasing rates and the like. Self-employed persons - i.e., self-employed persons without employees, individual artists etc. - and small businesses with up to five employees will then receive up to €9,000 as a one-off payment for three months. Businesses with up to ten employees will receive a one-time payment of up to €15,000 for three months. In addition, individual federal states are also providing grants for larger companies with more than ten employees. The processing should take place electronically via the federal states or municipalities. |
| <b>Statistics on affected employees</b>                                               | The number of short-time workers in Germany was 650,000 as of 9 <sup>th</sup> April. Number of unemployed has not yet been released.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Measures in place to mitigate economic impact on INDIVIDUALS</b>                   | Those who have to look after their children due to school or day-care closures and are unable to go to work should be protected against excessive loss of income. If working parents have to look after children under the age of 12 because care cannot be guaranteed elsewhere, and flexitime, overtime credits and vacation have been exhausted, they will continue to receive money from the employer, which in turn is equal to the short-time allowance (usually 67% of gross income) and is replaced by the competent authorities. Regarding rent debts from the period from 1 <sup>st</sup> April to 30 <sup>th</sup> June 2020, landlords may not terminate the tenancy, provided that the rent debts are based on the effects of the coronavirus pandemic. This applies to both residential and commercial space leases.                                                                                                                                                                                                                  |
| <b>Statistics on affected companies (% of total forced to suspend activities)</b>     | According to a study, the sales prospects for manufacturers of building and installation materials have deteriorated radically in a short time. Only 13% of those surveyed expect an increase in sales. Chances of stagnation - currently not a bad option – are suggested by less than one in ten manufacturers.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Specific measures affecting BUILDING CONSTRUCTION and RMI</b>                      | Safety guidelines need to be followed on construction sites. DIY stores and wholesalers are open. RMI has suffered due to the avoidance of letting tradespeople into homes. Manufacturers stopped client services for some time.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Measures in place to mitigate economic impact on COMPANIES</b>                     | KfW offers a special programme called KfW-Schnellkredit 2020 and a so-called quick loan for medium-sized companies with more than 10 employees. The Federal Ministry of Economic Affairs and Energy (BMWi) is funding consultations for coronavirus-affected freelancers and small and medium-sized companies up to an advisory value of €4,000 without own contribution until the end of 2020. Short-time work benefits will become more flexible and can be paid retrospectively as of 1 <sup>st</sup> March. Companies will also be able to receive these in the future under easier conditions. An application is already possible, for example, if ten percent of the employees are affected by the business failure. In insolvency law, the insolvency application for affected companies is suspended until 30 <sup>th</sup> September 2020. In addition, incentives have been created to provide the affected companies with new liquidity and to maintain business relationships with them.                                                |
| <b>Support measures from international organisations (EU, IMF, World Bank, other)</b> | <b>Suspension of the EU's deficit limits</b> , so member states can boost spending. Up to €800 million available for European countries in 2020 to cover public health emergencies (from the extension of the <b>EU Solidarity Fund</b> ). <b>The Corona Response Investment Initiative</b> : €37 billion from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

Sources:

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# GERMANY

## DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Overview**

The distribution sector, typical for a Western European country, is dominated by wholesalers and large DIY chains. In Germany, even more so than in most other European countries, the wholesale channel occupies an extremely powerful, historically fast-grown, position on the bathroom and kitchen market. Increased competition among wholesalers has led to a market concentration over the last 20 years, in which many smaller sized family-owned businesses vanished, since the wholesale sector over the last decades has increasingly become more concentrated. Originally consisting of hundreds of small '*mittelstand*' wholesale businesses, the German wholesale industry has undergone a significant consolidation, with the four largest wholesalers taking over many smaller, often family-owned, businesses. Due to the strong dominance of wholesalers, and DIY retailers, on the German bathroom and kitchen market, the distribution primarily follows a so-called 'three-step' distribution chain, which comprises both sales from manufacturers/importers to specialist wholesalers, and sales from manufacturers/importers to wholesalers who then supply DIY stores. Traditionally, bathroom and heating products have been channelled through the same wholesalers. The main competitors for wholesalers are the retail distribution channels and e-commerce.

The German wholesale channel is very traditional by serving a loyal installer base. Installers prefer wholesalers as suppliers as they shoulder the credit risk, while waiting for a customer's payment. The German wholesale industry is very competitive. It has rigid structures to remain powerful and to prevent distribution outside the traditional 'three-step' approach. Wholesalers, and their buying groups, offer private label products with competitive prices. In addition, they offer a wide range of products near installers. German wholesalers, as well as retailers to a lesser extent, have developed successful private label brands, that are often sourced from leading manufacturers. Installers play a key role in the distribution of sanitary ware products. They account for the biggest share of sales in terms of volume by linking wholesalers, and manufacturers to a lesser extent, with the end user.

German installers can be broadly divided into two groups based on a generational divide: (1) traditional installers, and (2) installers that are open to new products and changes in the distribution channels such as the use of smart phone 'apps' and 'e-commerce'. In the past years, an increasing number of installers has been purchasing online from wholesalers. Most wholesalers have sophisticated online services that allow installers to order in a quick and convenient way. They provide training and technology support to give installers more control over their installer base. According to a study by BAUINFOCONSULT from January 2018, around 40% of installers makes use of online purchases from wholesalers. This includes direct email purchases from trusted partners as well as website based and app purchases.

The DIY sector in Germany started to appear in the 1970s, when OBI opened its first store. Most bathroom products reach the DIY retailer via specialist distributors, so-called '*Sortimenter*', and through manufacturers specialising in DIY supply. DIY stores mainly supply customers with products that are part of the lower and economy price segments. The products from the economy segment are normally sourced from foreign manufacturers, or importers, and are divided into two categories: Economy I, which tends to be supplied by imports from Western European countries such as France, Italy, Portugal and Spain and Economy II, which is supplied mostly by imports from Eastern European countries such as the Czech Republic, Hungary and Poland. A significant share is supplied from Asia with China being the main manufacturing country. DIY stores no longer just sell individual products but, instead, they promote complete product lines and designed bath solutions. All the leading suppliers such as GEBERIT (former KERAMAG), VILLEROY & BOCH, DURAVIT, IDEAL STANDARD, LAUFEN and VITRA have a subsidiary or a sister company abroad to source products for the lower end of the market. GROHE and HANSGROHE are increasingly focusing on DIY segments by offering taps and mixers for a price that is not much higher than no-name products.

There are two main types of bathroom customers, who can be identified in Germany. On the one hand, customers are looking for a single piece of furniture such as a mixer or a flexible shower hose to replace a broken one. These customers need a product quickly to be able to use the broken facility again. In most cases, these end users are more price conscious and they increasingly turn towards DIY stores, online and furniture retailers out of convenience. It is unlikely that an end user would wait more than one month for a broken kitchen tap to be replaced by an installer. On the other hand, there are end users looking for a complete bathroom or kitchen solution for a new or refurbished dwelling. These end users seek more than just a product and they are willing to pay a premium price to receive a service.

### **Wholesale Level**

The German wholesale trade is powerful with more than 150,000 small to large sized wholesalers and nearly 1.5 million employees. Due to Germany's strong reliance on exports, German wholesalers are internationally oriented. Whereas historically wholesalers were solely the link between manufacturing and retail, nowadays, they have evolved into becoming a 'supply management provider'. Since 2012, German wholesalers remained stable in terms of value with slight fluctuations only. Although Germany's economy is performing well, the wholesale segment is not undergoing any significant growth. It is believed that supply is near its maximum capacity because there are not enough professional installers to cover the surplus work. According to industry feedback, manufacturers could have sold more if there was a greater number of professional installers available to carry out works.

The German wholesale trade can be characterised into two main types. On the one hand, there are single or smaller groups of regional and local independent retail



businesses and wholesalers, most of which are members of buying groups to generate economies of scale and to benefit from outsourcing certain administrative tasks. On the other hand, there are wholesale groups, which have mostly grown through acquisitions and which act on a national level or in multiple regions. Moreover, some wholesalers such as REISSER and RICHTER + FRENZEL trade solely or primarily under a single trading branding, while others such as GC have regional companies trading under their own name.

The German wholesale market has become increasingly concentrated in recent years and is now distinguished by only a handful of important national and multiregional wholesale chains/groups. These are independent from manufacturers and they combine various single or smaller groups of regional and local independent retail businesses and wholesalers, most of which are members of voluntary buying groups. Being members of buying groups allows these smaller businesses to benefit from economies of scale, not only in purchasing but also in management and marketing.

The four largest wholesalers in the industry are the GC GROUP, RICHTER +FRENZEL, REISSER, and PFEIFFER + MAY (in that order). Most wholesalers in Germany are privately owned and, hence, do not publish any financial figures. It is difficult to estimate the exact size and market power of these four groups. The larger wholesaler groups have their own central purchasing department and are not members of any buying group. The smaller and more local wholesalers typically join buying groups to generate economies of scale on the purchasing side. The biggest buying groups in Germany are E/D/E, HAGRO, IGH, ISG and GSH. Despite a trend towards more concentration in the market, the member numbers of the most important buying groups have been decreasing in the past few years. All buying groups, in recent years, have opened their doors to international members.

## **Retail Level**

After the manufacturing and business sector, the German retail industry is the third largest sector. Close to three million employees work part and full-time for over 300,000 companies. Most revenues are generated by medium to small-sized companies. Unlike most neighbouring countries, overall turnover in the retail sector remained stable during the economic crisis. Since 2010, overall retail revenues have been increasing with significant growth rates of up to 4% during the last three years. A positive development is expected for the current year, although on a more moderate scale when compared to the previous year.

## **DIY Retailers**

The German 'Do-It-Yourself' (DIY) sector is strong and is the most mature market in Europe. It started to develop from the 1970s when OBI opened its first store in 1970. With the reunification of the Neue Bundesländer in the early 1990s, a surge in growth was attributed to the opening of many new stores. Although, in the more recent past the number of DIY stores has remained stable, there is a clear trend towards a DIY culture in Germany. DIY is increasingly associated as a lifestyle

phenomenon. From the total DIY turnover, sanitary and heating products accounted for about 1.79 billion euro in 2019, which equals to 9.2% of the total value according to the DIY association BHB. Only construction materials have a higher turnover.

OBI is the biggest DIY retailer in Germany in terms of value. In 2015, OBI confirmed its dominant position by taking over and rebranding 70 branches from the Austrian competitor BAUMAX. Even though the top three DIY players in Germany compete closely in volume, OBI is the clear value leader, followed by BAUHAUS and TOOM BAUMARKT. There is a mix of owned chains, franchises and buying groups on the German DIY market. The chains originate from three main sources: (1) the food retailing sector such as OBI, EXTRA & TOPBAUCENTER /METRO, TOOM /REWE, GLOBUS, and HELLWEG, (2) building materials suppliers such as HAGEBAU and INTERPARES/MOBAU, and (3) specialist DIY retailers such as BAUHAUS and HORNBACH.

Several wholesalers have used the rapid development of the DIY stores by establishing specialised distribution of plumbing related products to DIY chains. The wholesalers operating this service for the DIY chains in Germany are referred to as '*DIY-Sortimenter*' or specialist distributors. These distributors source their products partly from German manufacturers, either directly or through traditional wholesalers for some branded products, and partly from abroad. They buy the products, package them, brand them and sell them on to the DIY stores, together with a marketing concept. The existence of these specialist distributors serves two main purposes. On the one hand, it enables German manufacturers with a 'wholesale only' policy to gain access to DIY stores without abandoning their loyalty to the wholesaler. On the other hand, specialist distributors provide DIY chains, which usually do not have central warehousing, except for some larger groups like BAUHAUS and HORNBACH, with a logistical infrastructure for bathroom products. Furthermore, specialist distributors are an easy entry route for low cost imports, especially for products such as taps and mixers, ceramic sanitary ware, and synthetic baths. There is a dozen established specialist distributors, of which the largest are CONMETALL, SANITOP-WINGENROTH and LEYSSER. While CONMETALL and LEYSSER offer a wide range of products covering metal goods, tools, gardening, and bathroom products, SANITOP-WINGENROTH specialises in bathroom products.

According to BHB, the turnover of DIY products is expected to more than quadruple in 2020 when compared to 2010. In 2010, the turnover of DIY products through e-commerce amounted to 1,065 million euro and increased to 4,000 million (selling prices including VAT) in 2019. This strong growth reflects the importance of the internet as a distribution channels, with about 21% of the total DIY's turnover being purchased online. According to industry feedback, DIY retailers are increasingly positioning themselves as service providers. Advertisement campaigns on television and the radio are used to position the DIY as a one stop solution for basic full bathroom renovations. The DIY targets end users, who wish to carry out a private bathroom renovation for a reasonable price. These end users do not have high demand and try to get a better bargain by avoiding the professional installers.

However, it might sound better than it is. The reason is the service provider, who work for the DIY are likely to charge higher hourly rates when compared to a professional installer. The reason is that the DIY installer would not make any money by selling the product and instead, would have to increase his rates to compensate for this. Despite the higher labour costs, the quality might be much lower, since a good installer would prefer to work for the professional distribution channel. Therefore, the only end users profiting from DIY stores are the ones, who know how to install a product themselves. Instead, end users, who need someone to install it for them might, might find it less attractive to have a DIY carry out their bathroom renovation, especially if quality and design are of importance.

### Specialist/Other Retailers

Bathroom and kitchen retailers hold a strong position on the market for complete bathroom or kitchen solutions, but less so for single pieces. Specialist retailers usually provide tailor-made advice on the selection of all types of bathroom product. They make use of professional computer software to design 3D-bathroom plans and are responsible for the installation of all bathroom products. Bathroom retailers offer a complete package starting with the attractive display of products, individual and competent advice on the selection of all bathroom products, computerised bathroom planning, delivery and installation of all bathroom products, realisation of all related masonry, tiling and electrical work, as well as the complete 'after-sales service'.

Some kitchen specialists are extending their portfolio by adding bathroom products to their existing kitchen portfolio to benefit from potential synergies. As a result, such specialists adjust their names by including the bathroom supply to their business, e.g. KUCHE UND BAD (kitchen and bathrooms). Like bathroom specialists, kitchen specialists provide complete services that range from exhibition, technical advice, sales, installation, to after sales-service at a reasonable price. According to industry feedback, demand for new kitchens has been increasing during the last few years. This trend is fuelled not only by a favourable economic climate, but also by a growing importance of the kitchen as a status symbol among Germans. Demand for kitchens is increasing in the middle and upper price segments. General furniture specialist stores supply bathroom and kitchen products among all other types of furniture. The most popular example is IKEA, which supplies its own products, and which has rapidly gained popularity among German consumers. Another example is the Austrian XXXLUTZ, which currently has 48 stores in Germany. In 2013, XXXLUTZ launched its online shop in Germany to benefit from the digital consumer movement. POCO is a German furniture discounter that also has a limited supply of kitchen and bathroom products. The chain has more than 100 stores in Germany and targets the lower segment.

In addition to these nation-wide chains, there are numerous regional and local furniture stores that might also offer bathroom and kitchen products, with the latter being more likely to be found in such a store. Other specialist retailers also include food discounters such as ALDI, LIDL, PLUS, REAL and NETTO. On a promotional basis, they offer products such as taps and mixers, bathroom accessories and

furniture for a limited amount of time. Due to their strong presence in the German market, a discounter can sell a considerable number of taps in just a week.

### Internet Retailers

Sales via internet retail stores have been increasing in the last decade. Internet stores are a source of information and they make prices more transparent for consumers. Not all markets and products are suitable for online sales. Renovating homeowners and individuals who build their own houses are more likely to buy online than professional landlords and non-residential housing developers. Products with a perceived lower risk of buying online are more prone to be sold than products with high technical complexity, for example taps and mixers and shower heads compared to baths and shower trays.

Even if not all bathroom markets and products are believed to be suitable for online sales, purchases via internet retail stores have been increasing for the bathroom market over the last few years. It is expected that new internet retailers are emerging and that existing ones will increase their share of offered products over the coming years, as the Internet has established itself as an alternative distribution channel. In addition to online shops with focus on sanitary products, there are also online shops that have some bathroom products only. A recent study by DEUTSCHLAND TEST, identified the following online shops to be the most popular for bathroom products: MEGABAD, REUTER, NEUESBAD, BADMOEBELDIREKT, EMERO, ARCOMCENTER and MACH-DEIN-BAD. Moreover, there are online shops such as UNIDOMO and HAUSTECHNIKSHOP24 that supply both sanitary and heating products. According to industry feedback, REUTER's turnover in 2017 is estimated to be EUR 210 million in 2017, of which about EUR 190-200 million is for sanitary products. MEGABAD is believed to have a turnover of about EUR 140-150 million. AMAZON is believed to be significant, too.

Online shops like AMAZON, ZALANDO, OTTO and TSCHIBO also include some bathroom products in their portfolio. The most sold products include taps and mixers, bathroom and shower accessories. Some bathroom online shops opened physical showrooms to display products and to give advice to consumers. REUTER opened a physical store in the high street of Düsseldorf and MEGABAD is present near Bochum. The intention is to allow consumers to look at products before they can be purchased through the website only. Local installers generally refuse to install products bought by the end users on the Internet, due to warranty issues. For that reason, REUTER launched the website WERKPROFI, which provides a list with installers that do install products bought from REUTER. Most smaller industry-specific web shops are set up by installers, who receive their products from 'three-step' manufacturers and wholesalers.

Internet stores have a market edge in their price transparency approach by presenting prices to the end customer. Typical clients of online platforms are homeowners opting for renovations, as well as individuals building their own houses. Moreover, professional installers from smaller companies are likely to make use of online shops, too. In contrast, non-residential project developers and

large installer companies are unlikely to buy online. Generally speaking, 'simple-to-install' products are more likely to be purchased online than those with high technical complexity. In the past years there has been a trend towards more online sales of simple-to-install products. The reason is the lack of professional installers, who would not have time for smaller replacement jobs like broken taps and mixers, shower heads, or even WCs and washbasins.

Major German manufacturers are aware of the growing position of internet retailers. Among other reasons, some major German manufacturers announced to reduce their list prices by 20%. During the last few years, the list price, which is a fictive price suggested by the manufacturer to sell their product for, has increased significantly. This has led to a big gap between the list price and the actual selling price. By reducing the list significantly, manufacturers prevent online shops from communicating large discounts.

## SUMMARY OF LEADING DISTRIBUTORS

## DE - LEADING DISTRIBUTORS

| Holding               | Trading Name                                               | Distributor Type    | General Product Orientation Profile   | Gross Turnover |           | Home Market Coverage |                                 | Specific Product Orientation (all figures are in %) |      |      |          |              |            |       |                    |        |            |       |       |                                | Buying Group Affiliation |
|-----------------------|------------------------------------------------------------|---------------------|---------------------------------------|----------------|-----------|----------------------|---------------------------------|-----------------------------------------------------|------|------|----------|--------------|------------|-------|--------------------|--------|------------|-------|-------|--------------------------------|--------------------------|
|                       |                                                            |                     |                                       | Year End       | € million | No. of Depots        | Geographical Coverage           | Specialist                                          |      |      |          |              | Specialist |       |                    |        |            | Other |       |                                |                          |
|                       |                                                            |                     |                                       |                |           |                      |                                 | Total                                               | Heat | Bath | Plumbing | Vent/ Aircon | Tiles      | Total | Building Materials | Timber | Insulation | Roof  | Other | Specify                        |                          |
| TENGELMANN            | OBI Group Holding GmbH                                     | DIY Retailer        | DIY Assortment                        | 2018           | 5,519     | 352                  | DE/International                | xx                                                  | x    | xx   |          | x            | x          | x     | x                  | x      | x          |       | xx    |                                |                          |
| BAUHAUS               | BAUHAUS AG                                                 | DIY Retailer        | DIY Assortment                        | 2018           | 56.6*     | 126                  | DE/International                |                                                     | x    | x    | x        | x            | x          |       | x                  | x      | x          | x     | xxx   | Kitchen, Electrics             |                          |
| REWE                  | TOOM BAUMARKT GmbH                                         | DIY Retailer        | DIY Assortment                        | 2018           | 2,422     | 350                  | DE                              | xx                                                  | x    | xx   |          | x            | x          | x     | x                  | x      | x          |       | xx    |                                | DIY Union                |
| HAGEBAU               | HAGEBAU HANDELSGESELLSCHAFT FÜR BAUSTOFFE mbH & Co. KG     | DIY Retailer        | DIY Assortment                        | 2018           | 5,758     | 387                  | DE/Europe                       | xx                                                  | x    | xx   |          | x            | x          | x     | x                  | x      | x          |       | xx    | Garden                         | HAGEBAU + E/D/E + EK     |
| GC GROUP              | GC SANITÄR- UND HEIZUNGS-HANDEL-CONTOR GmbH                | Mixed merchant      | Mixed merchant                        | 2004           | 3,000     | 800                  | DE, Eastern Europe              | xxx                                                 | xx   | xx   | xx       | x            | x          | x     |                    |        | x          | x     |       |                                |                          |
| HORNBACH              | HORNBACH BAUMARKT AG                                       | DIY Retailer        | DIY Assortment                        | 2018           | 4,118     | 98                   | DE/International                | xx                                                  | xx   | x    |          | x            | x          | x     | x                  | x      | x          |       | xx    | Electrics, Kitchen, Garden     |                          |
| SAINT GOBAIN          | SAINT-GOBAIN Building Distribution Deutschland GmbH        | Mixed merchant      | Mixed merchant                        | 2015           | 2,019     | 254                  | DE                              | x                                                   |      |      | xx       | xx           | x          | xxx   | xx                 | xx     | xx         | xx    |       |                                |                          |
| GLOBUS                | Globus Baumarkt Holding GmbH & CO K                        | DIY Retailer        | DIY Assortment                        | 2018           | 1,740     | 89                   | DE/International                | xx                                                  | x    | xx   |          | x            | x          | x     | x                  | x      | x          |       | xx    |                                |                          |
| EUROBAUSTOFF          | EUROBAUSTOFF Handelsgesellschaft mbh & Co. KG              | DIY Retailer        | DIY Assortment                        | 2018           | 5,547     | 373                  | DE/International                | xx                                                  | x    | xx   |          | x            | x          | x     | x                  | x      | x          |       | xx    |                                |                          |
| BOSCH                 | BUDERUS Großhandel                                         | Specialist Merchant | Heating, Vent/Aircon                  | 2005           | 969       | 52                   | DE                              | xxx                                                 | xxx  | xxx  | xx       | x            |            |       |                    |        |            |       |       |                                |                          |
| RICHTER + FRENZEL     | RICHTER + FRENZEL GmbH + Co. KG                            | Mixed merchant      | Mixed merchant                        | 2009           | 890       | 141                  | DE-South from Kassel            | xxx                                                 | xxx  | xxx  | xx       | x            | x          | x     | x                  |        |            |       |       |                                | ISG through COMIGRO      |
| HELLWEG               | HELLWEG DIE PROFIL-BAUMÄRKTE GmbH & Co. KG                 | DIY Retailer        | DIY Assortment                        | 2017           | 1,080     | 75                   | DE, AT                          | xxx                                                 | xx   | xx   |          | x            | x          | xx    | xxx                | xx     |            | x     | x     | Garden                         | DIY Union                |
| SANITÄR HEINZE        | SANITÄR HEINZE GmbH + Co. KG                               | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2018           | 330       | 13                   | DE-SE (Bavaria, Saxony), AT, IT | xxx                                                 | xxx  | xxx  | xx       | x            |            |       |                    |        |            |       |       |                                | SANITÄR-UNION            |
| WIEDEMANN             | WIEDEMANN DIENSTLEISTUNGS- UND VERWALTUNGSGESELLSCHAFT mbH | Mixed merchant      | Mixed merchant                        | 2016           | 117       | 75                   | DE, Poland                      | xx                                                  | xxx  | xxx  | xx       | x            | x          | xx    | x                  |        |            |       | xxx   | Machinery, Building Automation | GSH                      |
| RENSA GROUP           | DEINZER UND WEYLAND GmbH                                   | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2018           | 204       | 13                   | DE                              | xxx                                                 | xxx  | xxx  | xx       | xx           |            |       |                    |        |            |       |       |                                | VGH                      |
| ZANDER                | J.W. ZANDER GmbH & Co. KG                                  | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2006           | 116       | 80                   | DE                              | xxx                                                 | xxx  | xxx  | xx       | x            |            |       |                    |        |            |       | xx    | Electric                       | ISG                      |
| MAINMETALL            | MAINMETALL GmbH & Co. KG                                   | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2018           | 157       | 20                   | DE-E                            | xxx                                                 | xxx  | xxx  | xx       | xx           |            | x     |                    |        | xx         | xx    |       |                                | ISG                      |
| HEINRICH SCHMIDT      | MOSECKER GmbH & Co. KG                                     | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2017           | 159       | 23                   | DE-W                            | xx                                                  | xxx  | xxx  | xx       | xx           |            | x     |                    |        |            |       | xx    | Steel                          | ISG                      |
| FRIELING              | FRITZ FRIELING GmbH                                        | Mixed merchant      | Mixed merchant                        | 2018           | 135       | 15                   | DE-NW                           | xx                                                  | xxx  | xxx  | xx       | xx           |            | x     |                    |        |            |       | xx    | Steel                          | SANITÄR-UNION            |
| CRH                   | ANDREAS PAULSEN GMBH & CO. KG                              | Specialist Merchant | Heating, Vent, A/C, Sanitary/Plumbing | 2013           | 21        | 51                   | DE-N                            | xxx                                                 | xxx  | xxx  | xx       | xx           |            |       |                    |        |            |       |       |                                | ISG                      |
| REINSHAGEN + SCHRÖDER | REINSHAGEN & SCHRÖDER GmbH & Co. KG                        | Specialist Merchant | Heating, Sanitary/Plumbing            | 2016           | 42        | 11                   | DE-W                            | xxx                                                 | xxx  | xxx  | xx       | x            |            |       |                    |        |            |       |       |                                | VGH                      |
| PIETSCH               | Dr. Pietsch Holding GmbH & Co. KG                          | Wholesaler group    | Heating, Vent, A/C, Sanitary/Plumbing | 2012           | 61        | 60                   | DE-W and Saxony                 | xxx                                                 | xxx  | xxx  | xx       | x            |            |       |                    |        |            |       |       |                                | SANITÄR-UNION            |

Source: BRG based on company information and industry interviews

\*Turnover in Germany only

SW = South West

N = North

E = East

W = West

SE = South East

x = marginal activity

xx = substantial activity

xxx = core activity

## SUMMARY OF LEADING GERMAN BUYING GROUPS AND COOPERATIONS

## DE - LEADING BUYER GROUPS AND COOPERATIONS

| Trading Name      | Company Name                                                                       | Distributor Type | General Product Orientation Profile | Net Turnover* |           | Home Market Coverage      |                            | Private Label Brands                       | Members                                                                                                                              | Affiliated Organisations |
|-------------------|------------------------------------------------------------------------------------|------------------|-------------------------------------|---------------|-----------|---------------------------|----------------------------|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|--------------------------|
|                   |                                                                                    |                  |                                     | Year End      | € million | No. of Depots (DE/abroad) | Geographical Coverage      |                                            |                                                                                                                                      |                          |
| E/D/E             | EINKAUFSBÜRO DEUTSCHER EISENWARENHÄNDLER GmbH                                      | Buying Group     | All building materials              | 2015          | 502.1     | 870/1386                  | DE/International           | FORMAT, FORUM                              | 1,000 Merchants (PVH)<br>376 Retailers (Subsidiary ZEUS)                                                                             | WUPPER-RING              |
| EDT               | EUROPEAN COOPERATION OF PROFESSIONAL WHOLESALERS FOR SANITARY AND HEATING PRODUCTS | Buying Group     | Heating, Sanitary/Plumbing          | 2016          | 5510.0    | 215/1500                  | 13 European countries      |                                            | 9 European buying groups with 250 wholesalers:<br>ISG, CEALCO, ALGOREL, PTACEK, GEPESZCSOPORT, INSTAL KONSORCJUM, IDRO TEAM, LM, LUK | ZEUS                     |
| EUROBAUSTOFF      | EUROBAUSTOFF HANDELSGESELLSCHAFT MBH & CO. KG                                      | Buying Group     | Building products                   | 2018          | 5548.0    | 1350                      | DE, AT, CH, FR, IT, LU, LI | PRIMA, OPUS, CERABELLA                     | 474 medium sized companies                                                                                                           |                          |
| HAGEBAU           | HAGEBAU HANDELSGESELLSCHAFT FÜR BAUSTOFFE mbH & Co. KG                             | DIY Cooperation  | Building products                   | 2018          | 5805.0    | >1000                     | DE, AT, CH                 |                                            | 250 medium sized companies                                                                                                           | ZEUS                     |
| HBG               | HBG HANDELS BETEILIGUNGS GESELLSCHAFT mbH                                          | Wholesaler Group | Heating, Sanitary/Plumbing          | n/a           | n/a       | >180                      | DE                         |                                            | 6 members (Elmer, Wiedemann, Börner, Pietsch, König, Jensen)                                                                         | EDT and UHT              |
| ISG               | ISG-SANITÄR-HANDELSGESELLSCHAFT mbH & Co. KG                                       | Buying Group     | Heating, Sanitary/Plumbing          | 2009          | 1680.0    | 126/13                    | DE and Austria             | CONCEPT, OPTIMA                            | 28 members                                                                                                                           |                          |
| MAH               | MITTELSTANDS-ALLIANZ HAUSTECHNIK                                                   | Buying Group     | Heating, Sanitary/Plumbing          | 2018          | 1.2       | n/a                       | n/a                        | TAKE                                       | 8 members (Bach, Bechem, Holtzmann, Reichwald, Richter & Röhrig, Vetter+Engels, Nerlich & Lesser, Wahl)                              | E/D/E                    |
| NORDWEST          | NORDWEST HANDEL AG                                                                 | Buying Group     | All building materials              | 2018          | 488.4     | 732                       | DE/Europe                  | PROMAT, NOW, WELDING TEAM, DELPHIS         | 528 members (nordwest.com) (includes Nürnberger Bund)                                                                                |                          |
| UNION HAUSTECHNIK | GSH VERWALTUNGSGESELLSCHAFT MBH                                                    | Buying Group     | Sanitary/Plumbing                   | 2012          | 0.3       | n/a                       | n/a                        | SANIBEL, PREMIANO, MEDIANO, TOPARA, ARTIGO | UHT 31 members                                                                                                                       |                          |
| UNION HAUSTECHNIK | SANITÄR - UNION S.U. GmbH                                                          | Buying Group     | Sanitary/Plumbing                   | 2015          | 15.8      | 127/6                     | DE and Austria             | DIANA                                      | UHT 31 members                                                                                                                       |                          |
| VGH               | VGH INTERNATIONAL GmbH Vereinigung von Großhändlern für Haustechnik                | Buying Group     | Heating, Sanitary/Plumbing          | 2012          | 1.4       | 31/135                    | DE, DK, NL, BE, RO, PL     | KREOS, MIO                                 | 10 members (vgh-online.de)                                                                                                           | E/D/E                    |

Source: BRG based on company information and industry interviews

# **GERMANY**

## **BATHS AND SHOWER TRAYS**

**THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS**





### **Market Characteristics and Product Mix**

Initially considered to be luxury products, baths were only present in upper-class multi-family houses, consisting of identically cut flats. The gradual shift in product material, which originally was expensive porcelain, towards the cheaper cast iron and, later on, enamel, broadly supported the increase of baths in residential dwellings. The post-war home building boom, that characterised Germany in the 1950s, influenced the bath market as a result, which ultimately grew significantly. While it was not common to have a separate room as a designated bathroom in apartments, from this point on all dwellings were built with individual bathrooms, which normally included both a bath and a shower tray.

From the 1960s, new materials such as PVC and plastic were launched in the German market and gradually replaced porcelain and cast iron. Acrylic, which was introduced in the 1970s, swiftly gained popularity due to its moulding features, which permit various shape and colour designs. In addition to the mentioned perks, this new material denoted a higher comfort by giving a 'warm' feeling on contact with the skin. Sales of shower trays also benefited from the introduction of such a multifaceted material with increased sales. Nevertheless, the influence on shower trays was not as significant as it was in the bath market.

Over the last few decades, the everyday bathing and showering habits of Germans have changed, with a gradual move towards showering instead of bathing due to both economic and environmental reasons. Contrary to the past, nowadays more residential buildings, especially apartments, are increasingly equipped with a shower only. This changing consumer preference has resulted in a long-term declining trend in bath sales in favour of the shower market. Furthermore, shower trays have been facing growing competition from the so called 'walk-in showers' (or 'wet shower rooms') since 2002. A walk-in shower, consisting of tile walls and base and using a shower drain, or shower channel, do not have a shower tray. To compete with walk-in showers, a trend towards flat, or even super flat shower trays, as well as larger sizes, has been now seen in the German market.

Super flat shower trays represent the most fashionable type of showers that can be installed in a dwelling. The trend towards building larger and floor levelled showers is supported by the wide popularity among people of all ages, from young customers seeking a modern style to the elderly looking for more comfort and ease in the washing and cleaning process. More than half of new residential buildings are estimated to be equipped with drain products nowadays. In July 2017, the Abdichtungsnorm DIN 18534 was introduced to regulate the waterproofness of showers. Installers, planners, and architects are now responsible for the level waterproofness of walk-in shower installations.

Another trend that is impacting the bath and shower tray markets is attributed to the revival of steel as a bath/shower tray material. This is mainly driven by the scratch resistance advantage that distinguishes steel to synthetic. Moreover, the margins in

the synthetic market have been eroded over the years because of the high number of competitors, which has impacted negatively both installers and producers. On the other hand, steel model producers ride the wave of circumstances by now offering a broader range of shapes and forms previously not available.

### **Recent Market Trends**

In Germany in 2019, total demand for baths marginally declined compared to 2018. The decline was smaller than estimated and attributed to a significant increase in new dwelling completions in 2019, most notably for apartments. While sales of synthetic baths declined, demand for steel baths slightly increased and the growth compensated for the overall downward trend of the total bath market. Demand for cast iron baths significantly increased, although numbers remain small when compared to the total market. Cast iron baths are a niche product and benefit from the trend towards free standing models. There are no known German manufacturers of cast iron baths and the product is mainly imported from Poland.

The main reason for continued contraction of the market is lack of demand from bathroom renovations. When renovating an existing bathroom, Germans tend to replace their old bath with a big shower and only if there is enough space will a new bath be installed. This ongoing trend does not necessarily generate more demand for shower trays as the popularity of the walk-in shower continues to grow, particularly in upmarket bathrooms. This shift is a justification for the flat sales of shower trays in 2019 compared to 2018. The popularity of walk-in showers continues to grow but at a modest rate.

When taking a closer look, demand for synthetic shower trays declined and a growing steel shower tray market compensated for the negative trend. Demand for ceramic shower trays remained positive, too, and the niche market developed significantly in previous years.

Modern synthetic and steel shower trays that are flush with the or zero threshold have the same visual appeal as a walk-in shower. Some end users opt for these types instead of a walk-in shower due to the lack of installers in the German market. It is easier and faster to install a shower tray than a walk-in shower. The German Sanitary Industry Association (Vereinigung Deutsche Sanitärwirtschaft – VDS) states that, in 2017, of all German bathrooms 17% had a walk-in shower. In 2011, only 7% of all new build bathrooms in Germany had a walk-in shower. According to the 7th fundamental study of Germany's bathrooms by the German Sanitary Industry Association (VDS) from 2017, out of 46.2 million existing bathrooms, 76% had a bath and 53% had a shower with a shower enclosure. A significant share of these baths were also used for showering and are likely to be replaced by a statement shower during a refurbishment.

In terms of product mix, baths have continued to lose share in favour of showers (both shower trays and walk-in showers). This being said the substitution trend has slowed down a little in the last two years as consumers have favoured converting the bathroom into a refuge for wellness and health and the need to lie in a bath to

relax. Manufacturers have responded to the trend by trying to add more value to a bath, by equipping it with whirls, light, or even sound. Another example is the revival of cast iron baths, which is associated with a nostalgic feeling and a unique design.

In 2019, the synthetic market continued to suffer from the recent comeback of steel products. In fact, the synthetic products have been partially absorbed by steel models. Ceramic shower trays remain a niche product, which has some popularity among some German end users. However, it is unlikely that it will ever have a similar popularity as in France, for example.

Demand for hydrotherapy baths marginally declined in sales volume. A decade ago, hydrotherapy was much more popular in Germany and sales numbers were twice as high as they are now. The main reason for this decline is that in the past a high volume of low-quality hydrotherapy baths was sold. Product reliability, the loud sound, and the fact that they are difficult to clean caused sales numbers of the low-quality products to decline.

While the overall market was negative in terms of volume, industry feedback confirmed that the market value for synthetic baths and shower trays increased compared to last year. Both products are still sustained, above all, by the positive construction rate in residential buildings and, in a minor part, by RMI demand mainly coming from the middle-aged population. According to BRG research, demand for steel shower trays is growing in the economy/lower and social housing markets. The penetration of walk-in showers in this segment is estimated to be around one third. In contrast, the upper/luxury market segments are believed to have almost only walk-in-showers, whereas in the middle segment it is estimated to be more than two thirds. If a hotel is renovated from scratch, most of its bathrooms will be equipped with a walk-in shower. Overall, the use of shower drains as opposed to shower trays has established itself on the German market. In fact, according to BRG research, the market size of shower drains is estimated to be around over half a million per year. BRG estimates a market size of around 729,000 shower trays including shower cubicles in 2019.

The hydromassage bath segment is the biggest in the hydrotherapy market in Germany. Standard bath manufacturers offer to equip most of their normal bath models with a hydromassage option. This can be in the form of clip-on jets or an integrated system. Some manufacturers started to observe a slight trend towards baths that are equipped with wellness features, such as whirls, light effect, and music. Leading manufacturers, such as IDEAL STANDARD, GROHE and HANSGROHE, offer an upgrade to almost all of their different baths.

### Prices and Market Values

Average prices, at manufacturer level, for both baths and shower trays continued to increase in Germany during 2019. This was in line with trends seen in previous years, which mirror the German customer's preference for upmarket goods, confirming Germany as a relatively high-priced market. Average MSP's for

synthetic products were reported to have had the largest increase compared to the other materials. This development underlines the shift towards larger shower trays as well as more expensive materials.

Hydromassage baths overall underwent a marginal price increase. Prices for the upper/luxury segment increased significantly compared to the lower and middle brackets. According to industry feedback, hydromassage baths in Germany are mostly sold in the upper and luxury segments. Based on the quality of the hydromassage bath, prices can vary massively between different models. In general, products sold within DIY stores are significantly cheaper than those sold via direct sales and wholesale channels, which are a more exclusive product. Likewise, the bath and shower tray markets are shifting into the upper-priced segments at the expense of the lower and middle segments.

### New Housing

As previously mentioned, the overall new build market grew in 2019, at a significantly faster pace than that of the previous year, mainly driven by the strong increase in apartment completions. Steel baths and shower trays benefited mostly from rising new apartment completions; as the steel models are common in project works in Germany. In general, shower trays continued to face competition from walk-in showers; however, the impact on shower tray sales volume was limited compared to 2018. The growing penetration of walk-in showers among the new housing segment, over the past decade, is still increasing, albeit at a slower pace. BRG estimates that almost two thirds of all showers in new build houses and almost half of all showers in new apartments were equipped without a shower tray in 2019.

Demand for hydromassage baths and the hydrotherapy shower cubicles in new construction was positive in 2019. The popularity of the wellness concept in new bathrooms in combination with a greater supply of wellness products by most manufacturers convinced more end users to invest in hydrotherapy add-ons where possible. There is a trend in new housing, that two bathrooms are built in new dwellings, rather than one main bathroom and a guest toilet. Therefore, even a 100 m<sup>2</sup> apartment would have two bathrooms with two showers. The option of a second bath is given to buyers, and installation depends on their decision. Overall, the number of showers is increasing, whether it is a larger second bathroom or an en-suite bathroom in the master bedroom.

### Housing RMI

Demand for baths and shower trays for replacement purposes slightly weakened in 2019, declining across both market groups. The cast iron and the steel baths markets saw growth in 2019, whereas all other types of baths had fewer sales. For shower trays, only ceramic trays and hydrotherapy cubicles gained in volume in 2019 compared to the previous year. This can be explained by the trend towards upper market products such as walk-in-showers and large shower trays. The German replacement market is dominated by steel products, which is usually used

to replace an existing bath or shower tray. End users, who want a product with a stronger focus on design, are more likely to choose more expensive materials such as mineral cast or ceramic. The growing demand of ceramic shower trays in the upper price segment continued in the RMI sector.

Despite slightly declining volumes, sales of baths and shower trays used for RMI account for most of the market share. This replacement demand comes from private middle-aged homeowners, who are on the verge of retiring. These consumers built or bought their homes during the 1980s and 1990s and are motivated to modernise their bathrooms. The market quickly adapted to these clients, who are looking for higher comfort and more sophistication. Although most end users in that age do not want to talk about the needs of old age, some products such as step free entry models prove to be suitable when considering the demographic change. When it comes to declining bath sales, it is primarily these end users, who are contributing to the long-term trend of replacing an old bath with a modern shower. This is leading to a considered slow-down of bath sales for RMI.

After some years of marginal growth, RMI sales of hydromassage baths started to decrease in 2017 and have continued to do so year on year from then on. Installers have also not been pushing these kinds of products in RMI as ultimately, they require specific installation which can be costly and require training.

### Non-Housing

In 2019, total non-residential construction output slightly increased lead by educational and hospitality building which in turn saw an increase in sales of baths and shower trays into non housing. Demand for cast iron, steel and hydromassage baths was positive offset by a slight decline in sales of synthetic baths. Sales of synthetic and steel shower trays grew marginally, whereas the number of wet rooms is believed to have grown the most. Demand for hydrotherapy and conventional shower cubicles was down in 2019.

Most of the demand for non-housing bathrooms comes from the hospitality sector, as well as from healthcare buildings, offices, schools and sports clubs. It is interesting to mention, that many of these facilities are usually equipped with a walk-in-shower. Renovated hotels tend to have only walk-in-showers, while some older hotels might still replace their old showers with a modern walk-in-shower solution. There are exceptions where traditional showers are installed. Hospitals or elderly homes, for example, prefer steel shower trays to tiled floors because of hygienic reasons and wellness hotels are more likely to have a (freestanding) bath to enhance the comfort. Demand for hydrotherapy baths within the non-housing segment slightly increased in 2019. One reason is the increase of investment into hotel and recreational facilities.

### Supply Structure

In the steel bath and shower tray market two manufacturers, namely KALDEWEI and BETTE, have been dominating the market for a long time. KALDEWEI is the

clear market leader and continued to gain share in 2019. Thanks to their dominating position, the two producers manage to keep the prices on a profitable level and have, in the recent past, made the products attractive for installers again. Importers that are active in the market are the Spanish manufacturer ROCA (ROCA) and ROCA (LAUFEN). Moreover, KALDEWEI is the main supplier for private labels of DIY stores and wholesalers.

All cast iron products are imported and mainly come from the neighbouring country Poland, Portugal and China. Ceramic shower trays represent a niche product, which is supplied by only few manufacturers. In fact, this market remained dominated by VILLEROY & BOCH in 2019 with its product called ViPrint. End users can choose among individual styles to be printed on their new ceramic shower trays to individualise their own bathroom design.

Supply of synthetic baths and shower trays is fragmented with a high number of domestic and foreign players competing in a saturated market. Companies such as VILLEROY & BOCH, IDEAL STANDARD and HOESCH play leading roles in the three-step distribution, which is the main selling process for both the steel and synthetic segments. While imports for steel products are low, due to the presence of domestic players, the overall synthetic market is characterised by a high share of imports, which are mostly sold via DIY, representing branded products from other EU countries. The largest non-EU exporters to Germany are Egypt and China, whose products are mainly sold in DIY chains. The portion of imported synthetic baths is significantly higher than the portion of imported synthetic shower trays.

Some domestic as well as foreign suppliers offer single shower tray lines made of a different material. One example is BREUER, which offers cast marble shower trays. In the case of wooden shower trays, they are sometimes supplied on a regional level or online by woodworking shops.

Most major manufacturers offer cast mineral products to compete for higher profit margins. An example of a manufacturer with cast mineral baths is VILLEROY & BOCH, with its own material called QUARLY (which is a type of cast mineral). Additionally, DURAVIT, HOESCH, HANSGROHE, RIHO and ROCA (LAUFEN) offer cast mineral baths. Manufacturers such as HOESCH, DURAVIT, HUEPPE, RIHO, IDEAL STANDARD and VILLEROY & BOCH offer mineral cast shower trays.

After having passed its growth cycle, the hydrotherapy market is not attractive anymore and many large manufacturers focus on other market segments instead. Only the traditional hydrotherapy suppliers, for example HOESCH, actively push sales in this segment. Some manufacturers have invested in the development of new wellness add-ons to their existing baths. The manufacturer OTTOFOND is active in the economy/lower price segment and sells *inter alia* through DIY. The high share of 'OTHERS' in all hydrotherapy segments is a result of the decline of brand sales and the large number of small importers and suppliers.

## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The long-term outlook for the German bath market remains negative. Demand for shower trays on the other hand is likely to develop slightly positively. Due to ongoing weakening RMI demand for baths combined with the trend towards showering in the new housing market, overall sales are expected to stagnate. BRG expects that the declining trend of baths in new housing has stabilised to a marginal decline only when compared to ten years ago.

Demand for steel baths is expected to be positive during the years when the number of new housing completions increases. In contrast, synthetic and hydrotherapy baths are expected to be declining, despite more new housing completions. An exception is the year 2022, in which new housing completions are expected to reach pre-crisis level. In terms of product mix, the shower tray market is likely to be affected less by fluctuation of new constructions, which have a high share of walk-in showers. There are signs that demand for walk-in showers has passed its peak growth rates and consumers are starting to prefer shower trays again. With the introduction of new materials, sizes, and colours there is more competition for wet rooms. Many manufactures such as VILLEROY & BOCH already offer thin synthetic and steel shower trays with printable designs similar to floor tiles. It is expected that demand for shower trays should stay positive during the forecast period, with the exception of the years 2020 and 2021.

In recent years, the construction boom has been occupying the construction industry at the limits of its capacity. With the impact of the COVID-19 crisis in 2020, the number of accumulated new housing projects increased. It is difficult to predict how the slowdown of the economy will impact the new housing in the short term. It is expected that new housing will decline significantly in 2020 and that effects will be still carried over into 2021. However, from 2020 a strong increase in new housing completions is expected, which will boost demand for baths and shower trays.

Apart from that, both the product shift from baths towards shower trays and the trend in the direction of steel – as well as other materials such as mineral cast for the synthetic models – are likely to continue further, as well as the rising popularity of floor level shower trays, which already are a standard in the new build segment. According to the 7th fundamental study of bathrooms in Germany by VDS from 2017, 17% of all existing bathrooms were equipped with floor level showers in 2017

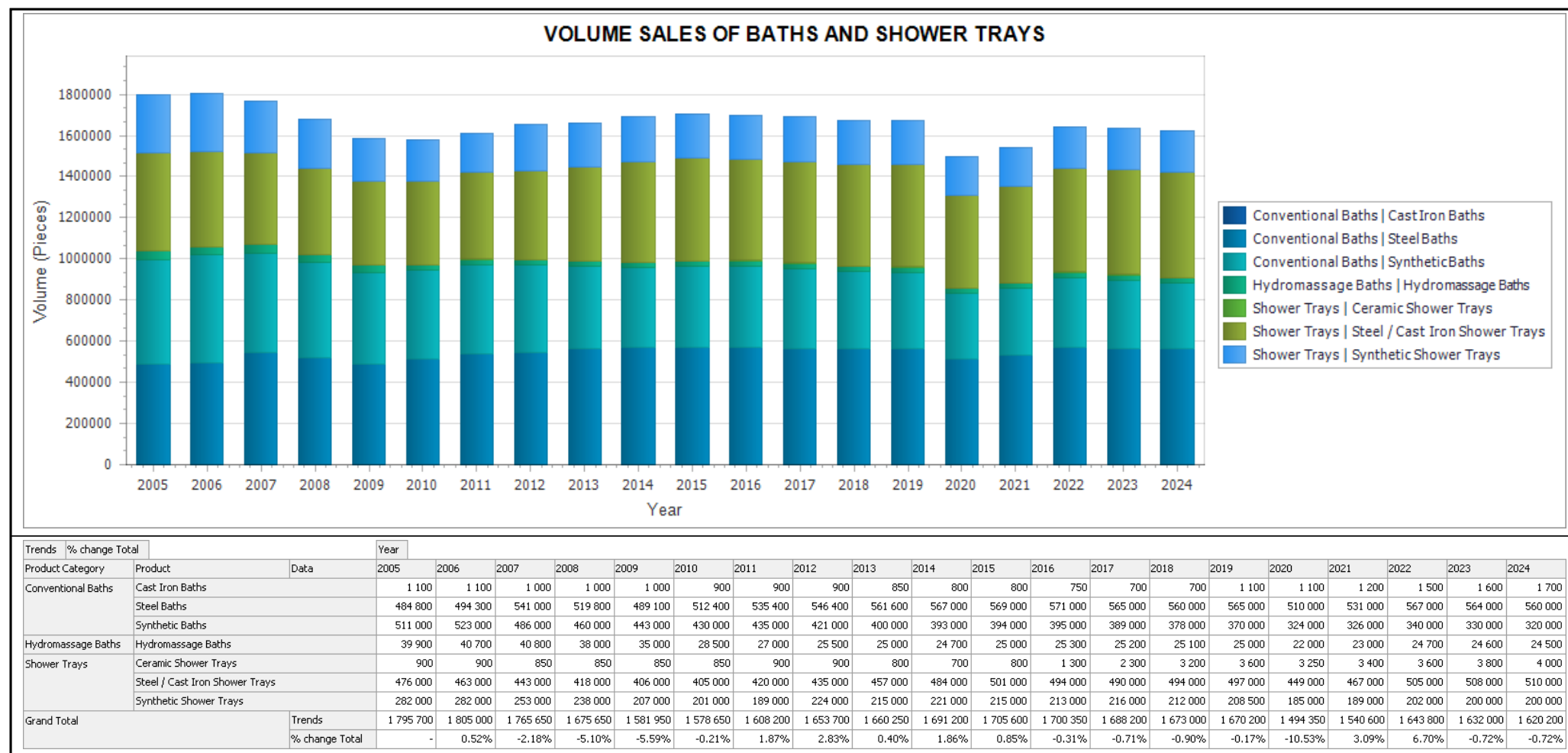
as opposed to only 7% in 2011. In line with the evolution of floor level shower trays, walk-in showers are expected to continue its success during the forecast period. Manufacturers launch improved products that are easy to clean and visually pleasing, such as GEBERIT with its product innovation CLEANLINE from April 2015.

Bath sales volumes are expected to remain important in the German market. It is expected that baths and shower trays are likely to shift towards either the economy or the upper/luxury price segments. A similar shift is also predicted for the hydromassage baths. The lifestyle of the German people is changing, and bathrooms are getting bigger, that is why the sales number of high-quality baths, which often are free-standing, is expected to increase during the forecast period.



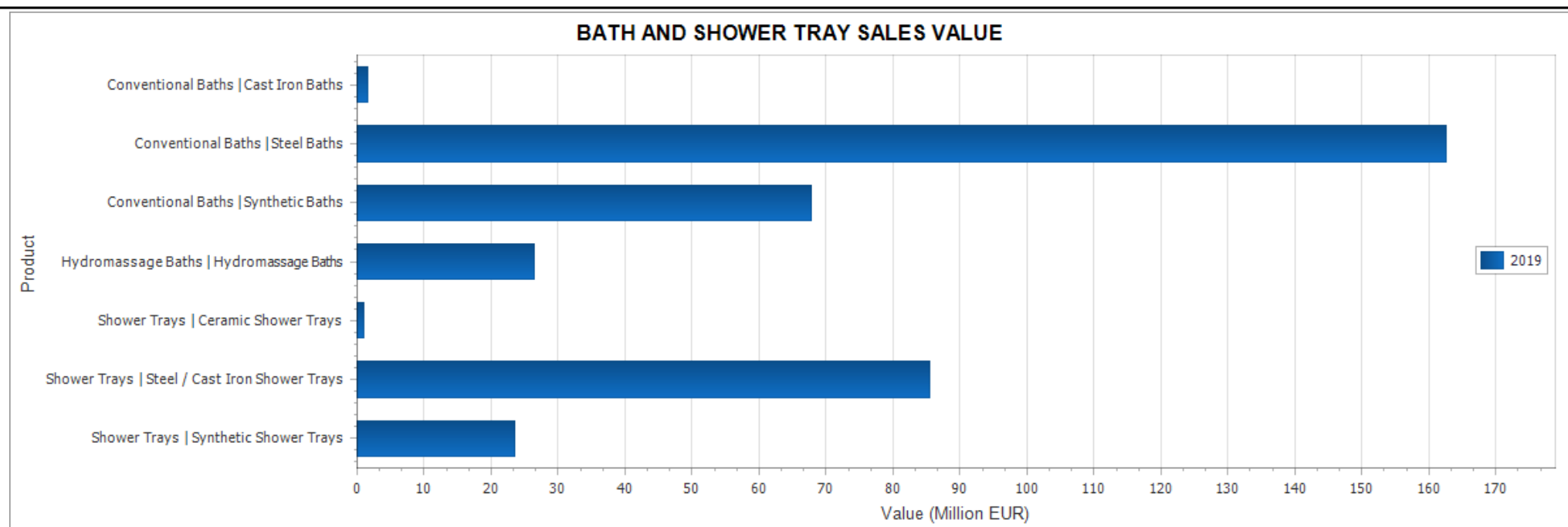
## 1.2 Historical Trends and Forecasts

### DE - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays  
DE - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET

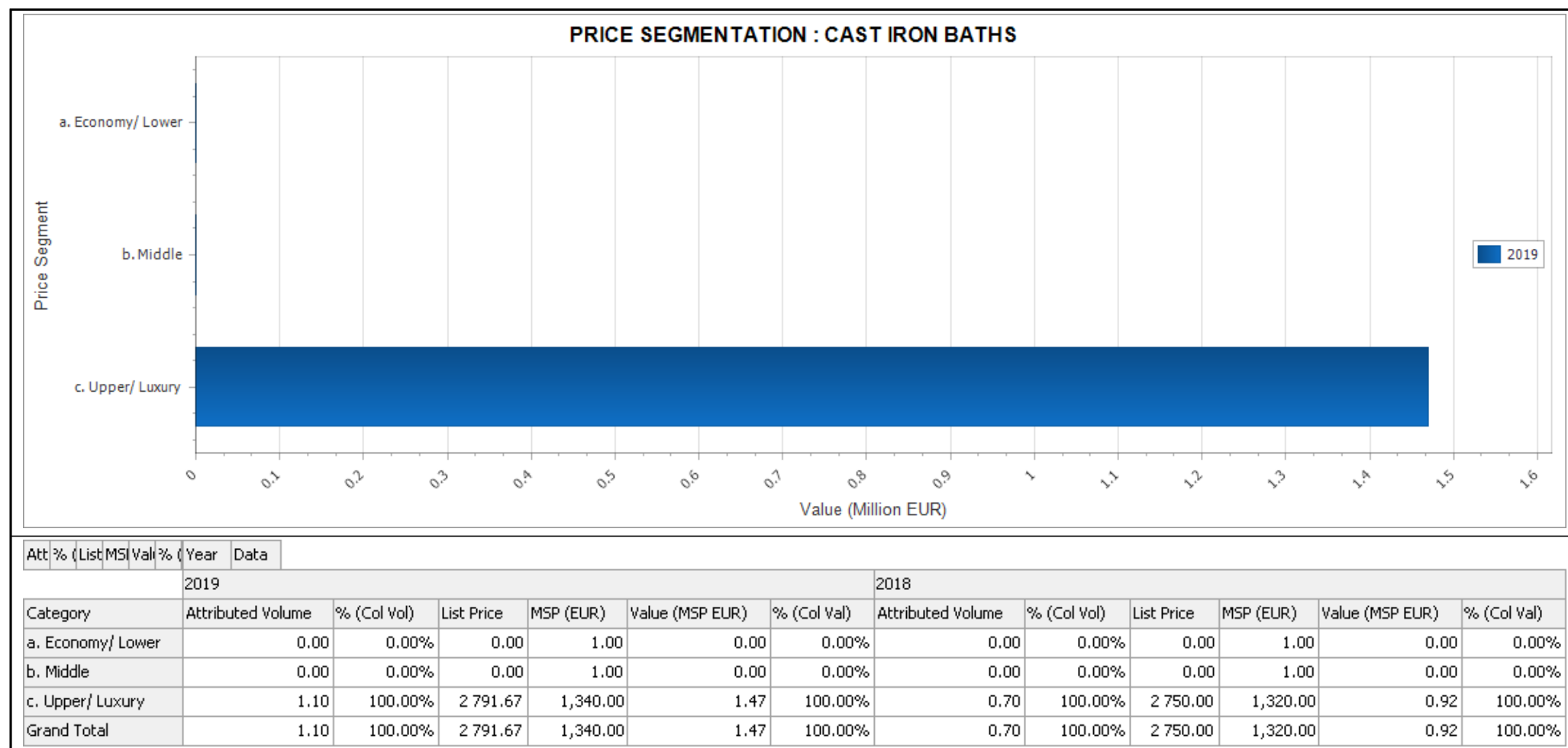


| Volumes            | MSP (EUR)                      | Value (MSP EUR) | Year      | Data            |           |           |                 |  |
|--------------------|--------------------------------|-----------------|-----------|-----------------|-----------|-----------|-----------------|--|
|                    |                                | 2019            |           |                 | 2018      |           |                 |  |
| Product Category   | Product                        | Volumes         | MSP (EUR) | Value (MSP EUR) | Volumes   | MSP (EUR) | Value (MSP EUR) |  |
| Conventional Baths | Cast Iron Baths                | 1 100           | 1,340.00  | 1.47            | 700       | 1,320.00  | 0.92            |  |
|                    | Steel Baths                    | 565 000         | 287.82    | 162.62          | 560 000   | 279.89    | 156.74          |  |
|                    | Synthetic Baths                | 370 000         | 183.13    | 67.76           | 378 000   | 180.52    | 68.24           |  |
| Hydromassage Baths | Hydromassage Baths             | 25 000          | 1,053.35  | 26.33           | 25 100    | 1,046.51  | 26.27           |  |
| Shower Trays       | Ceramic Shower Trays           | 3 600           | 244.74    | 0.88            | 3 200     | 241.20    | 0.77            |  |
|                    | Steel / Cast Iron Shower Trays | 497 000         | 171.92    | 85.44           | 494 000   | 168.79    | 83.38           |  |
|                    | Synthetic Shower Trays         | 208 500         | 112.76    | 23.51           | 212 000   | 108.00    | 22.90           |  |
| Grand Total        |                                | 1 670 200       | 220.34    | 368.02          | 1 673 000 | 214.71    | 359.22          |  |

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 1.3.2 Price Segmentation : Cast Iron Baths

#### DE - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

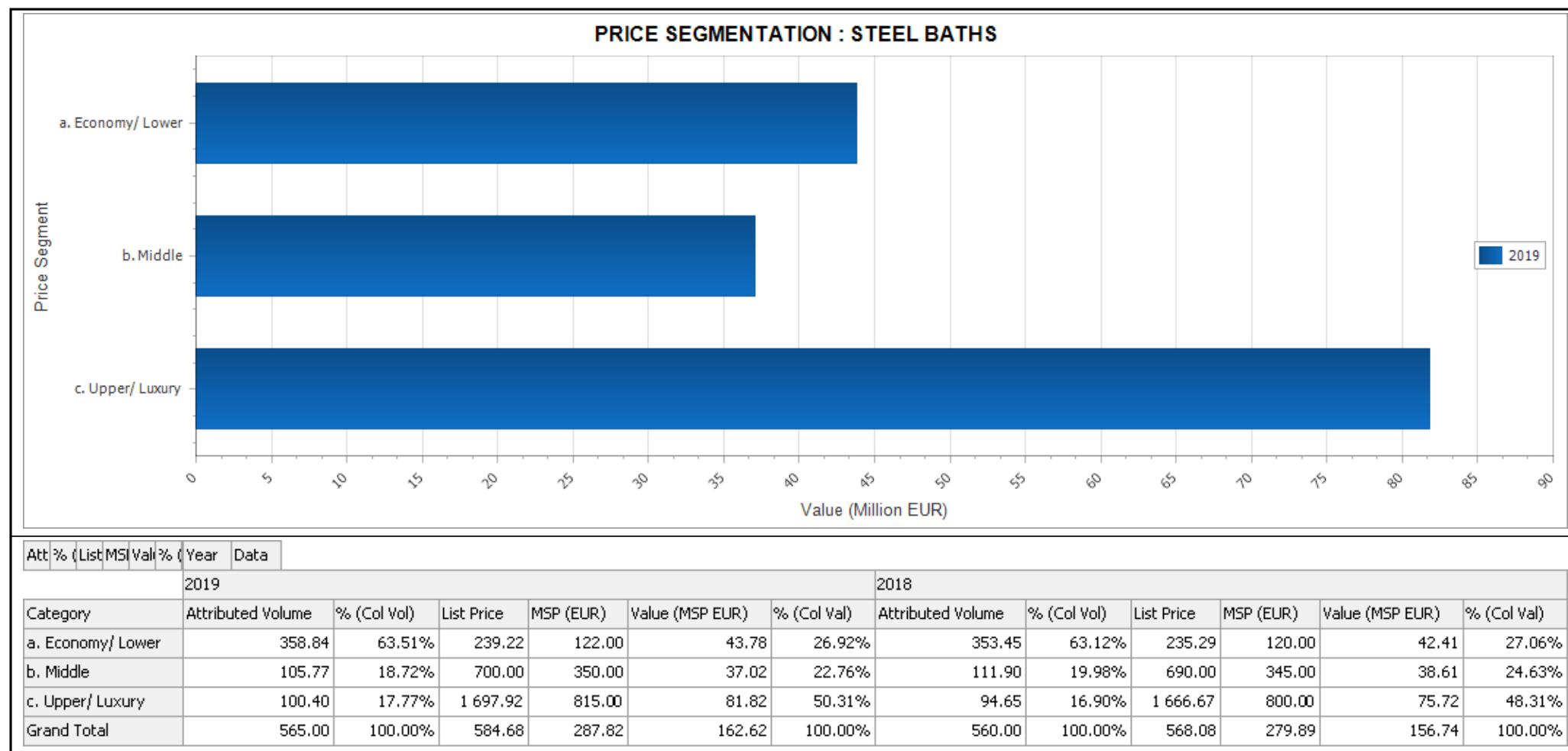


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

### 1.3.3 Price Segmentation : Steel Baths

#### DE - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

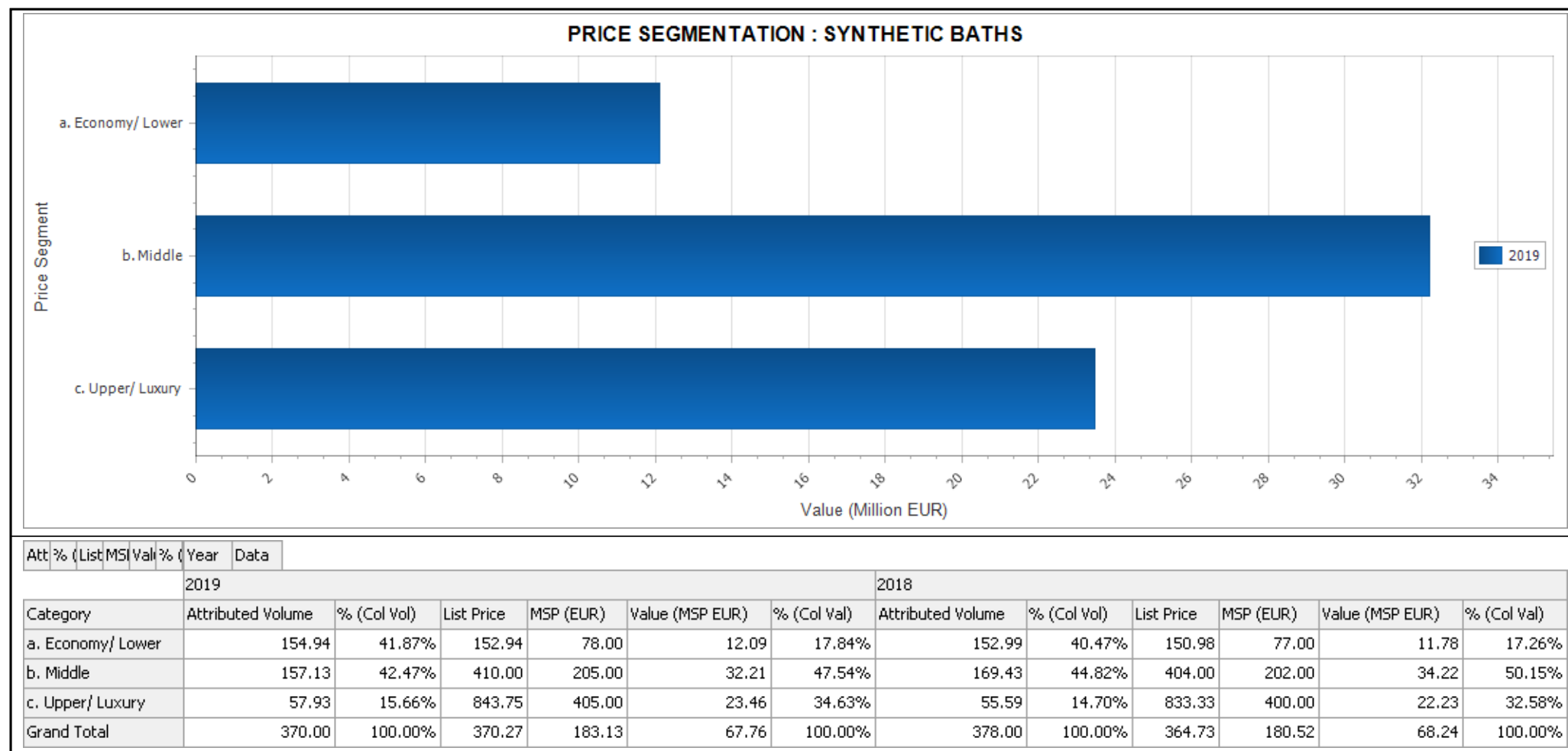


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

### 1.3.4 Price Segmentation : Synthetic Baths

#### DE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

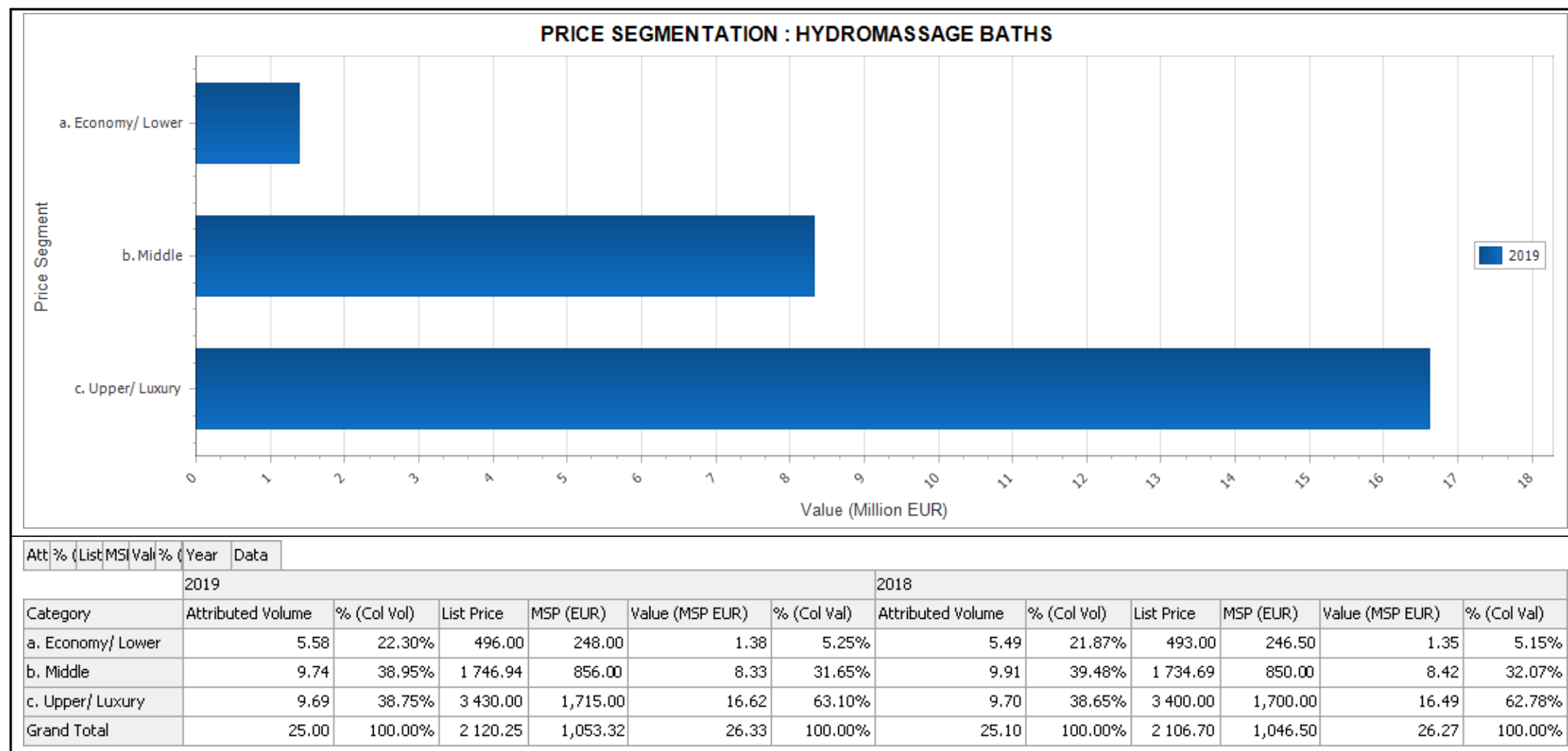


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

### 1.3.5 Price Segmentation : Hydromassage Baths

DE - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

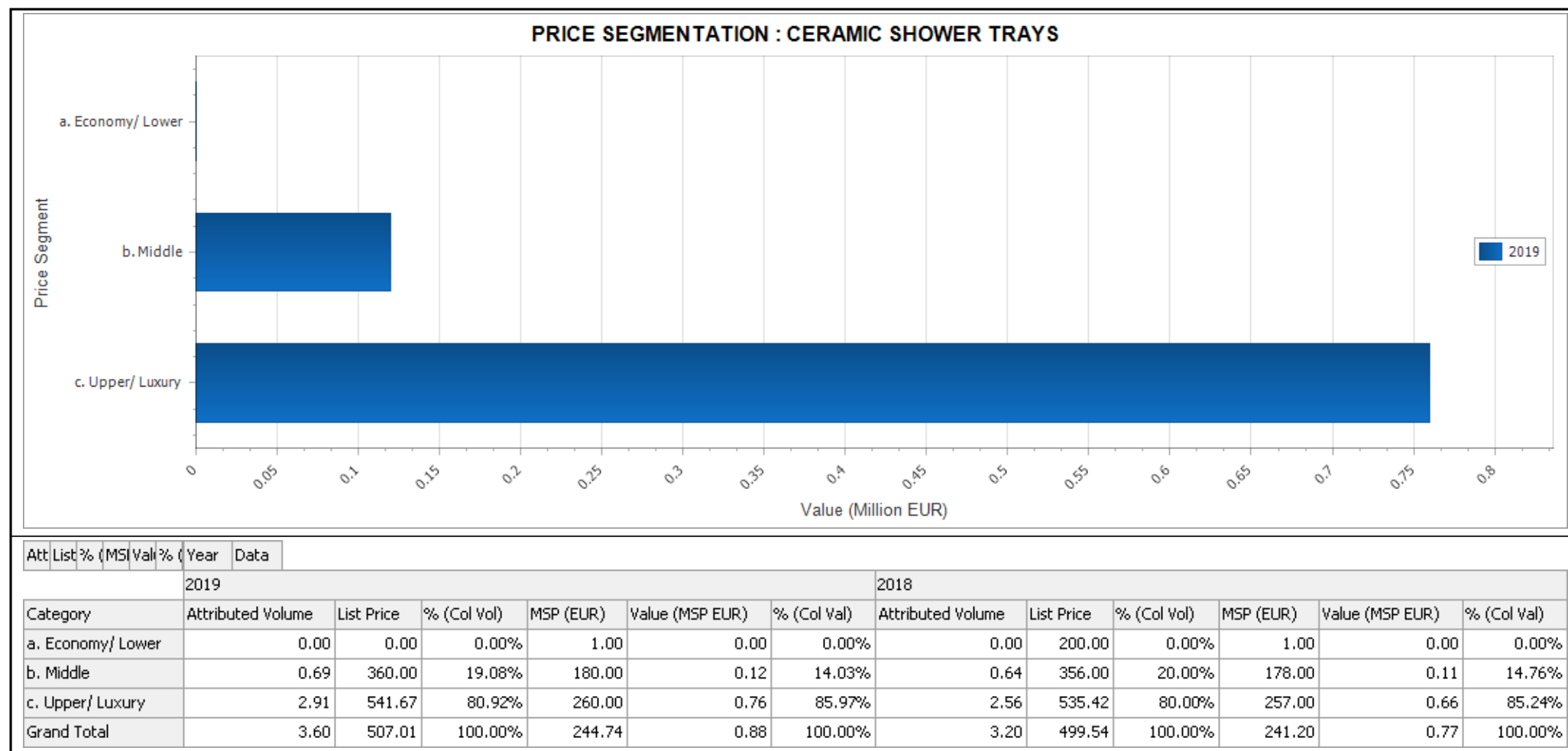


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

### 1.3.6 Price Segmentation : Ceramic Shower Trays

DE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

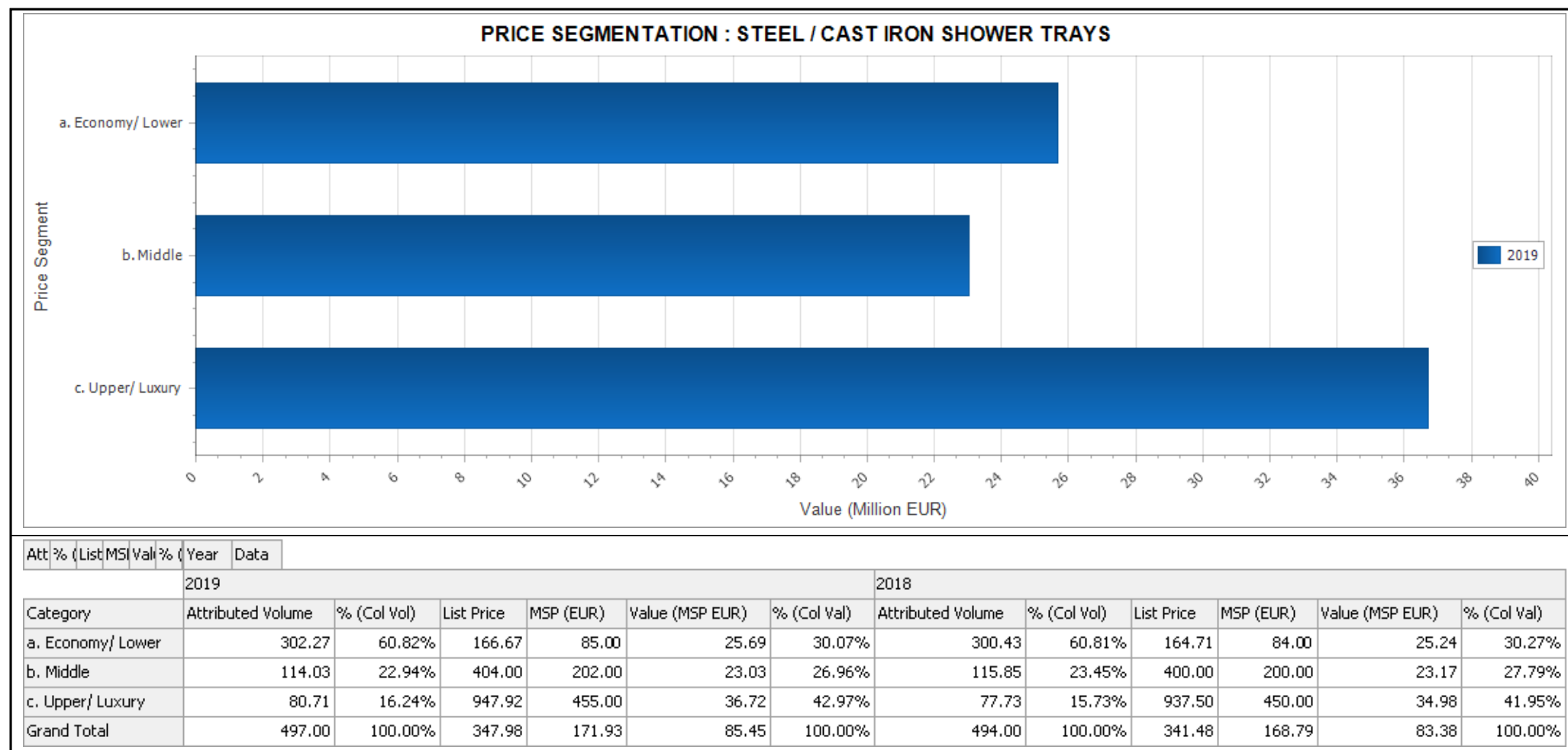


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€240, Upper/ Luxury >€240

### 1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

DE - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS



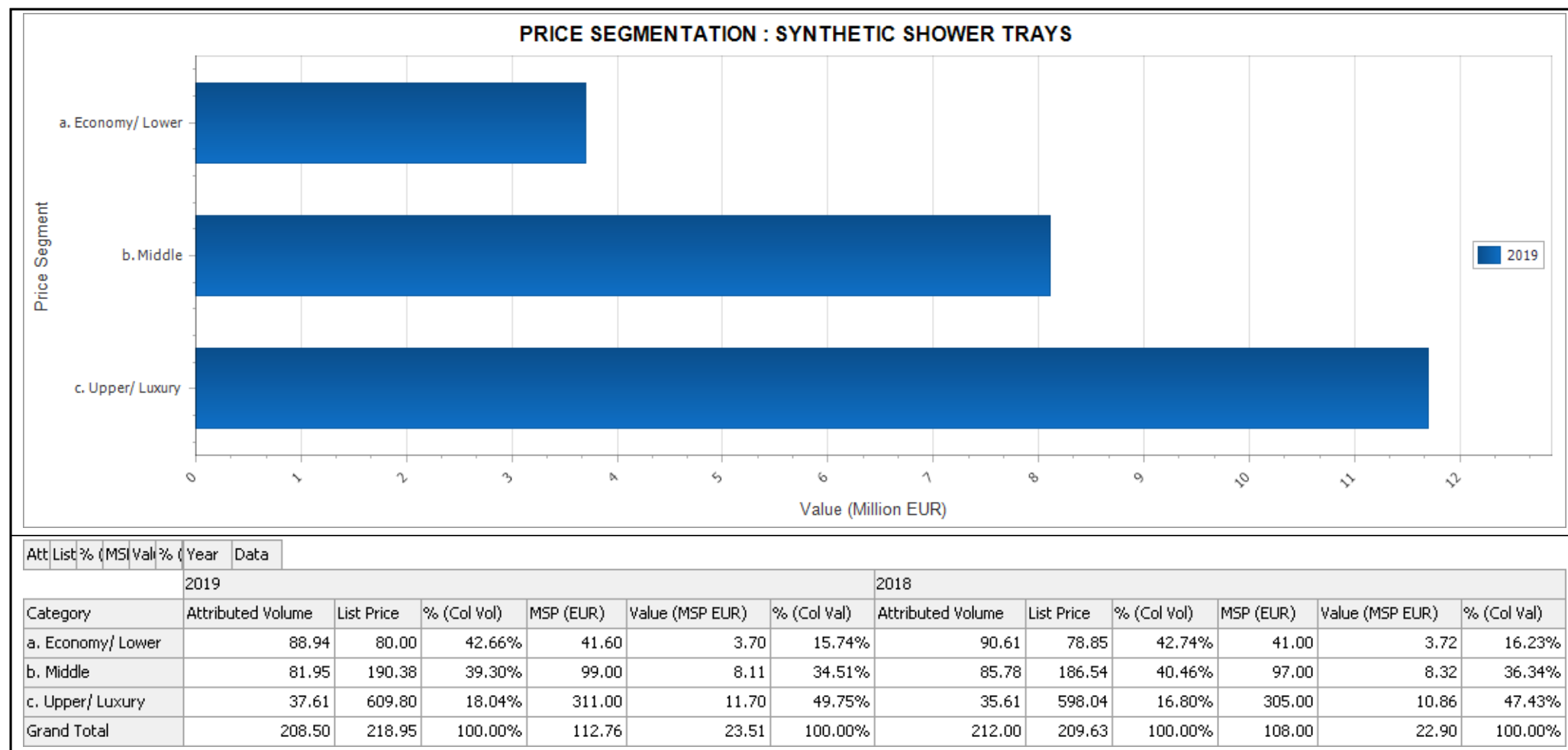
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300



### 1.3.8 Price Segmentation : Synthetic Shower Trays

DE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

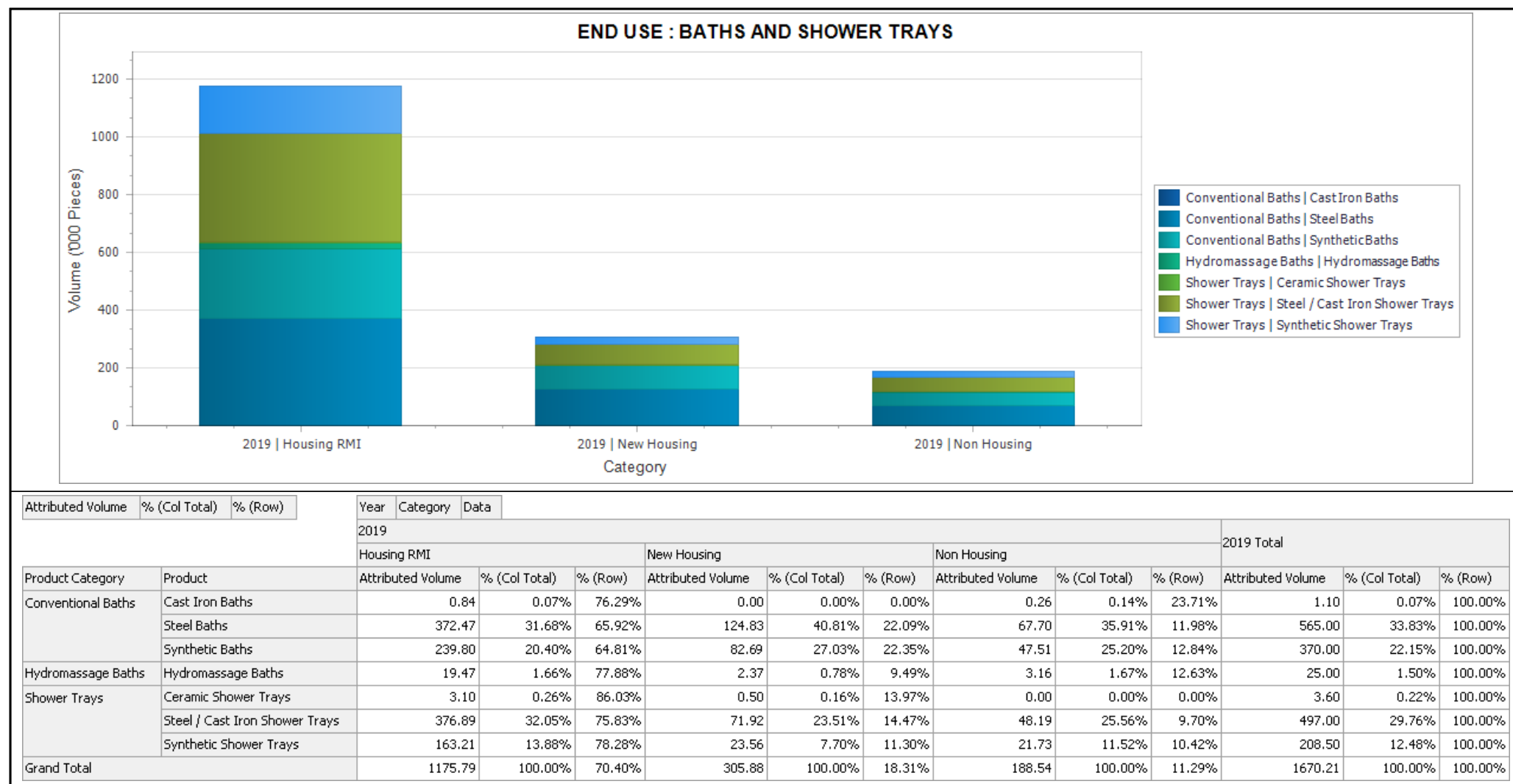


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

### 1.4.1 End Use : Base Year

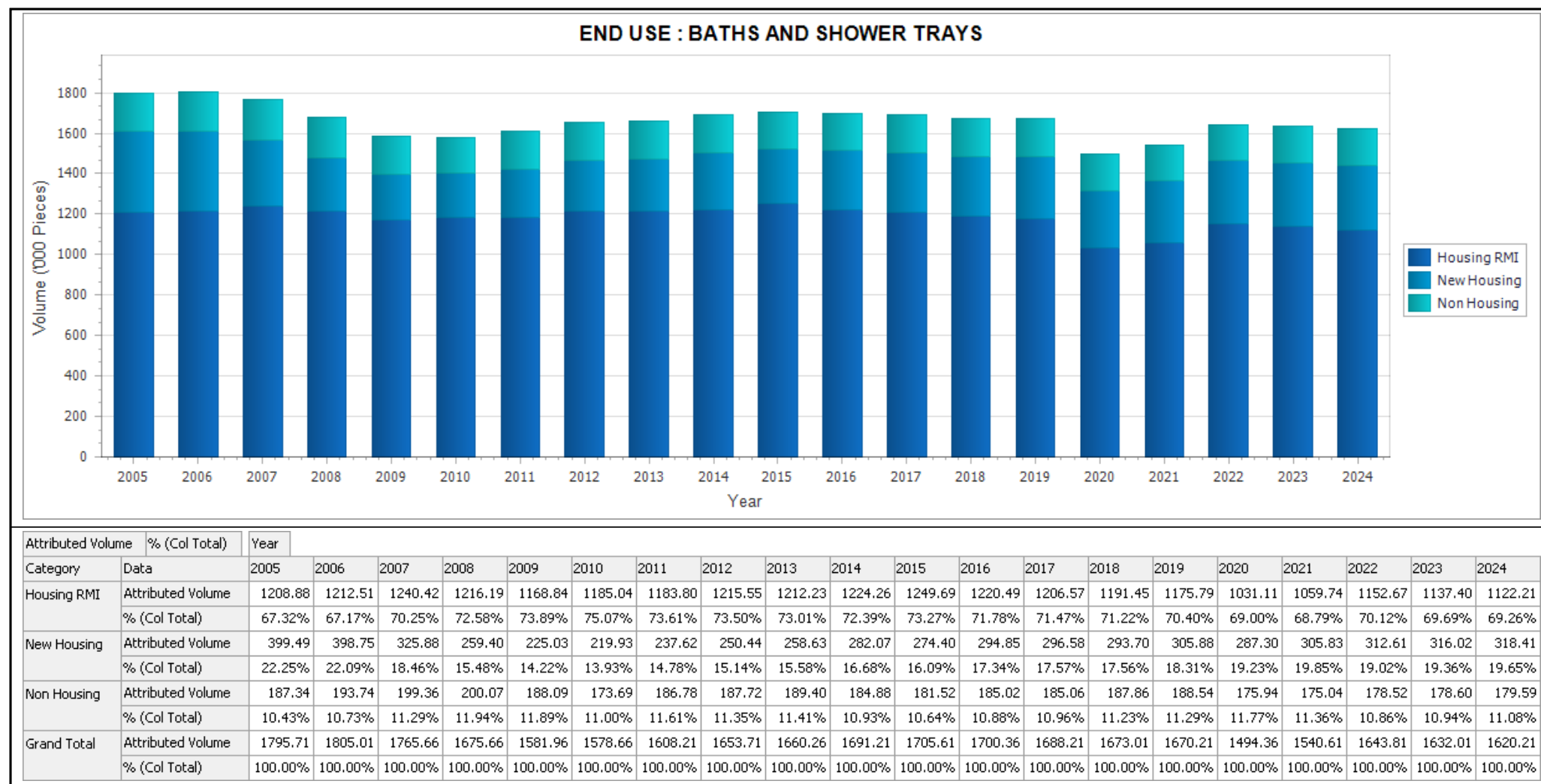
DE - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 1.4.2 End Use : Historical and Forecasts

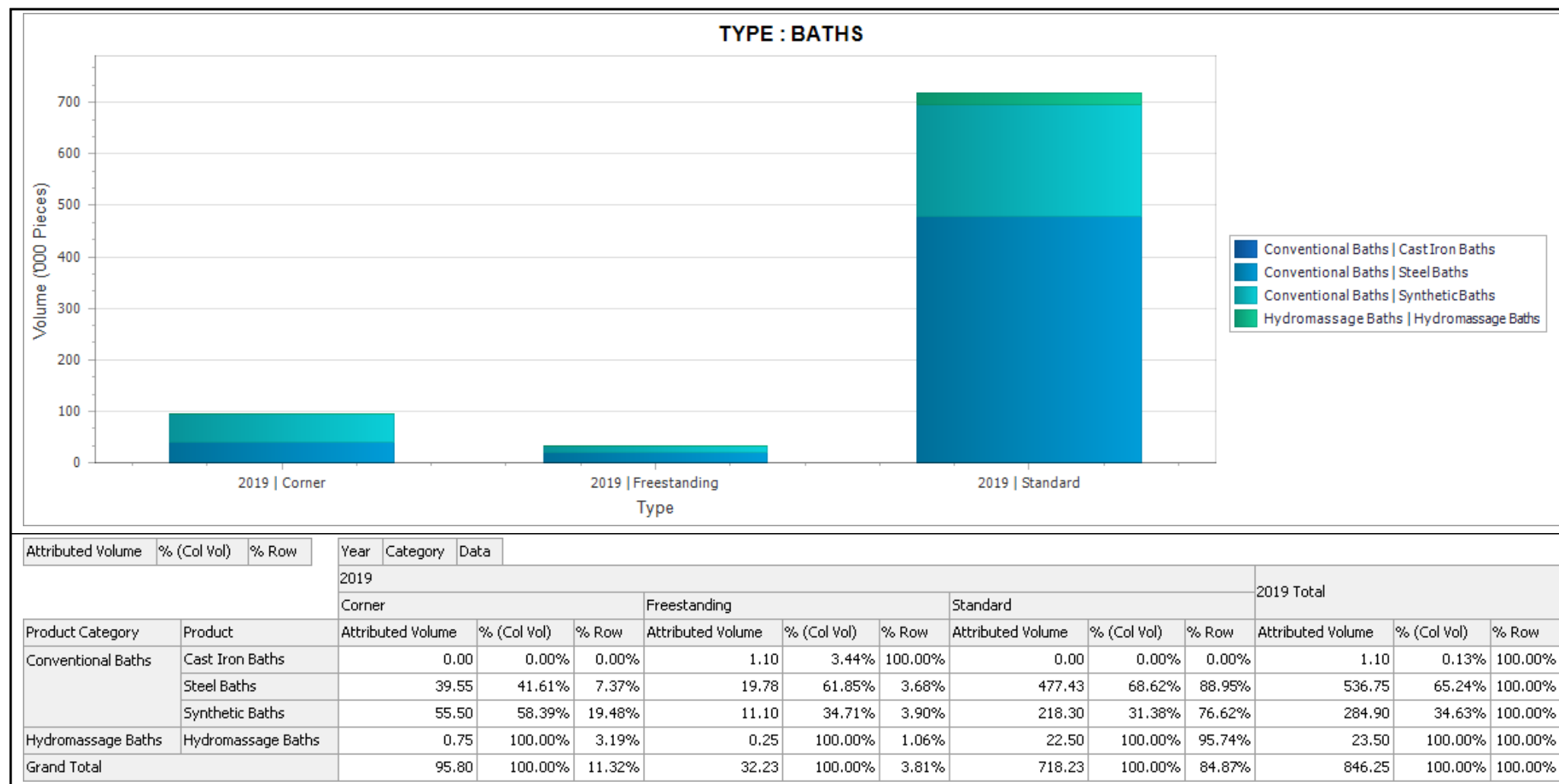
### DE - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 1.4.3 Sales by Type : Baths

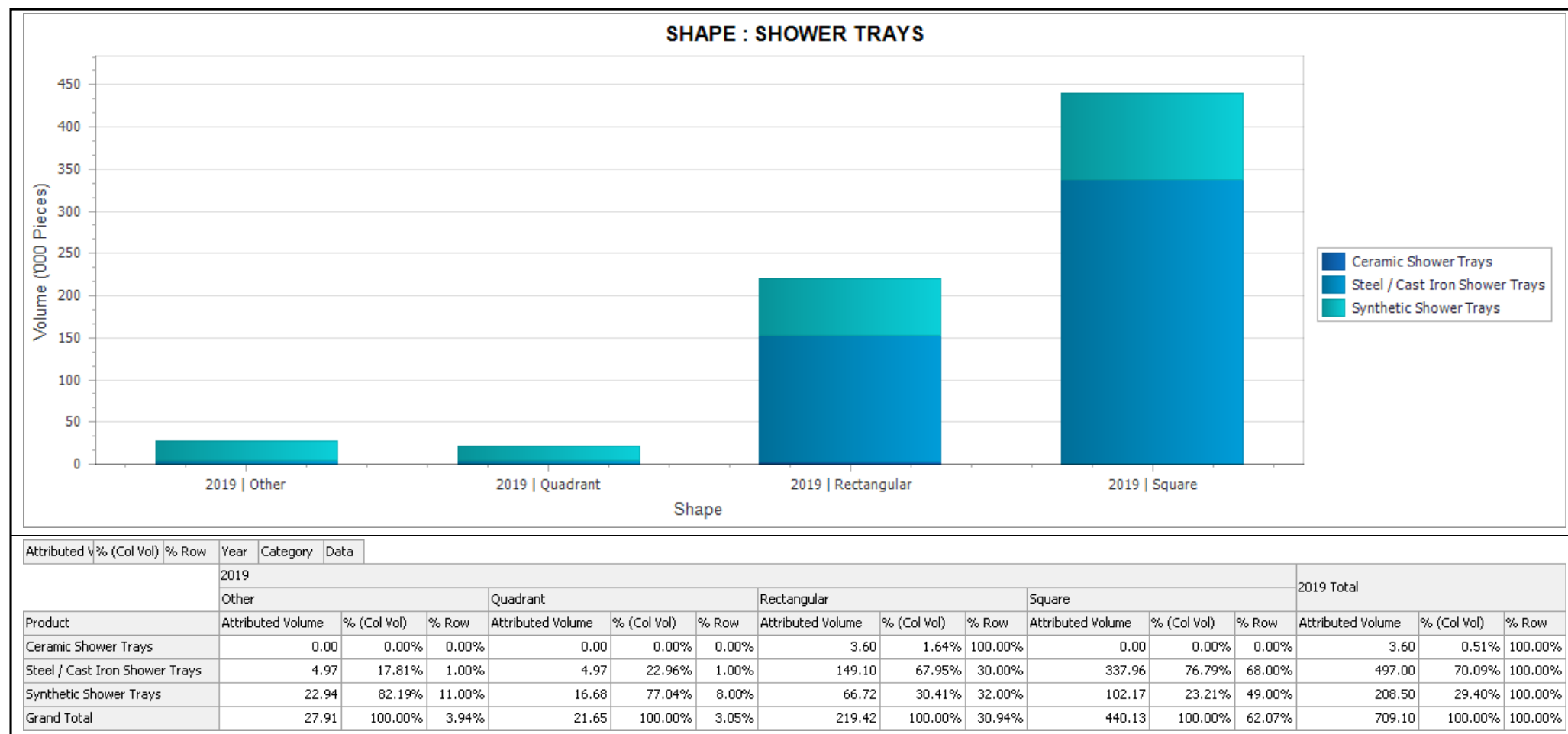
DE - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 1.4.4 Sales by Shape : Shower Trays

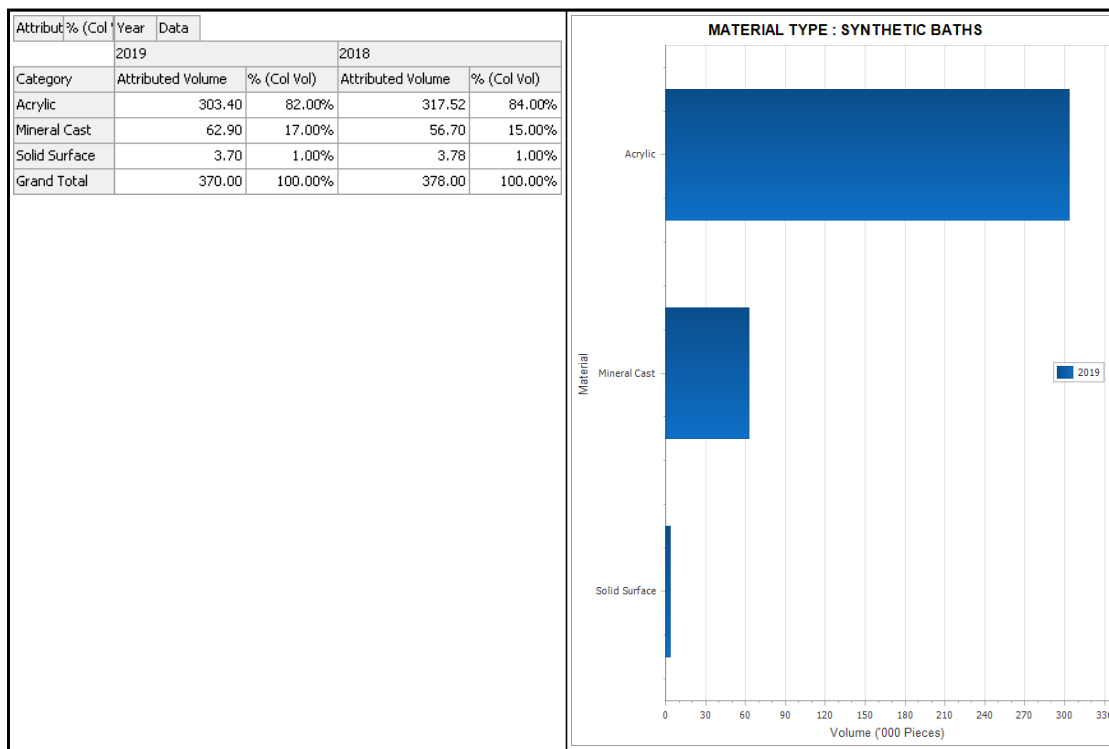
DE - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

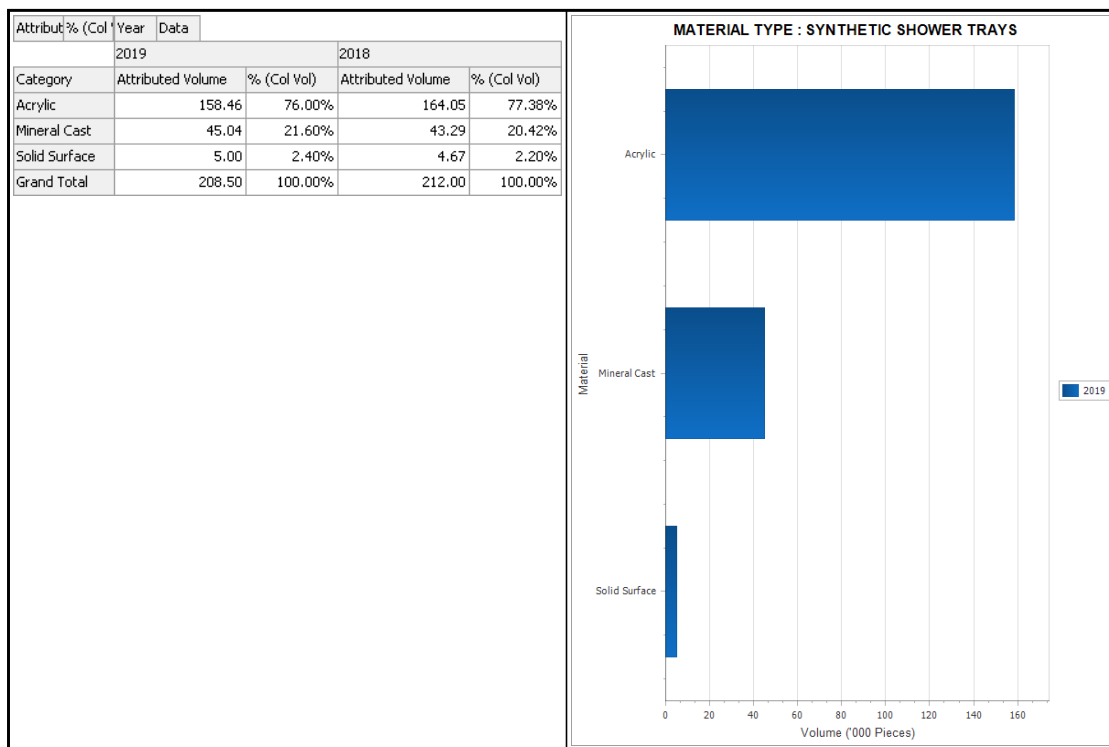
#### 1.4.5 Sales by Material : Synthetic Baths

DE - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



#### 1.4.6 Sales by Material : Synthetic Shower Trays

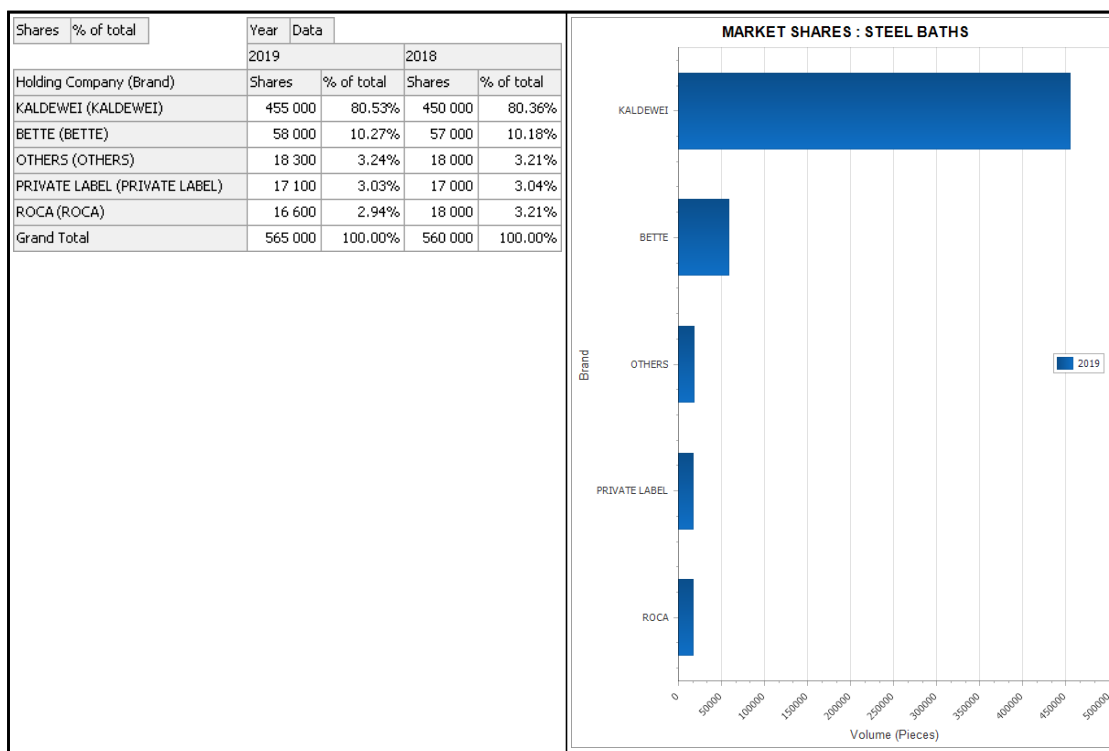
DE - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 1.5.1 Market Shares : Steel Baths

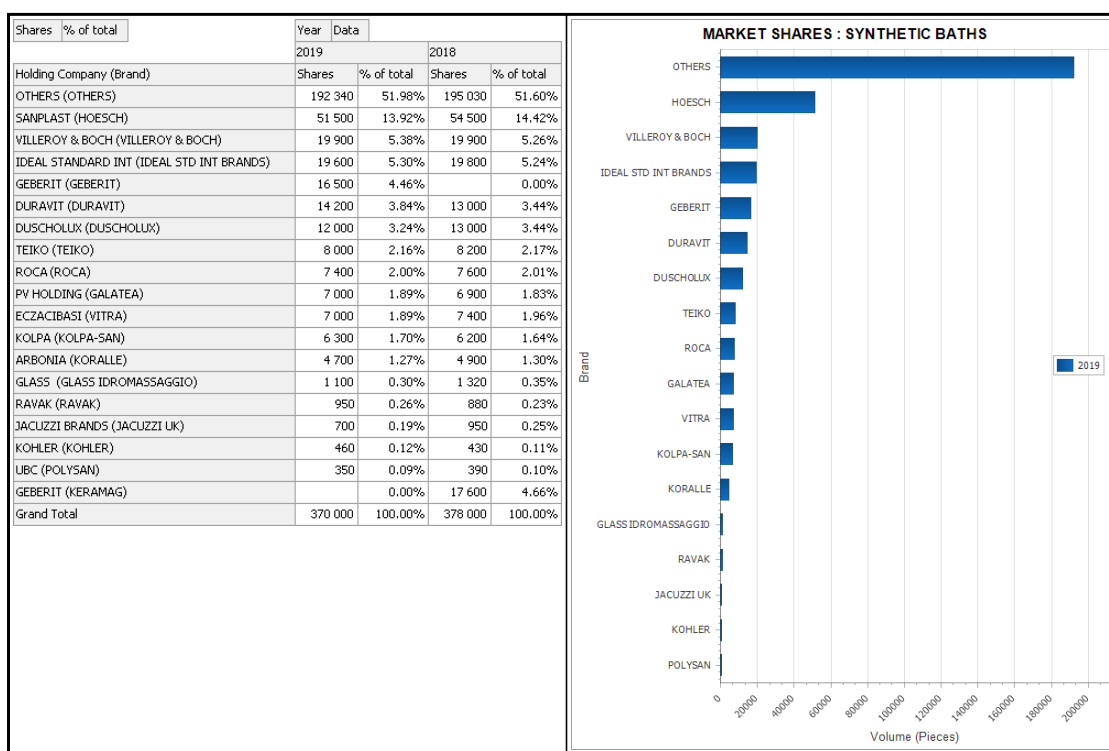
### DE - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

## 1.5.2 Market Shares : Synthetic Baths

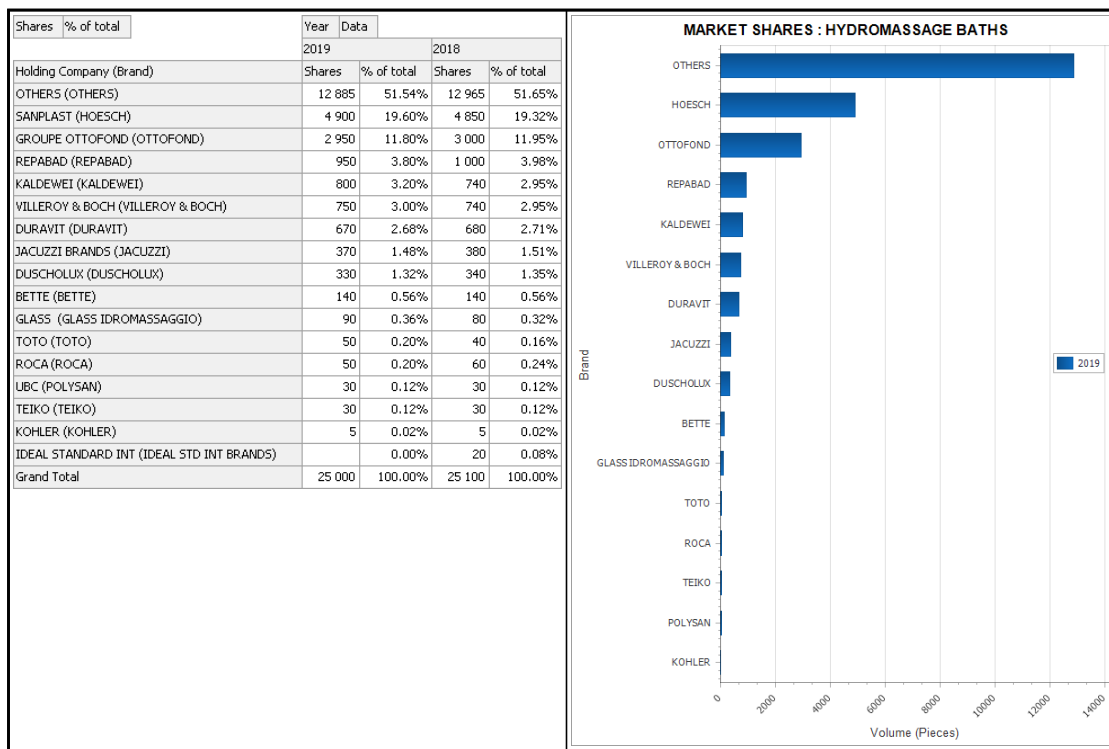
### DE - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

### 1.5.3 Market Shares : Hydromassage Baths

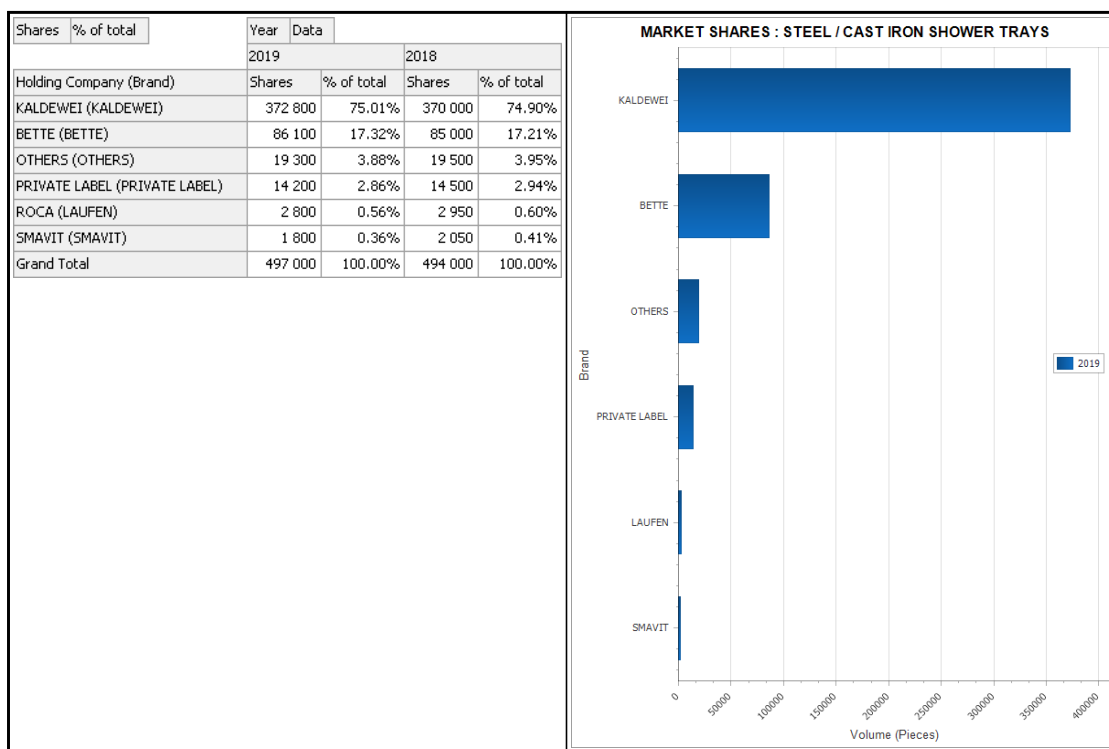
#### DE - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

### 1.5.4 Market Shares : Steel / Cast Iron Shower Trays

#### DE - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS

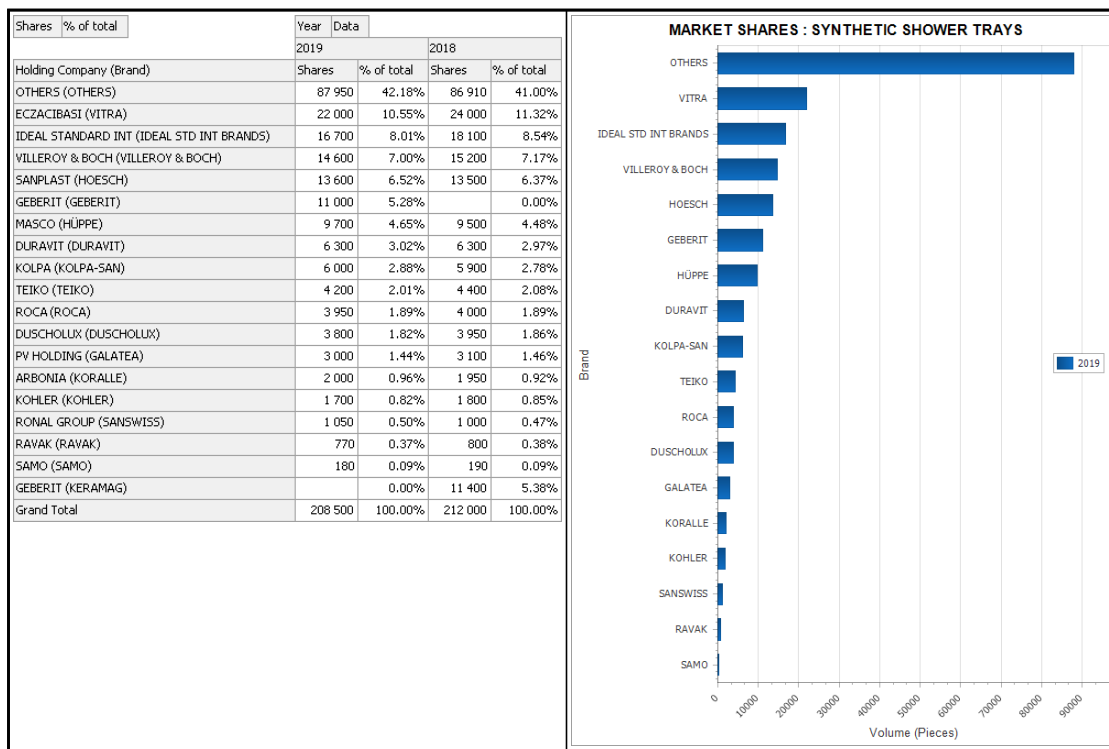


Source: BRG based on industry interviews.



## 1.5.5 Market Shares : Synthetic Shower Trays

### DE - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 DE - IMPORTS OF BATHS - CAST IRON 2019

| Source Country | 2019       |               |            |               | 2018      |               |            |               |
|----------------|------------|---------------|------------|---------------|-----------|---------------|------------|---------------|
|                | Volume     |               | Value 000  |               | Volume    |               | Value 000  |               |
|                | Tonnes     | %             | Euros      | %             | Tonnes    | %             | Euros      | %             |
| Poland         | 127        | 88.2%         | 210        | 77.2%         | 51        | 68.0%         | 154        | 61.1%         |
| China          | 13         | 9.0%          | 44         | 16.2%         | 9         | 12.0%         | 34         | 13.5%         |
| Portugal       | 3          | 2.1%          | 5          | 1.8%          | 5         | 6.7%          | 22         | 8.7%          |
| OTHERS         | 1          | 0.7%          | 13         | 4.8%          | 10        | 13.3%         | 42         | 16.7%         |
| <b>Total</b>   | <b>144</b> | <b>100.0%</b> | <b>272</b> | <b>100.0%</b> | <b>75</b> | <b>100.0%</b> | <b>252</b> | <b>100.0%</b> |

Source : Trademap

1.6.2 DE - EXPORTS OF BATHS - CAST IRON 2019

| Destination        | 2019      |               |            |               | 2018     |               |           |               |
|--------------------|-----------|---------------|------------|---------------|----------|---------------|-----------|---------------|
|                    | Volume    |               | Value 000  |               | Volume   |               | Value 000 |               |
|                    | Tonnes    | %             | Euros      | %             | Tonnes   | %             | Euros     | %             |
| Russian Federation | 18        | 62.1%         | 44         | 27.3%         | 0        | 0.0%          | 6         | 26.1%         |
| Switzerland        | 5         | 17.2%         | 92         | 57.1%         | 1        | 100.0%        | 15        | 65.2%         |
| Lebanon            | 4         | 13.8%         | 1          | 0.6%          | 0        | 0.0%          | 0         | 0.0%          |
| Austria            | 1         | 3.4%          | 4          | 2.5%          | 0        | 0.0%          | 1         | 4.3%          |
| China              | 1         | 3.4%          | 4          | 2.5%          | 0        | 0.0%          | 0         | 0.0%          |
| OTHERS             | 0         | 0.0%          | 16         | 9.9%          | 0        | 0.0%          | 1         | 4.3%          |
| <b>Total</b>       | <b>29</b> | <b>100.0%</b> | <b>161</b> | <b>100.0%</b> | <b>1</b> | <b>100.0%</b> | <b>23</b> | <b>100.0%</b> |

Source : Trademap

### 1.6.3 DE - IMPORTS OF BATHS - STEEL 2019

| Source Country | 2019         |               |              |               | 2018         |               |              |               |
|----------------|--------------|---------------|--------------|---------------|--------------|---------------|--------------|---------------|
|                | Volume       |               | Value 000    |               | Volume       |               | Value 000    |               |
|                | Tonnes       | %             | Euros        | %             | Tonnes       | %             | Euros        | %             |
| Spain          | 1 514        | 85.3%         | 2 429        | 79.6%         | 1 638        | 84.4%         | 2 510        | 76.1%         |
| Austria        | 60           | 3.4%          | 208          | 6.8%          | 105          | 5.4%          | 331          | 10.0%         |
| Poland         | 55           | 3.1%          | 102          | 3.3%          | 38           | 2.0%          | 110          | 3.3%          |
| Switzerland    | 47           | 2.6%          | 66           | 2.2%          | 63           | 3.2%          | 88           | 2.7%          |
| Italy          | 24           | 1.4%          | 85           | 2.8%          | 11           | 0.6%          | 61           | 1.8%          |
| OTHERS         | 75           | 4.2%          | 162          | 5.3%          | 85           | 4.4%          | 198          | 6.0%          |
| <b>Total</b>   | <b>1 775</b> | <b>100.0%</b> | <b>3 052</b> | <b>100.0%</b> | <b>1 940</b> | <b>100.0%</b> | <b>3 298</b> | <b>100.0%</b> |

Source : Trademap

### 1.6.4 DE - EXPORTS OF BATHS - STEEL 2019

| Destination              | 2019          |               |               |               | 2018          |               |               |               |
|--------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
|                          | Volume        |               | Value 000     |               | Volume        |               | Value 000     |               |
|                          | Tonnes        | %             | Euros         | %             | Tonnes        | %             | Euros         | %             |
| United Kingdom           | 4 500         | 23.1%         | 12 299        | 17.7%         | 4 564         | 23.9%         | 13 507        | 20.1%         |
| Switzerland              | 3 070         | 15.8%         | 8 977         | 12.9%         | 3 259         | 17.0%         | 9 641         | 14.3%         |
| Austria                  | 1 591         | 8.2%          | 7 236         | 10.4%         | 1 516         | 7.9%          | 6 959         | 10.4%         |
| China                    | 1 568         | 8.1%          | 7 442         | 10.7%         | 1 653         | 8.6%          | 7 331         | 10.9%         |
| Russian Federation       | 1 471         | 7.6%          | 3 746         | 5.4%          | 1 262         | 6.6%          | 3 280         | 4.9%          |
| France                   | 1 081         | 5.6%          | 3 937         | 5.7%          | 1 057         | 5.5%          | 3 786         | 5.6%          |
| Ukraine                  | 823           | 4.2%          | 1 452         | 2.1%          | 813           | 4.3%          | 1 412         | 2.1%          |
| Czech Republic           | 680           | 3.5%          | 2 242         | 3.2%          | 648           | 3.4%          | 2 075         | 3.1%          |
| United States of America | 518           | 2.7%          | 2 361         | 3.4%          | 460           | 2.4%          | 1 858         | 2.8%          |
| Hong Kong, China         | 485           | 2.5%          | 1 837         | 2.6%          | 297           | 1.6%          | 1 012         | 1.5%          |
| Italy                    | 433           | 2.2%          | 3 152         | 4.5%          | 477           | 2.5%          | 3 130         | 4.7%          |
| OTHERS                   | 3 234         | 16.6%         | 14 841        | 21.3%         | 3 119         | 16.3%         | 13 242        | 19.7%         |
| <b>Total</b>             | <b>19 454</b> | <b>100.0%</b> | <b>69 522</b> | <b>100.0%</b> | <b>19 125</b> | <b>100.0%</b> | <b>67 233</b> | <b>100.0%</b> |

Source : Trademap

## 1.6.5 DE - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

| Source Country       | 2019          |               |                |               | 2018          |               |                |               |
|----------------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|
|                      | Volume        |               | Value 000      |               | Volume        |               | Value 000      |               |
|                      | Tonnes        | %             | Euros          | %             | Tonnes        | %             | Euros          | %             |
| Egypt                | 5 934         | 21.5%         | 19 070         | 13.2%         | 6 892         | 23.8%         | 23 569         | 16.0%         |
| Poland               | 4 246         | 15.4%         | 15 640         | 10.8%         | 4 593         | 15.9%         | 18 011         | 12.2%         |
| China                | 3 989         | 14.4%         | 11 962         | 8.3%          | 5 297         | 18.3%         | 13 438         | 9.1%          |
| Slovakia             | 1 770         | 6.4%          | 5 810          | 4.0%          | 1 004         | 3.5%          | 3 866          | 2.6%          |
| Belgium              | 1 540         | 5.6%          | 9 740          | 6.7%          | 1 464         | 5.1%          | 9 101          | 6.2%          |
| Italy                | 1 396         | 5.0%          | 13 046         | 9.0%          | 1 107         | 3.8%          | 12 148         | 8.3%          |
| Croatia              | 1 182         | 4.3%          | 8 776          | 6.1%          | 1 131         | 3.9%          | 8 090          | 5.5%          |
| United Arab Emirates | 1 151         | 4.2%          | 4 510          | 3.1%          | 1 093         | 3.8%          | 4 369          | 3.0%          |
| Netherlands          | 1 130         | 4.1%          | 8 331          | 5.8%          | 1 009         | 3.5%          | 8 971          | 6.1%          |
| United Kingdom       | 957           | 3.5%          | 6 503          | 4.5%          | 1 091         | 3.8%          | 6 820          | 4.6%          |
| Austria              | 911           | 3.3%          | 16 834         | 11.6%         | 671           | 2.3%          | 14 272         | 9.7%          |
| OTHERS               | 3 453         | 12.5%         | 24 589         | 17.0%         | 3 571         | 12.3%         | 24 534         | 16.7%         |
| <b>Total</b>         | <b>27 659</b> | <b>100.0%</b> | <b>144 811</b> | <b>100.0%</b> | <b>28 923</b> | <b>100.0%</b> | <b>147 189</b> | <b>100.0%</b> |

Source : Trademap

## 1.6.6 DE - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

| Destination    | 2019         |               |               |               | 2018         |               |               |               |
|----------------|--------------|---------------|---------------|---------------|--------------|---------------|---------------|---------------|
|                | Volume       |               | Value 000     |               | Volume       |               | Value 000     |               |
|                | Tonnes       | %             | Euros         | %             | Tonnes       | %             | Euros         | %             |
| Austria        | 1 335        | 15.7%         | 14 221        | 16.5%         | 1 323        | 14.6%         | 13 890        | 15.3%         |
| Belgium        | 894          | 10.5%         | 6 776         | 7.9%          | 996          | 11.0%         | 7 028         | 7.8%          |
| Poland         | 882          | 10.4%         | 3 998         | 4.6%          | 430          | 4.7%          | 2 970         | 3.3%          |
| Netherlands    | 825          | 9.7%          | 7 546         | 8.8%          | 1 294        | 14.3%         | 9 337         | 10.3%         |
| Switzerland    | 764          | 9.0%          | 11 209        | 13.0%         | 695          | 7.7%          | 10 948        | 12.1%         |
| France         | 690          | 8.1%          | 7 899         | 9.2%          | 867          | 9.6%          | 8 717         | 9.6%          |
| Italy          | 348          | 4.1%          | 5 144         | 6.0%          | 362          | 4.0%          | 5 298         | 5.9%          |
| United Kingdom | 259          | 3.0%          | 3 962         | 4.6%          | 340          | 3.7%          | 4 657         | 5.1%          |
| China          | 227          | 2.7%          | 2 303         | 2.7%          | 240          | 2.6%          | 2 889         | 3.2%          |
| Czech Republic | 221          | 2.6%          | 1 672         | 1.9%          | 270          | 3.0%          | 2 000         | 2.2%          |
| Spain          | 189          | 2.2%          | 1 982         | 2.3%          | 171          | 1.9%          | 1 837         | 2.0%          |
| OTHERS         | 1 876        | 22.0%         | 19 348        | 22.5%         | 2 083        | 23.0%         | 20 968        | 23.2%         |
| <b>Total</b>   | <b>8 510</b> | <b>100.0%</b> | <b>86 060</b> | <b>100.0%</b> | <b>9 071</b> | <b>100.0%</b> | <b>90 539</b> | <b>100.0%</b> |

Source : Trademap

1.7.1 Route to Market: Baths  
DE - ESTIMATED DISTRIBUTION FOR BATHS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 88.5%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 88.5%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>1.2%      | Wholesaler<br>3.3% | Manufacturer<br>4.4% | Wholesaler<br>7.2% | Manufacturer<br>0.4%        | Wholesaler<br>5.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 4.5%                      |                    | 11.6%                |                    | 5.4%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.1%              | 69.1%      | 2.0%     | 2.0% | 3.4%       |
| <b>Installers</b> |            |          |      |            |
| 76.9%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>1.2% | Wholesaler<br>0.0% | Internet<br>2.5%   | DIY<br>9.1%            | Specialist<br>1.0% | Installer<br>72.1% | Manufacturer<br>2.2%   | Wholesaler<br>3.9% | Internet<br>0.0%   | DIY<br>0.5%                | Specialist<br>1.0% | Installer<br>4.8%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 87.7%                |                    |                    |                        |                    |                    | 12.3%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 21.8%                |                    |                    | 65.8%                  |                    |                    | 5.2%                   |                    |                    | 7.1%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 8.0%                 |                    | 13.8%              | 8.0%                   |                    | 57.8%              | 5.2%                   |                    | 0.0%               | 7.1%                       |                    | 0.0%               |

1.7.2 Route to Market: Baths  
DE - ESTIMATED DISTRIBUTION FOR BATHS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 86.5%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 86.5%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>1.6%      | Wholesaler<br>3.4% | Manufacturer<br>5.0% | Wholesaler<br>7.3% | Manufacturer<br>0.4%        | Wholesaler<br>4.9% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 5.0%                      |                    | 12.3%                |                    | 5.3%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.3%              | 66.3%      | 2.2%     | 2.0% | 1.3%       |
| <b>Installers</b> |            |          |      |            |
| 74.1%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>2.0% | Wholesaler<br>0.0% | Internet<br>2.8%   | DIY<br>9.3%            | Specialist<br>2.0% | Installer<br>71.3% | Manufacturer<br>2.2%   | Wholesaler<br>4.6% | Internet<br>0.0%   | DIY<br>1.0%                | Specialist<br>2.0% | Installer<br>2.7%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 87.5%                |                    |                    |                        |                    |                    | 12.5%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 24.1%                |                    |                    | 63.4%                  |                    |                    | 6.0%                   |                    |                    | 6.5%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 9.0%                 |                    | 15.1%              | 10.0%                  |                    | 53.4%              | 6.0%                   |                    | 0.0%               | 6.5%                       |                    | 0.0%               |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 1.7.3 Route to Market - Consolidated View : Baths

DE - ESTIMATED DISTRIBUTION FOR BATHS : 2019

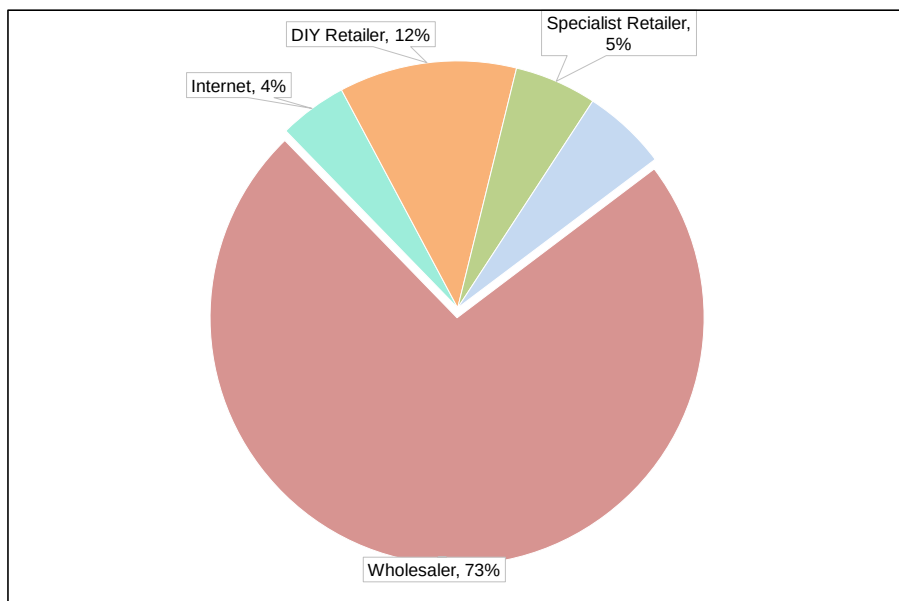
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 73.0%                           | 4.5%     | 11.6%        | 5.4%                | 5.5%    | 16.0%       | 12.3%           | 71.7%       | 0.0%            |
| 100%                            |          |              |                     |         | 28.3%       |                 | 71.7%       |                 |

### 1.7.4 Route to Market - Consolidated View : Baths

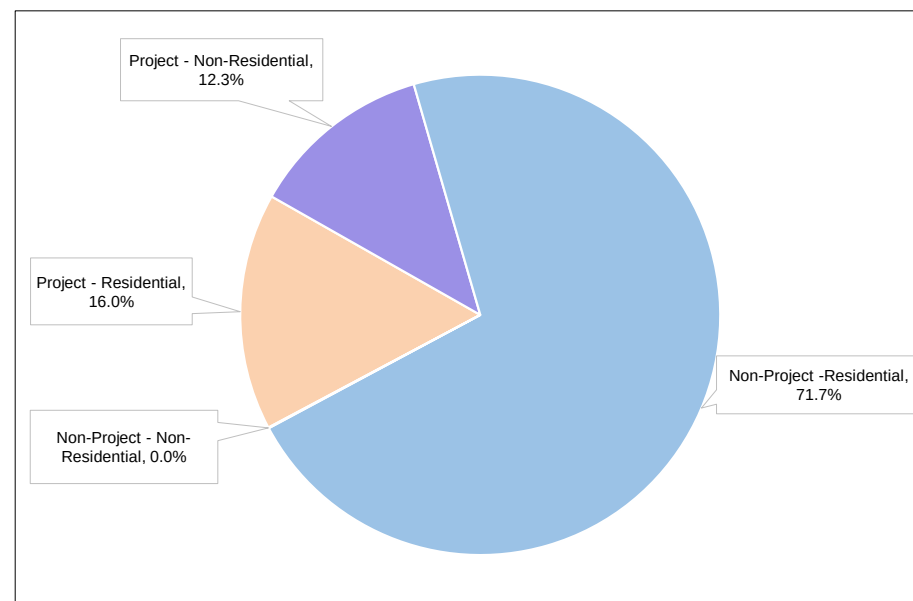
DE - ESTIMATED DISTRIBUTION FOR BATHS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 70.9%                           | 5.0%     | 12.3%        | 5.3%                | 6.5%    | 19.0%       | 12.5%           | 68.5%       | 0.0%            |
| 100%                            |          |              |                     |         | 31.5%       |                 | 68.5%       |                 |

DE - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays  
DE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 82.1%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 82.1%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.4%      | Wholesaler<br>4.2% | Manufacturer<br>8.9% | Wholesaler<br>8.0% | Manufacturer<br>0.3%        | Wholesaler<br>0.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 7.6%                      |                    | 16.9%                |                    | 0.3%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.6%              | 66.6%      | 3.2%     | 3.0% | 0.1%       |
| <b>Installers</b> |            |          |      |            |
| 75.5%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.7% | Wholesaler<br>0.0% | Internet<br>3.5%   | DIY<br>12.9%           | Specialist<br>0.2% | Installer<br>72.8% | Manufacturer<br>2.0%   | Wholesaler<br>3.3% | Internet<br>0.9%   | DIY<br>1.0%                | Specialist<br>0.0% | Installer<br>2.7%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 90.1%                |                    |                    |                        |                    |                    | 9.9%                   |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 13.5%                |                    |                    | 76.6%                  |                    |                    | 3.2%                   |                    |                    | 6.7%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 5.0%                 |                    | 8.5%               | 10.0%                  |                    | 66.6%              | 3.0%                   |                    | 0.2%               | 6.5%                       |                    | 0.2%               |

1.7.6

Route to Market: Shower Trays  
DE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 81.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 81.0%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.5%      | Wholesaler<br>4.7% | Manufacturer<br>9.0% | Wholesaler<br>8.2% | Manufacturer<br>0.4%        | Wholesaler<br>0.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 8.2%                      |                    | 17.2%                |                    | 0.4%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.8%              | 65.1%      | 3.5%     | 3.5% | 0.2%       |
| <b>Installers</b> |            |          |      |            |
| 75.1%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>1.3% | Wholesaler<br>0.0% | Internet<br>3.7%   | DIY<br>11.7%           | Specialist<br>0.2% | Installer<br>73.9% | Manufacturer<br>2.0%   | Wholesaler<br>3.0% | Internet<br>1.0%   | DIY<br>2.0%                | Specialist<br>0.0% | Installer<br>1.2%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 90.8%                |                    |                    |                        |                    |                    | 9.2%                   |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 14.0%                |                    |                    | 76.8%                  |                    |                    | 3.3%                   |                    |                    | 5.9%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 6.0%                 |                    | 8.0%               | 11.0%                  |                    | 65.8%              | 3.3%                   |                    | 0.0%               | 5.9%                       |                    | 0.0%               |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 1.7.7 Route to Market - Consolidated View : Shower Trays

DE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

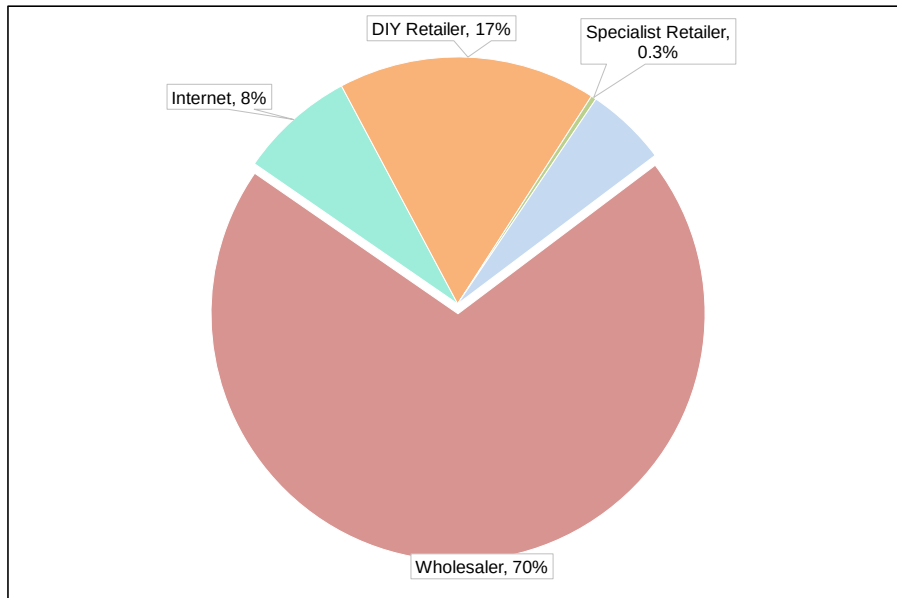
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 69.9%                           | 7.6%     | 16.9%        | 0.3%                | 5.3%    | 15.0%       | 9.5%            | 75.1%       | 0.4%            |
| 100%                            |          |              |                     |         | 24.5%       |                 | 75.5%       |                 |

### 1.7.8 Route to Market - Consolidated View : Shower Trays

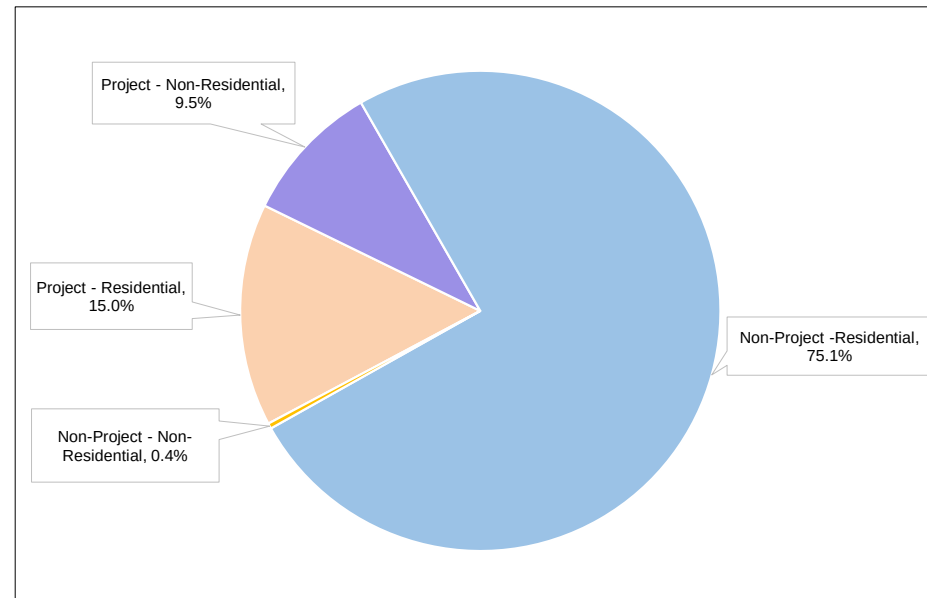
DE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 68.1%                           | 8.2%     | 17.2%        | 0.4%                | 6.1%    | 17.0%       | 9.2%            | 73.8%       | 0.0%            |
| 100%                            |          |              |                     |         | 26.2%       |                 | 73.8%       |                 |

DE - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

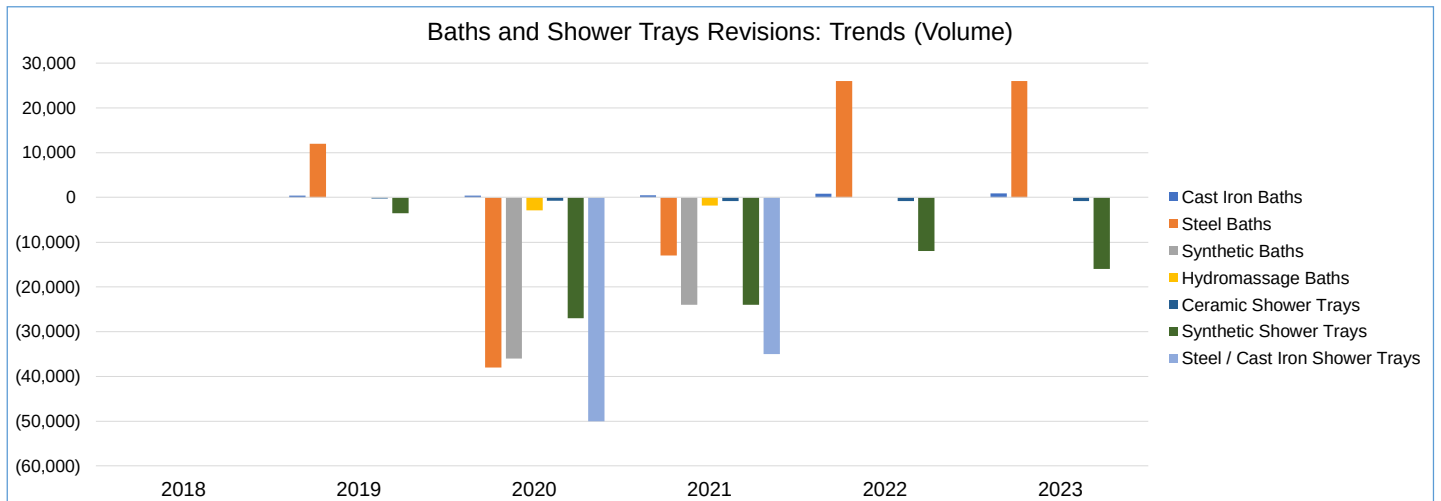
\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.



## 1.8 Revisions in the German Baths and Shower Trays Market (April 2020)

DE - REVISIONS IN THE GERMAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



| Product Category   | Alt Product                    | Latest Data     | 2018             | 2019             | 2020             | 2021             | 2022             | 2023             |
|--------------------|--------------------------------|-----------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Conventional Baths | Cast Iron Baths                | Vol             | 700              | 1,100            | 1,100            | 1,200            | 1,500            | 1,600            |
| Conventional Baths | Cast Iron Baths                | Δ Change        | 0                | 400              | 400              | 500              | 820              | 920              |
| Conventional Baths | Steel Baths                    | Vol             | 560,000          | 565,000          | 510,000          | 531,000          | 567,000          | 564,000          |
| Conventional Baths | Steel Baths                    | Δ Change        | 0                | 12,000           | -38,000          | -13,000          | 26,000           | 26,000           |
| Conventional Baths | Synthetic Baths                | Vol             | 378,000          | 370,000          | 324,000          | 326,000          | 340,000          | 330,000          |
| Conventional Baths | Synthetic Baths                | Δ Change        | 0                | 0                | -36,000          | -24,000          | 0                | 0                |
| Hydromassage Baths | Hydromassage Baths             | Vol             | 25,100           | 25,000           | 22,000           | 23,000           | 24,700           | 24,600           |
| Hydromassage Baths | Hydromassage Baths             | Δ Change        | 0                | 0                | -2,900           | -1,800           | 0                | 0                |
| Shower Trays       | Ceramic Shower Trays           | Vol             | 3,200            | 3,600            | 3,250            | 3,400            | 3,600            | 3,800            |
| Shower Trays       | Ceramic Shower Trays           | Δ Change        | 0                | -200             | -750             | -800             | -800             | -800             |
| Shower Trays       | Steel / Cast Iron Shower Trays | Vol             | 494,000          | 497,000          | 449,000          | 467,000          | 505,000          | 508,000          |
| Shower Trays       | Steel / Cast Iron Shower Trays | Δ Change        | 0                | 0                | -50,000          | -35,000          | 0                | 0                |
| Shower Trays       | Synthetic Shower Trays         | Vol             | 212,000          | 208,500          | 185,000          | 189,000          | 202,000          | 200,000          |
| Shower Trays       | Synthetic Shower Trays         | Δ Change        | 0                | -3,500           | -27,000          | -24,000          | -12,000          | -16,000          |
| <b>Total</b>       | <b>Total</b>                   | <b>Vol</b>      | <b>1,673,000</b> | <b>1,670,200</b> | <b>1,494,350</b> | <b>1,540,600</b> | <b>1,643,800</b> | <b>1,632,000</b> |
| <b>Total</b>       | <b>Total</b>                   | <b>Δ Change</b> | <b>0</b>         | <b>8,700</b>     | <b>-154,250</b>  | <b>-98,100</b>   | <b>14,020</b>    | <b>10,120</b>    |

No or only marginal changes have been made to historical volumes for this market.

The MSPs of baths and shower trays was revised up for the year 2018 and 2019 due to an increase in sales of products in the upper price segments. Demand for higher quality synthetic materials such as mineral cast has been

# GERMANY

## SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Market Characteristics and Technological Trends**

Ceramic sanitary ware (CSW) is one of the oldest segments on the overall German bathroom market. The material was already recognised in the 19th century as easy to clean and ideal for tiling in hospitals and publicly accessible baths. Health legislation and the increasing penetration of canalisation slowly led to an increase in public water closets (WCs). It was, however, only in the 1950s that almost every household started to have its own bathroom inside the dwelling. The toilet would often be in a separate room. In Germany, the tradition of having a separate toilet room has perpetuated until today, which is why most one- and two-family houses and many larger apartments have both a bathroom with a WC and a separate guest toilet.

Unlike in many other European countries, the German WC market shows the peculiarity of a high share of 'washout' models (having a flat platform). Although the park of these types of toilets remains large, the trend is negative and, nowadays, they are replaced with 'washdown' models which are often wall hung. Typically, these are installed in dry (pre-wall) installation modules, in combination with a concealed plastic cistern. The penetration of ceramic cisterns is marginal, and nearly all these ceramic cisterns are sold with close coupled WCs. The German bidet and urinal markets are small; urinals are usually installed in public places such as airports and the hospitality sector, and rarely installed in private households.

A more recent product innovation is the so-called 'rimless' WC, which eliminates the need for a hidden rim or channel. These models were introduced to the German market in early 2012 by the domestic KERAMAG (now GEBERIT) and were a success, despite relatively higher prices when compared to standard wall hung models. The German consumer is quality oriented and willing to pay a premium for a clear distinguishable product advantage such as hygiene. The market for rimless WCs developed so well that almost all market players, including VILLEROY & BOCH, DURAVIT and LAUFEN, entered the market soon after. Nowadays, it is estimated that the share of rimless WCs on the German market has reached almost half of the total WC market.

Washbasins, after WCs, account for the second largest share of total sanitary ware sales in Germany. There have been some displacement sales from ceramics to other materials such as synthetic and enamelled steel washbasins. Built-in washbasins and universal washbasins, which can either be wall hung or built into furniture, are gaining popularity, benefiting from an increasing focus on bathroom furniture. Synthetic products seem to have benefited more than ceramic products. Pedestal sales depend on the development of the washbasin market. With the increasing popularity of bathroom furniture, full pedestals have almost disappeared from the market. The main colour used in German bathrooms continues to be white, especially in the economy and lower-priced segments. Consumers tend to choose white pieces of ceramic and add colour touches to their bathroom through

coloured ceramic tiles, furniture, and accessories. However, manufacturers are starting to introduce colours into their assortments and black seems to be having the greatest success. End users tend to customise their bathroom according to their needs and taste. This new trend towards 'bathroom personalisation' was noticeable at the ISH 2019 in Frankfurt, where the bathroom was transformed into a lifestyle space with customised products in shapes and colours. Recent product innovations have been in the field of ceramic surfaces (non-stick and easy to clean) and accessible ceramic sanitary ware (*'barrierefrei'*) which is adapted to the needs of the elderly (e.g. higher and broader WCs, roll under washbasins and shower trays with extra grip).

Typical for a Western European country, the trend in Germany is towards concealed plastic cisterns at the expense of the exposed cisterns, both ceramic and plastic. Concealed plastic cisterns are usually found in commercial and public buildings. However, these are challenged by (self-closing or manual) flushing valves, which can be used as an alternative. Exposed cisterns are used during bathroom refurbishments, either for price reasons or if a concealed alternative is technically not possible and, in the case of very cost sensitive builders (e.g. construction companies), as they are the most affordable replacement products.

### **Recent Market Trends**

In 2019 the German sanitary ware market performed positively, and total sales increased slightly. The growth was carried by more WC, washbasin, concealed plastic cistern and non-ceramic washbasin sales. In contrast, sales of other CSW and exposed plastic cisterns slightly declined, and they were compensated for by the growth of the other products. Demand originated from the booming construction market, as new apartment completions rose strongly. While demand was strong for new or refurbished bathrooms, supply could not reach its full potential because of the lack of professional installers. Long waiting lists for bathroom refurbishments and a backlog of new housing projects prevented stronger growth. To a certain extent, other distribution channels such as DIY stores and the Internet could benefit from more sales, especially of products that a skilled private end user can install, e.g. WCs, washbasins, furniture, and bathroom accessories.

Although demand for ceramic sanitary ware from new housing rose significantly, except for sales of other CSW, in 2019 and benefited overall sales demand, the housing RMI sector continued to account for most sales. The mature German sanitary ware market generates most of its sales in housing RMI. Given the fact that construction companies are working at the limits of their capacities, end users must wait up to half a year and more for new bathroom renovations. Therefore, demand for ceramic sanitary ware sales to the housing RMI sector hardly grew when compared to the previous year. Nevertheless, it remained at a high level in 2019.

One important trend regarding recent product developments introduced onto the market are shower toilets and bidet seats, which are slowly gaining popularity among German consumers. Almost 50,000 shower toilets and bidets seats are

believed to be sold in Germany in 2019. This number includes bidets seats, which consumers can buy separately to equip existing WCs and shower toilets, which are mainly purchased during a full bathroom renovation or for a new dwelling. The purchase of a shower toilet is likely to replace an existing bidet or prevent end users from installing a new one.

The category 'Other CSW' has been decreasing for years. It consists of products that are declining in sales, e.g. bidets, close-coupled cisterns as well as full and half pedestals. With the trend towards bathroom furniture, full pedestal sales have almost entirely vanished. Half pedestals can still be found on the market, e.g. in secondary bathrooms or hotels (both being places that usually do not require bathroom furniture). Bidets are regarded to be an out-dated product, which is gradually being replaced by new shower toilets. Urinals are rarely used in residential houses and their demand primarily depends on the development of non-housing constructions. Rimless WCs are the standard type in new housing and are expected to force out the traditional WC in the long turn.

### Prices and Market Values

As for most other segments on the German bathroom market, prices for sanitary ware products continued to increase in 2019. The overall price rise of sanitary ware products, such as WCs and washbasins, is a natural consequence of inflation adjustments and increasing labour costs. Prices for exposed and concealed cisterns slightly increased when compared to the previous year.

In addition to a price increase, there was a slight value increase because of product mix changes. The rimless WCs have been rapidly gaining popularity among Germans end users, who value products with superior hygienic features and tend to pay a premium price for it. This increase in demand for rimless WCs continues to leverage average prices. Rimless WCs were first intended for the non-residential market, such as hotels and hospitals, but quickly gained ground in the upper residential markets in which clients are willing to invest in high quality products. Additionally, the market value of WCs increased because of growing sales of shower toilets. However, this trend is not shown in this report as shower toilets are not part of the market share. The share of higher-priced products contributed to more sales in the upper market segment in 2019 and the volume of toilets sold in the upper and luxury price segments increased when compared to the previous year. The middle-priced segment continued to be the biggest price segment for sanitary ware products in Germany.

Concealed plastic WC cisterns are the industry standard due to an easy and fast installation, as well as being aesthetically pleasing. Prices of such models are consistently higher than those of exposed cisterns. This is mostly due to the fact that their average MSP also includes installation modules, which are the expensive part. The price of a concealed plastic cistern depends, to a large extent, on the pre-wall installation system sold with the cistern, whereas the separate cisterns themselves would be around the same price as a cheap exposed plastic model. The latter can be bought for as little as 20 euros in DIY stores.

## New Housing

The German new build market developed positively in 2019 and demand for sanitary ware increased notably when compared to the previous year. Demand for sanitary ware products has been driven by the boost in new dwelling construction completions, in particular from apartment buildings. Apartments have smaller bathrooms on average and, therefore, are equipped with a smaller number of sanitary products, e.g. just a bath instead of a bath and a shower. Nevertheless, there is a trend in new housing, that two bathrooms are installed, rather than one main bathroom and a guest toilet. So even a 100 m<sup>2</sup> apartment could have two bathrooms with two showers. High job security and low interest rates are both factors that have positively influenced the new build construction rate.

Nowadays, most new bathrooms are equipped with bathroom furniture and pedestals are not used anymore, except for classical bathroom designs only. Half pedestals are sometimes installed in hotels and places where furniture is not needed. Urinals are rarely installed in private houses and sales are mainly dedicated for non-housing.

## Housing RMI

Replacement demand for sanitary ware products is highest for WCs and ceramic washbasin. Wall hung WCs often replace floor standing models, which are old-fashioned. Not every German consumer is willing to invest more into a concealed installation module, which requires a complete bathroom refurbishment. The popularity of rimless models continues to grow, and end users accept its hygienic benefits. Product innovations, such as rimless and washlet WCs, shorten the lifespan of traditional WCs as end users feel the need to replace them with a more advanced WC. Another trend is the adaptation of bathrooms, often sustained by housing associations, to cater for the needs of elderly people. In line with government incentives to fuel demand for bathroom refurbishments, sanitary ware products such as comfortable WCs, lower washbasins and safety handles are being installed. If the latter are made from ceramics, they are counted as 'Others' in other ceramic sanitary ware. Sales of other ceramic sanitary ware products to housing RMI declined in 2019 being negatively driven by their outdated design and functionality.

Germans prefer to invest money instead of leaving savings in a bank account with low interest rates, which consequently influenced private and public investments into bathroom renovations. The lack of professional installers limits sales to the RMI segment as consumers must wait up to double the time as usual. This leads to delays and postponed investments of the profession distribution channel. DIY stores such as HORNBACH and OBI have recognized this potential by launching marketing campaigns to position themselves as a one stop solution for basic bathroom renovations. In addition to offering a complete range of sanitary products, they offer supplementary services such as planning, 3d visualisation of the design and installation services. According to industry feedback, the DIY channel is

growing, however, the growth rate is not dramatic. Another outcome of how to deal with the lack of professional installers is expressed in production innovations. A good example is a new type of concealed cisterns that are quick and easy to install, e.g. GEBERIT MONOLITH.

In 2019, demand for total ceramic sanitary ware products increased slightly in 2019. Ceramic washbasins and WCs increased in volume and compensated for a declining demand of other CSW. Concealed plastic cisterns increased strongly, which underlines the shift towards wall hung toilets. Demand for exposed plastic cisterns declined slightly and sales of non-ceramic washbasins only increased marginally in 2019.

### Non-Housing

The non-housing sector generated positive demand for sanitary ware products in 2019. Hotels, hospitals, wellness facilities and offices to some extent tend to be the main drivers for sanitary ware purchases. Investments into educational buildings, especially schools, increased in 2019 when compared to the previous year. Regarding health buildings, it is necessary to distinguish between public owned hospitals, which are under a more restricted budget, and the privately owned ones. The latter are meant to be the main drivers for sanitary ware products. These types of buildings have massively relied on the hygienic product solutions, for example rimless WCs and hygienic surfaces, which have reached an increasing popularity over the last couple of years. New product innovations cater for the needs of an aging population with limited motor skills and increasing hygiene standards.

The commercial sector represents the biggest purchasing pool of low-priced CSW models. Both commercial and public buildings are normally equipped with concealed plastic cisterns and the share of exposed cisterns is low within non-housing buildings in Germany. The slowly increasing popularity of self-closing flushing valves could represent a thread for the cistern markets.

### Supply Structure

The supply structure in the sanitary ware market is shifting towards online sales, especially of products that can be easily transported and installed. Wholesalers complained about stagnating sales due to a bottleneck of installers as demand in 2019 was stronger than supply. Consumers were seeking alternatives such as DIY and the Internet. Moreover, online websites such as REUTER and MEGABAD lure end users with large discounts on products, that would usually be only sold by professional installers.

The market for ceramic sanitary ware is fragmented, with many domestic and foreign suppliers competing with cheap imported products. German manufacturers, including KERAMAG, which from 2019 onwards is being sold under the brand name GEBERIT, VILLEROY & BOCH and DURAVIT, still account for most sales. Imports come from countries such as Egypt, Poland, Romania. Hungary, China, Italy, Austria, Czech Republic, Bulgaria, France, and Turkey. VILLEROY & BOCH

has a production plant in Hungary and a large share of sanitary ware is imported from there. GEBERIT has a production site in Poland, which is on second position in terms of imported volume to Germany after Egypt. The share of Chinese imports is usually sold in DIY stores.

The cistern market is dominated by the Swiss manufacturer GEBERIT, both in the concealed and exposed market segments. Most imports come from other European countries such as Poland, Portugal, and Switzerland. GEBERIT has a production site in Austria. Imports from the Netherlands include WISA. GROHE introduced ceramic sanitary ware products in autumn 2017. The market leader for taps and mixers sees the advantage in the brand name itself. A brand such as GROHE conveys trust and if you renovate your bathroom every 19 years on average having a strong brand recognition is a great advantage. GROHE's ceramic sanitary ware is sold through its established distribution channels, the same as taps and mixers.

According to a change in GEBERIT's brand portfolio, the group has rebranded all bathroom products from KERAMAG into GEBERIT from 2019. The same process is going to be applied to established foreign brands such as SPHINX, ALLIA and POZZI GINORI.

## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Apart from the strong decline in 2020, BRG expects a strengthening demand for overall sanitary ware products over the forecast period. The COVID-19 crisis is likely to have a significantly negative impact on the demand for all products in 2020. This negative development will affect all end use levels. From 2021 onwards, new build construction of mainly apartment building will affect positively sanitary ware sales. The number of one- and two-family home constructions is expected to fluctuate during the forecast period and, therefore, is likely to contribute only a limited demand. Among all sanitary ware products, the WC and concealed plastic cisterns are predicted to have the best development. The main reason is the technology evolution of these products. Demand for ceramic and non-ceramic washbasins is expected to remain positive, whilst other CSW and exposed plastic cisterns sales are expected to decline in the long term.

The growth rate for sanitary ware products not only depends on the acceptance of product innovations, but also on the availability of professionals to install them. Manufacturers are launching new products that combat the lack of installers by

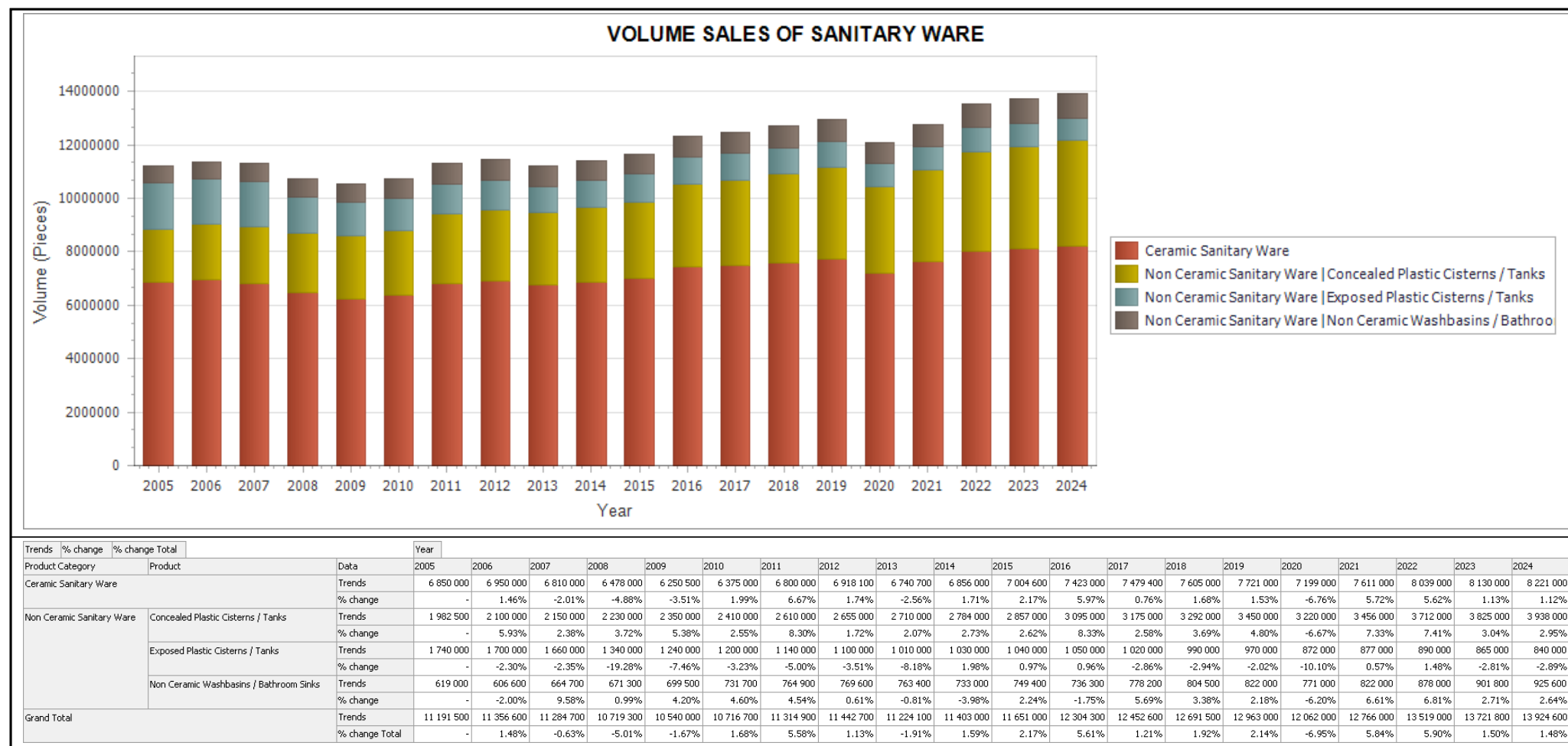


easy and quick to install products, e.g. sanitary modules like the product MONOLITH from GEBERIT. While private consumption is believed to remain on a high level, a further shift towards high quality products and alternative distribution levels is anticipated. The same is also expected for the economic segment, which ultimately leads to a decline of the middle segment.

Despite the COVID-19 crisis, full bathroom renovations, which generate the strongest demand of sanitary ware in Germany, are expected to continue to grow. The RMI segment is believed to be boosted by the launch of new products and the need for living space in popular regions and cities. In term of product mix, concealed cisterns are likely to maintain their positive trend, at the expense of the already declining exposed cistern market. Sales are expected to shift towards higher-priced sanitary ware products. As long as new housing occupies the construction industry to full capacity, RMI activity is likely to remain low due to a limited number of installers. This situation is unlikely to change within a few years as it takes up to three years to become a professional installer in Germany. The number of apprenticeships for craftsmen has remained stable in the recent past and no significant uptrend that could fill in the gap in future has been recorded.

## 2.2.1 Historical Trends and Forecasts : Sanitary Ware

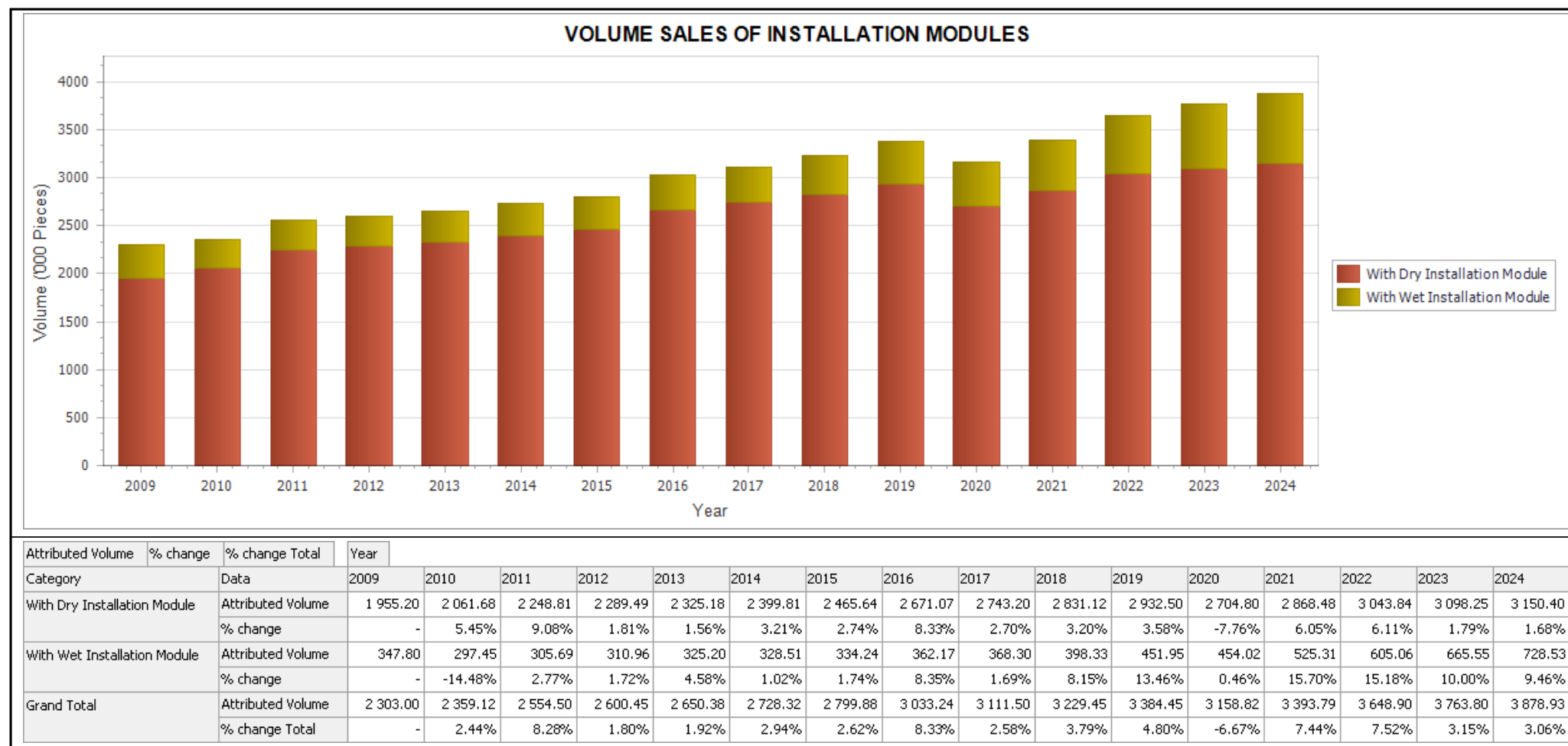
### DE - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

## 2.2.2 Historical Trend and Forecasts: Installation Mod.

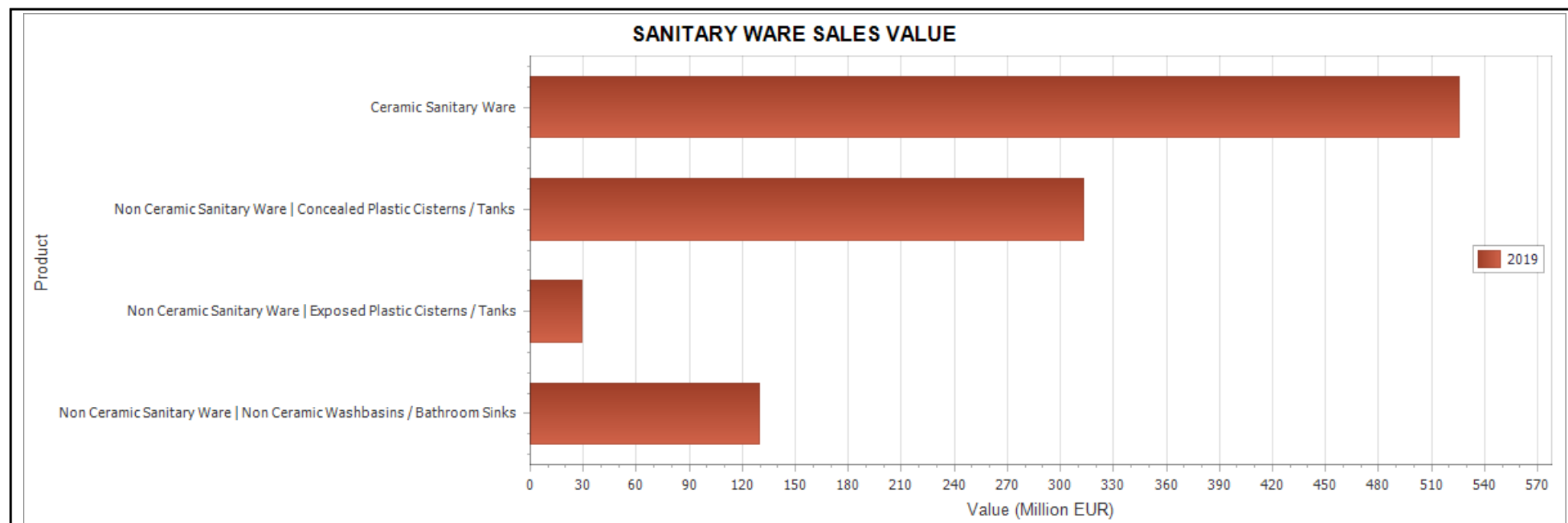
DE - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 2.3.1 Prices and Market Values : Sanitary Ware

DE - ESTIMATED VALUES OF THE SANITARY WARE MARKET



| Volumes                   |                                         | MSP (EUR)  | Value (MSP EUR) | Year            | Data       |           |                 |  |  |
|---------------------------|-----------------------------------------|------------|-----------------|-----------------|------------|-----------|-----------------|--|--|
|                           |                                         |            |                 | 2019            |            |           | 2018            |  |  |
| Product Category          | Product                                 | Volumes    | MSP (EUR)       | Value (MSP EUR) | Volumes    | MSP (EUR) | Value (MSP EUR) |  |  |
| Ceramic Sanitary Ware     | Ceramic Washbasins / Bathroom Sinks     | 3 090 000  | 69.33           | 214.23          | 3 040 000  | 68.03     | 206.81          |  |  |
|                           | Other CSW                               | 511 000    | 106.48          | 54.41           | 520 000    | 104.75    | 54.47           |  |  |
|                           | WCs / Toilets                           | 4 120 000  | 62.33           | 256.80          | 4 045 000  | 60.42     | 244.40          |  |  |
| Non Ceramic Sanitary Ware | Concealed Plastic Cisterns / Tanks      | 3 450 000  | 90.77           | 313.16          | 3 292 000  | 89.52     | 294.70          |  |  |
|                           | Exposed Plastic Cisterns / Tanks        | 970 000    | 30.01           | 29.11           | 990 000    | 29.61     | 29.31           |  |  |
|                           | Non Ceramic Washbasins / Bathroom Sinks | 822 000    | 157.39          | 129.37          | 804 500    | 154.29    | 124.13          |  |  |
| Grand Total               |                                         | 12 963 000 | 76.92           | 997.08          | 12 691 500 | 75.15     | 953.82          |  |  |

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

## 2.3.2 Prices and Market Values by Type : CSW

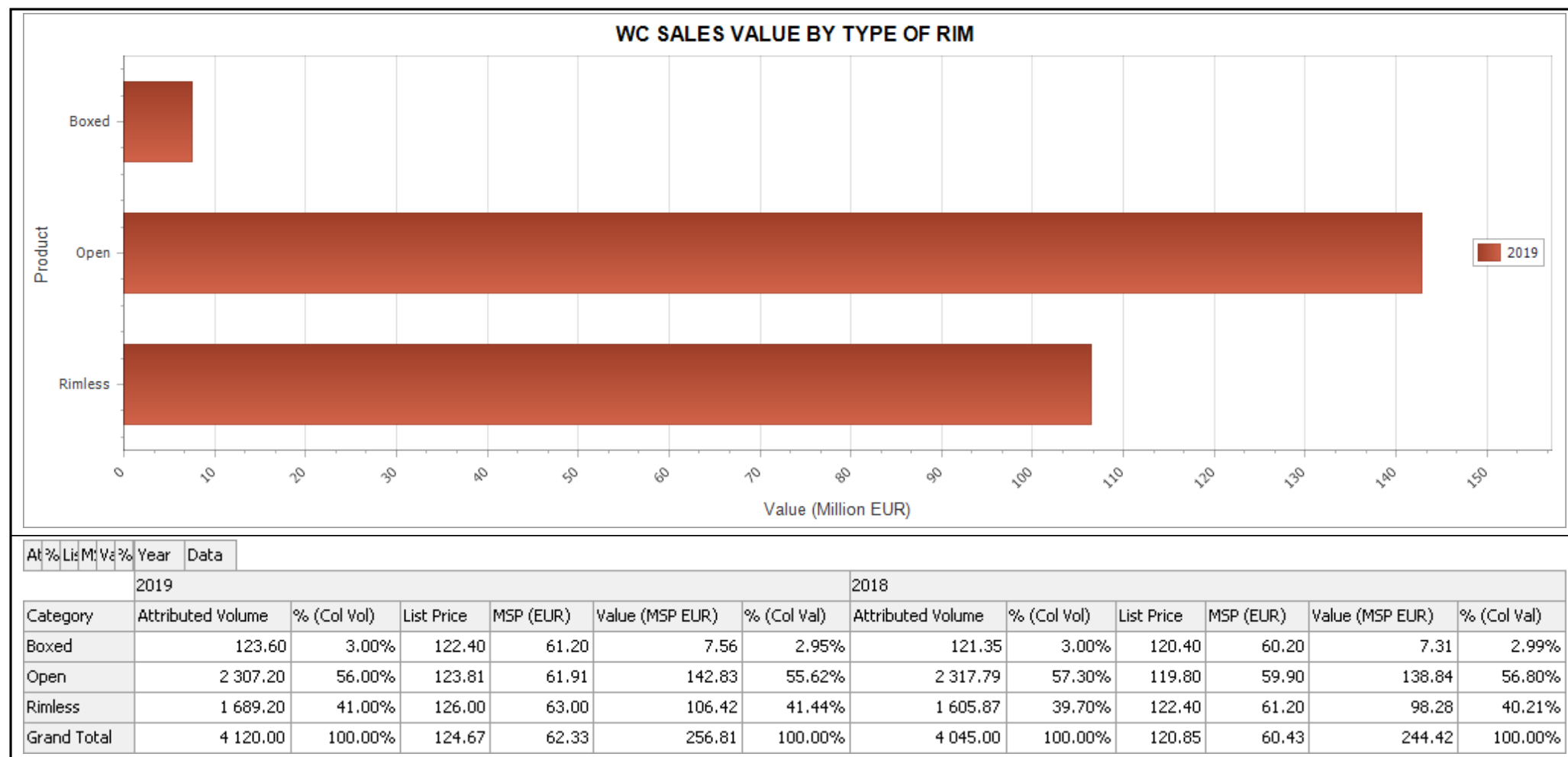
### DE - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

| Attributed %                        | % (Col Vol)                | List Price        | MSP (EUR)   | Value (MSP) | % (Col Val) | Year            | Data        |                   |             |            |           |                 |             |  |  |
|-------------------------------------|----------------------------|-------------------|-------------|-------------|-------------|-----------------|-------------|-------------------|-------------|------------|-----------|-----------------|-------------|--|--|
| 2019                                |                            |                   |             |             |             |                 |             | 2018              |             |            |           |                 |             |  |  |
| Alt Product                         | Category                   | Attributed Volume | % (Col Vol) | List Price  | MSP (EUR)   | Value (MSP EUR) | % (Col Val) | Attributed Volume | % (Col Vol) | List Price | MSP (EUR) | Value (MSP EUR) | % (Col Val) |  |  |
| Ceramic Washbasins / Bathroom Sinks | Countertop Washbasins      | 1 035.15          | 33.50%      | 207.60      | 103.80      | 107.45          | 50.16%      | 1 003.20          | 33.00%      | 204.00     | 102.00    | 102.33          | 49.48%      |  |  |
|                                     | Hand Washbasins            | 454.23            | 14.70%      | 56.80       | 28.40       | 12.90           | 6.02%       | 446.88            | 14.70%      | 55.60      | 27.80     | 12.42           | 6.01%       |  |  |
|                                     | Inset Washbasins           | 92.70             | 3.00%       | 150.00      | 75.00       | 6.95            | 3.25%       | 91.20             | 3.00%       | 148.00     | 74.00     | 6.75            | 3.26%       |  |  |
|                                     | Pedestal Washbasins        | 81.89             | 2.65%       | 114.40      | 57.20       | 4.68            | 2.19%       | 82.08             | 2.70%       | 113.00     | 56.50     | 4.64            | 2.24%       |  |  |
|                                     | Semi-Recessed Washbasins   | 9.27              | 0.30%       | 156.00      | 78.00       | 0.72            | 0.34%       | 9.12              | 0.30%       | 152.88     | 76.44     | 0.70            | 0.34%       |  |  |
|                                     | Undermount Washbasins      | 61.80             | 2.00%       | 129.60      | 64.80       | 4.00            | 1.87%       | 60.80             | 2.00%       | 128.00     | 64.00     | 3.89            | 1.88%       |  |  |
|                                     | Wall Hung Washbasins       | 1 354.97          | 43.85%      | 114.40      | 57.20       | 77.50           | 36.18%      | 1 346.72          | 44.30%      | 113.00     | 56.50     | 76.09           | 36.79%      |  |  |
| Other CSW                           | Bidets                     | 36.28             | 7.10%       | 120.58      | 49.44       | 1.79            | 3.30%       | 36.92             | 7.10%       | 109.94     | 46.17     | 1.70            | 3.13%       |  |  |
|                                     | Close-Coupled Cisterns     | 23.75             | 4.65%       | 167.05      | 68.49       | 1.63            | 2.99%       | 27.42             | 5.27%       | 162.70     | 68.33     | 1.87            | 3.44%       |  |  |
|                                     | Kitchen Sinks              | 95.80             | 18.75%      | 622.61      | 255.27      | 24.46           | 44.94%      | 95.00             | 18.27%      | 601.49     | 258.64    | 24.57           | 45.11%      |  |  |
|                                     | Others                     | 58.77             | 11.50%      | 56.14       | 23.02       | 1.35            | 2.49%       | 64.18             | 12.34%      | 53.34      | 22.40     | 1.44            | 2.64%       |  |  |
|                                     | Pedestals & Half Pedestals | 73.07             | 14.30%      | 101.61      | 41.66       | 3.04            | 5.59%       | 74.88             | 14.40%      | 102.21     | 42.93     | 3.21            | 5.90%       |  |  |
|                                     | Shower Trays               | 3.60              | 0.70%       | 507.08      | 207.90      | 0.75            | 1.38%       | 3.20              | 0.62%       | 485.99     | 208.98    | 0.67            | 1.23%       |  |  |
|                                     | Urinals                    | 219.73            | 43.00%      | 237.44      | 97.35       | 21.39           | 39.31%      | 218.40            | 42.00%      | 223.61     | 96.15     | 21.00           | 38.55%      |  |  |
| WCs / Toilets                       | Utility / Laundry Sinks    | 0.00              | 0.00%       | 0.00        | 1.00        | 0.00            | 0.00%       | 0.00              | 0.00%       | 0.00       | 1.00      | 0.00            | 0.00%       |  |  |
|                                     | Close-Coupled WC Bowls     | 22.45             | 0.55%       | 149.96      | 74.98       | 1.68            | 0.66%       | 24.68             | 0.61%       | 137.86     | 68.93     | 1.70            | 0.70%       |  |  |
|                                     | Floor Standing WC Bowls    | 700.40            | 17.00%      | 107.94      | 53.97       | 37.80           | 14.72%      | 728.10            | 18.00%      | 106.02     | 53.01     | 38.60           | 15.79%      |  |  |
| Grand Total                         | Wall Hung WC Bowls         | 3 397.15          | 82.46%      | 127.94      | 63.97       | 217.32          | 84.62%      | 3 292.23          | 81.39%      | 123.99     | 62.00     | 204.10          | 83.51%      |  |  |
|                                     |                            | 7 721.00          | 100.00%     | 139.20      | 68.05       | 525.43          | 100.00%     | 7 605.01          | 100.00%     | 135.38     | 66.49     | 505.68          | 100.00%     |  |  |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

### 2.3.3 Prices and Market Values by Type of Rim : WCs

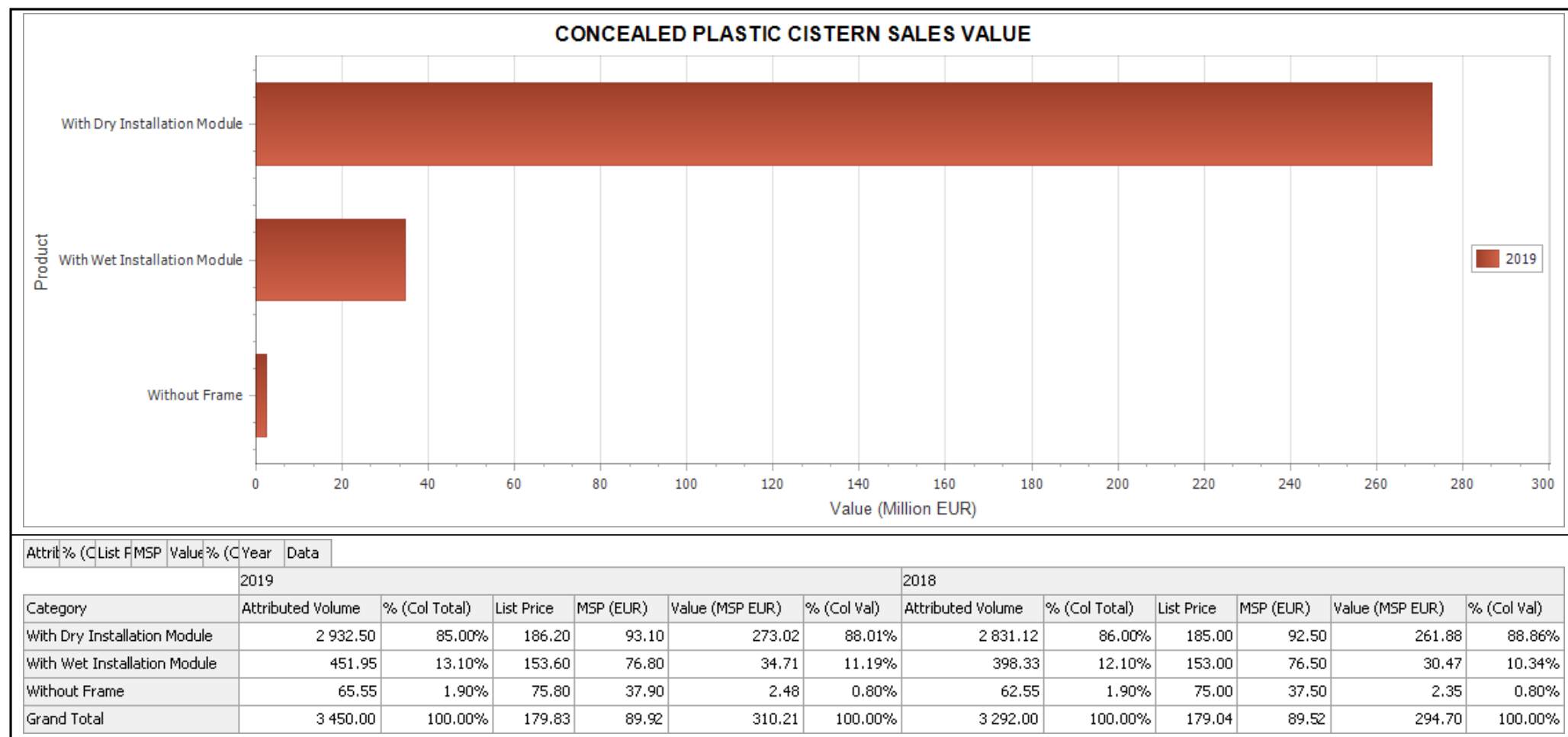
DE - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

## 2.3.4 Prices and Market Values by Type : Conc. Cisterns

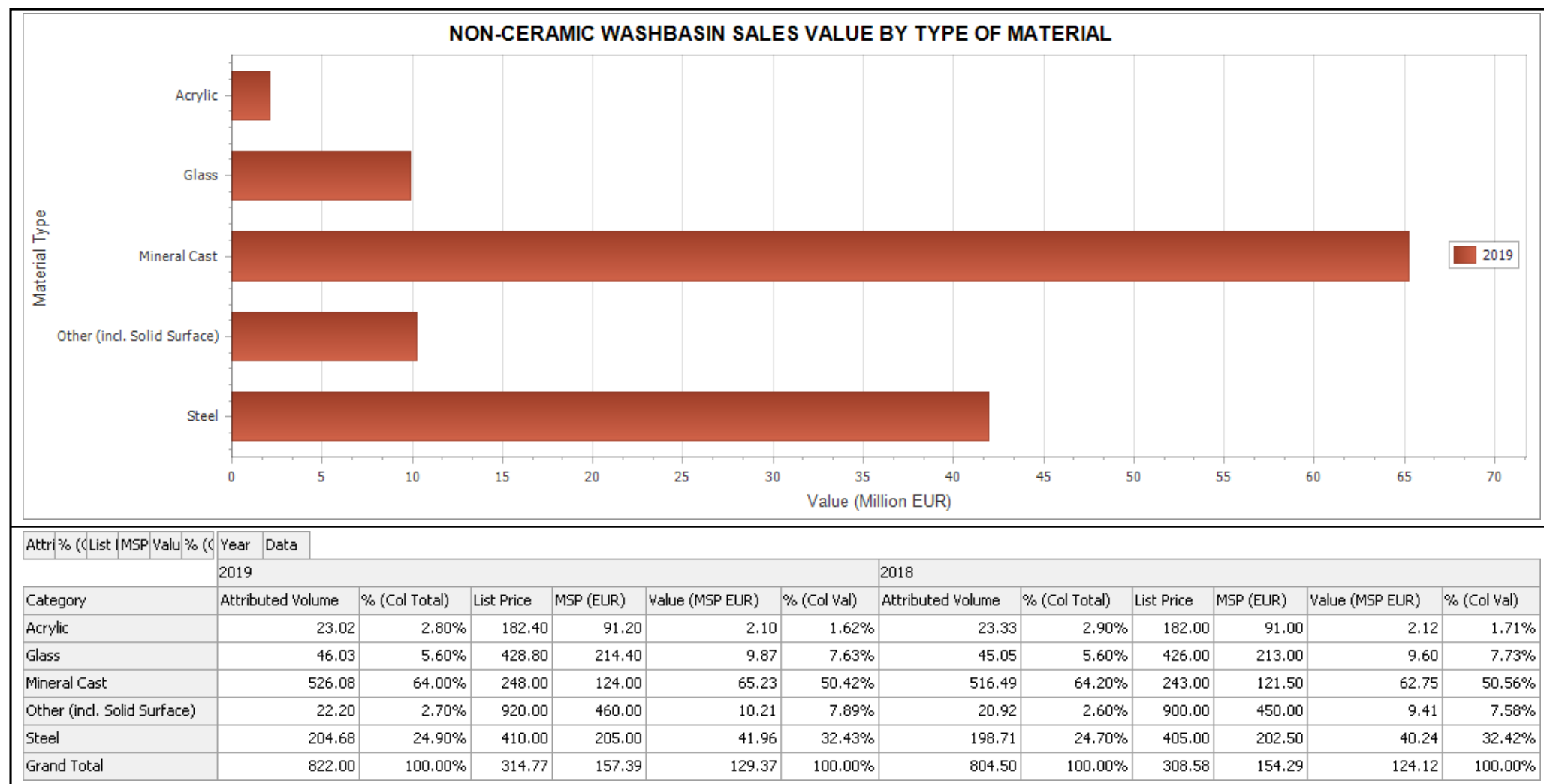
DE - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

## 2.3.5 Prices and Market Values : Non-Ceramic Washbasins

DE - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE

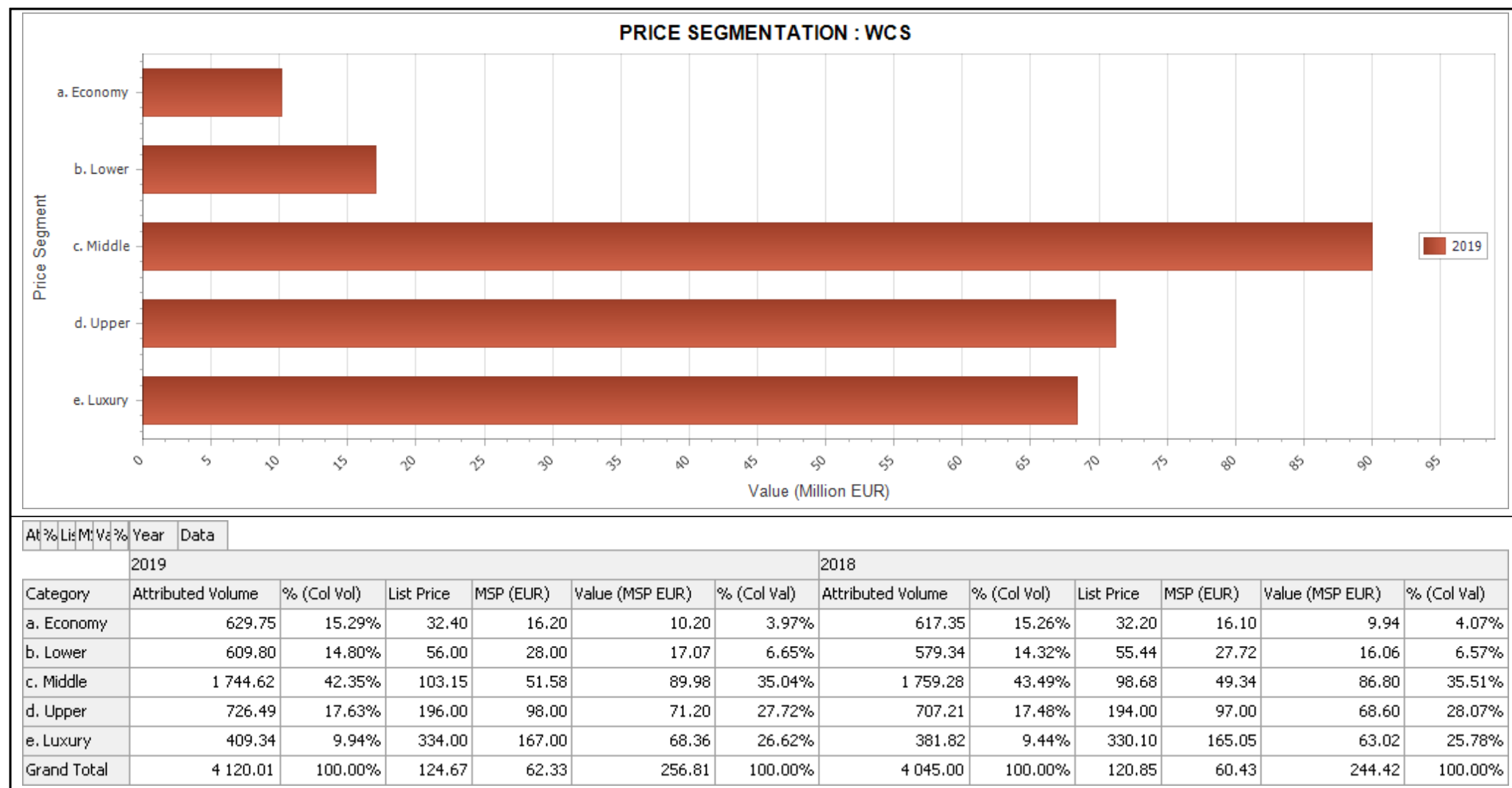


Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).



## 2.3.6 Price Segmentation : WCs

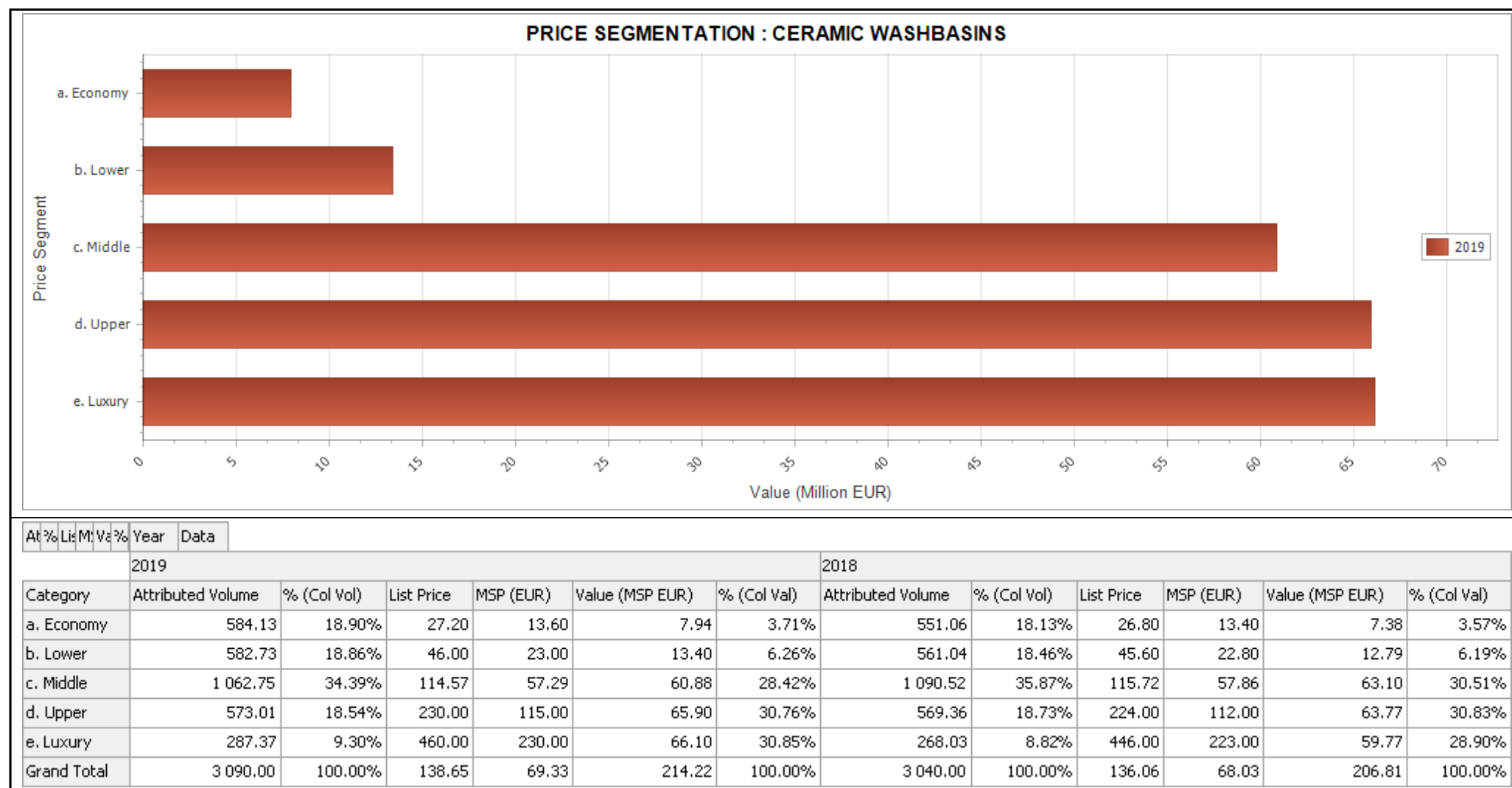
### DE - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper >€80-€120, Luxury >€120

## 2.3.7 Price Segmentation : Ceramic Washbasins

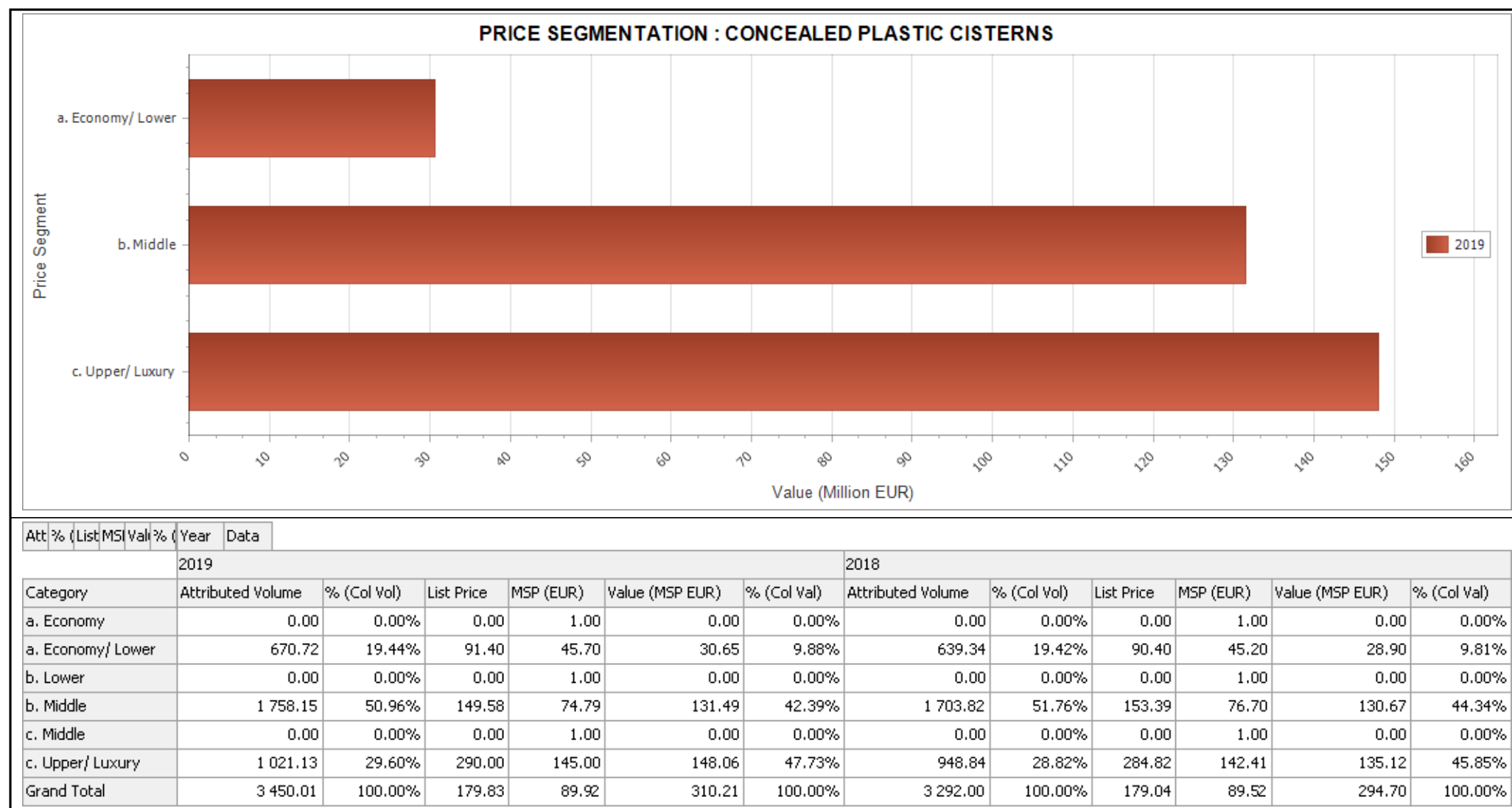
### DE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€140, Luxury >€140

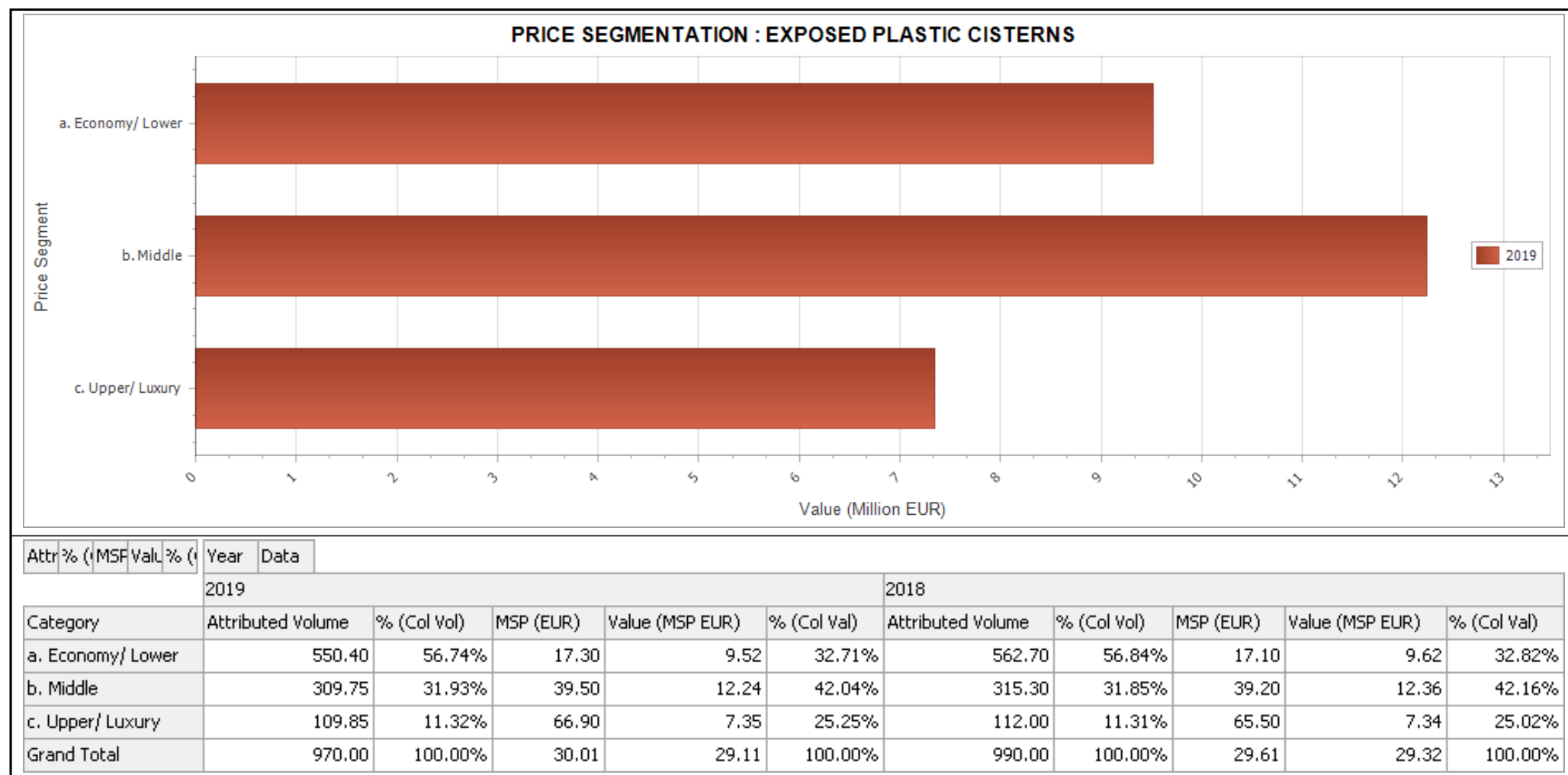
## 2.3.8 Price Segmentation : Concealed Plastic Cisterns

### DE - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

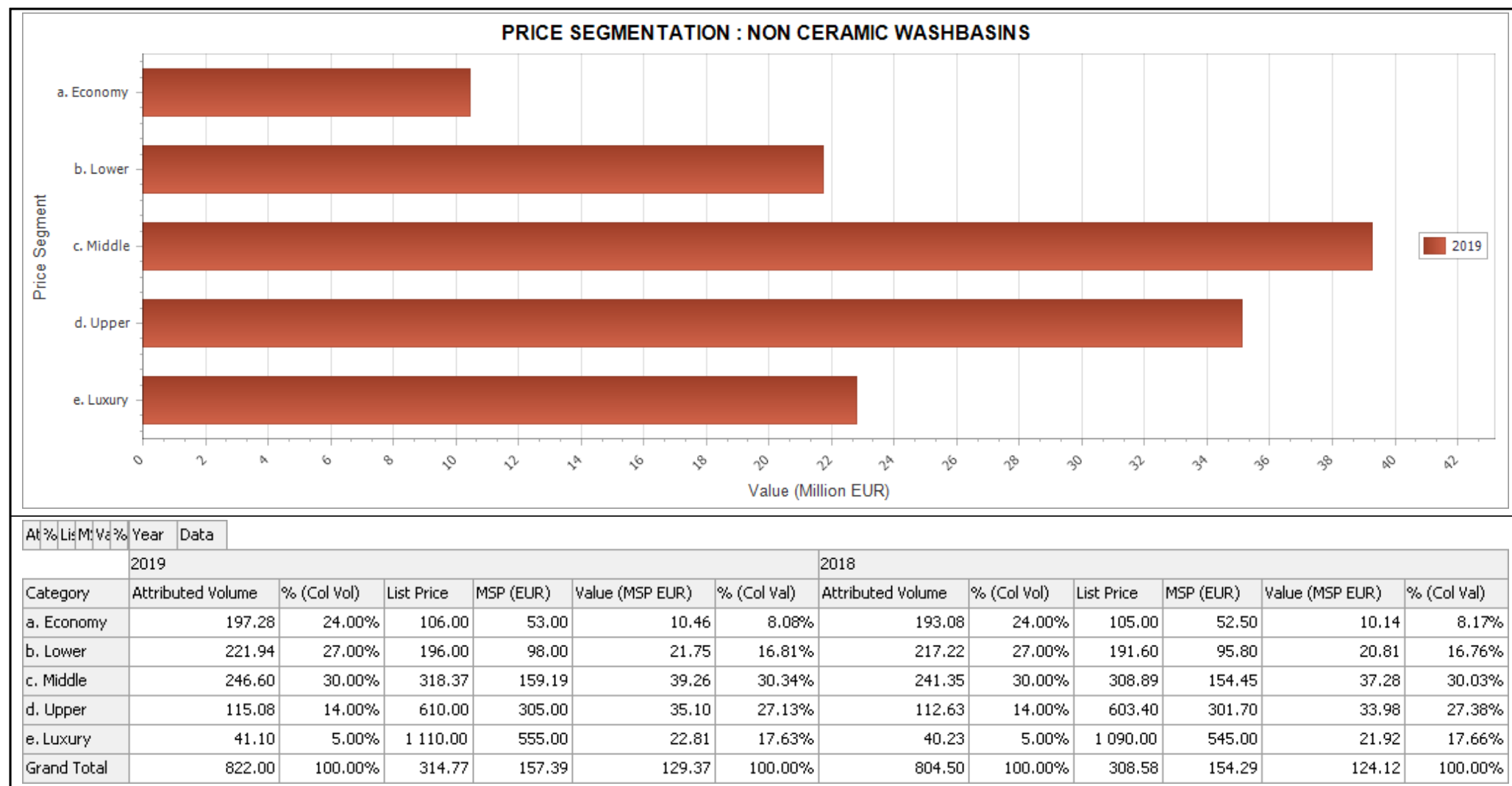
2.3.9 Price Segmentation : Exposed Plastic Cisterns  
DE - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€50, Upper/ Luxury >€50

## 2.3.10 Price Segmentation : Non Ceramic Washbasins

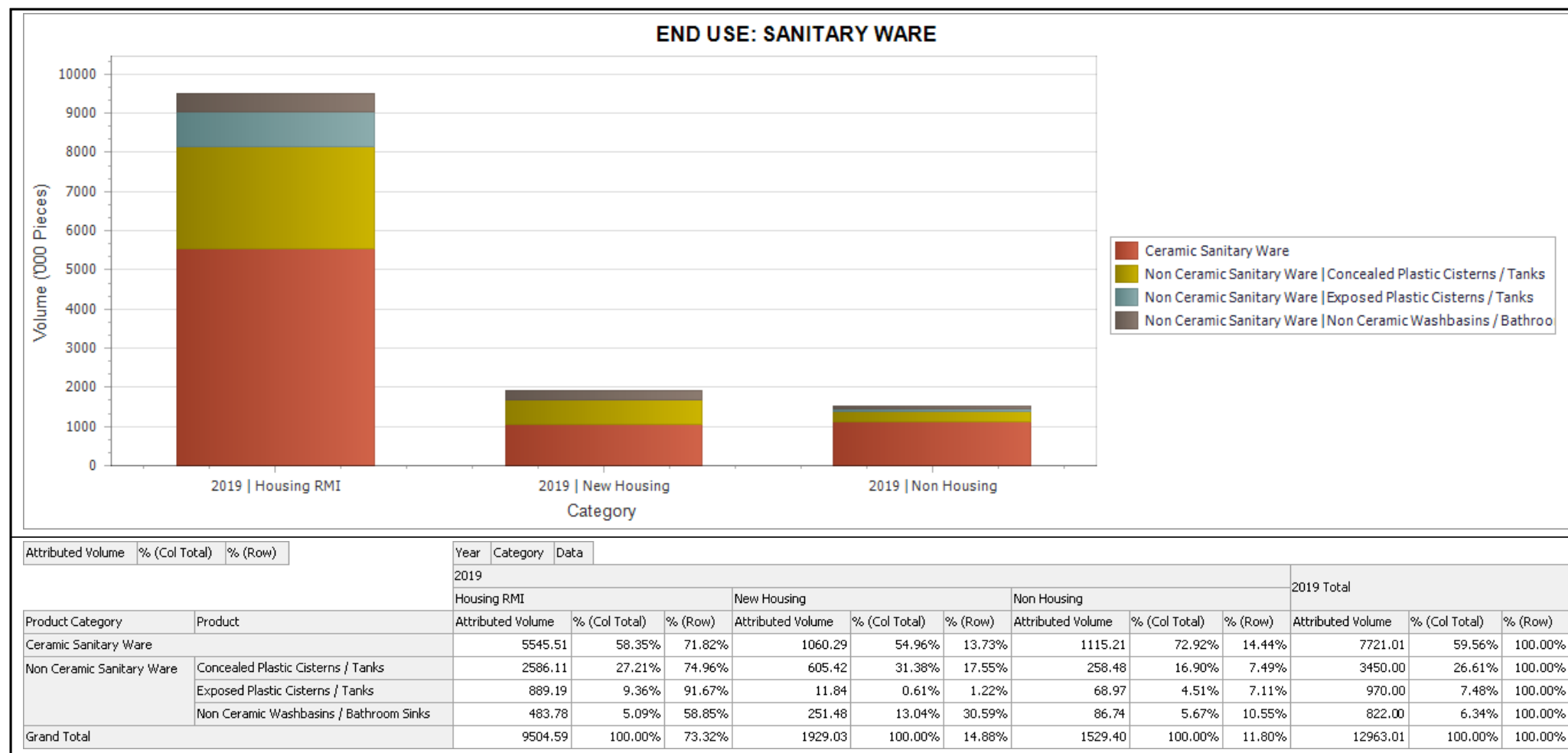
### DE - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€60, Lower €60-€110, Middle €110-€200, Upper €200-€350, Luxury >€350

## 2.4.1 End Use : Base Year

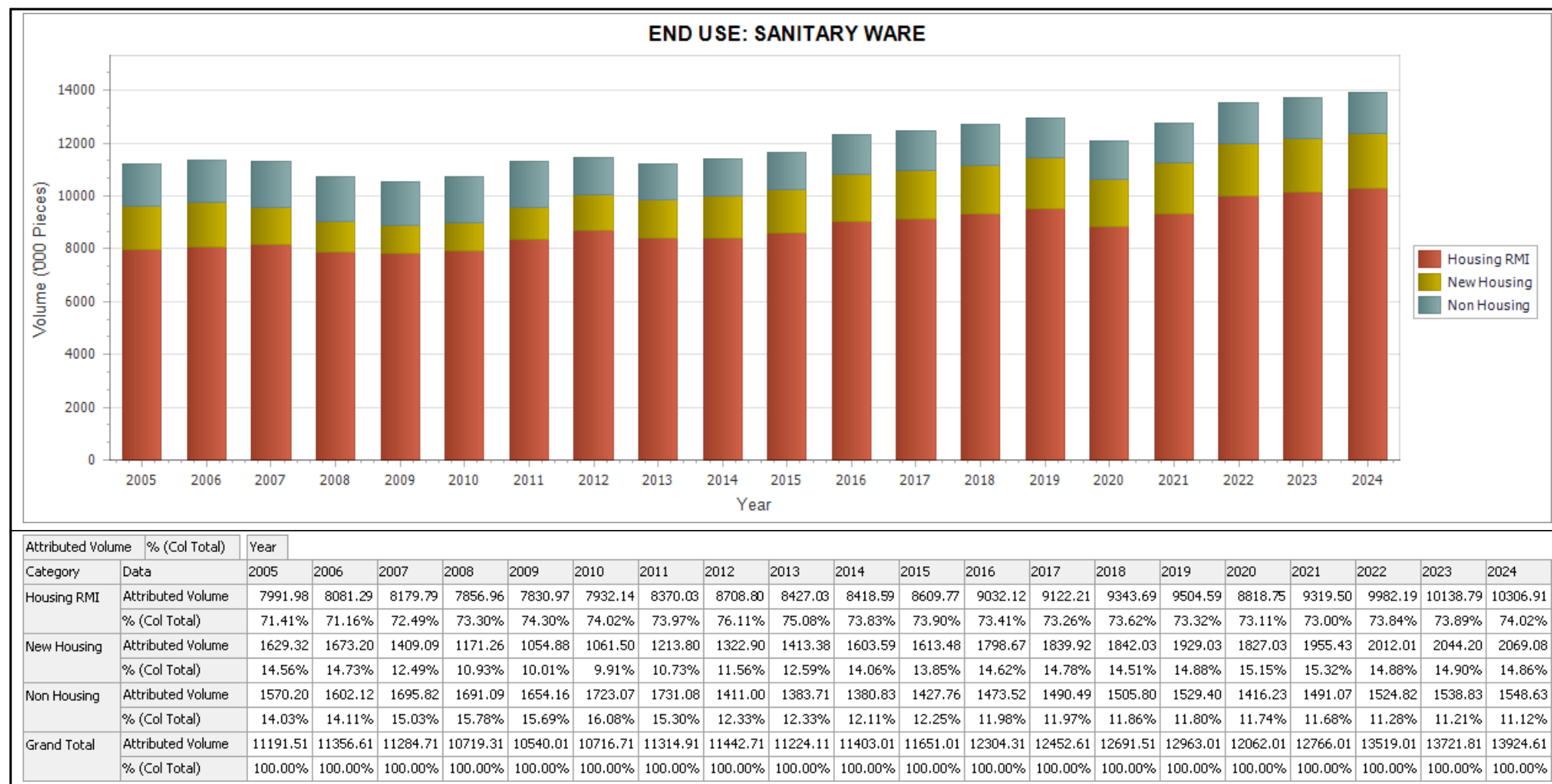
DE - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 2.4.2 End Use : Historical and Forecasts

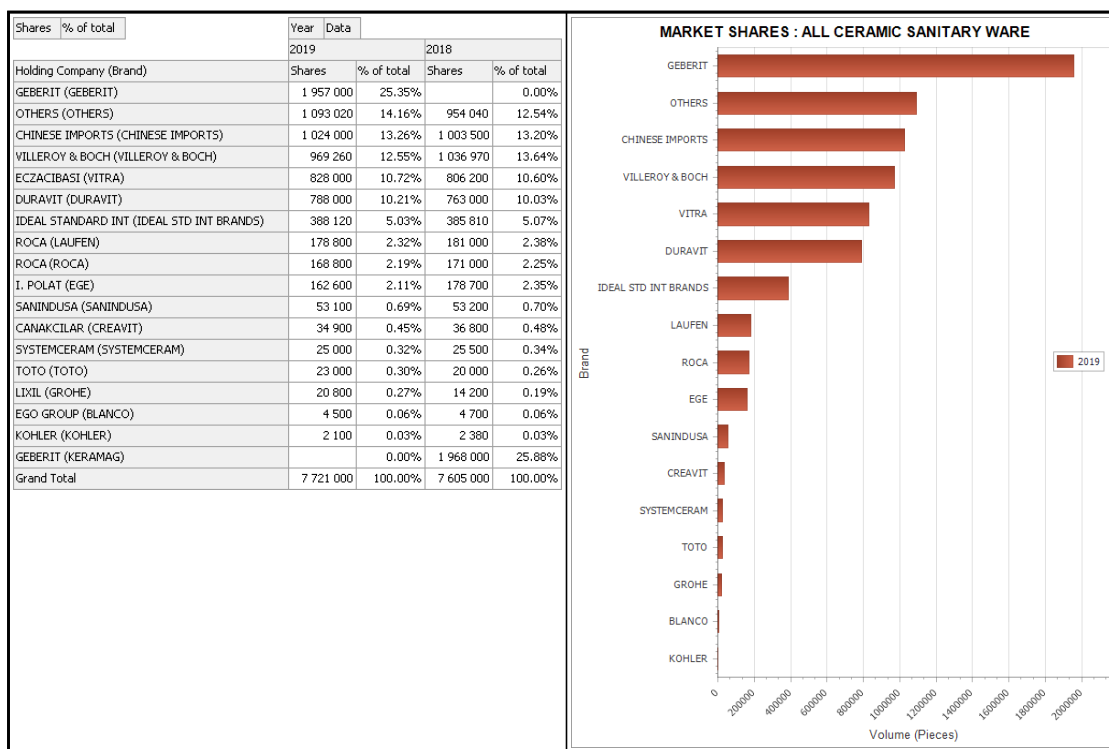
DE - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 2.5.1 Market Shares : All Ceramic Sanitary Ware

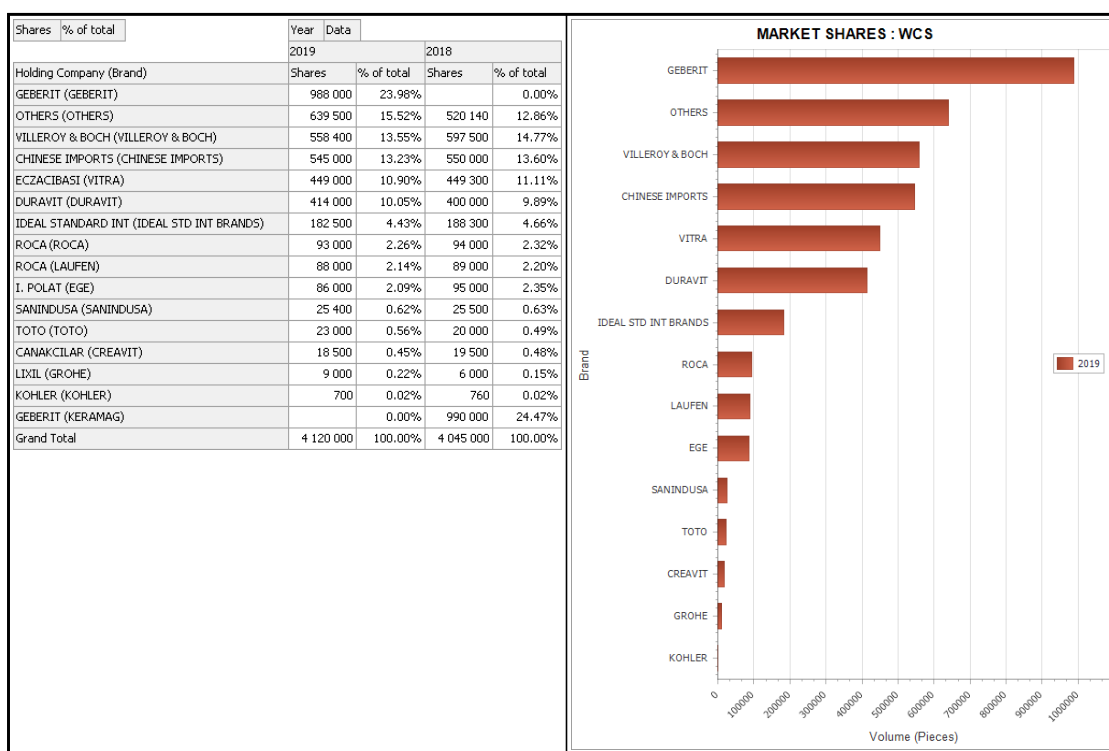
### DE - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

## 2.5.2 Market Shares : WCs

### DE - ESTIMATED MARKET SHARES FOR WCS

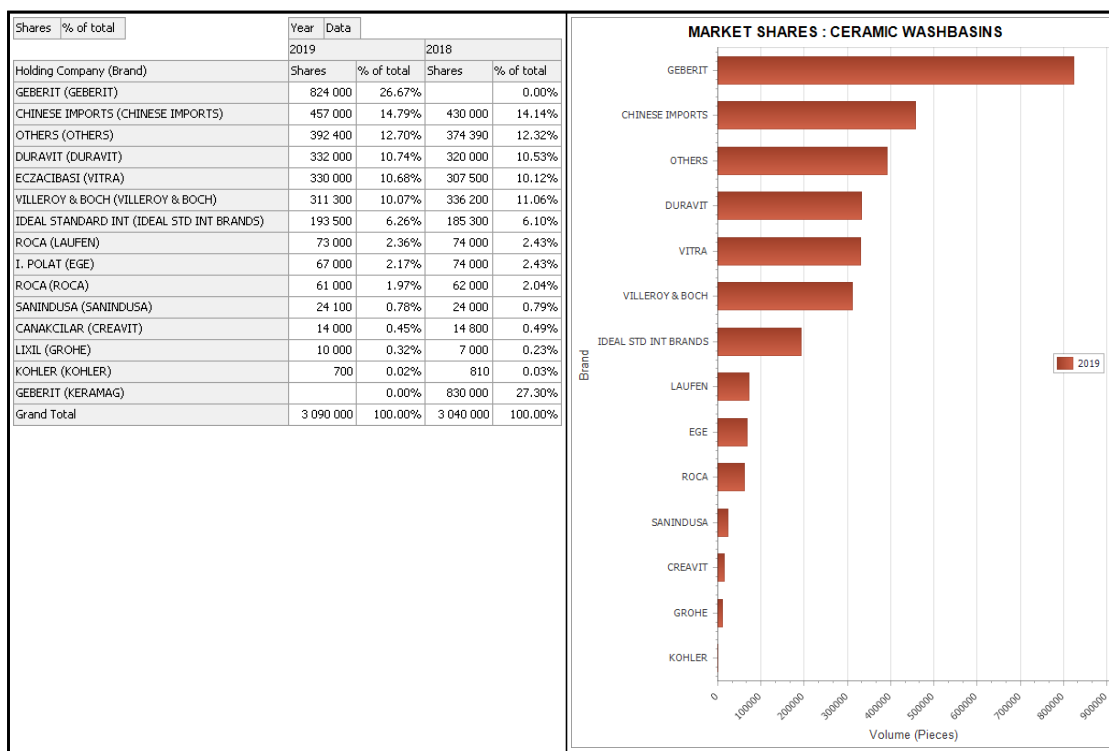


Source: BRG based on industry interviews.



## 2.5.3 Market Shares : Ceramic Washbasins

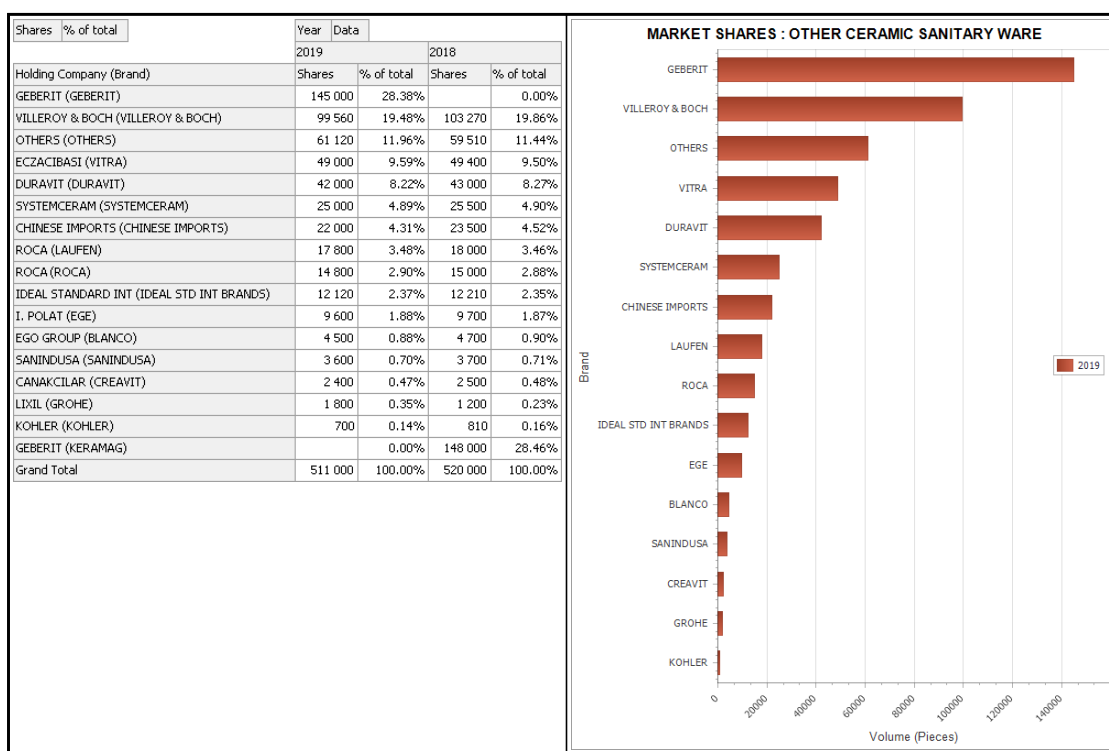
### DE - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

## 2.5.4 Market Shares : Other Ceramic Sanitary Ware

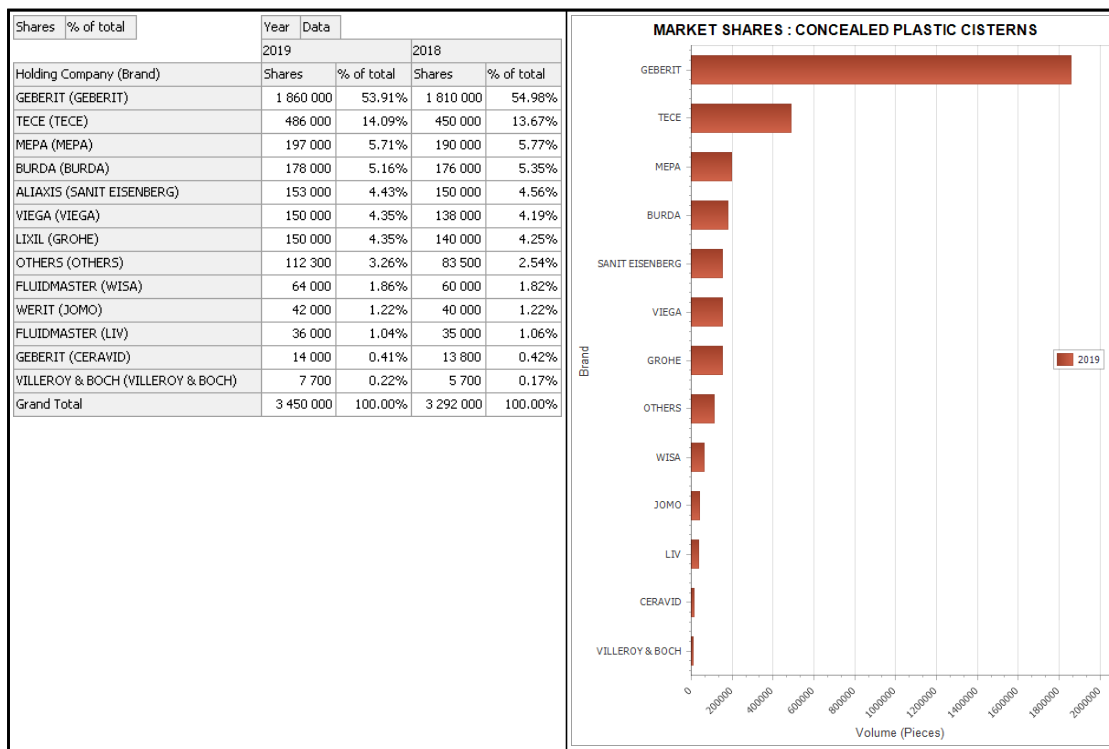
### DE - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

## 2.5.5 Market Shares : Concealed Plastic Cisterns

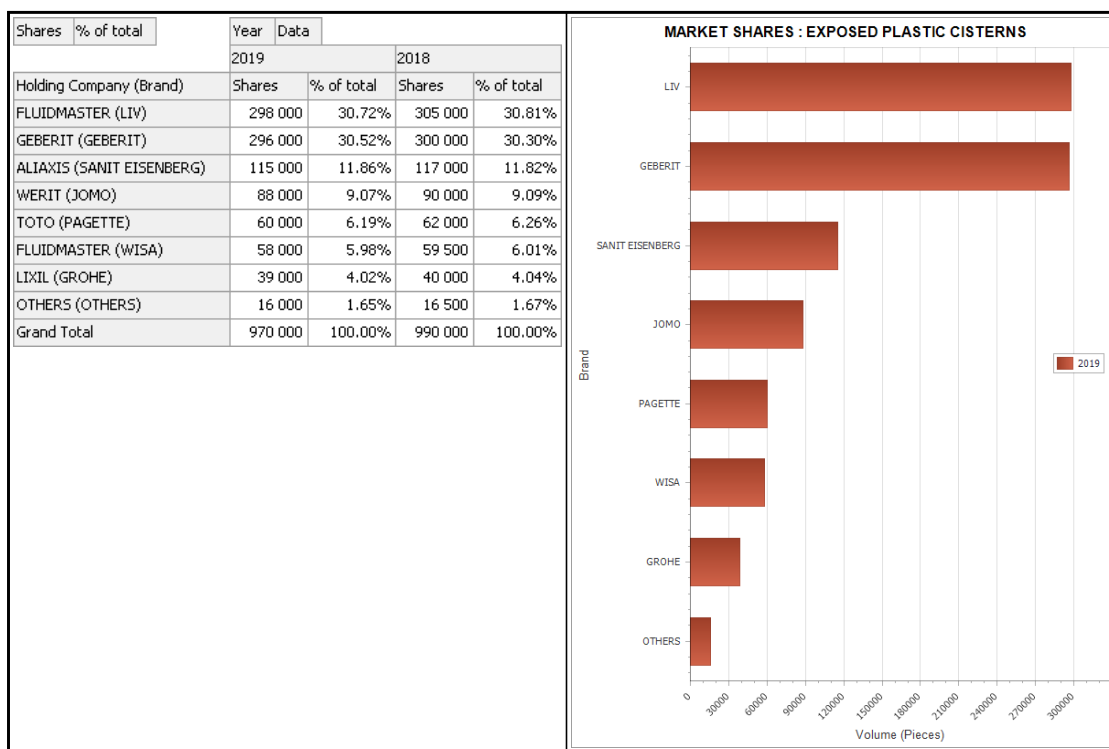
### DE - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

## 2.5.6 Market Shares : Exposed Plastic Cisterns

### DE - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

## 2.6.1 DE - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

| Source Country | 2019           |               |                |               | 2018           |               |                |               |
|----------------|----------------|---------------|----------------|---------------|----------------|---------------|----------------|---------------|
|                | Volume         |               | Value 000      |               | Volume         |               | Value 000      |               |
|                | Tonnes         | %             | Euros          | %             | Tonnes         | %             | Euros          | %             |
| Egypt          | 24 362         | 16.1%         | 29 384         | 7.9%          | 20 933         | 13.8%         | 26 241         | 7.1%          |
| Turkey         | 21 026         | 13.9%         | 41 068         | 11.0%         | 21 380         | 14.0%         | 39 021         | 10.5%         |
| Poland         | 19 596         | 13.0%         | 32 253         | 8.7%          | 19 996         | 13.1%         | 32 507         | 8.8%          |
| China          | 11 877         | 7.9%          | 33 972         | 9.1%          | 10 387         | 6.8%          | 29 033         | 7.8%          |
| Romania        | 9 189          | 6.1%          | 23 182         | 6.2%          | 12 340         | 8.1%          | 28 829         | 7.8%          |
| Hungary        | 7 972          | 5.3%          | 20 906         | 5.6%          | 8 713          | 5.7%          | 19 768         | 5.3%          |
| Italy          | 6 982          | 4.6%          | 28 154         | 7.6%          | 7 312          | 4.8%          | 29 392         | 7.9%          |
| France         | 6 223          | 4.1%          | 31 160         | 8.4%          | 6 402          | 4.2%          | 32 124         | 8.7%          |
| Austria        | 5 677          | 3.8%          | 29 082         | 7.8%          | 6 360          | 4.2%          | 30 258         | 8.2%          |
| Czech Republic | 5 006          | 3.3%          | 12 469         | 3.3%          | 5 089          | 3.3%          | 11 916         | 3.2%          |
| Bulgaria       | 4 697          | 3.1%          | 7 687          | 2.1%          | 5 652          | 3.7%          | 8 698          | 2.3%          |
| OTHERS         | 28 595         | 18.9%         | 83 034         | 22.3%         | 27 623         | 18.2%         | 83 426         | 22.5%         |
| <b>Total</b>   | <b>151 202</b> | <b>100.0%</b> | <b>372 351</b> | <b>100.0%</b> | <b>152 187</b> | <b>100.0%</b> | <b>371 213</b> | <b>100.0%</b> |

Source : Trademap

## 2.6.2 DE - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

| Destination        | 2019          |               |                |               | 2018          |               |                |               |
|--------------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|
|                    | Volume        |               | Value 000      |               | Volume        |               | Value 000      |               |
|                    | Tonnes        | %             | Euros          | %             | Tonnes        | %             | Euros          | %             |
| Netherlands        | 11 944        | 14.9%         | 61 190         | 15.0%         | 10 079        | 12.8%         | 50 271         | 12.8%         |
| Austria            | 7 109         | 8.8%          | 39 001         | 9.6%          | 6 966         | 8.8%          | 39 386         | 10.0%         |
| Belgium            | 6 844         | 8.5%          | 28 291         | 6.9%          | 5 863         | 7.4%          | 24 509         | 6.3%          |
| France             | 6 824         | 8.5%          | 24 666         | 6.0%          | 8 870         | 11.2%         | 28 975         | 7.4%          |
| Poland             | 6 448         | 8.0%          | 27 033         | 6.6%          | 5 373         | 6.8%          | 23 976         | 6.1%          |
| United Kingdom     | 4 989         | 6.2%          | 28 739         | 7.0%          | 5 322         | 6.7%          | 28 931         | 7.4%          |
| Switzerland        | 3 438         | 4.3%          | 42 010         | 10.3%         | 3 455         | 4.4%          | 41 227         | 10.5%         |
| Russian Federation | 2 608         | 3.2%          | 10 360         | 2.5%          | 2 410         | 3.1%          | 9 857          | 2.5%          |
| Italy              | 2 592         | 3.2%          | 12 847         | 3.1%          | 2 663         | 3.4%          | 12 022         | 3.1%          |
| China              | 2 003         | 2.5%          | 13 169         | 3.2%          | 1 955         | 2.5%          | 12 907         | 3.3%          |
| Czech Republic     | 1 877         | 2.3%          | 8 848          | 2.2%          | 1 948         | 2.5%          | 8 144          | 2.1%          |
| OTHERS             | 23 710        | 29.5%         | 111 826        | 27.4%         | 23 964        | 30.4%         | 111 825        | 28.5%         |
| <b>Total</b>       | <b>80 386</b> | <b>100.0%</b> | <b>407 980</b> | <b>100.0%</b> | <b>78 868</b> | <b>100.0%</b> | <b>392 030</b> | <b>100.0%</b> |

Source : Trademap

### 2.6.3 DE - IMPORTS OF PLASTIC CISTERNS 2019

| Source Country | 2019          |               |                |               | 2018          |               |                |               |
|----------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|
|                | Volume        |               | Value 000      |               | Volume        |               | Value 000      |               |
|                | Tonnes        | %             | Euros          | %             | Tonnes        | %             | Euros          | %             |
| Poland         | 5 513         | 28.0%         | 22 950         | 14.9%         | 6 248         | 30.8%         | 26 407         | 16.5%         |
| Switzerland    | 2 396         | 12.2%         | 34 412         | 22.3%         | 2 179         | 10.7%         | 33 315         | 20.8%         |
| Portugal       | 2 102         | 10.7%         | 4 373          | 2.8%          | 2 329         | 11.5%         | 4 592          | 2.9%          |
| China          | 1 863         | 9.5%          | 12 472         | 8.1%          | 1 477         | 7.3%          | 10 111         | 6.3%          |
| Austria        | 1 672         | 8.5%          | 23 126         | 15.0%         | 2 121         | 10.4%         | 27 179         | 17.0%         |
| Netherlands    | 1 297         | 6.6%          | 15 868         | 10.3%         | 1 685         | 8.3%          | 23 028         | 14.4%         |
| Italy          | 1 009         | 5.1%          | 9 808          | 6.4%          | 726           | 3.6%          | 7 512          | 4.7%          |
| Slovenia       | 944           | 4.8%          | 4 695          | 3.0%          | 1 057         | 5.2%          | 5 041          | 3.2%          |
| Czech Republic | 758           | 3.8%          | 6 056          | 3.9%          | 595           | 2.9%          | 4 776          | 3.0%          |
| Turkey         | 686           | 3.5%          | 4 041          | 2.6%          | 456           | 2.2%          | 2 412          | 1.5%          |
| France         | 289           | 1.5%          | 4 201          | 2.7%          | 449           | 2.2%          | 5 318          | 3.3%          |
| OTHERS         | 1 181         | 6.0%          | 12 377         | 8.0%          | 988           | 4.9%          | 10 333         | 6.5%          |
| <b>Total</b>   | <b>19 710</b> | <b>100.0%</b> | <b>154 379</b> | <b>100.0%</b> | <b>20 310</b> | <b>100.0%</b> | <b>160 024</b> | <b>100.0%</b> |

Source : Trademap

### 2.6.4 DE - EXPORTS OF PLASTIC CISTERNS 2019

| Destination        | 2019          |               |                |               | 2018          |               |                |               |
|--------------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|
|                    | Volume        |               | Value 000      |               | Volume        |               | Value 000      |               |
|                    | Tonnes        | %             | Euros          | %             | Tonnes        | %             | Euros          | %             |
| France             | 10 059        | 14.2%         | 55 537         | 11.0%         | 10 044        | 14.4%         | 54 548         | 11.2%         |
| Netherlands        | 5 455         | 7.7%          | 40 431         | 8.0%          | 5 387         | 7.7%          | 39 824         | 8.2%          |
| Poland             | 5 065         | 7.1%          | 31 506         | 6.2%          | 4 480         | 6.4%          | 28 205         | 5.8%          |
| Italy              | 4 885         | 6.9%          | 61 248         | 12.1%         | 4 632         | 6.7%          | 57 379         | 11.8%         |
| Russian Federation | 3 994         | 5.6%          | 24 643         | 4.9%          | 3 502         | 5.0%          | 18 737         | 3.8%          |
| Belgium            | 3 854         | 5.4%          | 28 954         | 5.7%          | 4 073         | 5.9%          | 29 972         | 6.1%          |
| Switzerland        | 3 735         | 5.3%          | 43 816         | 8.7%          | 3 842         | 5.5%          | 44 242         | 9.1%          |
| Austria            | 2 204         | 3.1%          | 22 068         | 4.4%          | 2 188         | 3.1%          | 21 873         | 4.5%          |
| United Kingdom     | 2 195         | 3.1%          | 16 184         | 3.2%          | 2 469         | 3.6%          | 16 121         | 3.3%          |
| Czech Republic     | 2 050         | 2.9%          | 15 857         | 3.1%          | 2 280         | 3.3%          | 16 585         | 3.4%          |
| Spain              | 2 034         | 2.9%          | 10 298         | 2.0%          | 2 224         | 3.2%          | 11 529         | 2.4%          |
| OTHERS             | 25 407        | 35.8%         | 155 961        | 30.8%         | 24 412        | 35.1%         | 148 421        | 30.4%         |
| <b>Total</b>       | <b>70 937</b> | <b>100.0%</b> | <b>506 503</b> | <b>100.0%</b> | <b>69 533</b> | <b>100.0%</b> | <b>487 436</b> | <b>100.0%</b> |

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware  
DE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 85.5%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 85.5%                          |

|              |                           |                    |                      |                     |                             |                    |
|--------------|---------------------------|--------------------|----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>4.8%      | Wholesaler<br>5.1% | Manufacturer<br>4.2% | Wholesaler<br>10.0% | Manufacturer<br>0.9%        | Wholesaler<br>1.3% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                     | <b>Specialist Retailers</b> |                    |
|              | 9.9%                      |                    | 14.2%                |                     | 2.2%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.6%              | 59.1%      | 2.1%     | 3.1% | 1.2%       |
| <b>Installers</b> |            |          |      |            |
| 68.1%             |            |          |      |            |

|               |                      |                    |                  |                        |                    |                    |
|---------------|----------------------|--------------------|------------------|------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.5% | Wholesaler<br>0.0% | Internet<br>7.3% | DIY<br>11.1%           | Specialist<br>0.0% | Installer<br>66.6% |
|               | <b>Residential</b>   |                    |                  |                        |                    |                    |
|               | 85.6%                |                    |                  |                        |                    |                    |
|               | <b>New Build</b>     |                    |                  | <b>Residential RMI</b> |                    |                    |
|               | 13.7%                |                    |                  | 71.8%                  |                    |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                  | <b>Project</b>         | <b>Non-Project</b> |                    |
|               | 5.0%                 | 8.7%               |                  | 14.0%                  | 57.8%              |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.5%                   | 10.0%              | 0.5%     | 0.0%                       | 1.0%               |           |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 14.4%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 5.2%                   |                    |          | 9.2%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 3.1%                   | 2.1%               |          | 3.2%                       | 6.0%               |           |

2.7.2 Route to Market: Ceramic Sanitary Ware  
DE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 85.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 85.0%                          |

|              |                           |                    |                      |                     |                             |                    |
|--------------|---------------------------|--------------------|----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>4.9%      | Wholesaler<br>5.3% | Manufacturer<br>4.3% | Wholesaler<br>11.0% | Manufacturer<br>0.7%        | Wholesaler<br>1.3% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                     | <b>Specialist Retailers</b> |                    |
|              | 10.2%                     |                    | 15.3%                |                     | 2.0%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.4%              | 58.0%      | 2.3%     | 3.1% | 1.0%       |
| <b>Installers</b> |            |          |      |            |
| 66.8%             |            |          |      |            |

|               |                      |                    |                  |                        |                    |                    |
|---------------|----------------------|--------------------|------------------|------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>1.1% | Wholesaler<br>0.0% | Internet<br>7.4% | DIY<br>12.2%           | Specialist<br>0.0% | Installer<br>65.7% |
|               | <b>Residential</b>   |                    |                  |                        |                    |                    |
|               | 86.4%                |                    |                  |                        |                    |                    |
|               | <b>New Build</b>     |                    |                  | <b>Residential RMI</b> |                    |                    |
|               | 13.6%                |                    |                  | 72.8%                  |                    |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                  | <b>Project</b>         | <b>Non-Project</b> |                    |
|               | 6.0%                 | 7.6%               |                  | 15.0%                  | 57.8%              |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.6%                   | 9.4%               | 0.5%     | 0.0%                       | 1.0%               | 1.1%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 13.6%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 5.3%                   |                    |          | 8.3%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 3.2%                   | 2.1%               |          | 3.4%                       | 4.9%               |           |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

DE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

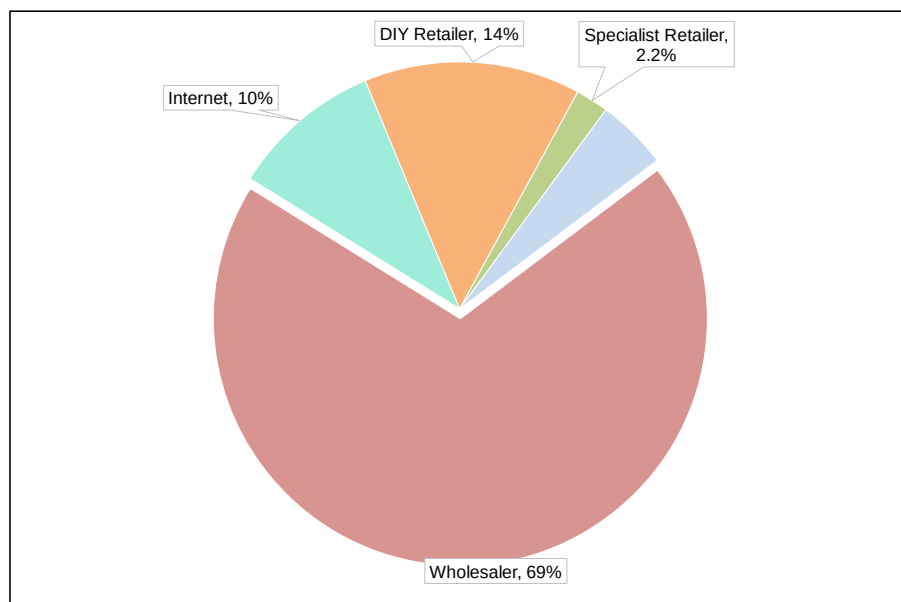
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 69.1%                           | 9.9%     | 14.2%        | 2.2%                | 4.6%    | 19.0%       | 6.3%            | 66.6%       | 8.1%            |
| 100%                            |          |              |                     |         | 25.3%       |                 | 74.7%       |                 |

### 2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

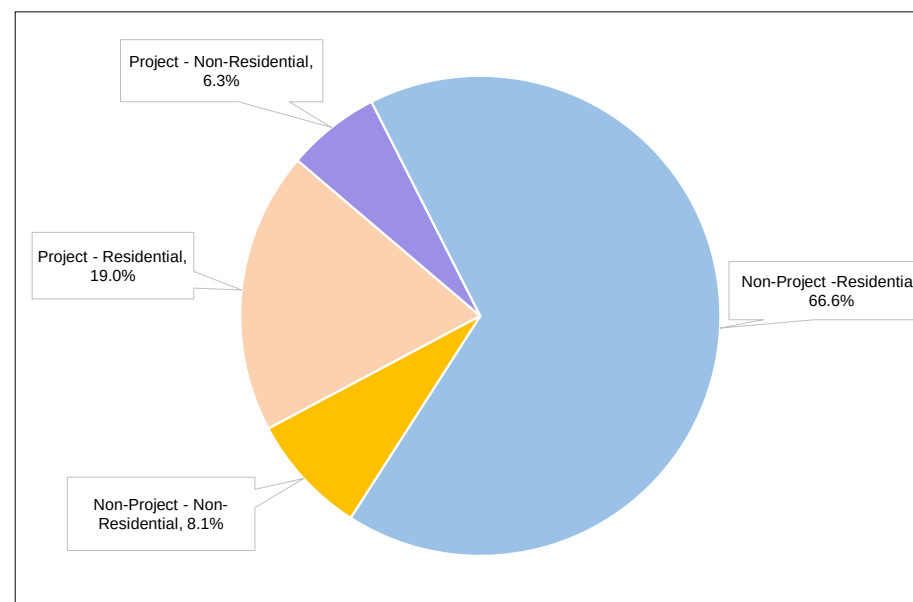
DE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 67.4%                           | 10.2%    | 15.3%        | 2.0%                | 5.1%    | 21.0%       | 6.6%            | 65.4%       | 7.0%            |
| 100%                            |          |              |                     |         | 27.6%       |                 | 72.4%       |                 |

DE - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns  
DE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 85.1%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 85.1%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.4%      | Wholesaler<br>2.0% | Manufacturer<br>6.5% | Wholesaler<br>2.0% | Manufacturer<br>0.1%        | Wholesaler<br>0.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 5.4%                      |                    | 8.5%                 |                    | 0.1%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 0.9%              | 79.1%      | 2.0%     | 2.0% | 0.1%       |
| <b>Installers</b> |            |          |      |            |
| 84.1%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.5% | Wholesaler<br>0.0% | Internet<br>3.4%   | DIY<br>6.5%            | Specialist<br>0.0% | Installer<br>82.1% | Manufacturer<br>3.4%   | Wholesaler<br>2.0% | Internet<br>0.0%   | DIY<br>0.0%                | Specialist<br>0.0% | Installer<br>2.0%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 92.6%                |                    |                    |                        |                    |                    | 7.4%                   |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 14.0%                |                    |                    | 78.6%                  |                    |                    | 4.0%                   |                    |                    | 3.4%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 6.0%                 |                    | 8.0%               | 16.0%                  |                    | 62.6%              | 3.0%                   |                    | 1.0%               | 3.0%                       |                    | 0.4%               |

2.7.6 Route to Market: Plastic Cisterns  
DE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 85.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 85.0%                          |

|              |                           |                    |                      |                    |                             |                    |
|--------------|---------------------------|--------------------|----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.5%      | Wholesaler<br>2.2% | Manufacturer<br>7.0% | Wholesaler<br>2.2% | Manufacturer<br>0.1%        | Wholesaler<br>0.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b> |                    | <b>Specialist Retailers</b> |                    |
|              | 5.7%                      |                    | 9.2%                 |                    | 0.1%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 1.7%              | 78.6%      | 2.2%     | 2.2% | 0.1%       |
| <b>Installers</b> |            |          |      |            |
| 84.8%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.7% | Wholesaler<br>0.0% | Internet<br>3.5%   | DIY<br>7.0%            | Specialist<br>0.0% | Installer<br>81.8% | Manufacturer<br>2.0%   | Wholesaler<br>2.0% | Internet<br>0.0%   | DIY<br>0.0%                | Specialist<br>0.0% | Installer<br>3.0%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 93.0%                |                    |                    |                        |                    |                    | 7.0%                   |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 13.9%                |                    |                    | 79.1%                  |                    |                    | 4.0%                   |                    |                    | 3.0%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 6.5%                 |                    | 7.4%               | 17.0%                  |                    | 62.1%              | 3.0%                   |                    | 1.0%               | 2.6%                       |                    | 0.4%               |

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

### 2.7.7 Route to Market - Consolidated View : Plastic Cisterns

DE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

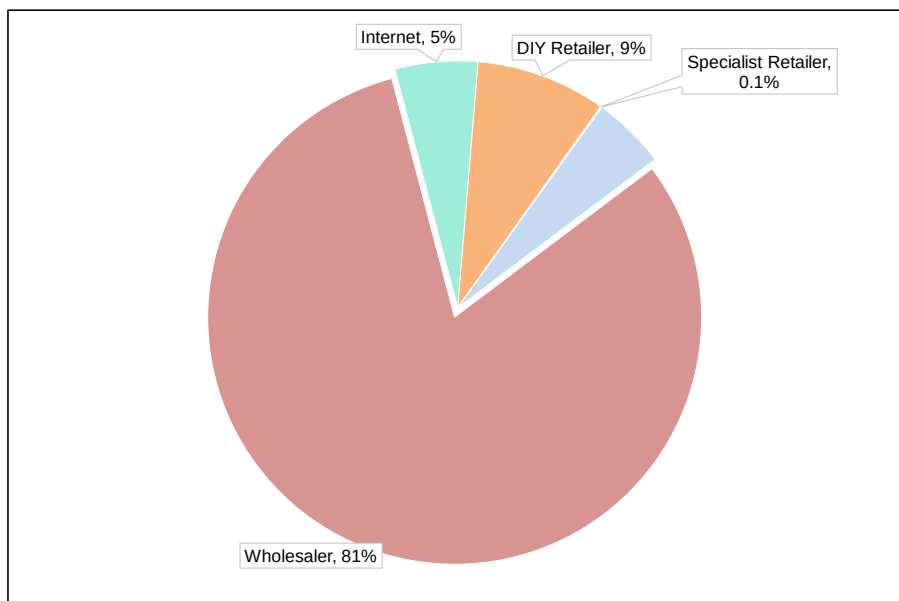
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 81.2%                           | 5.4%     | 8.5%         | 0.1%                | 4.8%    | 22.0%       | 6.0%            | 70.6%       | 1.4%            |
| 100%                            |          |              |                     |         | 28.0%       |                 | 72.0%       |                 |

### 2.7.8 Route to Market - Consolidated View : Plastic Cisterns

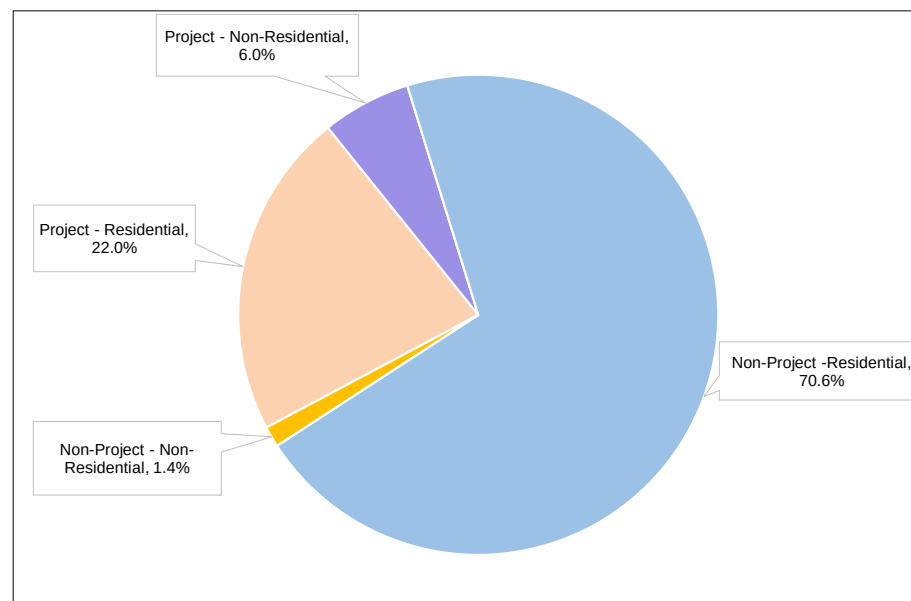
DE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 80.6%                           | 5.7%     | 9.2%         | 0.1%                | 4.4%    | 23.5%       | 5.6%            | 69.5%       | 1.4%            |
| 100%                            |          |              |                     |         | 29.1%       |                 | 70.9%       |                 |

DE - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

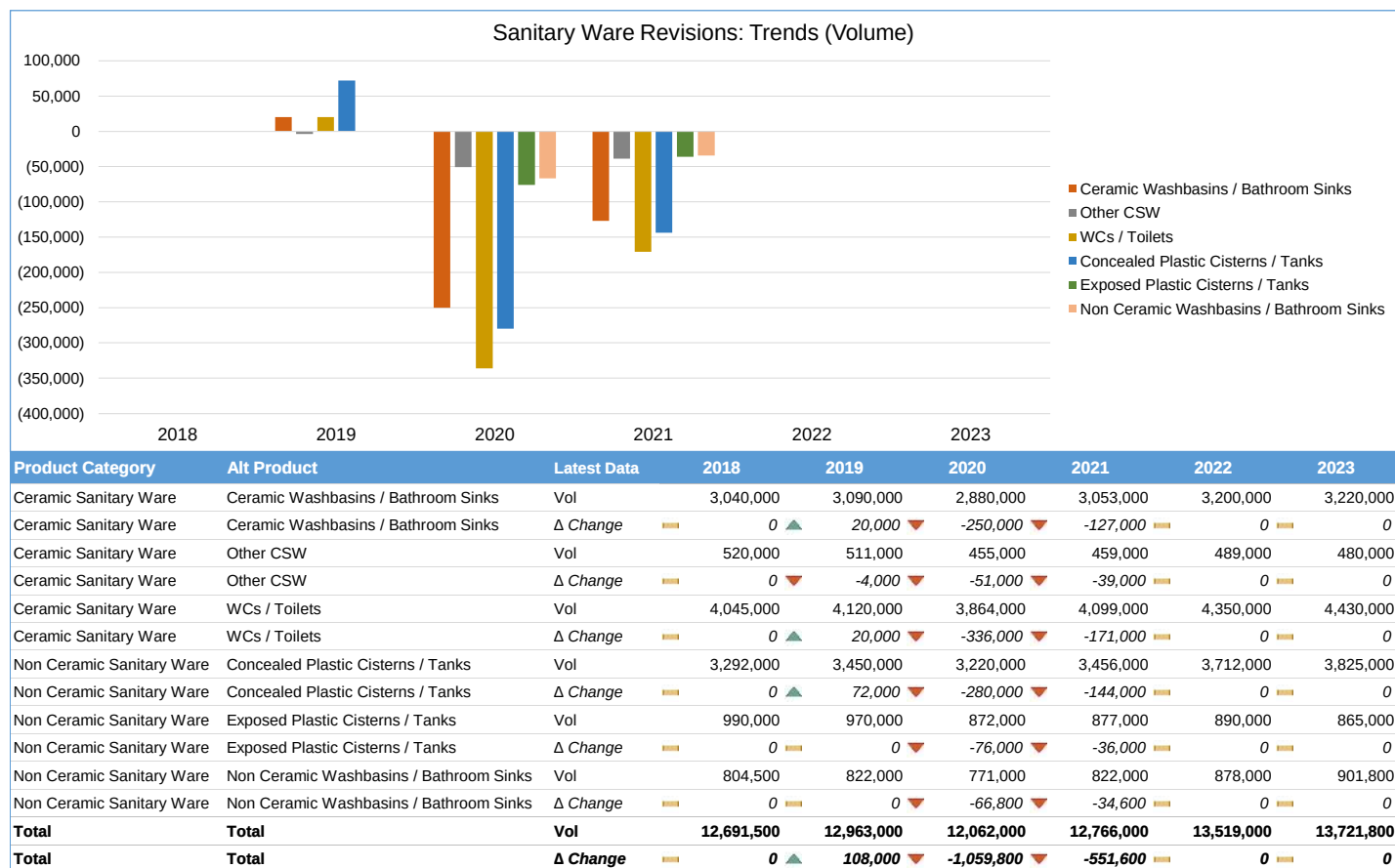
\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.



## 2.8 Revisions in the German Sanitary Ware Market (April 2020)

DE - REVISIONS IN THE GERMAN SANITARY WARE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

The MSP for washbasins was revised upwards between 2012 and 2018 as a result of a more in depth price analysis, which now takes into consideration the average prices of seven types of ceramic washbasins. Moreover, the MSP for countertop washbasin was significantly revised upwards according to industry feedback. Overall, the higher MSP reflects the various price segments in a more realistic way

# GERMANY

## TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Market Characteristics and Technological Trends**

The overall German taps and mixers market is a mature market, like that for ceramic sanitary ware, with sales' developments correlated to the overall economic climate, RMI investments and construction expenditure. Sales grew particularly strongly during the end of the 1980s, due to the positive effects of the reunification and revived consumer expenditure. The two long-term trends in the market are from two head to one head mixers and, more recently, from one and two head mixers to thermostatic mixers. Concealed models, mostly thermostatic, have also become more popular in Germany, in particular in the southern regions. The share of concealed models differs strongly per manufacturer.

At the ISH 2019 in Frankfurt one of the main topics were the colour trends. Most manufacturers presented a colourful assortment of taps and mixers at the exhibition. According to industry feedback, there has been an increasing interest in colours such as black and gold to some extent. Sales of coloured mixers are thought to represent only a marginal share of the total market. For the kitchen sinks, the most popular product is the one head mixer. Although two head mixers were historically a popular choice for installation in kitchen sinks, less so in bathroom applications, sales have gradually been declining. DIY stores had originally encouraged the development from two head to one head models, both through their product range and low retail prices.

Thermostatic mixers were introduced to the market for safety and comfort reasons, being mostly used in shower applications, these are now slowly gaining popularity also in the bath segment. The share of thermostatic mixers in showers continues to increase, in particular in combination with shower pipes. Since the concealed models have arrived in the DIY stores, sales numbers are slowly growing, and they are taking further share from exposed ones. Also, electronic self-closing taps and mixers are gaining market shares from manual taps and mixers, especially in the case of non-residential applications.

Flushing valves are a substitute product for WC cisterns. In the past, they were used both in residential and non-residential buildings. As they are directly connected to water pipes, flushing valves require a high pressure in the pipe work, which cannot be achieved in all residential dwellings. The longer and smaller the pipes, the more difficult it is to establish the necessary pressure. In older bathrooms, there is often a separate pipe for the WC installed to prevent interference with the water supply for the shower. Therefore, over the years, cisterns replaced most flushing valves in residential buildings. Moreover, flushing valves are much louder than cisterns and less appreciated in homes. In commercial and public buildings, however, there is still demand for this type of system, as it is generally said to be less likely to be vandalised and to use less water. Flushing valves also require no waiting time before the next flush. Many public urinals are equipped with flushing valves. Electric systems introduced in the 1990s are very hygienic and popular for public buildings with many visitors.

Self-closing and electronic taps are designed to stop the water flow after a predetermined time, and be operated either manually or automatically, or without physical contact, and are state of the art when it comes to water saving and ease of operation in public, semi-public and commercial sanitary and kitchen areas. Self-closing taps have historically been installed in public spaces, but usually with manual mechanisms. Different articles within German hygiene law demand the use of contactless systems in certain environments such as restaurants, food processing workplaces, hospitals, and public swimming pools. New products include models that are a combination of one head and electronic. The overall demand for both self-closing and electric taps is dependent upon the development from the non-residential market, as residential installations are still limited. Digital mixers, which are fitted with a digital and wireless mixing device, have also been introduced to the German market, such as GROHE's Allure F-Digital model, but the uptake of these kind of products has been relatively slow. These models are available for installation in both kitchens and bathrooms. The water flow is operated by pressing a button that is mounted on the wall or edge of the application, and the water flow can easily be adjusted.

### **Recent Market Trends**

In 2019, the German taps and mixers market increased with a slightly stronger growth rate when compared to the previous year. Certain distribution channels and products grew more than others. There was increasing demand from new housing dwellings, which kept installers and specialists working at full capacity. According to manufacturers' feedback, potential business was procrastinated due to long waiting lists and high demand of installers. The intention of installers is not to do many bathrooms, but rather to focus on projects that are most profitable. Overall, sales through wholesalers had a marginal increase, whereas DIY and online stores gained share. Overall, sales of sanitary taps and mixers slightly increased in volume when compared to the previous year. The kitchen taps and mixers market performed better than the sanitary market in terms of growth rate. This development underlines the recent trend of Germans investing into kitchens, especially when having to wait for up to half a year and longer to renovate their bathroom.

It is mainly the lower and upper/luxury price segments that are growing, even if the middle market is remaining strong across all taps and mixers applications. Strong demand comes from the premium segment because installers often prefer to purchase and install upper price models which, in turn, allow them to increase their margins when compared to installation of a few lower price models. Since there is more work than availability, installers are in the position to choose jobs that bring them bigger margins. Minor jobs are usually covered by going into DIY stores or online orders. Furthermore, there is high demand from new housing and the number of new construction permits issued, mainly for multi-family houses, grew disproportionately to new housing completions. There is an increasing backlog of accepted construction permits that are being delayed because of limited capacity.

Thermostatic mixers are the best performing segment after one head mixers. Thermostatic mixers are becoming the preferred type installed in new dwellings, especially in shower applications, mostly gaining share from one head mixers. Thermostatic mixers continued to benefit from higher demand for showers, as opposed to baths, in both the new housing and housing RMI sectors. Consequently, the increase in thermostatic mixer sales marginally hampered growth for one head mixers. Since thermostatic mixers have been on the market for many years, their volumes increase gradually with a growth rate that is just slightly above market average. Demand depends on a region's water quality. If sanitary water is rich in limescale, then end users are less likely to spend more money for a thermostatic mixer.

Demand for two head mixers continued to weaken and sales volumes continued to decline. Two head mixers do not offer a feasible price advantage anymore and demand is limited to classical designs from '20s and '30s bathroom styles. The share of electronic taps and mixers continued to increase on the expense of self-closing taps due to demand from non-residential buildings such as hospitals, offices, and recreational buildings. Electronic taps are becoming the preferred option in public places, where hygiene is of great importance.

There is a trend to install taps in a complete system, together with furniture and washbasin. While before a single washbasin was replaced together with a tap, complete system including furniture are an increasing choice by German end users. Such complete systems are offered by DIY and furniture stores and can easily be ordered online

Demand for washbasin, kitchen and shower taps and mixers increased in 2019. Demand from showers generated the strongest growth rate, followed by kitchens and washbasins. This is in line with the ongoing trend towards showering. End users invest more in their showers and look for more convenient solutions. Moreover, there is a trend in new housing to install two bathrooms with two showers, rather than one main bathroom and a guest toilet. The number of showers is increasing in new dwellings and from bathroom renovations, where an old bath is replaced by a large shower. Demand for new kitchen continues to be on a high level and the trend to spend more money was similar to previous years. Demand for bath and bidet taps and mixers was slightly negative in 2019 as both products are outdated. Not only are they used less frequently, but during a renovation they might be substituted with a larger shower or a shower toilet. End users might even not be bothered to replace broken taps and mixers because they hardly make use of them anyway.

### Prices and Market Values

BRG has taken a new approach to compiling its price and value data for taps & mixers in 2019, in order to provide a more useful view of the markets. Price and value estimates are now segmented at an application level as opposed to a product category level, as previously. As a result, BRG price segmentation and value data

is now structured in terms of applications such as baths, bidets, washbasins, shower, kitchens.

Average MSPs for all products increased in 2019, according to the normal price increase, to compensate for inflation, higher production, and material costs. Some manufacturers are seizing the opportunity to increase prices while economy and demand are favourable. Low-priced products are mainly found in DIY and online stores. Food discount stores such as ALDI and LIDL might also offer taps and mixers in weekly special deals. Low cost products are often imported from abroad. Some established manufacturers might offer the same taps and mixers through different distribution channels. According to distribution channel, the same product might be offered at different price ranges. For example, a sanitary tap bought in a DIY or online store might be up to three times less expensive than the same product distributed by an installer or showroom. While this might be true for some product ranges, it is more common for large manufacturers to have a lower priced product range to sell through alternative distribution channels. Nowadays, there is a large offer of affordable taps and mixers on the market. The DIY offers not just the price entry segment, but also products with attractive design and good quality for an affordable price. Often, such products are from well-known manufacturers.

Luxury taps and mixers are mainly supplied by German manufacturers that serve exclusive private and commercial customers with expensive branded products. DORNBACHT is believed to represent the leader in the luxury segment or 'design market', followed by KEUCO. The middle-priced categories are expanding their product portfolio with design-oriented products to make them more attractive for consumers. According to industry feedback, there is a trend away from the middle price segment towards either the higher or lower price segments. If an end user can afford it, the choice would be towards a more expensive taps and mixers that reflects one individual taste. On the other side, if an end user is more price sensitive, the choice would be towards a cheaper product with a good quality.

### New Housing

In 2019, new housing completions increased significantly in comparison to the previous year benefitting from favourable economic conditions such as low interest, mortgage rates, and unemployment rates. Sales of taps and mixers in new housing have a relatively small share of total sales, which is slightly lower than non-housing. However, the German taps and mixers market benefited from a strong increase in new construction, which corresponds to the growth rate of new housing when compared to the previous year. Positive demand from new housing led to sales increases in all types of taps and mixers for all applications, with strongest growth rates from kitchens and showers. Concealed taps and mixers are mostly sold in the new housing sector, and their share has increased. The installation in the existing bathrooms is less common due to costly modifications that are required to be carried when a consumer decides to do so.

## Housing RMI

Replacement demand accounted for most sales in the taps and mixers market, which is a typical phenomenon for mature markets such as in Germany. Total residential RMI activities underwent a small increase in 2019. Despite a limited number of installers in Germany, end users in need of full bathroom renovations or of like-for-like replacements made use of alternative services and distribution channels. According to industry feedback, sales through DIY and e-commerce increased, whilst sales through traditional three step remained flat. The main reason is that installers are keener on accepting projects that involve a complete bathroom installation, which offers higher margins than the ones gained by replacing a single mixer. It is worth mentioning that the gap of end users in need of a bathroom renovation and the number of available installers has been growing in the recent years. Since the number of professional installers is not increasing at the same pace, there is an expanding potential for businesses to fill that gap. It is not just DIY brands that are aware of this growing demand, alternative business models seem to have caught the interest of consulting companies and entrepreneurs. One of a few examples is BADIA, an online service that allows end users to create an individual bathroom solution online. Various steps of the distribution process are coordinated in such a way, that a bathroom can be installed at a lower cost and in less time.

It is a matter of fact that most taps and mixers have a shorter lifespan than, for example, ceramic sanitary ware. Most taps and mixers are sold as individual replacement products. In terms of product mix, one head taps continue to be the most sold product. Like-for-like replacements are common in the RMI sector. However, a slight shift towards the use of thermostatic mixers is attributed to the ongoing trend of showering, with a preference for extra-large showers and the use of shower pipes for example. Demand for pillars, one head and thermostatic taps and mixers increased, whilst sales of self-closing, electric and two head taps and mixers declined in 2019.

## Non-Housing

Total non-residential construction output slightly increased in 2019, after a strong year 2018. Demand mainly comes from industrial, education and healthcare buildings. In contrast to 2018, new non-housing building expenditure slightly declined in 2019. All types of buildings had a negative development, except for buildings for education and miscellaneous. Overall, there was a decrease of the demand for all types of taps and mixers applications, except for kitchen and washbasin taps and mixer in 2019.

Electronic mixers are mainly found in the non-housing segment and demand for this product was positive in all non-housing application. Electronic mixers had the highest growth rate in the non-housing sector. The positive development can be explained from a technical point of view. Electronic taps are designed to stop the water flow after a predetermined time and are operated without physical contact.

Their main advantages are saving water and preventing the spread of illness. The last point is particularly relevant in certain public buildings, such as hospitals and schools. Thermostatic mixers for washbasin applications are slowly gaining popularity in the non-housing building such as hospitals and schools. In education and healthcare buildings, thermostatic mixers are installed for shower and washbasin applications to comply with the German regulations for drinking water installations.

The non-residential segments with the highest growth rates in 2019 was from education as the German government has allocated a huge budget for the modernisation of German schools, many of which are in a desperate condition. There is a great demand to renovate bathrooms in public schools. In contrast to previous years expenditure for new healthcare buildings declined in 2019. Overall, products such as electronic flushing valves, electronic and one head taps and mixer could benefit from bathroom renovations in the non-housing segment.

### **Supply Structure**

The supply structure in the German taps and mixers market is changing. The traditional three step distribution channel is struggling to meet the growing demand from German consumers. Alternatives are slowly introduced to the German market. In 2018 REUTER opened their first showroom in Düsseldorf, where consumers can have a look at a selection of products before purchasing them online. Germany's main manufacturers GROHE and HANSGROHE are increasingly supplying DIY stores with products that are on a comparable price range to unbranded products. Manufacturers tend to focus more on selling their own products, instead of only relying upon the wholesale. Some manufacturers believe that the role of wholesalers is likely to change in future. Most taps and mixers, especially in the upper-priced segments, are produced locally and the highest concentration of producers is located at the eastern end of the Ruhr, around Iserlohn and Herne. However, all major European manufacturers also have manufacturing sites abroad, except for DORNBRACHT which produces only in Germany. GROHE, for example, produces in Portugal, China, and Thailand. HANSGROHE has production facilities in France and IDEAL STANDARD in Italy, Portugal, Bulgaria, and the Netherlands.

Domestic manufacturers continue to dominate the overall market for taps and mixers, although their share is slightly more for sanitary than it is for kitchens. The top three players in the traditional distribution channels, GROHE, HANSGROHE and HANSA, are all long established German manufacturers, although both GROHE and HANSGROHE are now owned by foreign capital: Japanese LIXL and American MASCO, respectively. According to import statistics, most taps and mixers in Germany come from China, Portugal, Thailand, Italy, Bulgaria, Austria, the Netherlands, and Poland. China, Portugal, and Thailand account for almost three quarters of all imported taps and mixers.

Another important German manufacturer for taps and mixers is SEE (SCHÜTTE), who mainly sells through the DIY, e-commerce, and discounter stores. SEE (SCHÜTTE) produces its own products, which are sold under the SCHÜTTE brand,



other brands, and OEM products to furniture shops for example. The sales in the market share table for SEE (SCHÜTTE) include all branded sales from SEE holding and exclude OEM sales. In 2011 the manufacturer FRANZ JOSEPH SCHÜTTE was bought by KIRCHHOFF and since 2015 it is part of the SEE HOLDING, which employs more than 150 employees in Wallenhorst in Germany, Salzburg in Austria, and Hong Kong. SCHÜTTE produces all their products according to German quality standards in the Far East. SCHÜTTE is market leader and distributes most of its taps and mixers through DIY, followed by furniture specialist stores and occasional limited offers in food discount stores such as ALDI and LIDL.

Looking closer at the different application segments, either GROHE or HANSGROHE dominate all markets, except for the kitchen and taps market. The kitchen and taps market is believed to be dominated by EGO GROUP (BLANCO) and SEE (SCHÜTTE).

Looking closer at the different types of taps and mixers, it is believed that IDEAL STANDARD is the market leader for self-closing taps. GROHE and HANSGROHE are the strongest players for thermostatic mixers with an expected share of almost two thirds of the total market with HANSA and KLUDI following quite far behind.

Another important player on the Germany DIY market is SANITOP WINGENROTH, who is a full-range supplier of DIY stores, project related sales and e-commerce websites. SANITOP WINGENTROTH is believed to manufacture their own taps and mixers, however, the volume is believed to be marginal when compared to their total taps and mixers sales.

The suppliers for the flushing valve market are LIXL (GROHE) and SCHELL, closely followed by GEBERIT and FRANKE (AQUAROTTER). There are also some smaller domestic companies, such as BENKISER and FRIEDRICH GAMPPER (the NIL brand, not to be mistaken for GAMPPER ARMATUREN).

## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Germany's sanitary taps and mixers market is a mature market, in which rapid growth usually is difficult to achieve. For 2020 it is expected that the market will drop significantly as a result of the COVID-19 crisis. While in 2021 the aftereffects of the COVID-19 crisis are likely to continue to influence the total market, it is expected that in 2022 a boost in sales will be triggered by postponed new housing

and renovation activities. The market is believed to recover quickly to its original size from 2022 onwards.

Demand will develop in alignment with increasing new housing construction from 2021 onwards. The construction is estimated to rebound to a high level, after the effects of the COVID-19 crisis wear off during 2021. Even before the crisis, there was a growing backlog of new housing projects, as well as demand for living space and bathroom renovations. Such projects usually require long term planning and are likely to be realised when possible. For the taps and mixers market this is believed to result in a positive sales development, for both the RMI and new housing segment after the year 2020.

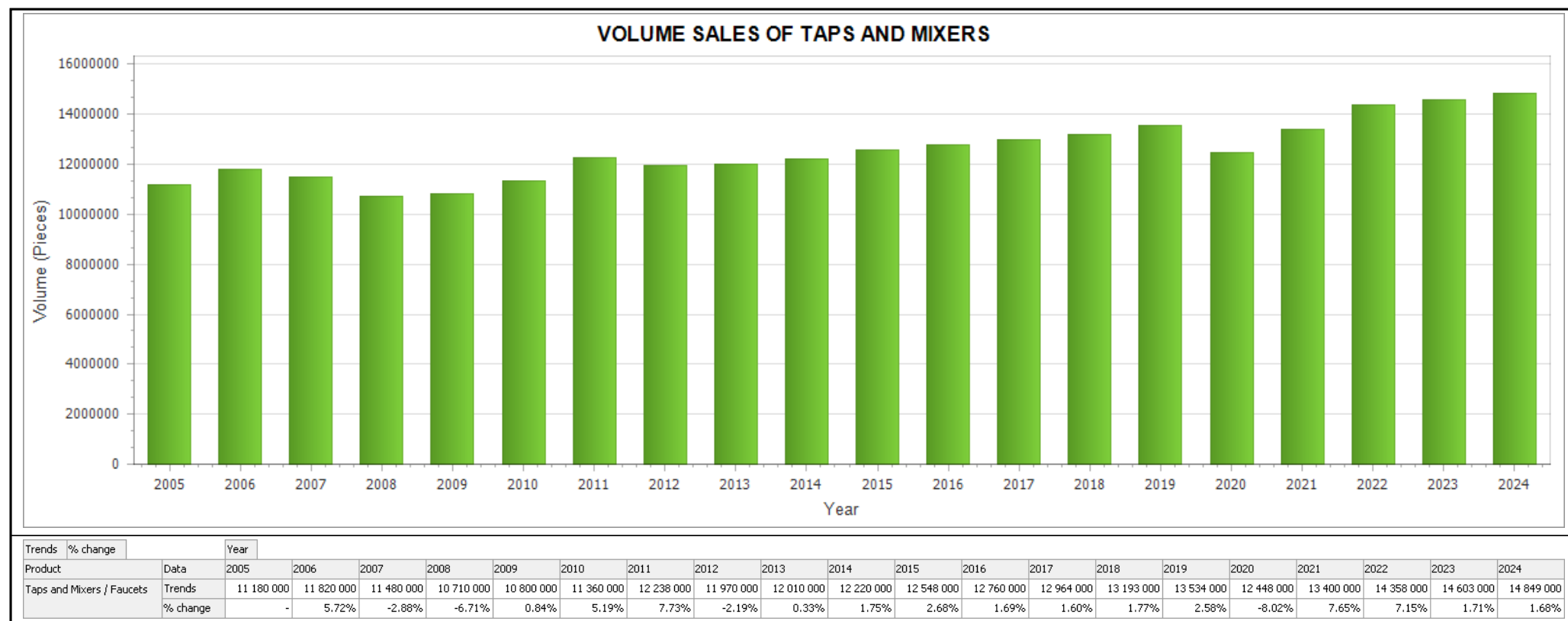
The non-housing segment is expected to perform worse than before the COVID-19 crisis and the pre-crisis value is expected not to be reached so quickly. The reason is that governments support during the COVID-19 crisis might negatively affect the budget for future non-housing projects and renovations.

The shift towards products in the upper and luxury price segments is expected to continue in the upcoming years, e.g. for wall concealed taps and mixers as well as coloured ones, which are usually in the upper price segment. The market for taps and mixers is expected to grow faster in terms of value than in volume. At the same time, there is a trend towards cheaper products, which nowadays have a relatively good quality. This opposing development might lessen the MSP growth.

As the German taps and mixers market lacks professional installers. it is likely this situation is not going to change over the forecast period as the pool of qualified installers in Germany is further decreasing and this may prevent RMI sales from reaching full potential. Business alternatives are emerging to meet the demand without being dependent on installers and extreme long waiting periods. As regards complete refurbishments of bathrooms, it is expected that the number is likely to increase. Given the demographic changes, the number of bathroom renovations adapted to the needs of elderly people is likely to grow during the forecast period. The forecast for RMI activity is expected to remain positive towards the end of the forecast period.

### 3.2 Historical Trends and Forecasts : Taps and Mixers

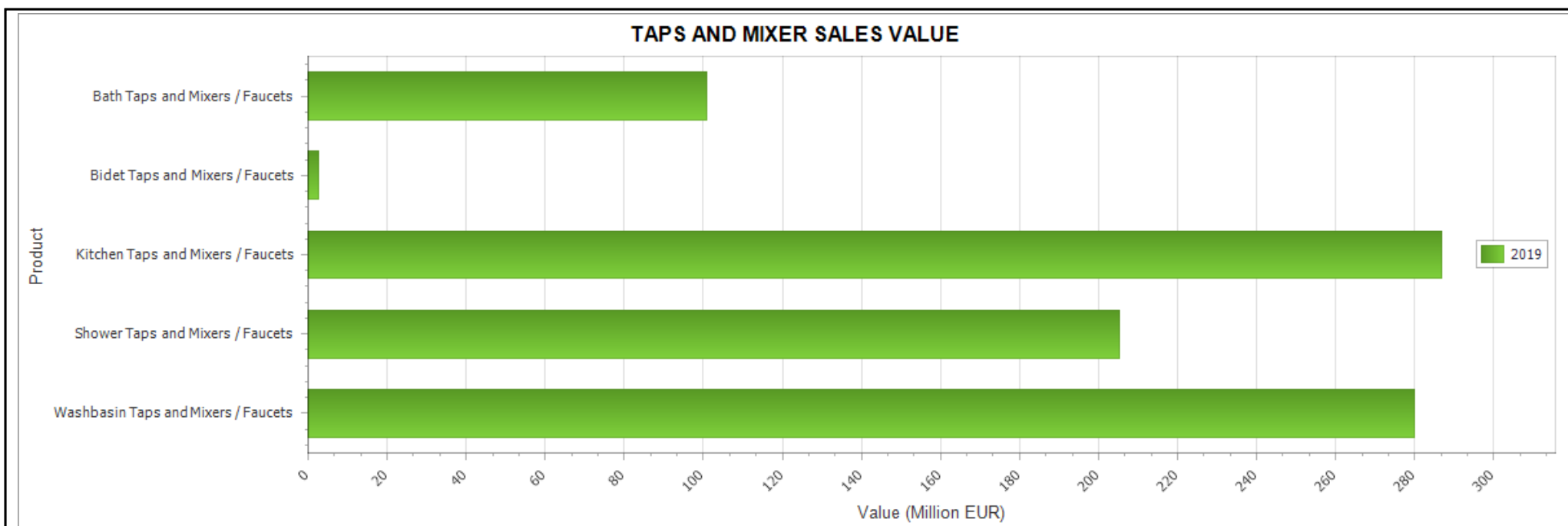
DE - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

### 3.3.1 Prices and Market Values : Taps and Mixers

DE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET

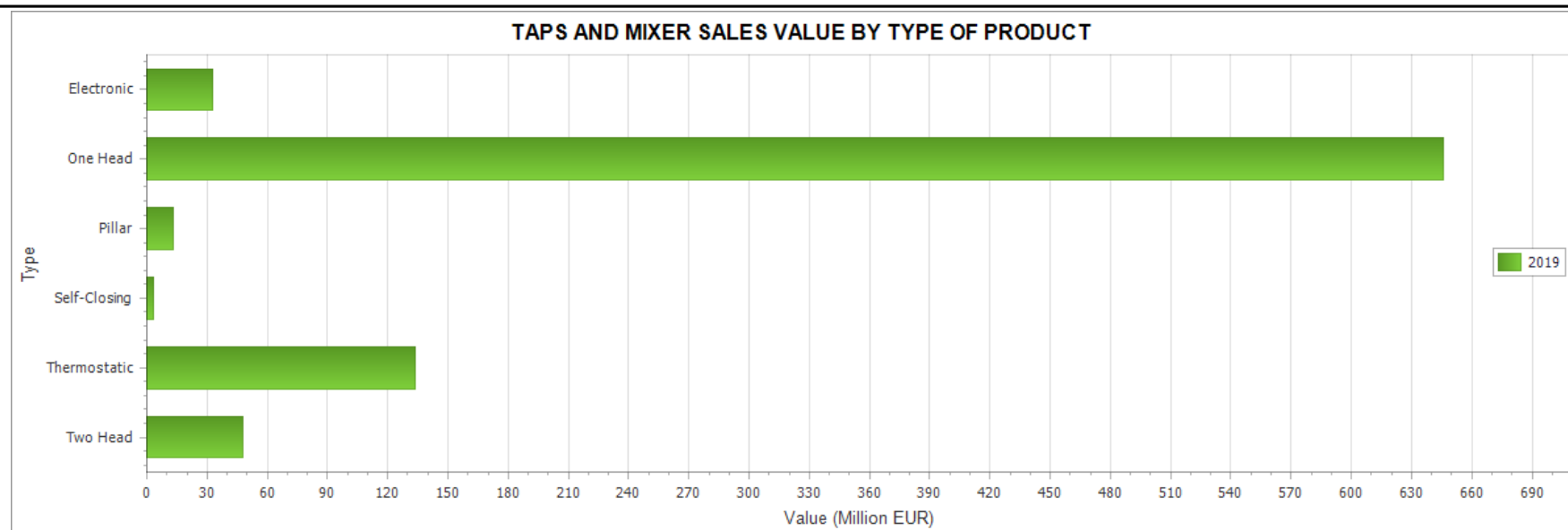


| Volumes                             | MSP (EUR)  | Value (MSP EUR) | Year            | Data       |           |                 |
|-------------------------------------|------------|-----------------|-----------------|------------|-----------|-----------------|
|                                     |            |                 | 2019            | 2018       |           |                 |
| Alt Product                         | Volumes    | MSP (EUR)       | Value (MSP EUR) | Volumes    | MSP (EUR) | Value (MSP EUR) |
| Bath Taps and Mixers / Faucets      | 1 230 000  | 81.96           | 100.81          | 1 235 000  | 81.06     | 100.11          |
| Bidet Taps and Mixers / Faucets     | 74 300     | 36.80           | 2.73            | 75 000     | 36.41     | 2.73            |
| Kitchen Taps and Mixers / Faucets   | 3 900 000  | 73.57           | 286.92          | 3 790 000  | 72.22     | 273.71          |
| Shower Taps and Mixers / Faucets    | 2 640 000  | 77.78           | 205.34          | 2 533 000  | 76.44     | 193.62          |
| Washbasin Taps and Mixers / Faucets | 5 690 000  | 49.20           | 279.95          | 5 560 000  | 48.78     | 271.22          |
| Grand Total                         | 13 534 300 | 64.71           | 875.76          | 13 193 000 | 63.78     | 841.39          |

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

### 3.3.2 Prices and Market Values by Type : Taps & Mixers

DE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

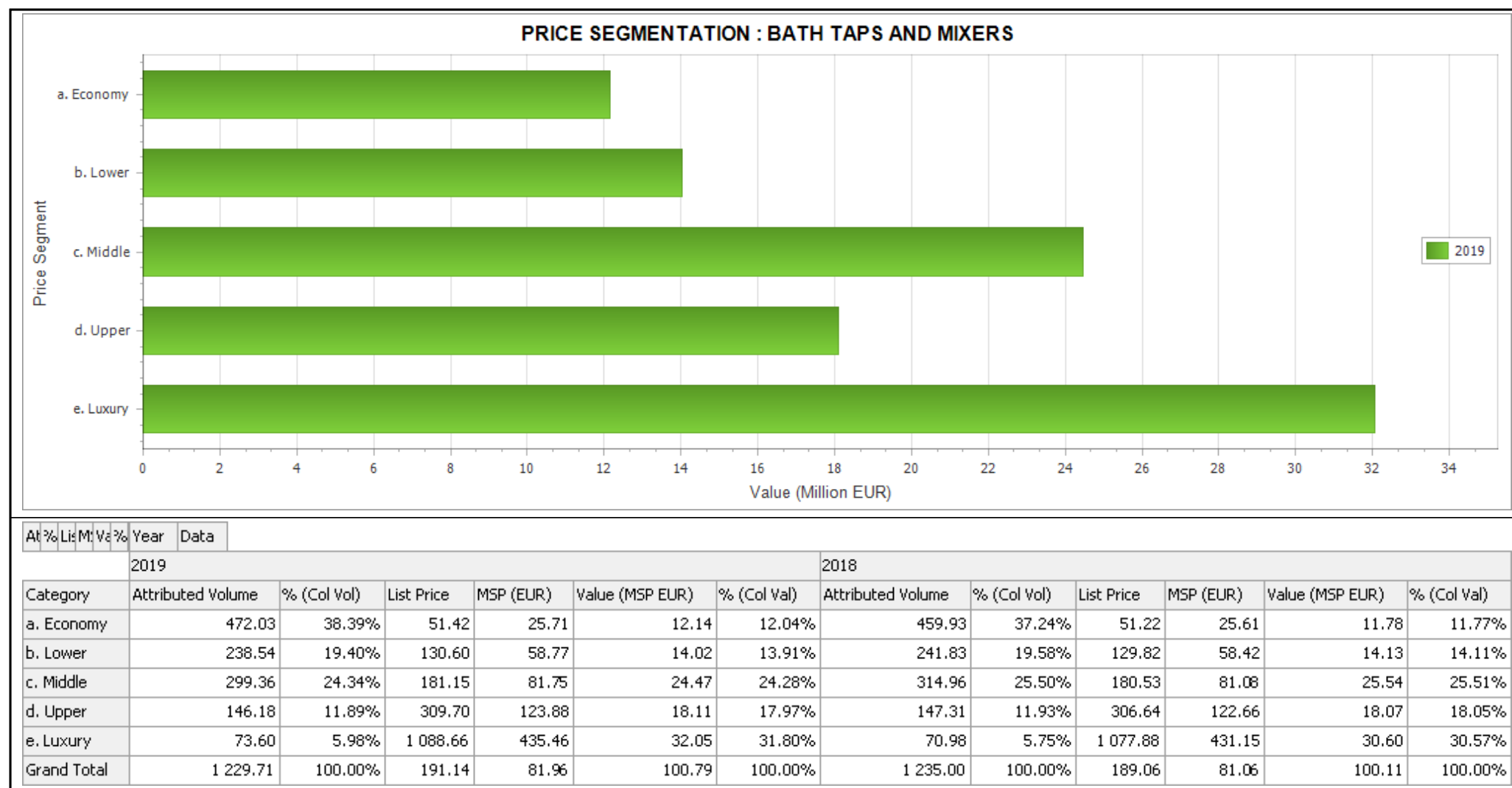


| At           | %                 | MS          | Val       | %               | Year        | Data              |             |           |                 |             |  |
|--------------|-------------------|-------------|-----------|-----------------|-------------|-------------------|-------------|-----------|-----------------|-------------|--|
|              |                   |             |           |                 | 2019        |                   |             |           | 2018            |             |  |
| Category     | Attributed Volume | % (Col Vol) | MSP (EUR) | Value (MSP EUR) | % (Col Val) | Attributed Volume | % (Col Vol) | MSP (EUR) | Value (MSP EUR) | % (Col Val) |  |
| Electronic   | 286.70            | 2.12%       | 114.55    | 32.84           | 3.75%       | 296.05            | 2.24%       | 112.34    | 33.26           | 3.95%       |  |
| One Head     | 10 714.29         | 79.17%      | 60.30     | 646.02          | 73.78%      | 10 434.49         | 79.09%      | 59.51     | 621.01          | 73.80%      |  |
| Pillar       | 354.57            | 2.62%       | 36.35     | 12.89           | 1.47%       | 347.36            | 2.63%       | 36.07     | 12.53           | 1.49%       |  |
| Self-Closing | 53.73             | 0.40%       | 54.96     | 2.95            | 0.34%       | 57.64             | 0.44%       | 54.44     | 3.14            | 0.37%       |  |
| Thermostatic | 1 282.33          | 9.47%       | 103.98    | 133.34          | 15.23%      | 1 225.19          | 9.29%       | 101.90    | 124.84          | 14.84%      |  |
| Two Head     | 842.38            | 6.22%       | 56.39     | 47.51           | 5.43%       | 832.29            | 6.31%       | 56.05     | 46.65           | 5.54%       |  |
| Grand Total  | 13 534.01         | 100.00%     | 64.69     | 875.55          | 100.00%     | 13 193.01         | 100.00%     | 63.78     | 841.42          | 100.00%     |  |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

### 3.3.3 Price Segmentation : Bath Taps and Mixers

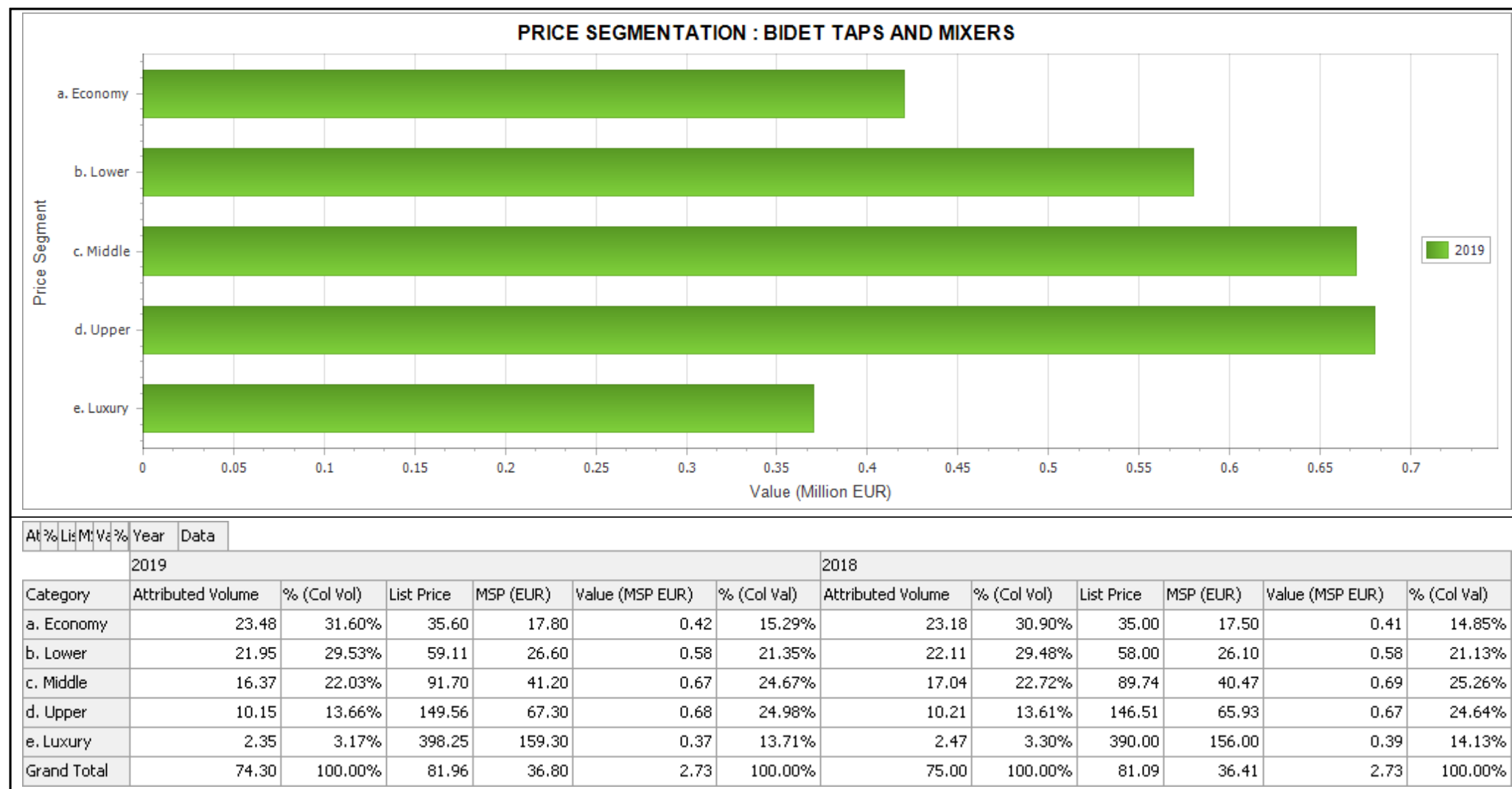
DE - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

### 3.3.4 Price Segmentation : Bidet Taps and Mixers

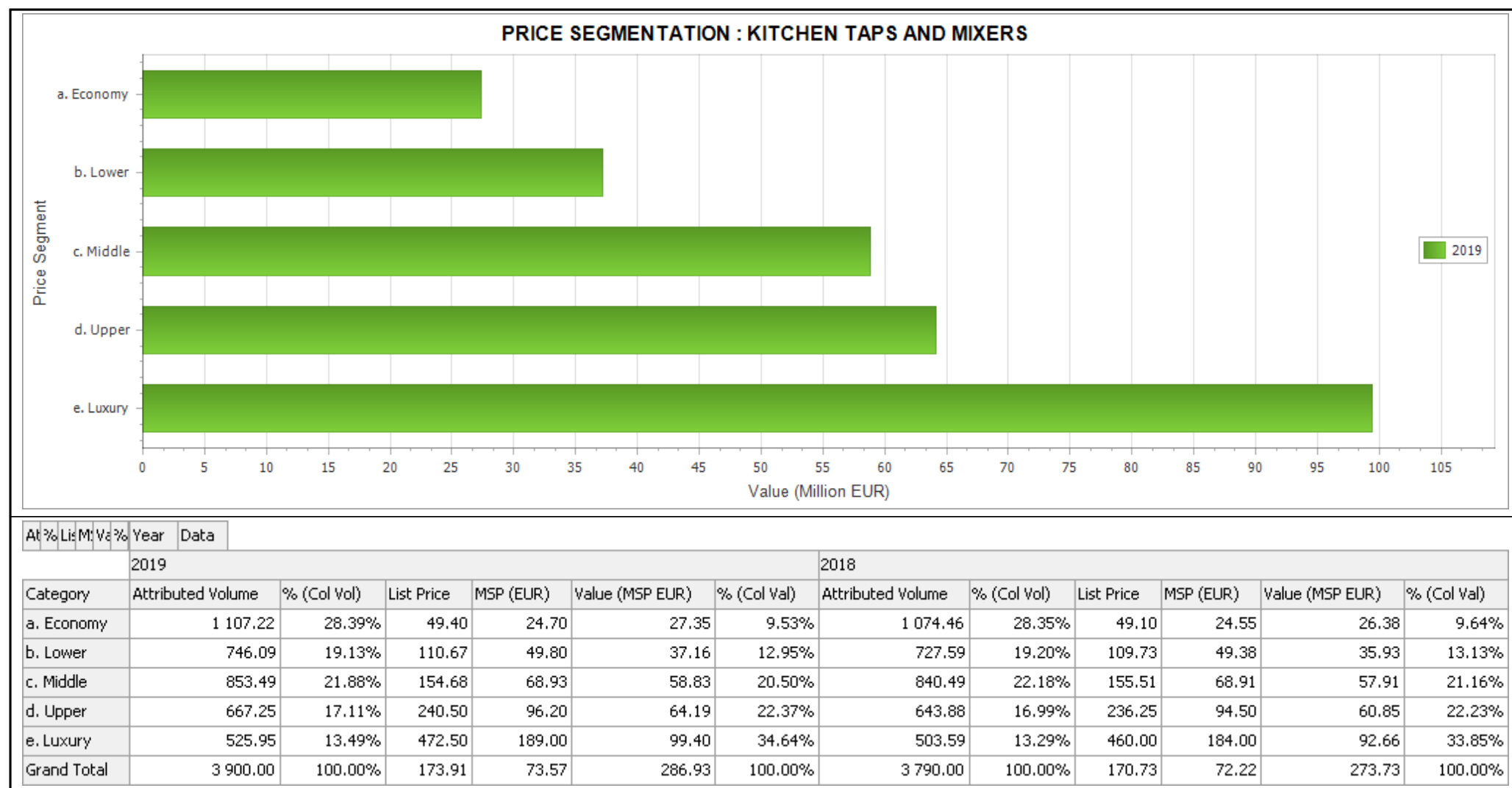
#### DE - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

### 3.3.5 Price Segmentation : Kitchen Taps and Mixers

#### DE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS

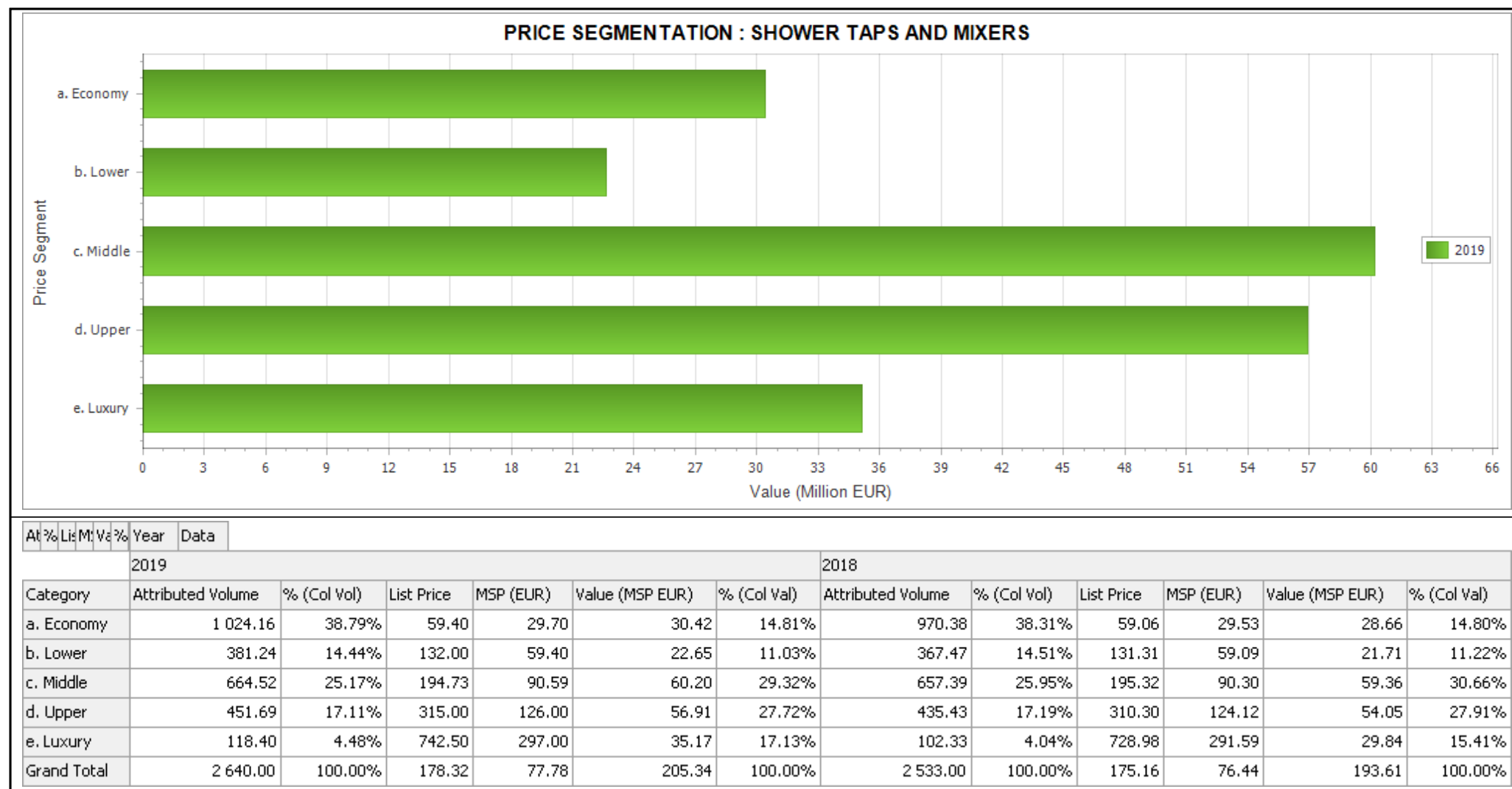


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110



### 3.3.6 Price Segmentation : Shower Taps and Mixers

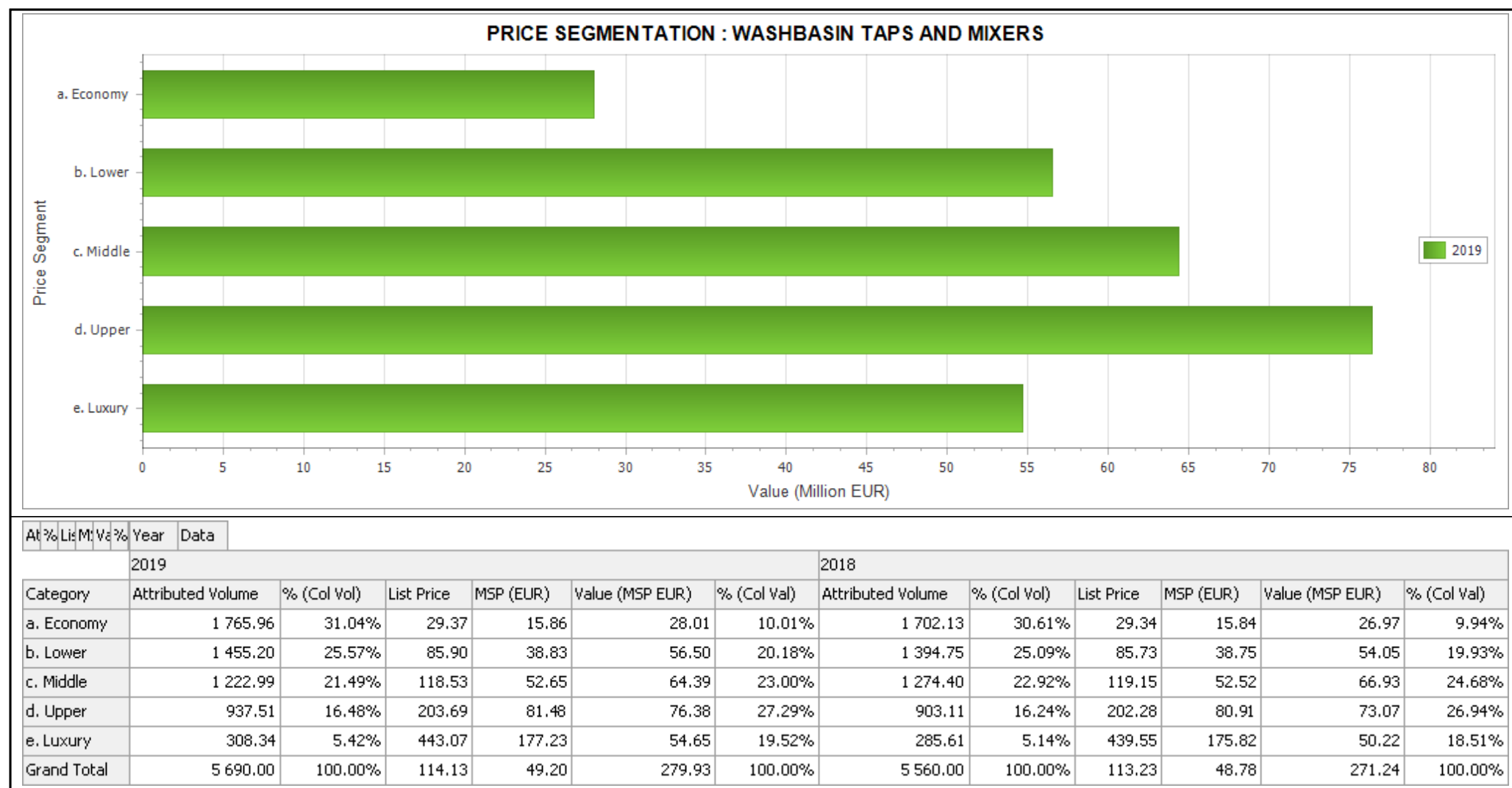
DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€45, Lower €45-€60, Middle €60-€100, Upper €100-€150 and Luxury >€150

### 3.3.7 Price Segmentation : Washbasin Taps and Mixers

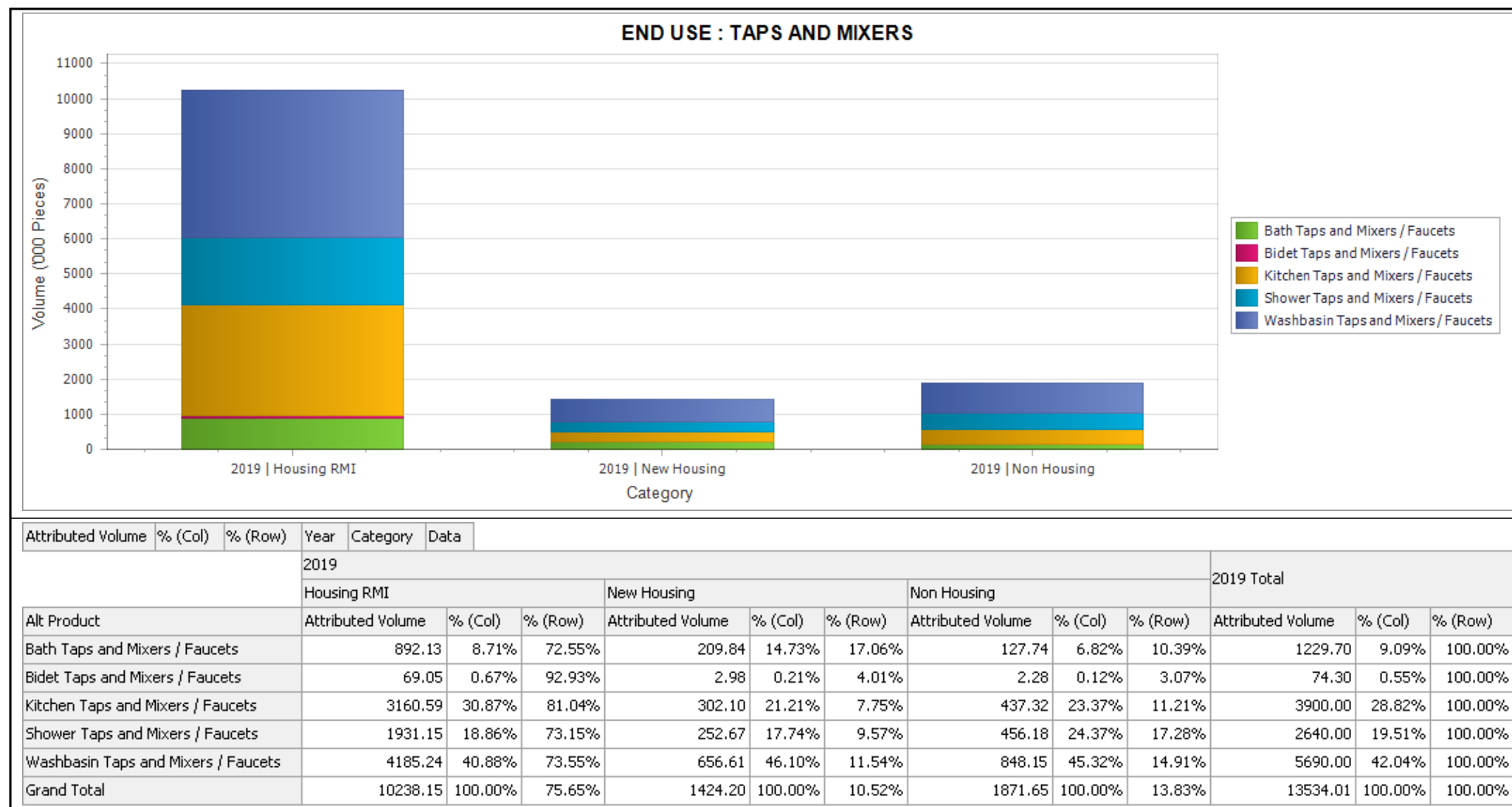
DE - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

### 3.4.1 End Use : Base Year

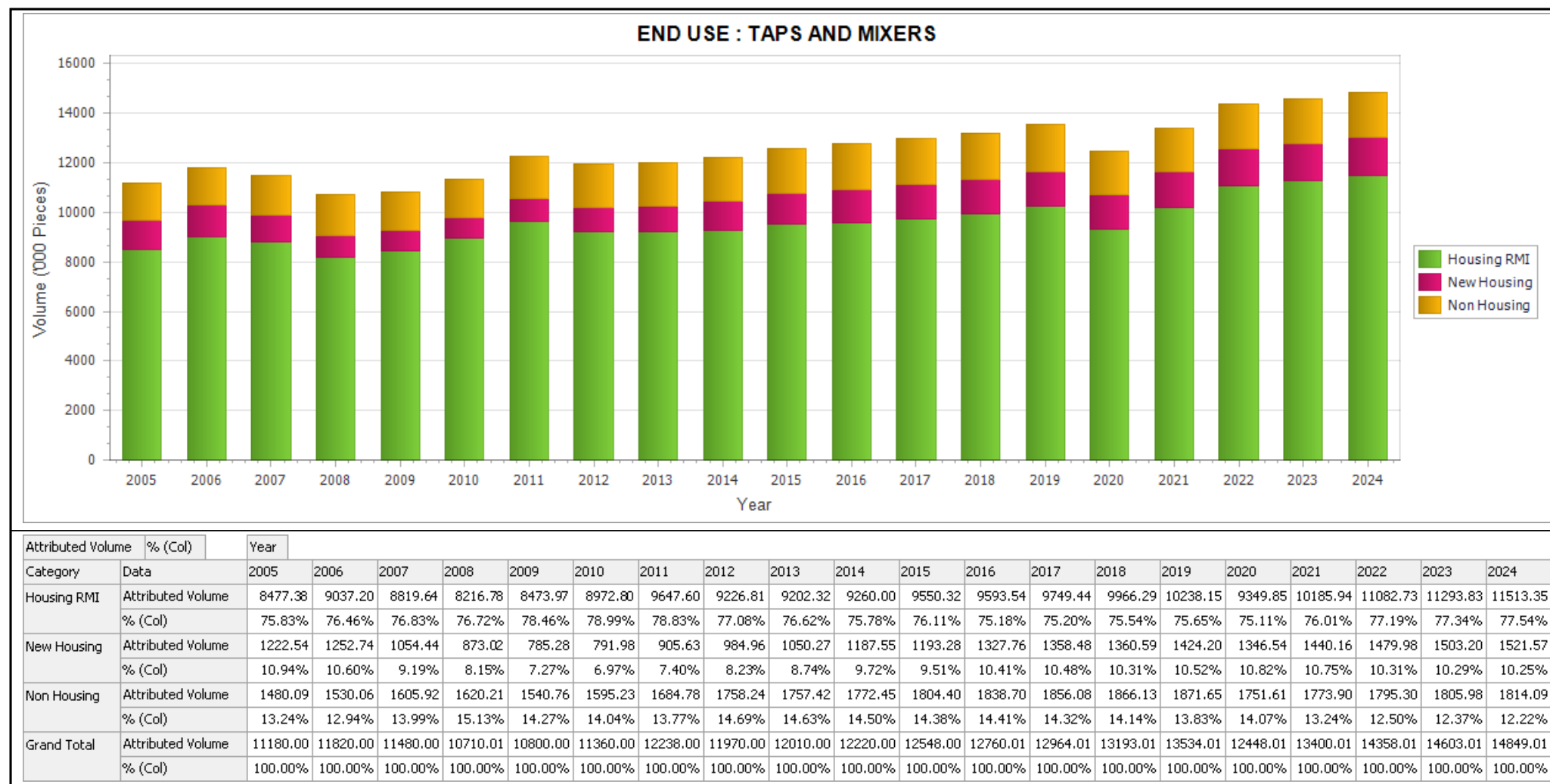
DE - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

### 3.4.2 End Use : Historical and Forecasts

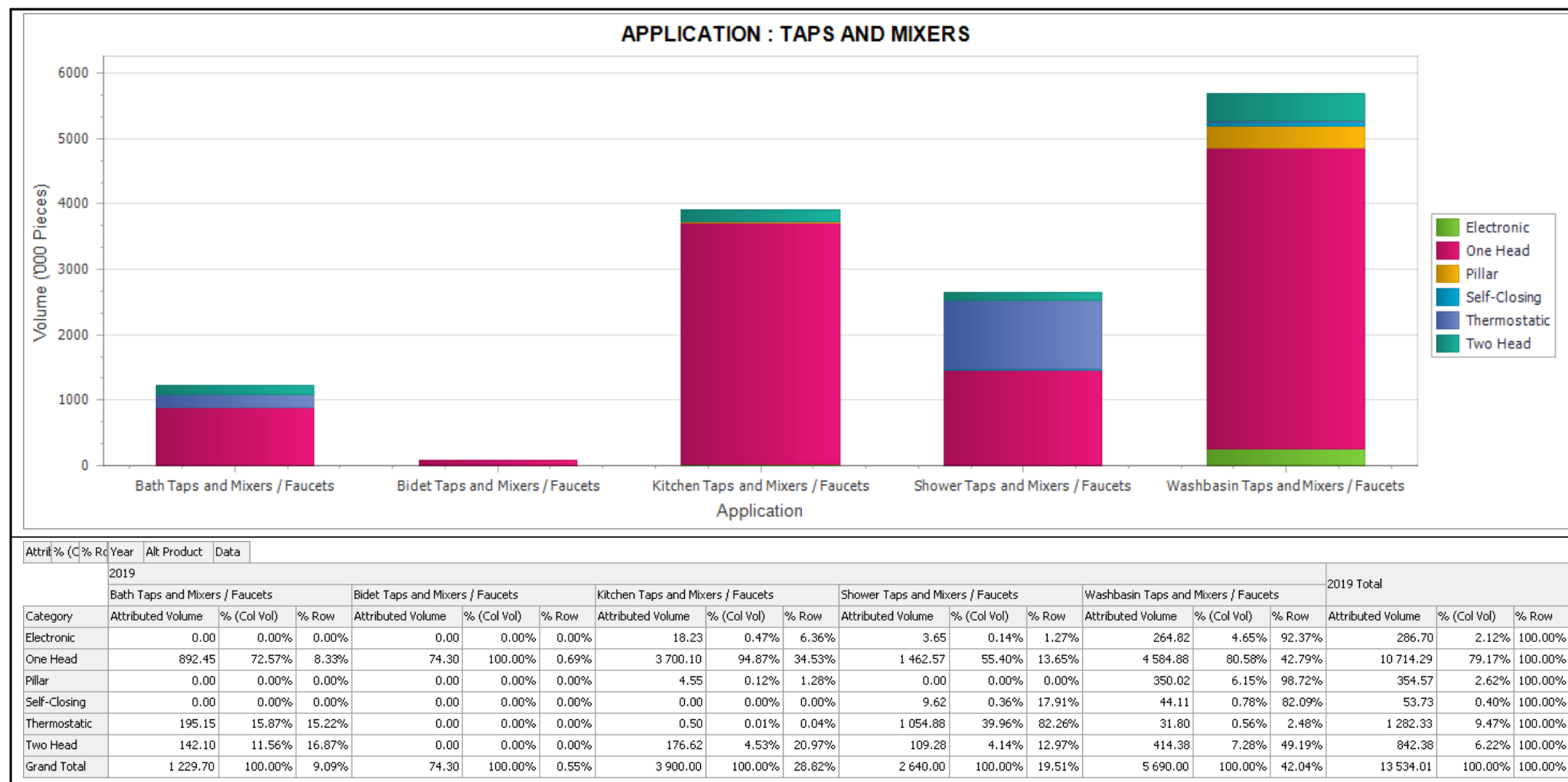
DE - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

### 3.4.3 Sales by Type and Application : Taps and Mixers

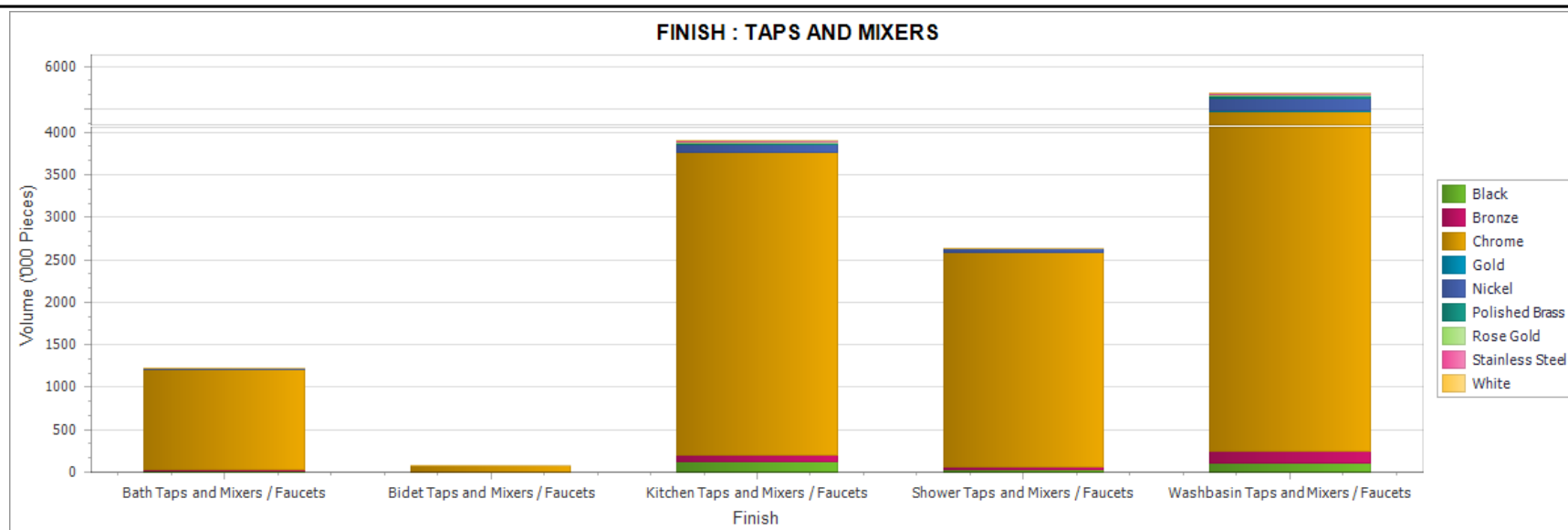
DE - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 3.4.4 Sales by Type of Finish : Taps and Mixers

DE - TAP AND MIXER SALES BY TYPE OF FINISH AND APPLICATION ('000 PIECES)

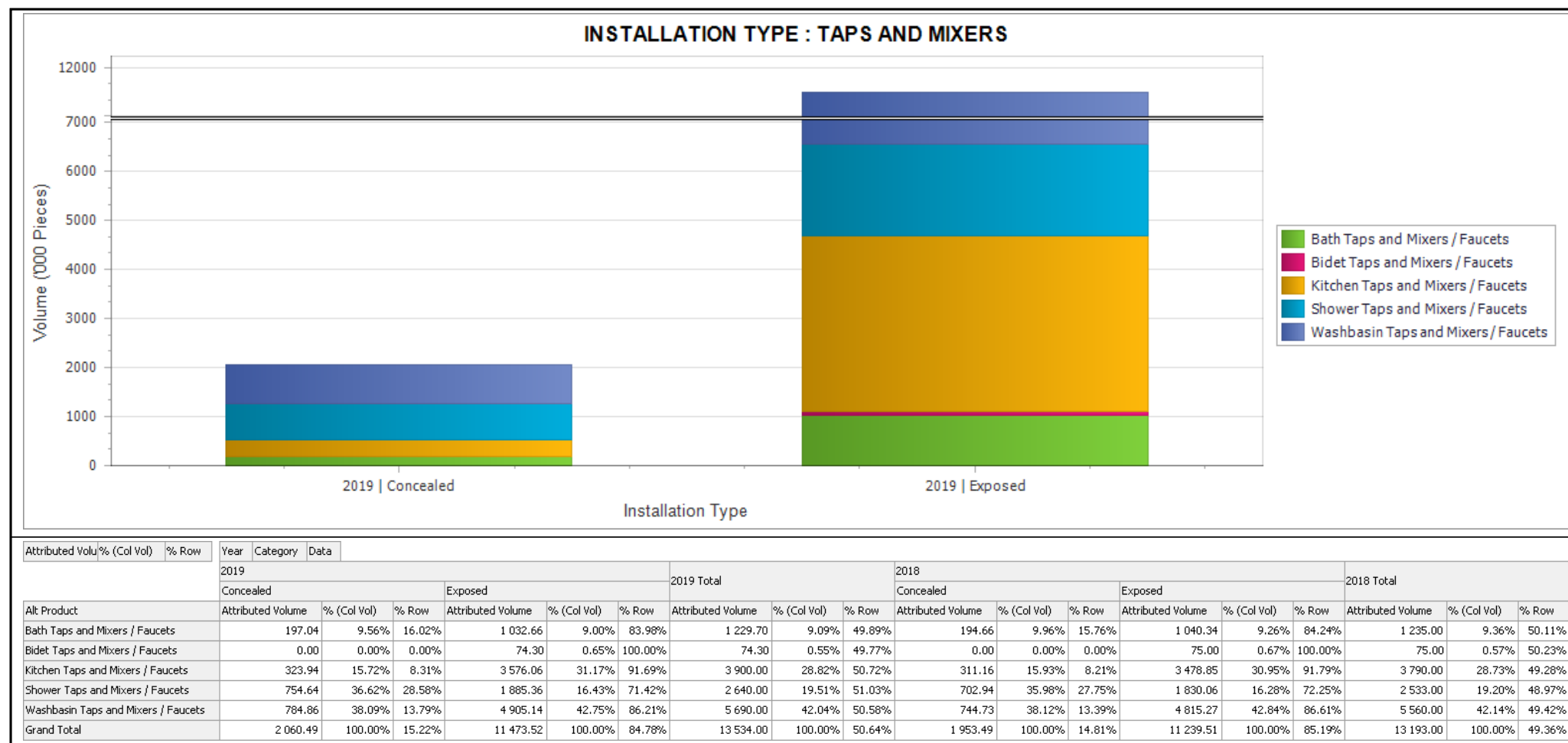


| Attribute       | % (Col Vol)       | Year                           | Alt Product       | Data                            |                   |                                   |                   |                                  |                   |                                     |                   |             |  |
|-----------------|-------------------|--------------------------------|-------------------|---------------------------------|-------------------|-----------------------------------|-------------------|----------------------------------|-------------------|-------------------------------------|-------------------|-------------|--|
|                 |                   | 2019                           |                   |                                 |                   |                                   |                   |                                  |                   |                                     |                   | 2019 Total  |  |
|                 |                   | Bath Taps and Mixers / Faucets |                   | Bidet Taps and Mixers / Faucets |                   | Kitchen Taps and Mixers / Faucets |                   | Shower Taps and Mixers / Faucets |                   | Washbasin Taps and Mixers / Faucets |                   |             |  |
| Category        | Attributed Volume | % (Col Vol)                    | Attributed Volume | % (Col Vol)                     | Attributed Volume | % (Col Vol)                       | Attributed Volume | % (Col Vol)                      | Attributed Volume | % (Col Vol)                         | Attributed Volume | % (Col Vol) |  |
| Black           | 13.53             | 1.10%                          | 1.49              | 2.00%                           | 117.00            | 3.00%                             | 29.04             | 1.10%                            | 113.80            | 2.00%                               | 274.85            | 2.03%       |  |
| Bronze          | 15.99             | 1.30%                          | 0.97              | 1.30%                           | 89.70             | 2.30%                             | 34.32             | 1.30%                            | 130.87            | 2.30%                               | 271.84            | 2.01%       |  |
| Chrome          | 1 171.78          | 95.29%                         | 69.40             | 93.40%                          | 3 549.00          | 91.00%                            | 2 515.66          | 95.29%                           | 5 229.11          | 91.90%                              | 12 534.95         | 92.62%      |  |
| Gold            | 3.69              | 0.30%                          | 0.89              | 1.20%                           | 3.90              | 0.10%                             | 7.92              | 0.30%                            | 11.38             | 0.20%                               | 27.78             | 0.21%       |  |
| Nickel          | 19.68             | 1.60%                          | 1.12              | 1.50%                           | 97.50             | 2.50%                             | 42.24             | 1.60%                            | 142.25            | 2.50%                               | 302.78            | 2.24%       |  |
| Polished Brass  | 0.00              | 0.00%                          | 0.15              | 0.20%                           | 15.60             | 0.40%                             | 0.00              | 0.00%                            | 22.76             | 0.40%                               | 38.51             | 0.28%       |  |
| Rose Gold       | 2.46              | 0.20%                          | 0.15              | 0.20%                           | 15.60             | 0.40%                             | 5.28              | 0.20%                            | 22.76             | 0.40%                               | 46.25             | 0.34%       |  |
| Stainless Steel | 1.97              | 0.16%                          | 0.11              | 0.15%                           | 9.75              | 0.25%                             | 4.22              | 0.16%                            | 14.23             | 0.25%                               | 30.28             | 0.22%       |  |
| White           | 0.62              | 0.05%                          | 0.04              | 0.05%                           | 1.95              | 0.05%                             | 1.32              | 0.05%                            | 2.85              | 0.05%                               | 6.77              | 0.05%       |  |
| Grand Total     | 1 229.71          | 100.00%                        | 74.30             | 100.00%                         | 3 900.00          | 100.00%                           | 2 640.00          | 100.00%                          | 5 690.00          | 100.00%                             | 13 534.01         | 100.00%     |  |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 3.4.5 Sales by Type of Installation : Taps and Mixers

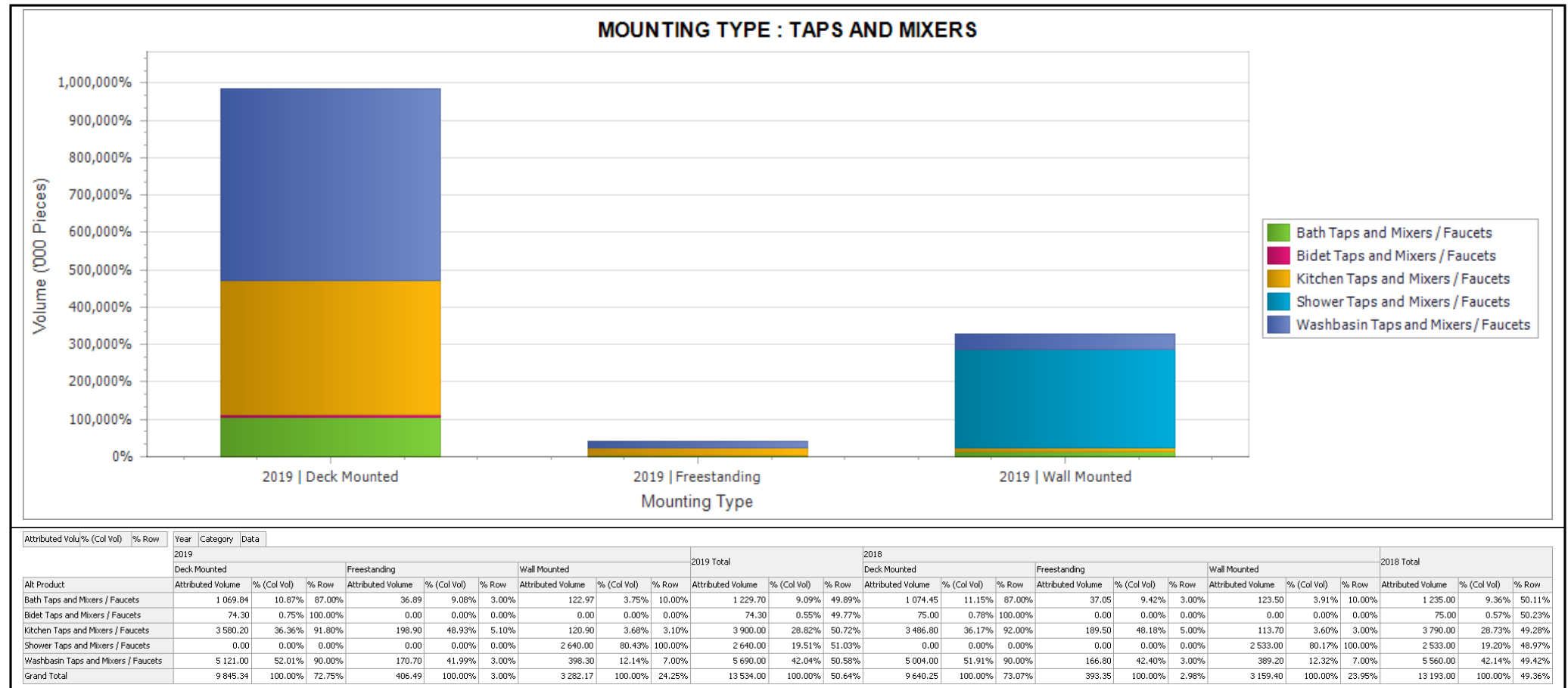
DE - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 3.4.6 Sales by Type of Mounting : Taps and Mixers

DE - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)

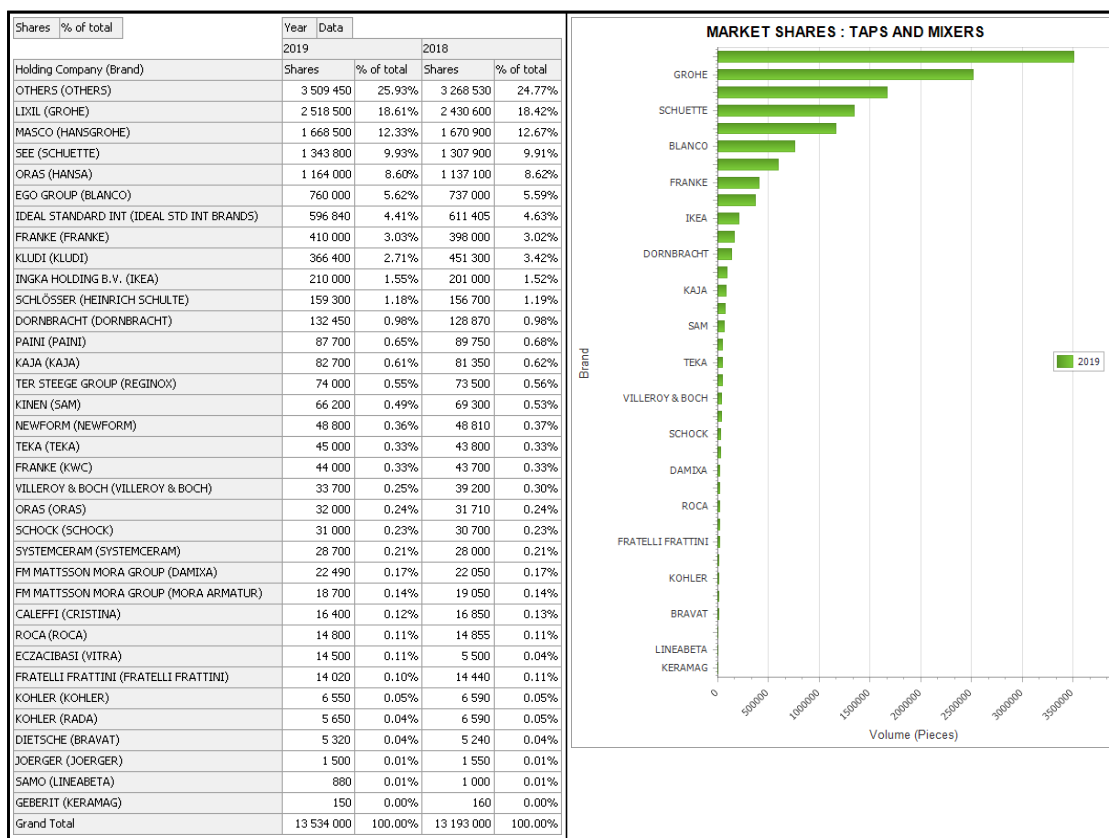


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.



### 3.5 Market Shares : Taps and Mixers

#### DE - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

### 3.6.1 DE - IMPORTS OF MIXERS 2019

| Source Country | 2019          |               |                |               | 2018          |               |                |               |
|----------------|---------------|---------------|----------------|---------------|---------------|---------------|----------------|---------------|
|                | Volume        |               | Value 000      |               | Volume        |               | Value 000      |               |
|                | Tonnes        | %             | Euros          | %             | Tonnes        | %             | Euros          | %             |
| China          | 15 316        | 37.3%         | 206 201        | 30.9%         | 15 422        | 36.2%         | 196 791        | 30.9%         |
| Portugal       | 9 237         | 22.5%         | 149 306        | 22.4%         | 9 622         | 22.6%         | 149 950        | 23.5%         |
| Thailand       | 6 158         | 15.0%         | 82 771         | 12.4%         | 7 332         | 17.2%         | 82 572         | 13.0%         |
| Italy          | 3 197         | 7.8%          | 77 222         | 11.6%         | 3 156         | 7.4%          | 69 927         | 11.0%         |
| Bulgaria       | 2 425         | 5.9%          | 35 991         | 5.4%          | 2 345         | 5.5%          | 31 118         | 4.9%          |
| Austria        | 1 176         | 2.9%          | 22 563         | 3.4%          | 1 404         | 3.3%          | 28 587         | 4.5%          |
| Netherlands    | 999           | 2.4%          | 5 956          | 0.9%          | 1 082         | 2.5%          | 6 208          | 1.0%          |
| Poland         | 496           | 1.2%          | 17 258         | 2.6%          | 342           | 0.8%          | 10 715         | 1.7%          |
| OTHERS         | 2 100         | 5.1%          | 69 157         | 10.4%         | 1 920         | 4.5%          | 61 595         | 9.7%          |
| <b>Total</b>   | <b>41 104</b> | <b>100.0%</b> | <b>666 425</b> | <b>100.0%</b> | <b>42 625</b> | <b>100.0%</b> | <b>637 463</b> | <b>100.0%</b> |

Source : Trademap

### 3.6.2 DE - EXPORTS OF MIXERS 2019

| Destination        | 2019          |               |                  |               | 2018          |               |                  |               |
|--------------------|---------------|---------------|------------------|---------------|---------------|---------------|------------------|---------------|
|                    | Volume        |               | Value 000        |               | Volume        |               | Value 000        |               |
|                    | Tonnes        | %             | Euros            | %             | Tonnes        | %             | Euros            | %             |
| France             | 6 035         | 15.3%         | 153 425          | 13.7%         | 6 096         | 15.7%         | 150 181          | 14.0%         |
| Poland             | 3 745         | 9.5%          | 81 841           | 7.3%          | 2 910         | 7.5%          | 64 657           | 6.0%          |
| Netherlands        | 3 147         | 8.0%          | 88 755           | 7.9%          | 3 194         | 8.2%          | 88 110           | 8.2%          |
| Austria            | 2 446         | 6.2%          | 67 325           | 6.0%          | 2 482         | 6.4%          | 66 438           | 6.2%          |
| China              | 2 315         | 5.9%          | 67 582           | 6.0%          | 2 347         | 6.0%          | 69 556           | 6.5%          |
| United Kingdom     | 2 240         | 5.7%          | 71 157           | 6.4%          | 2 018         | 5.2%          | 61 785           | 5.8%          |
| Italy              | 2 141         | 5.4%          | 49 957           | 4.5%          | 2 225         | 5.7%          | 50 843           | 4.7%          |
| Belgium            | 1 784         | 4.5%          | 48 929           | 4.4%          | 1 689         | 4.3%          | 47 109           | 4.4%          |
| Spain              | 1 464         | 3.7%          | 41 783           | 3.7%          | 1 263         | 3.3%          | 36 316           | 3.4%          |
| Denmark            | 1 167         | 3.0%          | 30 507           | 2.7%          | 1 249         | 3.2%          | 31 648           | 2.9%          |
| Russian Federation | 1 024         | 2.6%          | 28 624           | 2.6%          | 1 093         | 2.8%          | 27 787           | 2.6%          |
| OTHERS             | 11 959        | 30.3%         | 387 530          | 34.7%         | 12 288        | 31.6%         | 379 738          | 35.4%         |
| <b>Total</b>       | <b>39 467</b> | <b>100.0%</b> | <b>1 117 415</b> | <b>100.0%</b> | <b>38 854</b> | <b>100.0%</b> | <b>1 074 168</b> | <b>100.0%</b> |

Source : Trademap

### 3.6.3 DE - IMPORTS OF TAPS 2019

| Source Country | 2019         |               |                |               | 2018         |               |                |               |
|----------------|--------------|---------------|----------------|---------------|--------------|---------------|----------------|---------------|
|                | Volume       |               | Value 000      |               | Volume       |               | Value 000      |               |
|                | Tonnes       | %             | Euros          | %             | Tonnes       | %             | Euros          | %             |
| China          | 3 511        | 41.0%         | 35 865         | 32.4%         | 3 052        | 39.2%         | 32 471         | 30.1%         |
| Italy          | 1 745        | 20.4%         | 21 695         | 19.6%         | 1 826        | 23.5%         | 22 987         | 21.3%         |
| France         | 869          | 10.1%         | 7 628          | 6.9%          | 752          | 9.7%          | 7 846          | 7.3%          |
| Turkey         | 504          | 5.9%          | 2 138          | 1.9%          | 250          | 3.2%          | 1 122          | 1.0%          |
| Slovenia       | 463          | 5.4%          | 3 619          | 3.3%          | 514          | 6.6%          | 3 609          | 3.3%          |
| Austria        | 429          | 5.0%          | 8 576          | 7.8%          | 439          | 5.6%          | 9 335          | 8.6%          |
| Portugal       | 276          | 3.2%          | 1 903          | 1.7%          | 82           | 1.1%          | 1 259          | 1.2%          |
| Czech Republic | 194          | 2.3%          | 4 741          | 4.3%          | 167          | 2.1%          | 4 146          | 3.8%          |
| Switzerland    | 137          | 1.6%          | 3 067          | 2.8%          | 208          | 2.7%          | 3 879          | 3.6%          |
| Lithuania      | 91           | 1.1%          | 2 370          | 2.1%          | 81           | 1.0%          | 1 974          | 1.8%          |
| OTHERS         | 350          | 4.1%          | 18 951         | 17.1%         | 415          | 5.3%          | 19 323         | 17.9%         |
| <b>Total</b>   | <b>8 569</b> | <b>100.0%</b> | <b>110 553</b> | <b>100.0%</b> | <b>7 786</b> | <b>100.0%</b> | <b>107 951</b> | <b>100.0%</b> |

Source : Trademap

### 3.6.4 DE - EXPORTS OF TAPS 2019

| Destination        | 2019         |               |                |               | 2018         |               |                |               |
|--------------------|--------------|---------------|----------------|---------------|--------------|---------------|----------------|---------------|
|                    | Volume       |               | Value 000      |               | Volume       |               | Value 000      |               |
|                    | Tonnes       | %             | Euros          | %             | Tonnes       | %             | Euros          | %             |
| Austria            | 875          | 13.8%         | 19 151         | 10.8%         | 912          | 14.1%         | 19 532         | 11.4%         |
| Poland             | 706          | 11.2%         | 12 658         | 7.1%          | 730          | 11.3%         | 12 493         | 7.3%          |
| Netherlands        | 666          | 10.5%         | 15 884         | 9.0%          | 612          | 9.5%          | 14 126         | 8.2%          |
| France             | 556          | 8.8%          | 14 984         | 8.5%          | 482          | 7.5%          | 13 070         | 7.6%          |
| Belgium            | 377          | 6.0%          | 10 185         | 5.7%          | 394          | 6.1%          | 10 008         | 5.8%          |
| Switzerland        | 301          | 4.8%          | 10 087         | 5.7%          | 297          | 4.6%          | 9 385          | 5.5%          |
| Russian Federation | 245          | 3.9%          | 8 077          | 4.6%          | 217          | 3.4%          | 6 784          | 3.9%          |
| Italy              | 242          | 3.8%          | 7 881          | 4.4%          | 269          | 4.2%          | 8 773          | 5.1%          |
| Spain              | 233          | 3.7%          | 6 369          | 3.6%          | 326          | 5.0%          | 8 283          | 4.8%          |
| China              | 223          | 3.5%          | 7 356          | 4.1%          | 244          | 3.8%          | 7 823          | 4.5%          |
| Czech Republic     | 208          | 3.3%          | 5 764          | 3.3%          | 234          | 3.6%          | 5 709          | 3.3%          |
| OTHERS             | 1 692        | 26.8%         | 58 859         | 33.2%         | 1 749        | 27.0%         | 56 078         | 32.6%         |
| <b>Total</b>       | <b>6 324</b> | <b>100.0%</b> | <b>177 255</b> | <b>100.0%</b> | <b>6 466</b> | <b>100.0%</b> | <b>172 064</b> | <b>100.0%</b> |

Source : Trademap

3.7.1 Route to Market: Kitchen Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 31.3%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 31.3%                          |

|              |                           |                    |                       |                    |                             |                     |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|---------------------|
| Retail Level | Manufacturer<br>9.8%      | Wholesaler<br>4.1% | Manufacturer<br>22.8% | Wholesaler<br>9.0% | Manufacturer<br>27.2%       | Wholesaler<br>12.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                     |
|              | 13.9%                     |                    | 31.8%                 |                    | 39.2%                       |                     |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 7.7%              | 3.2%       | 3.0%     | 2.0% | 11.2%      |
| <b>Installers</b> |            |          |      |            |
| 27.0%             |            |          |      |            |

|               |                      |                    |                   |                        |                     |                    |
|---------------|----------------------|--------------------|-------------------|------------------------|---------------------|--------------------|
| End Use Level | Manufacturer<br>0.2% | Wholesaler<br>0.0% | Internet<br>10.9% | DIY<br>29.8%           | Specialist<br>25.0% | Installer<br>22.8% |
|               | <b>Residential</b>   |                    |                   |                        |                     |                    |
|               | 88.8%                |                    |                   |                        |                     |                    |
|               | <b>New Build</b>     |                    |                   | <b>Residential RMI</b> |                     |                    |
|               | 7.7%                 |                    |                   | 81.0%                  |                     |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                   | <b>Project</b>         | <b>Non-Project</b>  |                    |
|               | 1.3%                 | 6.4%               |                   | 6.0%                   | 75.0%               |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.0%                   | 3.0%               | 0.0%     | 0.0%                       | 3.0%               | 4.2%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 11.2%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 4.2%                   |                    |          | 7.0%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 3.2%                   | 1.0%               |          | 3.6%                       | 3.4%               |           |

3.7.2 Route to Market: Kitchen Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 20.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 20.0%                          |

|              |                           |                    |                       |                    |                             |                     |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|---------------------|
| Retail Level | Manufacturer<br>11.0%     | Wholesaler<br>4.5% | Manufacturer<br>34.0% | Wholesaler<br>2.4% | Manufacturer<br>26.0%       | Wholesaler<br>10.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                     |
|              | 15.5%                     |                    | 36.4%                 |                    | 36.0%                       |                     |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 8.0%              | 2.1%       | 3.5%     | 2.0% | 8.0%       |
| <b>Installers</b> |            |          |      |            |
| 23.6%             |            |          |      |            |

|               |                      |                    |                   |                        |                     |                    |
|---------------|----------------------|--------------------|-------------------|------------------------|---------------------|--------------------|
| End Use Level | Manufacturer<br>0.0% | Wholesaler<br>0.0% | Internet<br>11.8% | DIY<br>34.4%           | Specialist<br>25.0% | Installer<br>18.2% |
|               | <b>Residential</b>   |                    |                   |                        |                     |                    |
|               | 89.4%                |                    |                   |                        |                     |                    |
|               | <b>New Build</b>     |                    |                   | <b>Residential RMI</b> |                     |                    |
|               | 7.9%                 |                    |                   | 81.5%                  |                     |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                   | <b>Project</b>         | <b>Non-Project</b>  |                    |
|               | 1.5%                 | 6.4%               |                   | 7.0%                   | 74.5%               |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.0%                   | 1.0%               | 0.2%     | 0.0%                       | 3.0%               | 5.4%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 10.6%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 4.0%                   |                    |          | 6.6%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 3.0%                   | 1.0%               |          | 3.5%                       | 3.1%               |           |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

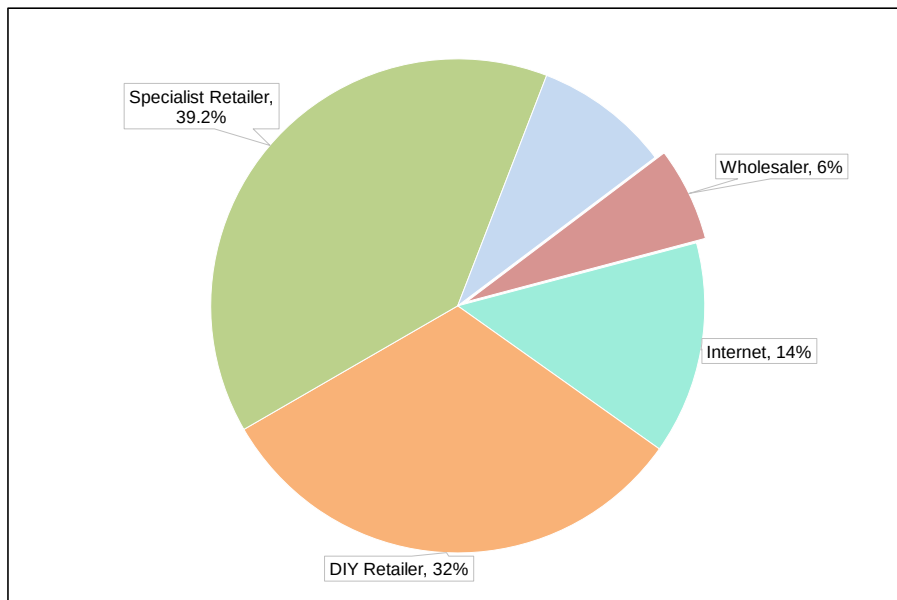
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 6.2%                            | 13.9%    | 31.8%        | 39.2%               | 8.9%    | 7.3%        | 6.8%            | 81.5%       | 4.4%            |
| 100%                            |          |              |                     |         | 14.1%       |                 | 85.9%       |                 |

### 3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

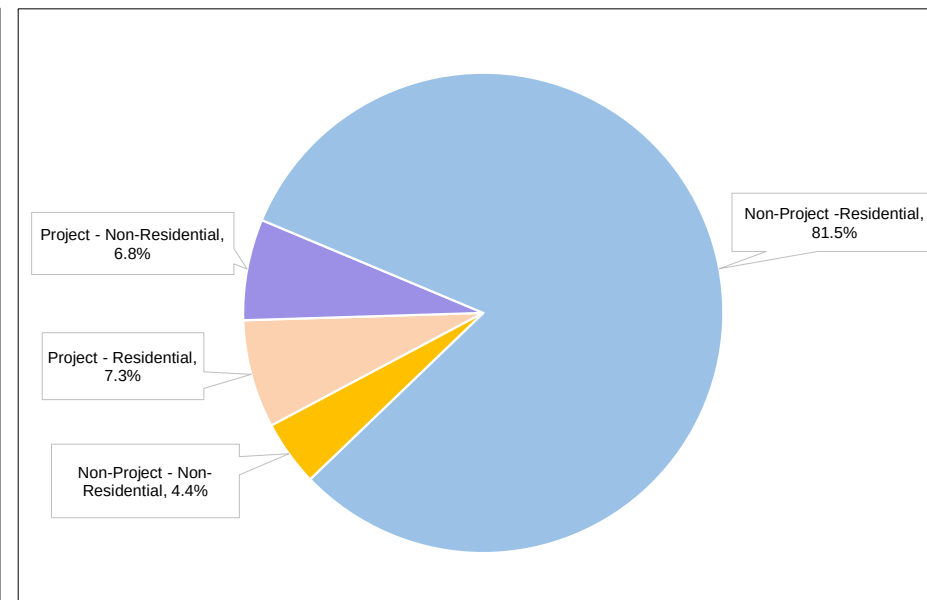
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 3.1%                            | 15.5%    | 36.4%        | 36.0%               | 9.0%    | 8.5%        | 6.5%            | 80.9%       | 4.1%            |
| 100%                            |          |              |                     |         | 15.0%       |                 | 85.0%       |                 |

DE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 64.2%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 64.2%                          |

|              |                           |                    |                       |                     |                             |                    |
|--------------|---------------------------|--------------------|-----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>6.7%      | Wholesaler<br>5.1% | Manufacturer<br>16.2% | Wholesaler<br>17.0% | Manufacturer<br>9.6%        | Wholesaler<br>4.1% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                     | <b>Specialist Retailers</b> |                    |
|              | 11.8%                     |                    | 33.2%                 |                     | 13.7%                       |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 0.8%              | 30.2%      | 3.5%     | 5.0% | 9.7%       |
| <b>Installers</b> |            |          |      |            |
| 49.2%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.9% | Wholesaler<br>0.0% | Internet<br>8.3%   | DIY<br>28.2%           | Specialist<br>3.0% | Installer<br>44.7% | Manufacturer<br>1.5%   | Wholesaler<br>7.9% | Internet<br>0.0%   | DIY<br>0.0%                | Specialist<br>1.0% | Installer<br>4.5%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 85.1%                |                    |                    |                        |                    |                    | 14.9%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 11.6%                |                    |                    | 73.5%                  |                    |                    | 5.5%                   |                    |                    | 9.4%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 4.2%                 |                    | 7.4%               | 9.0%                   |                    | 64.5%              | 4.5%                   |                    | 1.0%               | 6.0%                       |                    | 3.4%               |

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 64.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 64.0%                          |

|              |                           |                    |                       |                     |                             |                    |
|--------------|---------------------------|--------------------|-----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>7.0%      | Wholesaler<br>5.5% | Manufacturer<br>16.4% | Wholesaler<br>17.2% | Manufacturer<br>9.6%        | Wholesaler<br>4.1% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                     | <b>Specialist Retailers</b> |                    |
|              | 12.5%                     |                    | 33.6%                 |                     | 13.7%                       |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 0.8%              | 29.8%      | 3.5%     | 5.0% | 9.7%       |
| <b>Installers</b> |            |          |      |            |
| 48.8%             |            |          |      |            |

|               |                      |                    |                    |                        |                    |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|--------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.6% | Wholesaler<br>0.0% | Internet<br>9.0%   | DIY<br>28.6%           | Specialist<br>3.0% | Installer<br>46.0% | Manufacturer<br>1.6%   | Wholesaler<br>7.4% | Internet<br>0.0%   | DIY<br>0.0%                | Specialist<br>1.0% | Installer<br>2.8%  |
|               | <b>Residential</b>   |                    |                    |                        |                    |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 87.2%                |                    |                    |                        |                    |                    | 12.8%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                    |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 11.2%                |                    |                    | 76.0%                  |                    |                    | 4.5%                   |                    |                    | 8.3%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 4.1%                 |                    | 7.1%               | 10.0%                  |                    | 66.0%              | 3.8%                   |                    | 0.7%               | 5.8%                       |                    | 2.5%               |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

DE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2019

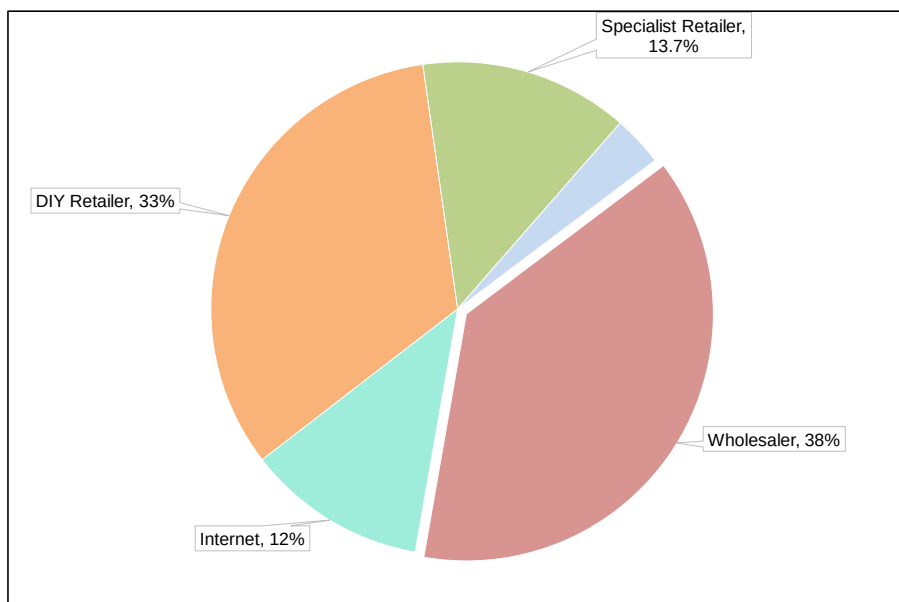
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 38.0%                           | 11.8%    | 33.2%        | 13.7%               | 3.3%    | 13.2%       | 10.5%           | 71.9%       | 4.4%            |
| 100%                            |          |              |                     |         | 23.7%       |                 | 76.3%       |                 |

### 3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

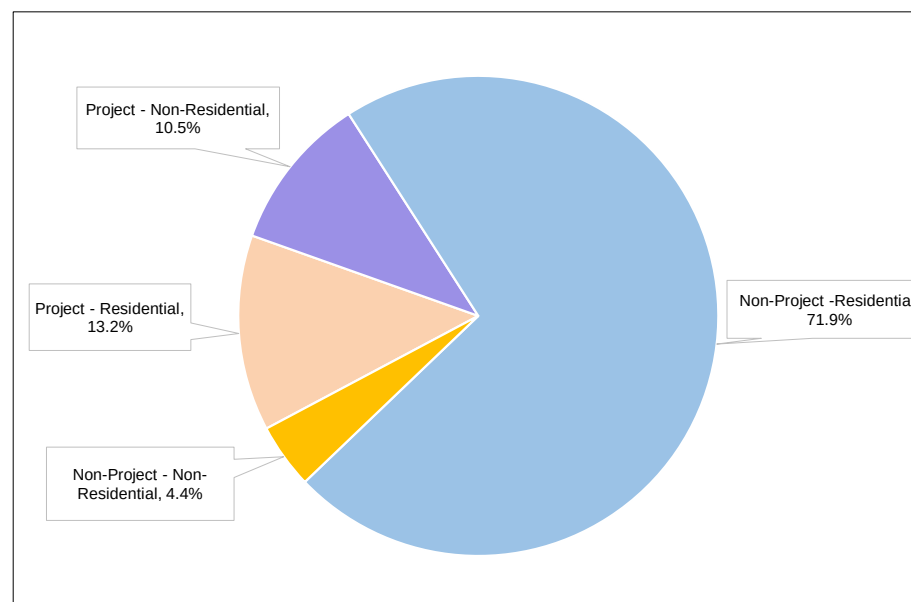
DE - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 37.2%                           | 12.5%    | 33.6%        | 13.7%               | 3.0%    | 14.1%       | 9.6%            | 73.1%       | 3.2%            |
| 100%                            |          |              |                     |         | 23.7%       |                 | 76.3%       |                 |

DE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



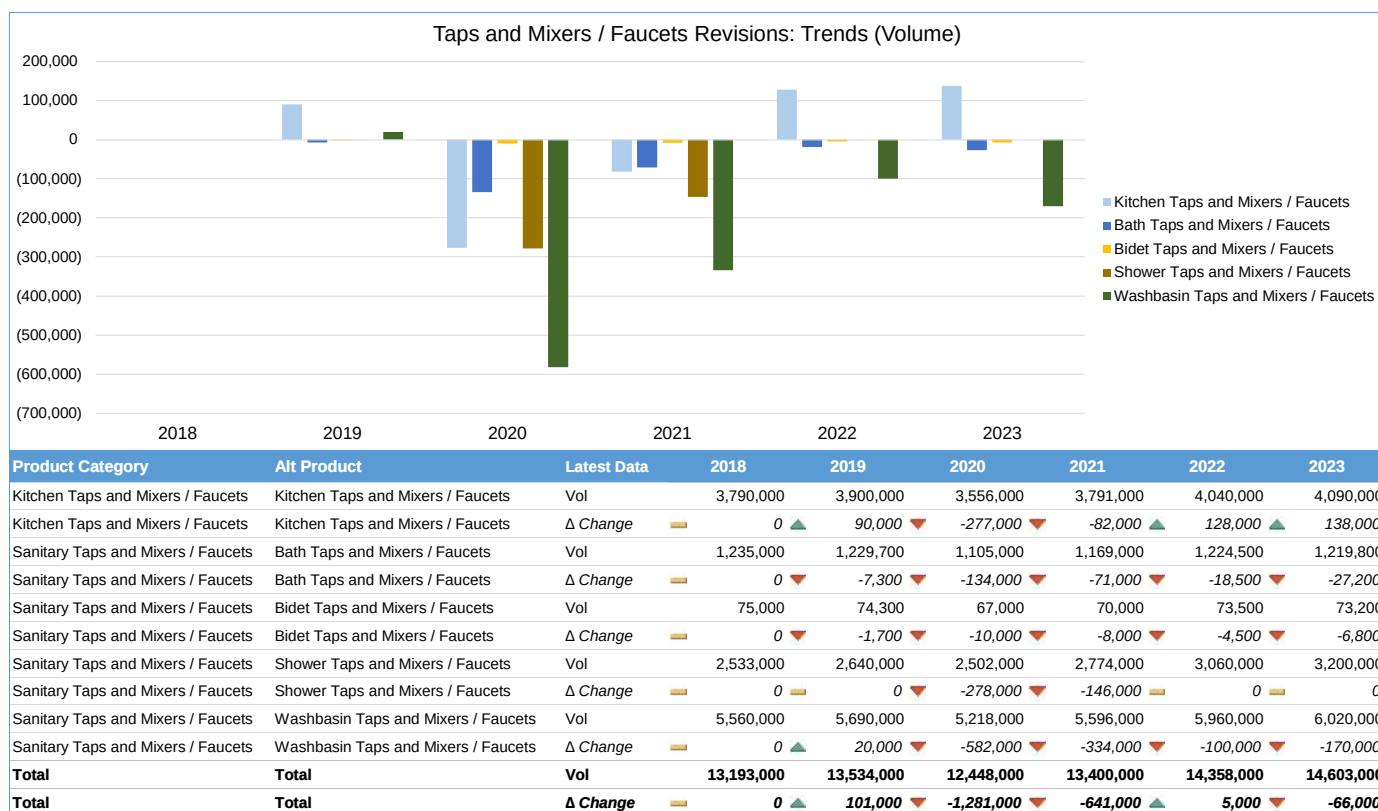
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

### 3.8 Revisions in the German Taps and Mixers / Faucets Market (April 2020)

DE - REVISIONS IN THE GERMAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2019

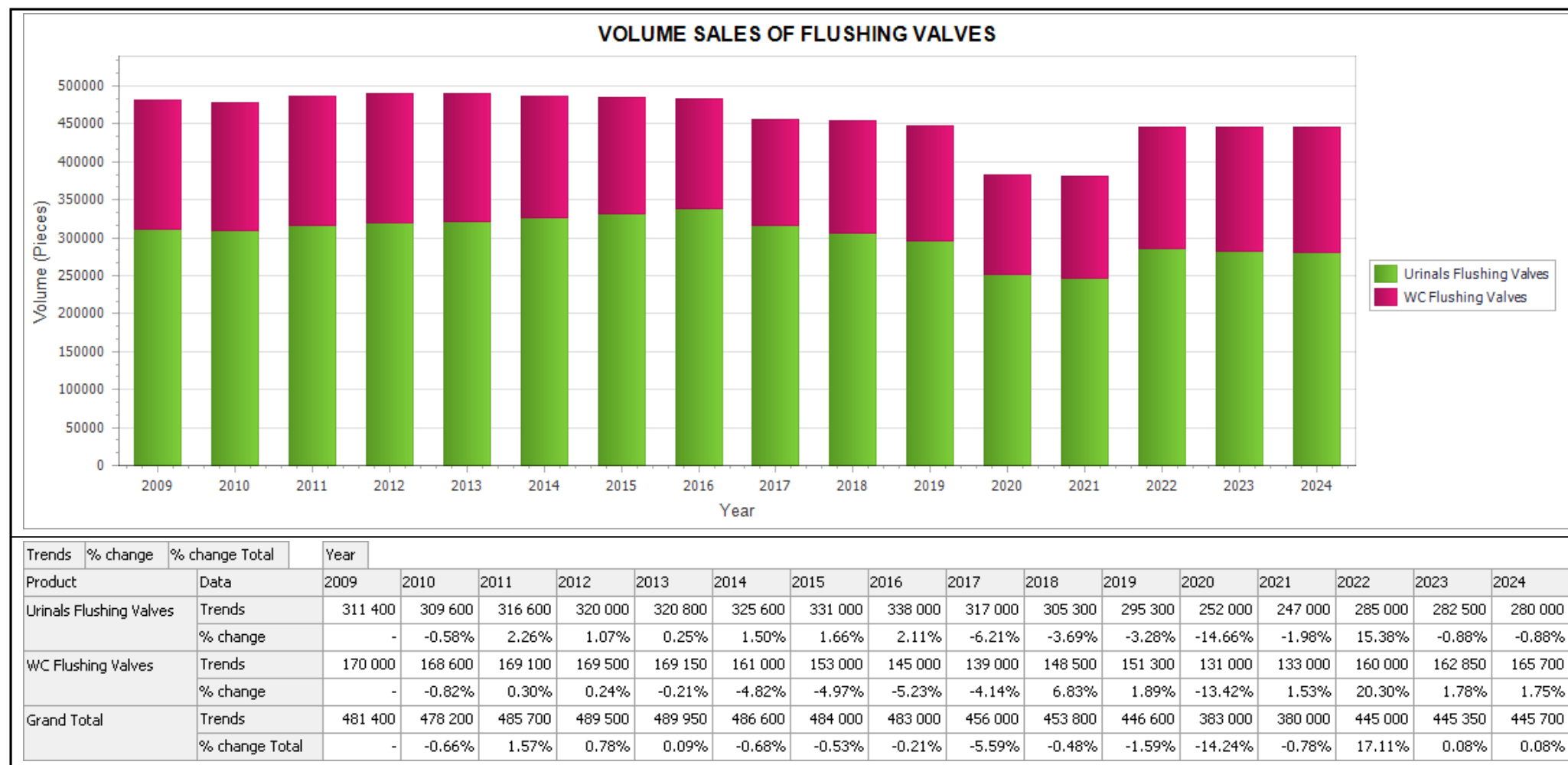


No or only marginal changes have been made to historical volumes for this market.



### 3.9.1 Historical Trends and Forecasts : Flushing Valves

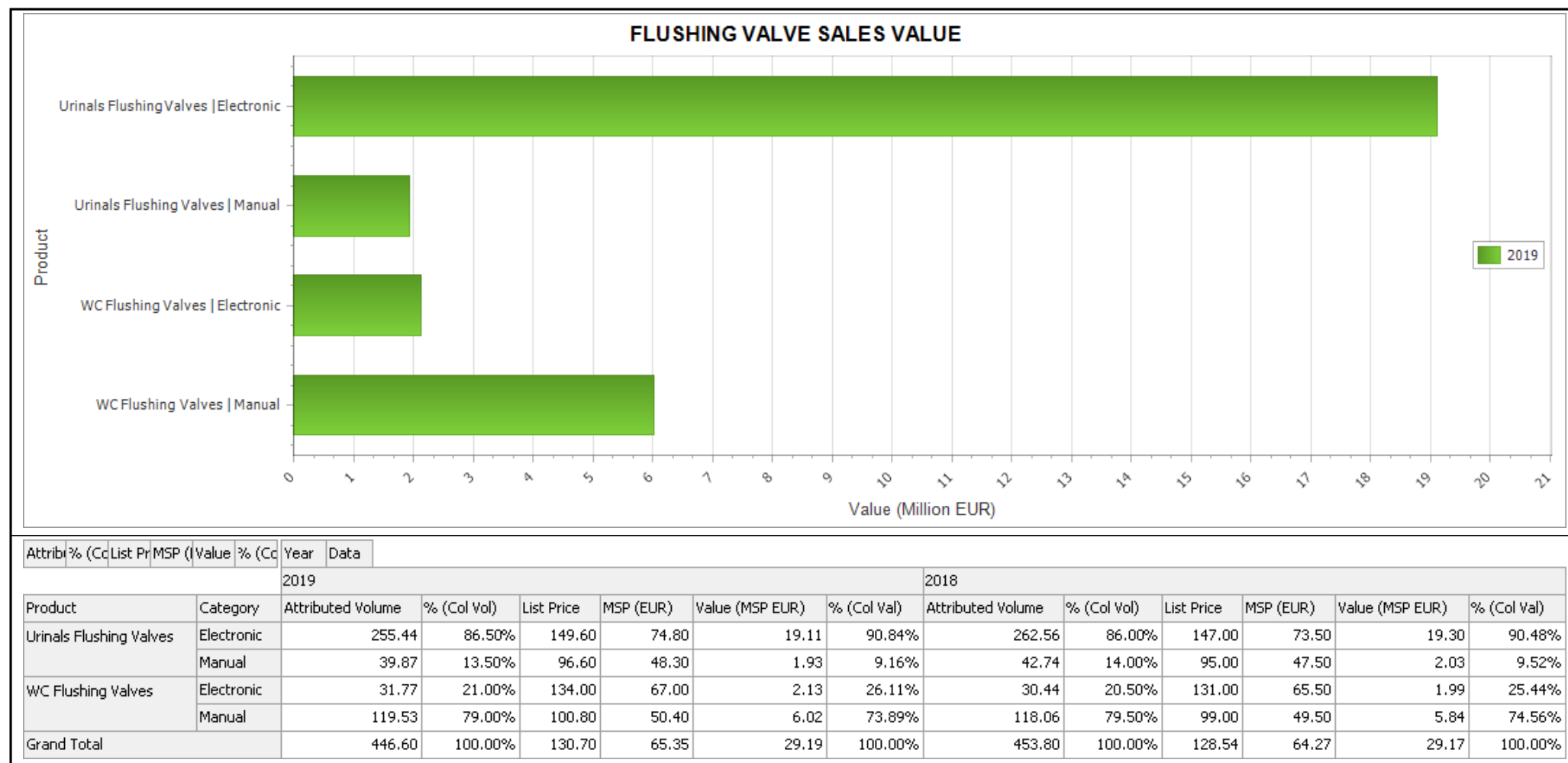
#### DE - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

### 3.9.2 Prices and Market Values : Flushing Valves

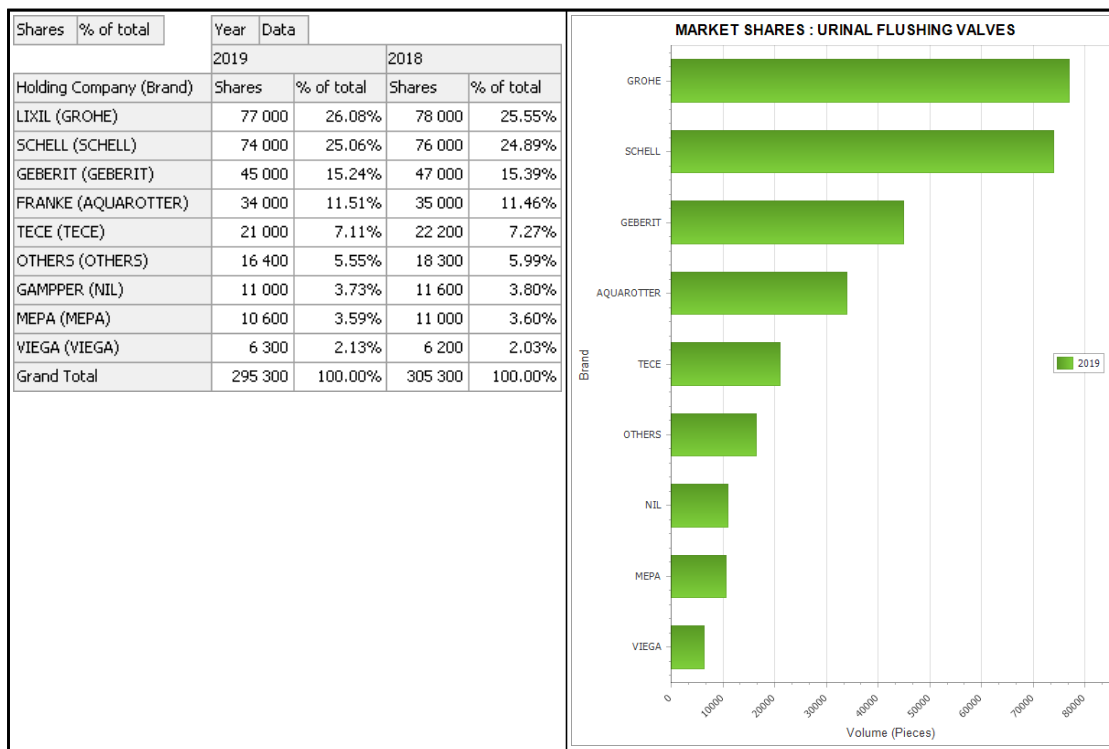
DE - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

### 3.9.3 Market Shares : Urinal Flushing Valves

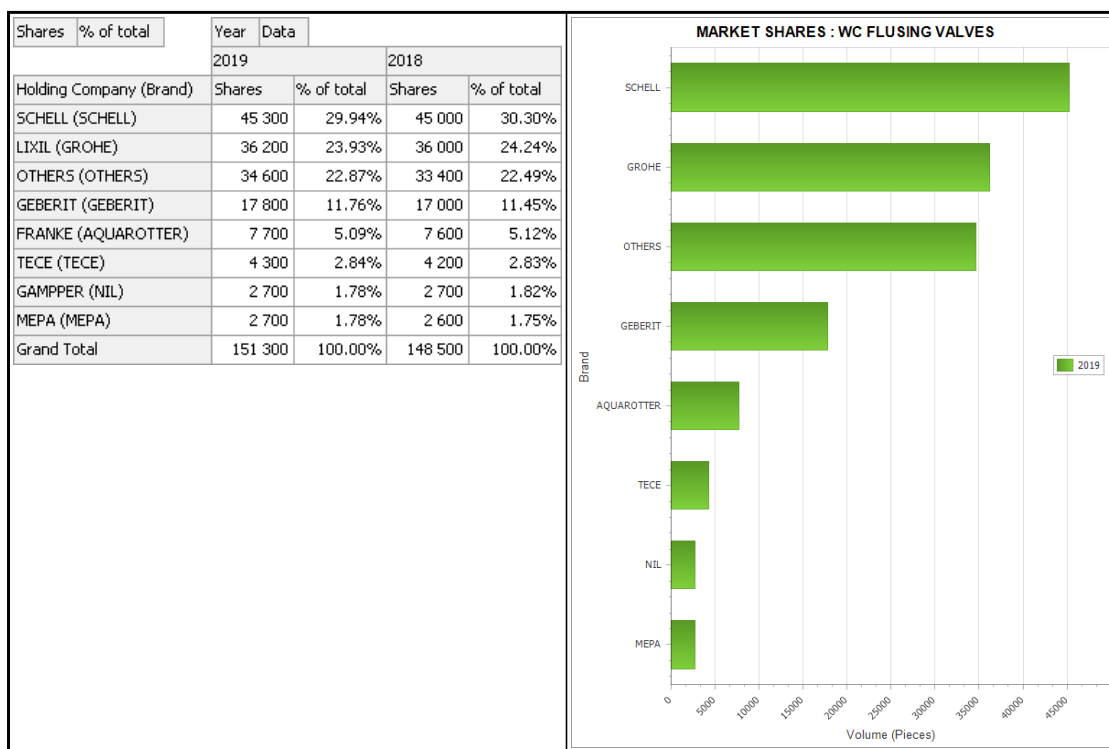
#### DE - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

### 3.9.4 Market Shares : WC Flushing Valves

#### DE - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

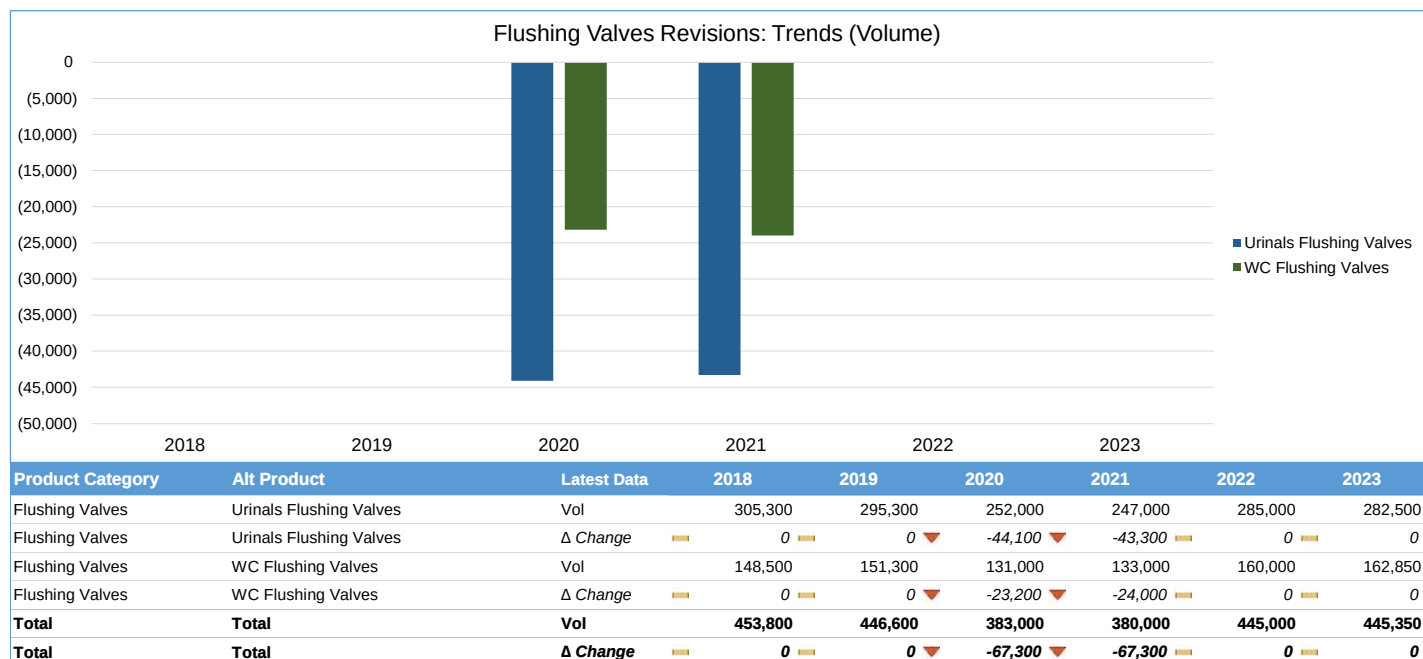


Source: BRG based on industry interviews.

### 3.10 Revisions in the German Flushing Valves Market (April 2020)

DE - REVISIONS IN THE GERMAN FLUSHING VALVES MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

# GERMANY

## SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Market Characteristics and Technological Trends**

The market for shower wall products goes back to the late 1960s when they were introduced for the first time, although growth only accelerated from the 1980s onwards. Cyclical drivers that have the biggest impact on shower wall sales are new build construction, renovation expenditure and private consumption. In general, the market for shower walls is a mature market, with no major fluctuations seen in overall sales volumes.

Over the years, most growth has come from shower enclosures, as showers have taken share from baths and nowadays a substantial number of dwellings in Germany is only equipped with a shower. This explains the positive development in sales of shower enclosures compared to bath screens, as baths are increasingly replaced by large shower solutions, hampering the demand for bath screens. The popularity of walk-in showers or wet shower rooms with a shower drain has been influencing demand from traditional shower wall manufacturers. A walk-in shower usually requires a single piece of glass, which can also be tailor-made by glass manufacturers and glaziers. On a local level, the traditional shower wall manufacturers face competition from window and glass installation companies.

Conventional shower cubicles have nearly disappeared from the German market. In contrast to other European countries, shower enclosures and shower trays, as well as baths and bath screens, have historically not developed in unison and the relationship has not been 1:1. In rented dwellings, as well as some low-end hotel rooms, shower curtains may be used instead of shower enclosures. Recently, the relationship between shower trays and shower enclosures has become even less pronounced as the share of wet shower rooms in the market is increasing. One of the main product trends of the past has certainly been the move from plastic to glass products. In the lower price segment, the plastics products are more common than in other segments. The low-priced glass is very thin, and some end users wrongly believe that it is too fragile. Therefore, plastic is more common in the lower price segments. The share of glass in all shower wall products has grown strongly over the last two decades, now accounting for most sales in all segments of the shower wall market. Plastic shower wall products mostly consist of polystyrol and account for the remaining share. Glass products used to be sold mainly through wholesalers but DIY stores, as well, have replaced most plastic enclosures with glass enclosures.

Hydrotherapy shower cubicles are mostly used in the fitness sector and have been developed into full wellness systems, and can include aromatherapy, connections for MP3 players, loudspeakers, and coloured lighting. The combined product market segment is relatively difficult to install, and rather expensive. These two factors make it a product that is less suitable to be sold in DIY stores. It remains a niche product.

## **Recent Market Trends**

In 2019, total sales of shower walls increased marginally when compared to the previous year, being primarily driven by demand for shower enclosures, which compensated for declining sales of conventional shower cubicles and bath screens. Overall, this market profited from the increasing number of new completions of multi-family buildings. Other than that, demand for most shower wall products weakening for several reasons. With the trend towards showering, new baths are rarely installed to be used for showering. If a consumer opts for a bath, it is just for the purpose of having a bath. Installing a bath that is used as a shower is not contemporary because of the demographic change; for example, elderly people might struggle to get inside the bath to have a shower. Instead, it would be more convenient to have a spacious shower. In the new house sector bathrooms tend to be bigger and German households prefer a bath without a bath screen.

Walk-in showers have established themselves as a popular alternative to shower trays. The design of a walk-in shower does not require a full enclosure of the wet room. In many cases a fixed glass wall is enough to cover one side and to leave another open as an entrance. As such, walk-in showers facilitated the design of shower enclosures, so that local glass manufacturers increasingly started selling tailor-made solutions for walk-in showers. Not only can they respond faster to consumers' needs, but they are flexible to design and manufacture according to individual requirements. These advantages led to growing demand for shower enclosures from glass manufacturers, which are not included in the BRG market share. The shower wall market is believed to remain stable as long as sales of shower trays are increasing. All shower trays need a shower wall with standard sizes, which only a manufacturer can provide in large quantities.

According to the 7th fundamental study of bathrooms in Germany, around 53% out of 46.2 million bathrooms in Germany have a shower wall. From all these bathrooms, there are 17.7 million original bathrooms, which have not been renovated yet and about two million bathrooms which are older than 30 years. It is important to mention that about 25 million bathrooms are in owned dwellings, and around 21 million are in rented dwellings. These numbers show the huge park of showers that exist on the German market. Overall, Germans are spending more money on bathrooms and 30,000 to 40,000 euros for a complete bathroom renovation is not unusual for homeowners.

The most noticeable trend on the German market – similar to that of baths and shower trays – is towards higher quality products. The share of the upmarket price segment is growing at the expense of the middle price range.

Nowadays, the material used for bath screens, conventional shower cubicles and shower enclosures is predominantly glass. Demand for plastic comes from the economy segment, which is sometimes preferred by consumers instead of very thin glass due to perceived safety attributes. Thin glass is used in lower price segments, which some consumers perceive as being more breakable; therefore, they prefer the use of plastic instead. The most common shower enclosures are

with a pivoting, no door (side wall) or sliding door. Sliding doors are preferred in lower price segments with small bathrooms. There is no need for a handle and less space is required to open a door. The second most popular choice is to have no door at all, which is likely to be found in wet rooms. Five-angle and round door types hardly exist in Germany anymore. Some manufacturers have them in their portfolio for the sake of completeness.

Demand for hydrotherapy cubicles is relatively stable and the product serves an established niche market. In 2019, sales slightly increased when compared to the previous year.

### Prices and Market Values

Prices for all shower wall products increased in 2019 to compensate for inflation and rising production costs such as higher wages and raw material costs. Additionally, the overall market value increased as German consumers look for better quality products, which come at considerably higher prices. The level of consumer spending increased further in Germany; and homeowners tend to prefer higher-priced shower wall models.

In general, prices differ significantly, not only between product segments but also between product types such as five-angled shower enclosures versus corner entry models. In more expensive price ranges, local glass manufacturers are increasing their market share and intensified the competition on the market.

The MSP for conventional shower cubicles has slightly increased when compared to 2018. This product is usually sold in the economy and lower price segment. The demand is mainly covered by 'Other' manufacturers, which produce in the Far East and which distribute mainly in DIY and online stores.

Prices for hydrotherapy cubicles increased in 2019 in alignment with the wellness trend and consumer's preference for better quality. Based on the quality of hydrotherapy cubicles, prices can vary massively between different models. In general, products sold within DIY stores are cheaper than those sold via direct sales and wholesale channels, which are meant to be more exclusive.

### New Housing

The German construction industry expanded in 2019, mainly driven by the strong increase in apartment completions. Therefore, demand for all products increased in terms of volume when compared to the previous year. Apartments, which are built for social housing or on a low budget, are likely to make use of traditional products such as bath screens and conventional cubicles. Since showers are common in new housing, in particular new apartments, the number of shower enclosures is increasing. On the other hand, baths are often installed in social housing or dwellings, which usually are combined with bath curtains or which do not have a bath screen at all.



The demand on the overall shower wall market is linked to developments on the residential construction market. With booming constructions, sales of shower wall products, bath screens and conventional shower cubicles to the new housing end-use segment increased in 2019 when compared to the previous year. It is important to highlight the high penetration rate of walk-in showers within new housing. A higher number of walk-in showers increases the likelihood of purchasing a tailor-made shower enclosure from a glass manufacturer. Such products are not included in BRG's market share and, therefore, are a serious competitor for traditional shower wall manufacturers.

### Housing RMI

The German shower wall market is mature and, as such, relies strongly on replacement sales for the bulk of its sales. Demand for all products, except for hydrotherapy shower cubicles, declined in terms of volume when compared to the previous year. However, replacement demand accounted for most sales, in particular for conventional shower cubicles, where like-for-like replacements are most common. This product generally represents a niche product that is installed in a place where a lack of room does not permit the installation of larger showers or even complete bathrooms. A classic example is the installation of a shower cubicle as a second shower in a dwelling with fitness rooms, when a quick (and temporary) solution is required. In alignment with the trend of showering, many households decide to get rid of their old bath and replace it with a big shower. According to BRG research, shower drain manufacturers sell a significant amount into the housing RMI market. This gives an indication that walk-in showers are not only popular in new housing, but also in existing markets. Shower enclosure manufacturers indirectly compete with glass manufactures in existing bathrooms where walk-in showers are installed.

### Non-Housing

According to EUROCONSTRUCT, non-housing construction hardly increased in 2019 and only expenditure for new education buildings was bigger than in the previous year. Schools and universities are not likely to create strong demand for shower walls. Even hotels that are completely refurbished, would most likely be equipped with a walk-in shower, which again decreases the likelihood for shower enclosures. Additionally, the combination of a bath together with a bath screen for showering in a new hotel development is most unlikely. It might be used to renew old bath screens with a like-for-like replacement to economically upscale an existing bathroom.

Overall, the demand for shower walls had a marginal increase in 2019. Like in past years, shower enclosures had a sales increase above the average. It is believed that this growth is sustained by like-for-like replacement. Sales of bath screens slightly increased due to stronger demand for like-for-like replacements. On the other hand, the number of conventional shower cubicles and hydrotherapy shower cubicles sold in 2019 decreased compared to the previous year.

## **Supply Structure**

The supply structure in the German market remained stable, with a moderate increase of online and DIY sales. The same competitors are active in the market for shower enclosures and the market for bath screens such as SCHULTE, KERMI and SPRINZ.

The market for shower wall products is fragmented, with domestic and international players active. When compared to other sanitary products, a relatively high share of shower wall products is sold directly to installers. Many manufacturers supply their products as OEM sales to wholesalers, local installers, DIY, and internet shops. Branded sales of shower enclosures are mainly supplied by HUEPPE, KERMI and SPRINZ, as well as by other companies such as DUSCHOLUX and DURAVIT on a marginal scale. A great share of shower enclosures is sold by wholesalers or online shops that use private labels. The GC GROUP supplies its private label VIGOUR and is very successful on a national level. It is supplied by the Italian manufacturer DUKA, among others. There are numerous private label sales and it would be out of scope to allocate sales by private labels. Therefore, the market share in the BRG report shows sales by manufacturers' brand, which also include private labels sold through wholesalers.

The share of DIY products is high, with most products being manufactured in China. On a local or regional level, traditional manufacturers increasingly face competition from window and glass installer companies. These sales are not included in the BRG market share.

Conventional shower cubicles either come as high-end products or very inexpensive products. Low-end products are available in DIY stores and food discounters such as ALDI and LIDL. Supply of hydrotherapy cubicles comes, among others, from specialist hydrotherapy product producers. In this case, the product is more likely to be of superior quality with prices that by far exceed the hydrotherapy cubicles that are offered online and in DIY stores.

## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

It is believed that the increase in residential and non-residential construction that is expected from 2021 onwards will positively affect the demand for shower walls, in particular for shower enclosures. Demand for shower enclosures is estimated to

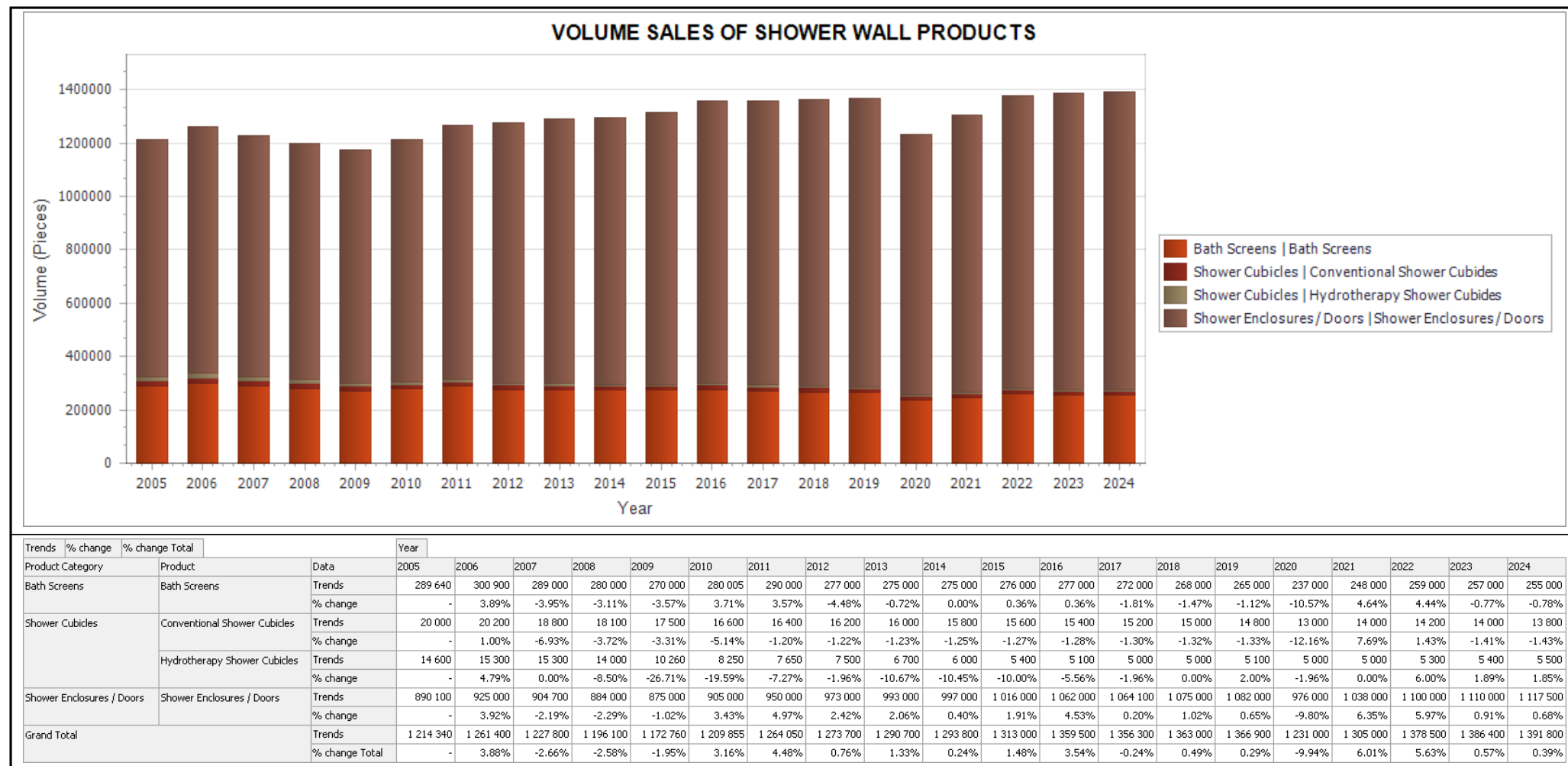
grow on a small scale after recovery from the COVID-19 crisis. Bath screens and conventional shower cubicles are likely to be declining markets during the forecast. The only exceptions are the years 2021 and 2022, which are likely to see a strong growth across the board due to pandemic recovery.

Most demand should come from the RMI sector, on which the German shower wall market highly depends due to its saturation. RMI activities are expected to rapidly increase after the COVID-19 crisis before returning to a marginal growth by 2023. Private consumption and the need for new bathrooms is likely to be on high level and their demand is expected to fuel sales in the shower wall market. The expected increase of sales in the shower wall market is driven by only one product, which is the shower enclosure. The decreasing penetration of baths in new and existing buildings is expected to negatively influence the sales of bath screens, in favour of shower enclosures. This is true because baths are less and less used for showering, which makes bath screens decrease for both RMI and new housing.

As far as conventional shower cubicles are concerned, their demand is expected to decrease further towards the end of the forecast period. The reason for this is that they are outdated products which are only used if there is no other option such as shower trays or walk-in showers. The popularity of the walk-in shower continues to rise in the new housing and replacement segment, although at a slower growth rate. This continuous trend accounts for a large share of all shower installations in new bathrooms in Germany. Additionally, there is a clear trend towards extra-large showers, which require modern designs for shower enclosures. Manufacturers must keep in mind these trends to come up with solutions to avoid losing shares to local glass manufactures. It is expected that the German shower wall market is likely to benefit from the baby boom generation from the 1950s who are in the process of retiring and who are more likely to make investments. Demand for hydrotherapy shower cubicles is believed to have reached its turning point, slowly growing sales are expected with a shift towards the upper and luxury price segments.

## 4.2 Historical Trends and Forecasts : Shower Wall

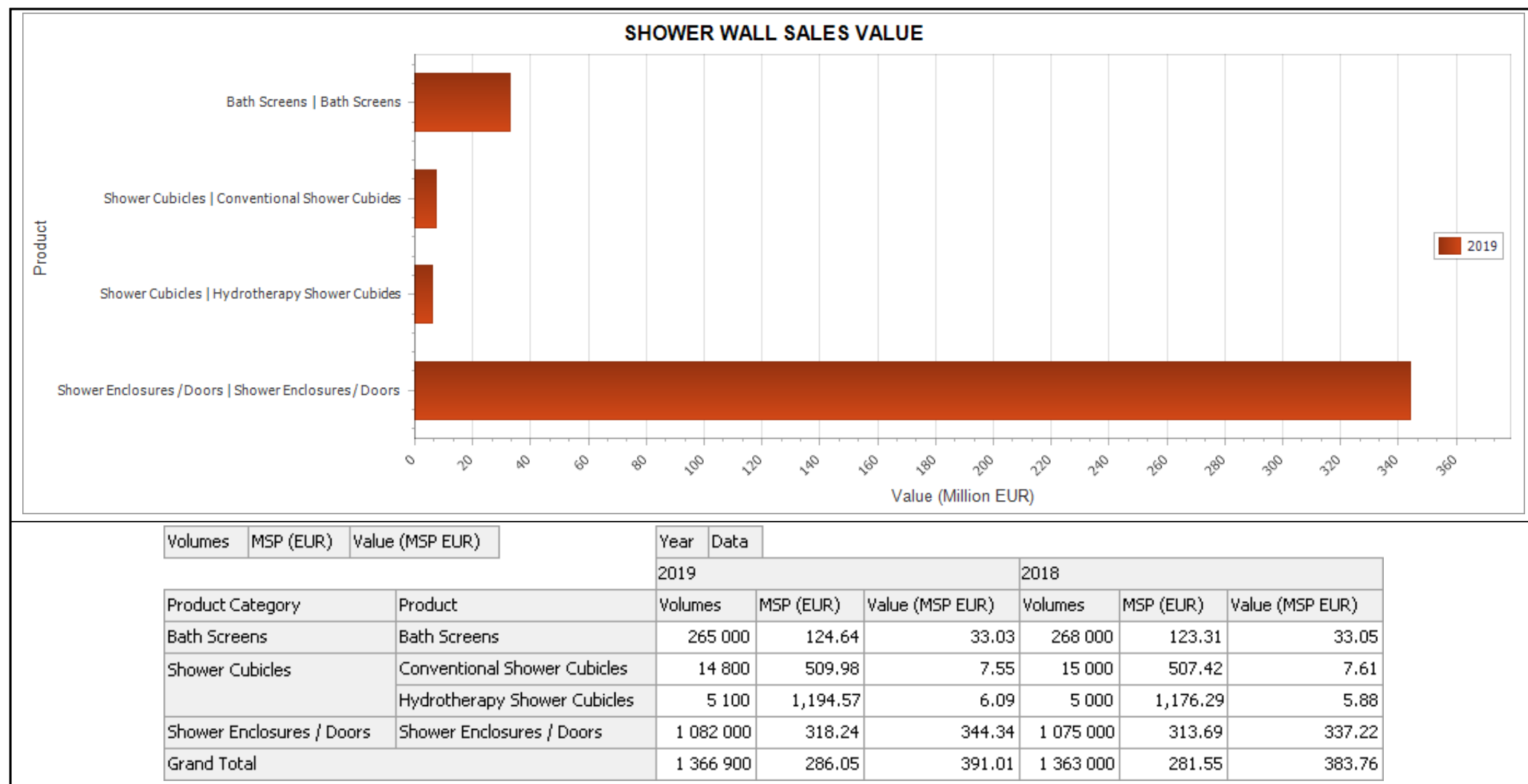
### DE - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

#### 4.3.1 Prices and Market Values : Shower Wall

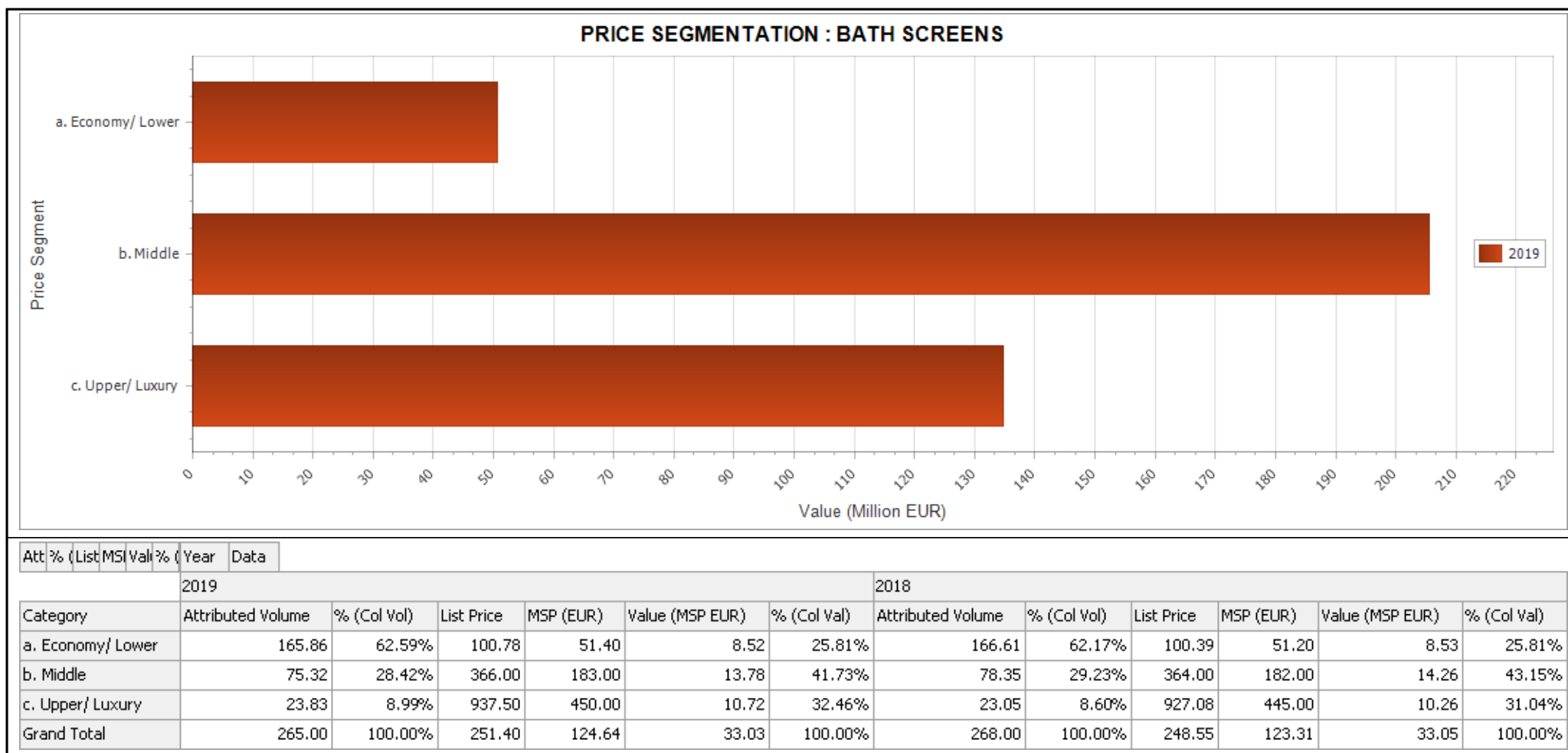
DE - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

#### 4.3.2 Price Segmentation : Bath Screens

##### DE - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

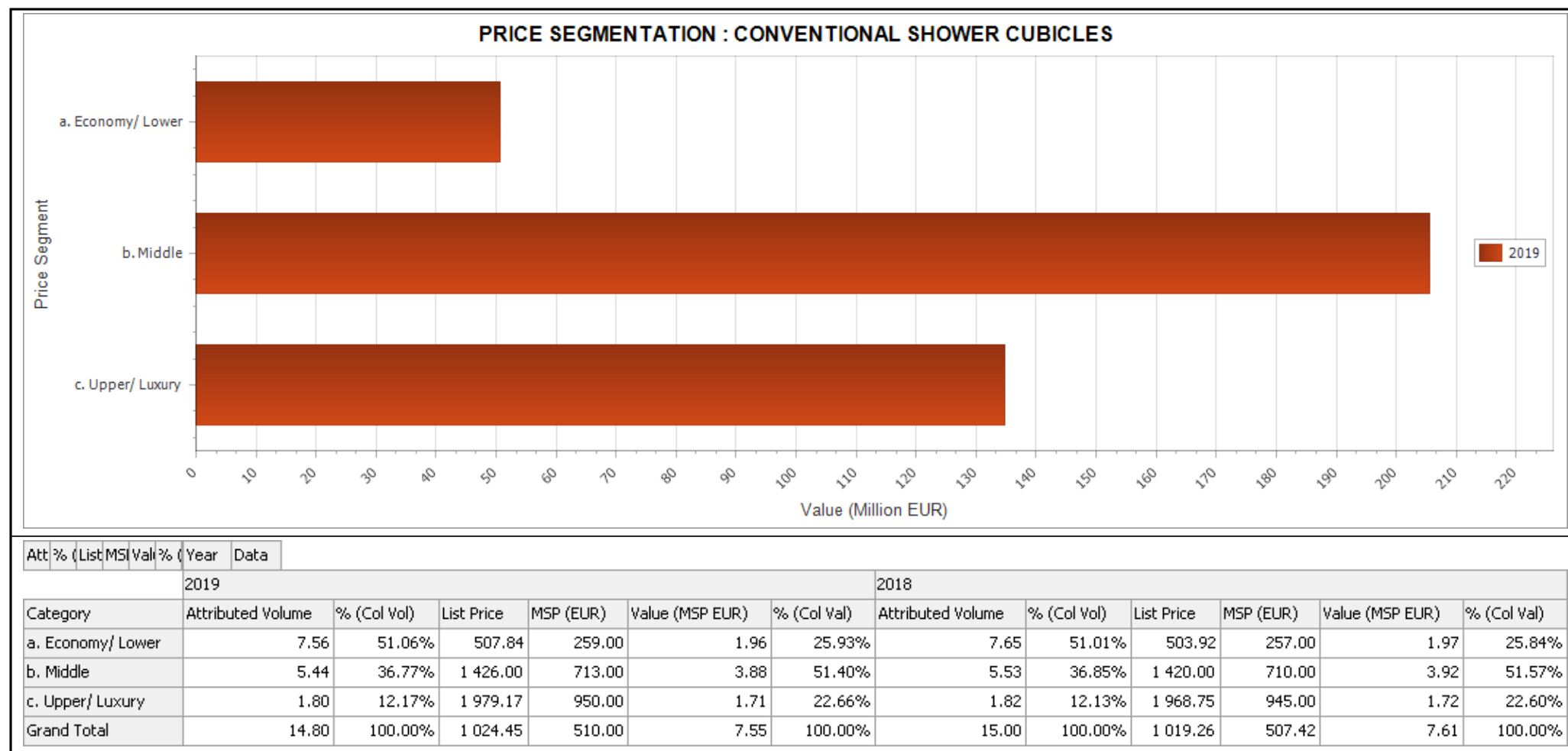


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

#### 4.3.3 Price Segmentation : Conventional Shower Cubicles

##### DE - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

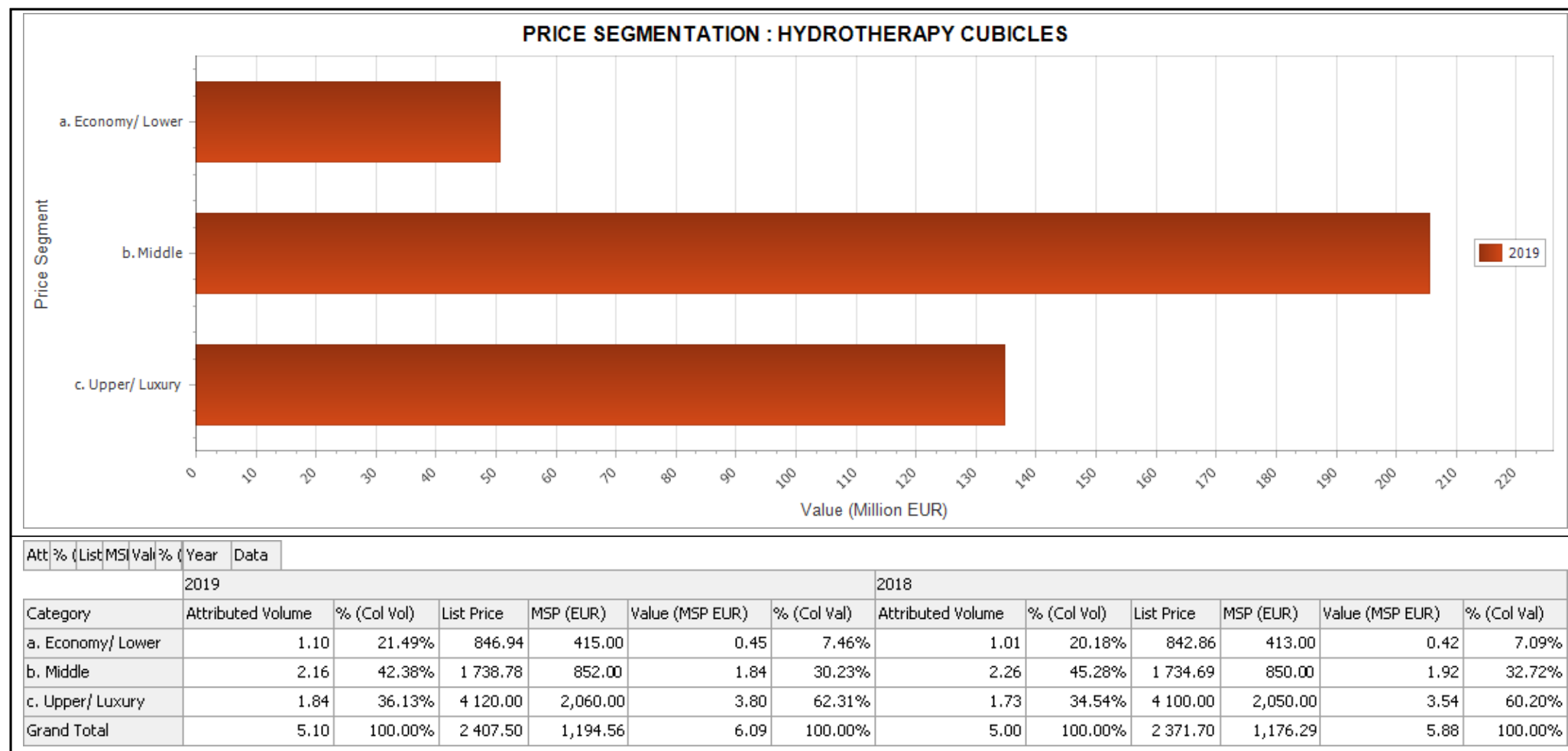


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€800, Upper/ Luxury >€800

#### 4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

##### DE - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES



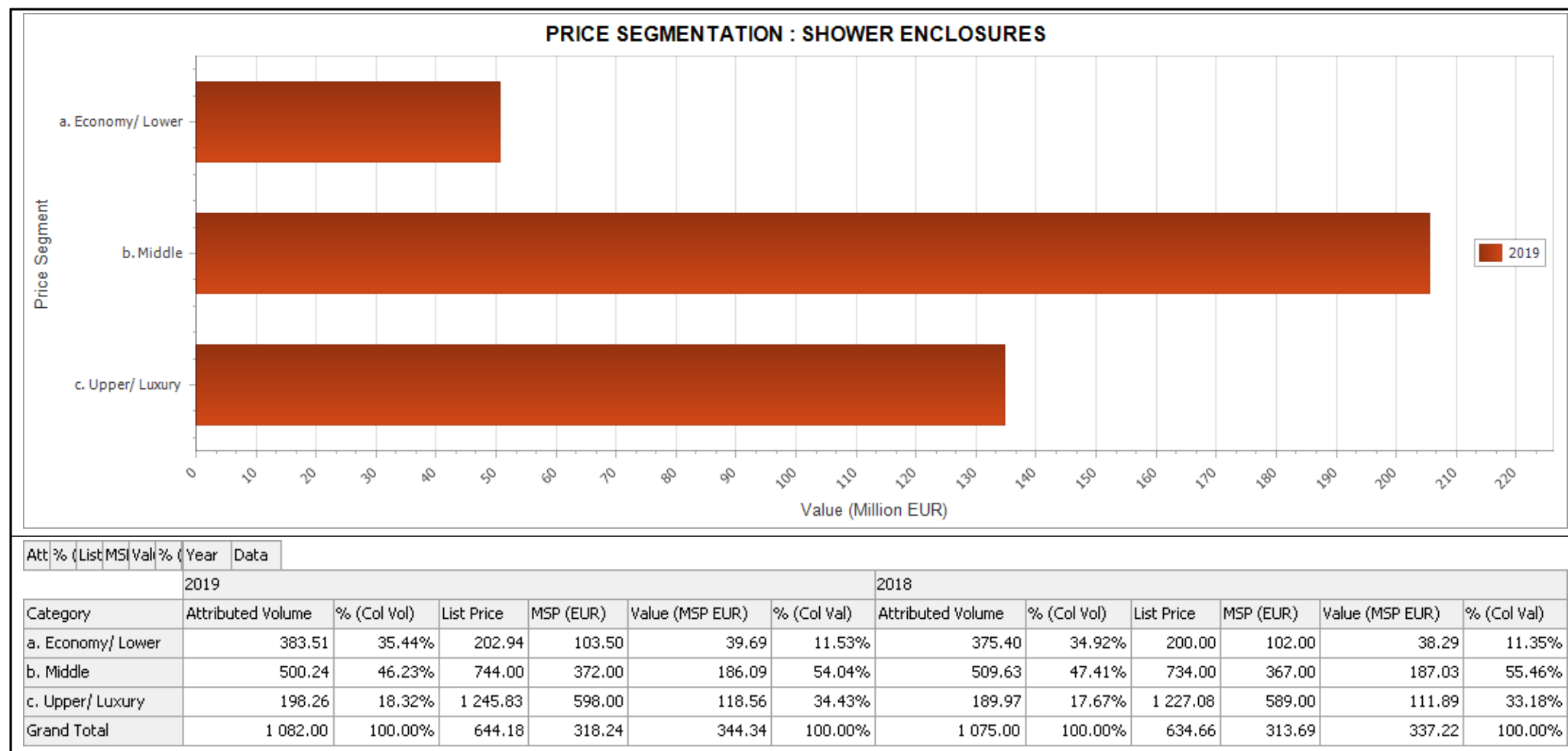
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,200, Upper/ Luxury >€1,200



#### 4.3.5 Price Segmentation : Shower Enclosures

DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

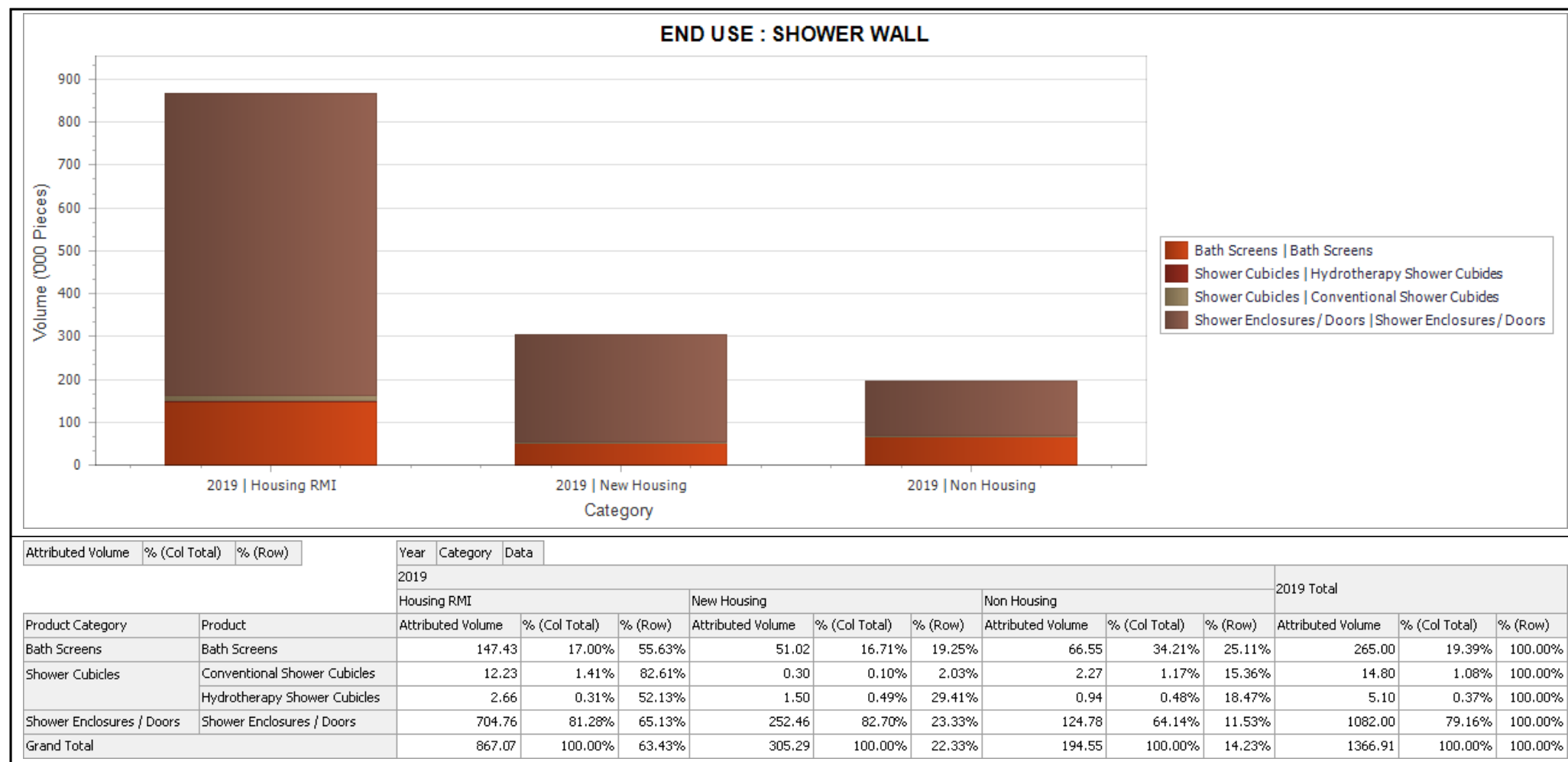


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

#### 4.4.1 End Use : Base Year

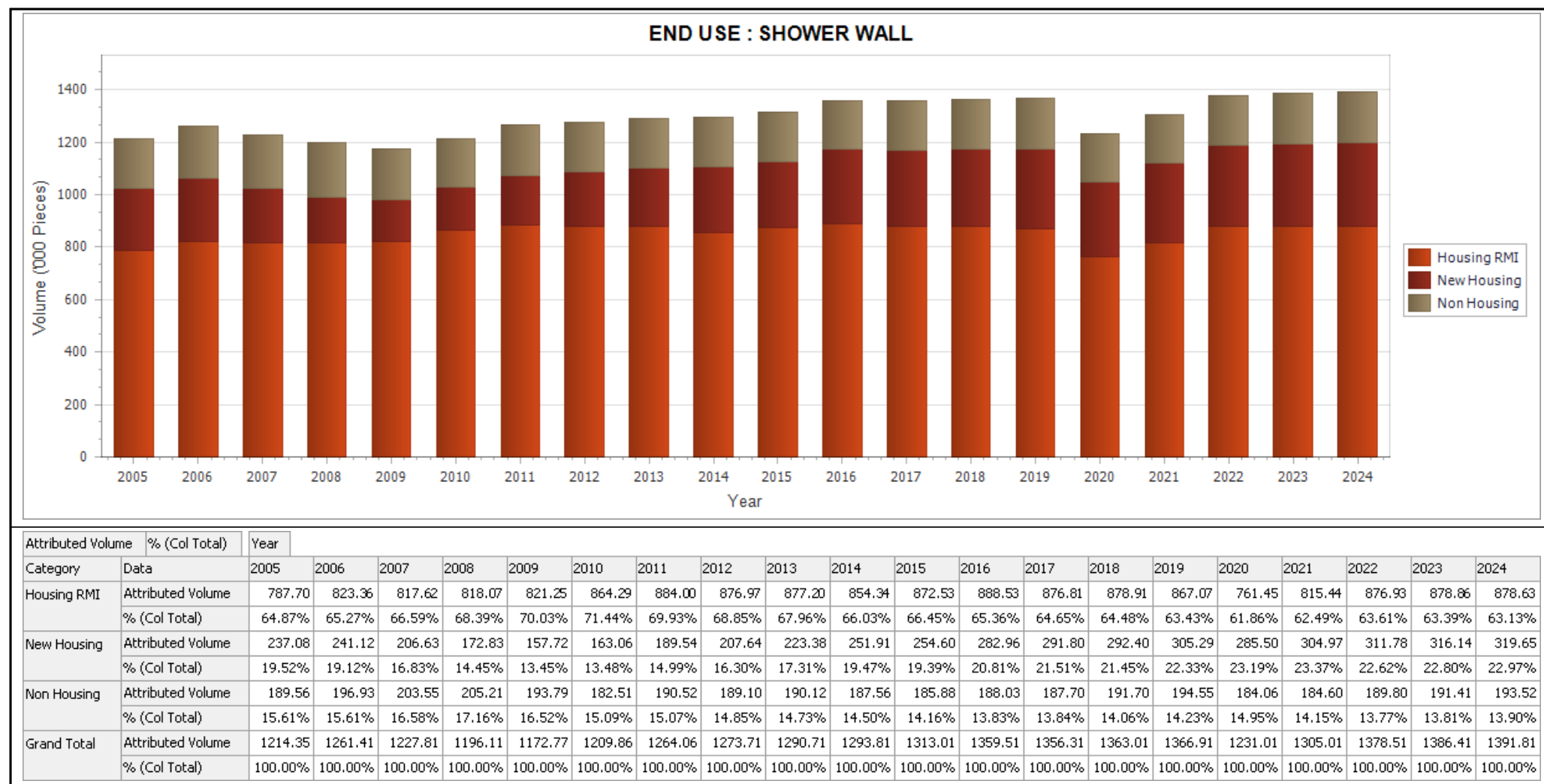
DE - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 4.4.2 End Use : Historical and Forecasts

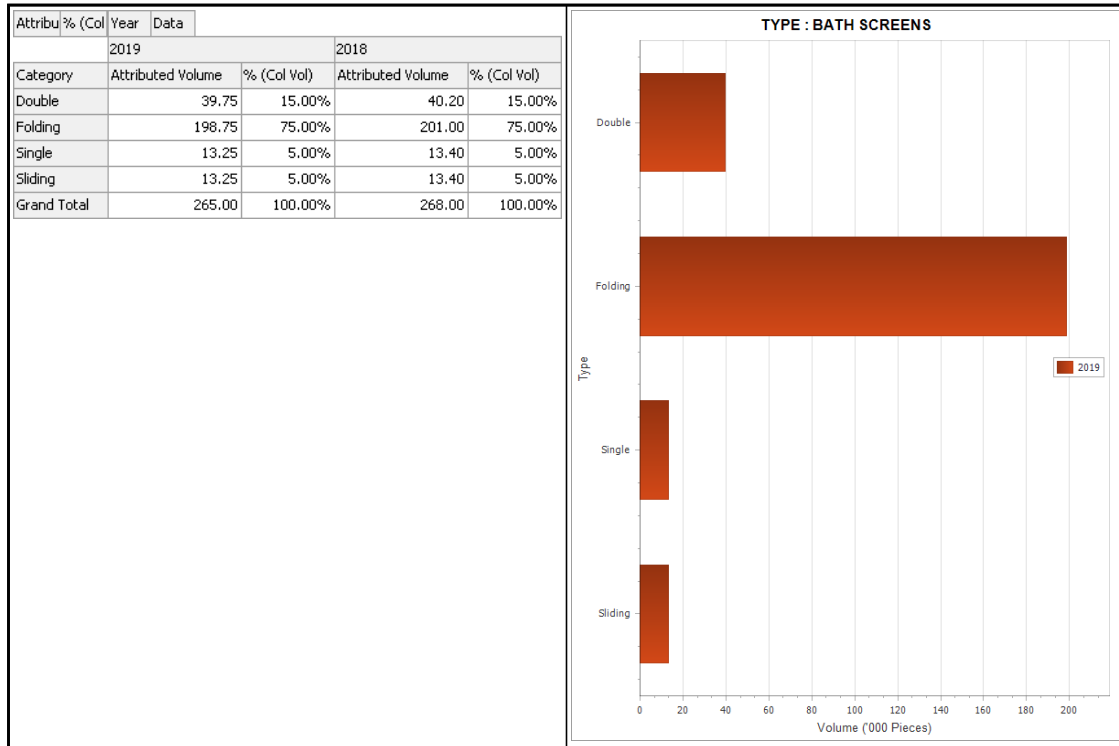
DE - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 4.4.3 Sales by Type : Bath Screens

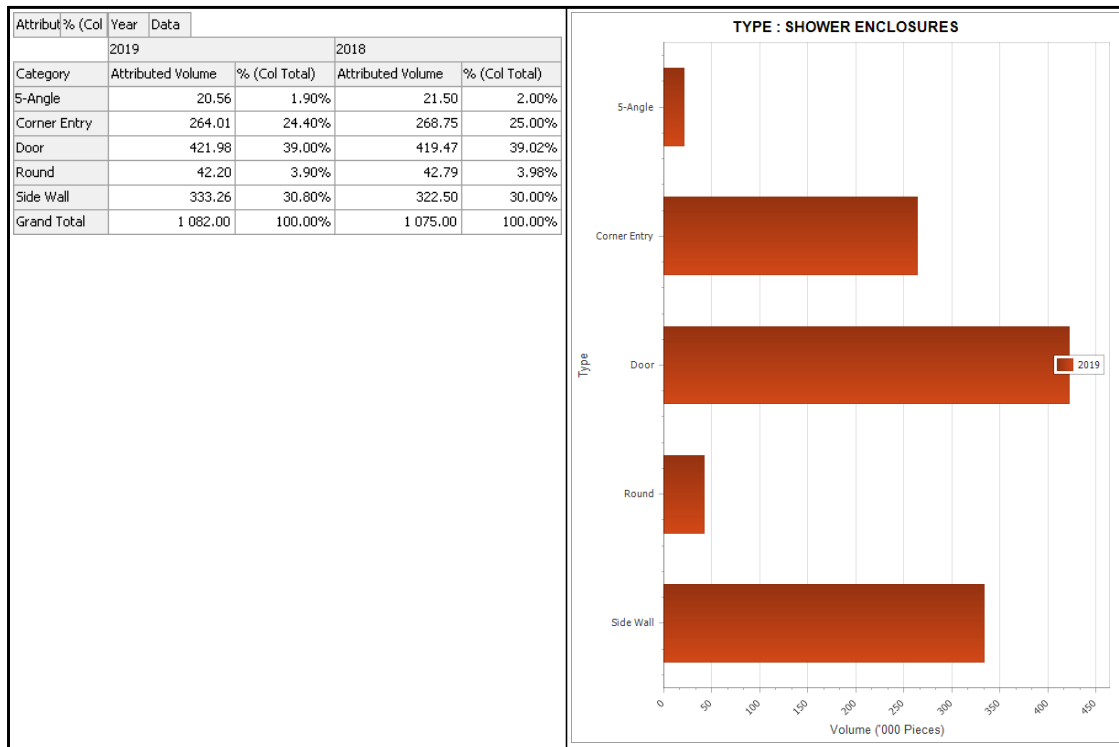
##### DE - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 4.4.4 Sales by Type : Shower Enclosures

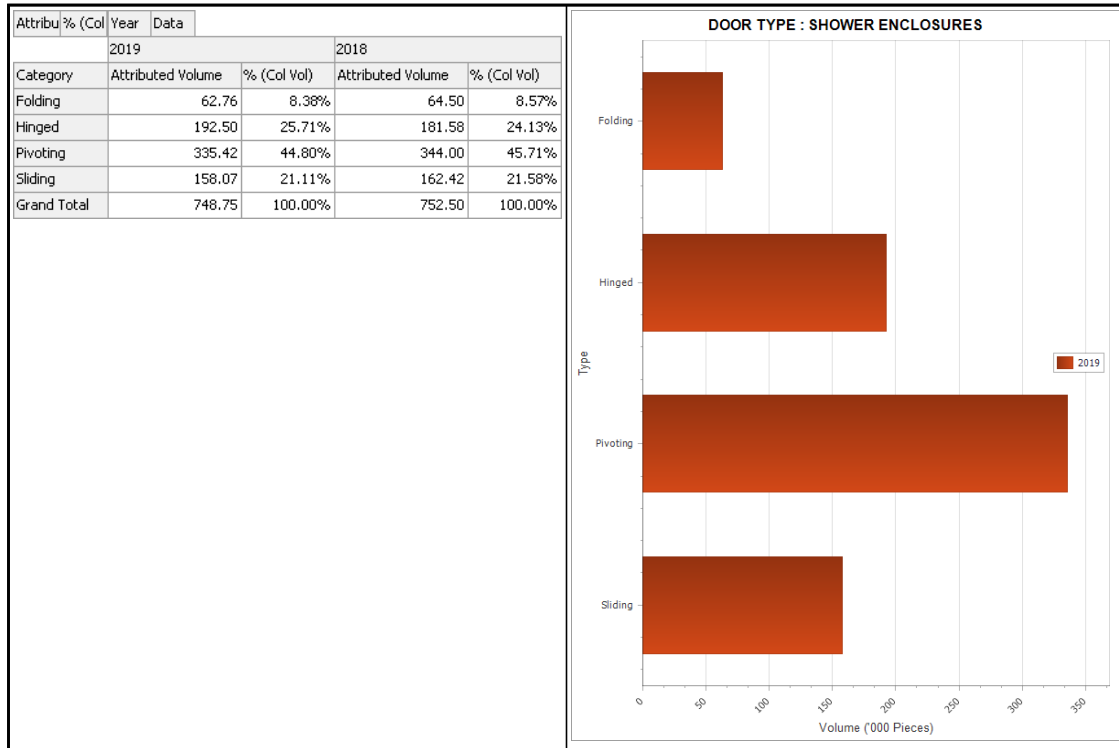
##### DE - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

#### 4.4.5 Sales by Type of Door : Shower Enclosures

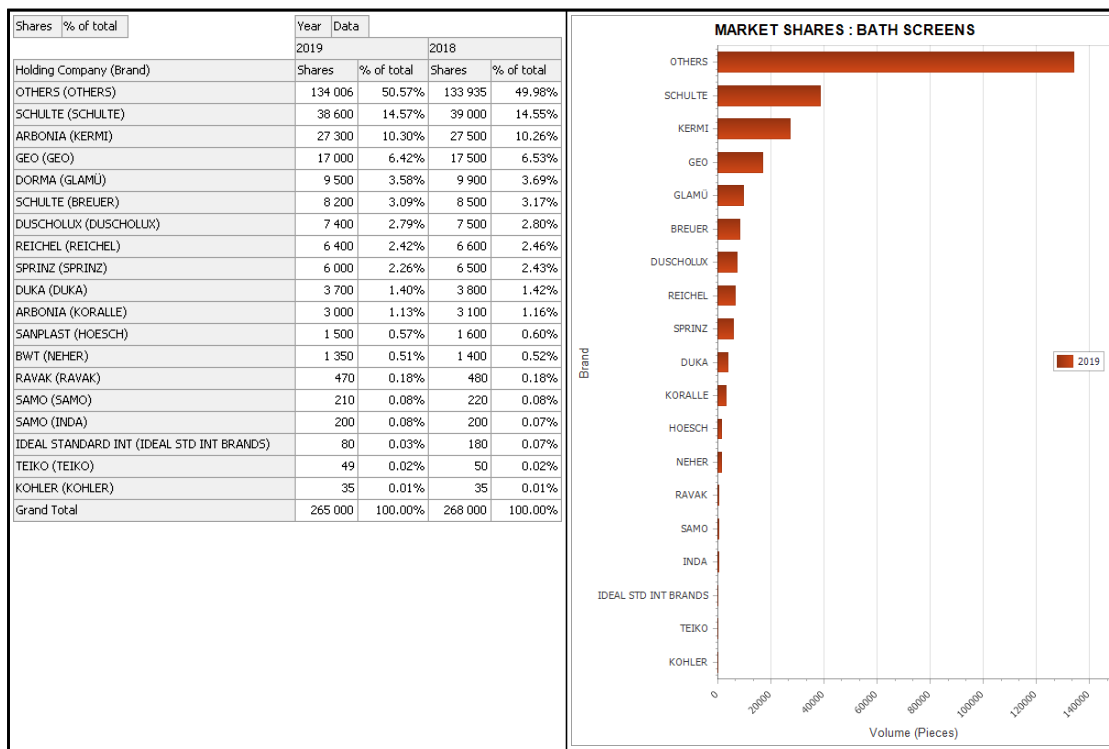
DE - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 4.5.1 Market Shares : Bath Screens

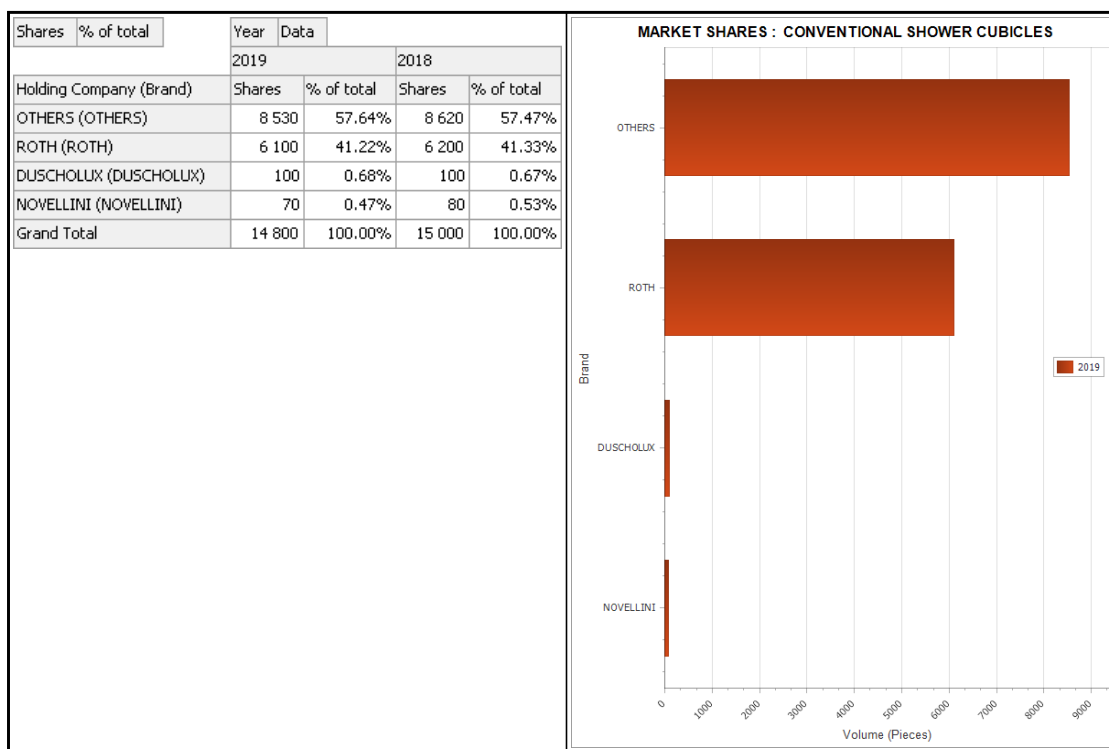
##### DE - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

#### 4.5.2 Market Shares : Conventional Shower Cubicles

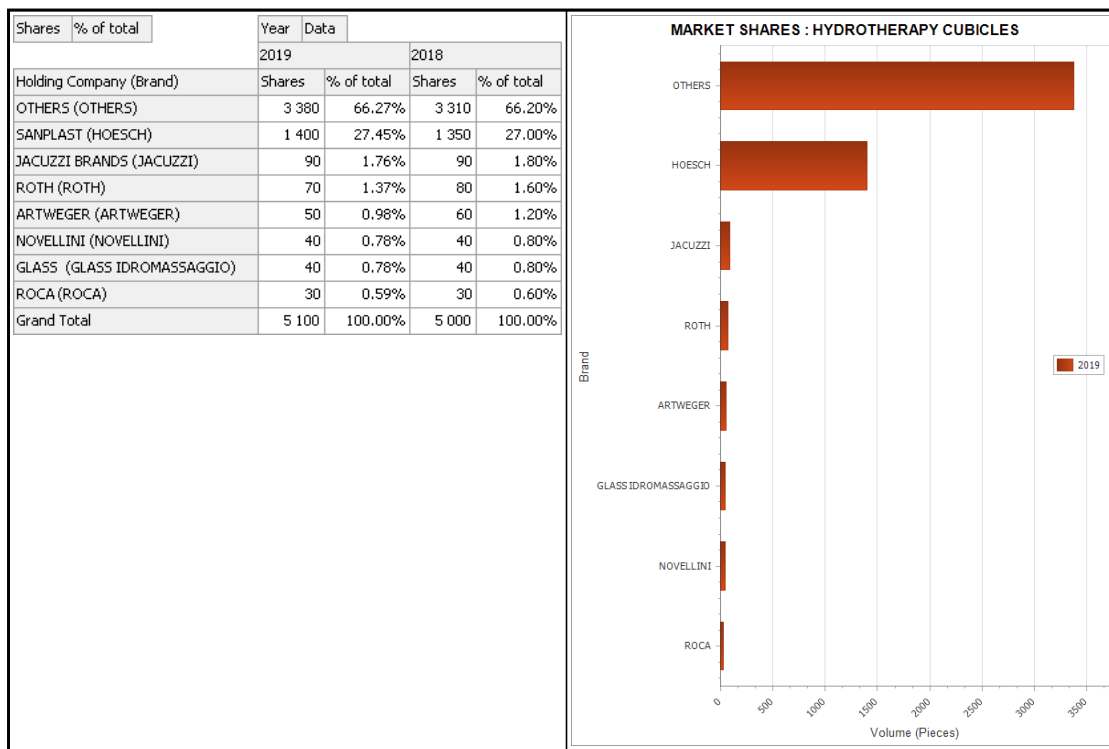
##### DE - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

#### 4.5.3 Market Shares : Hydrotherapy Shower Cubicles

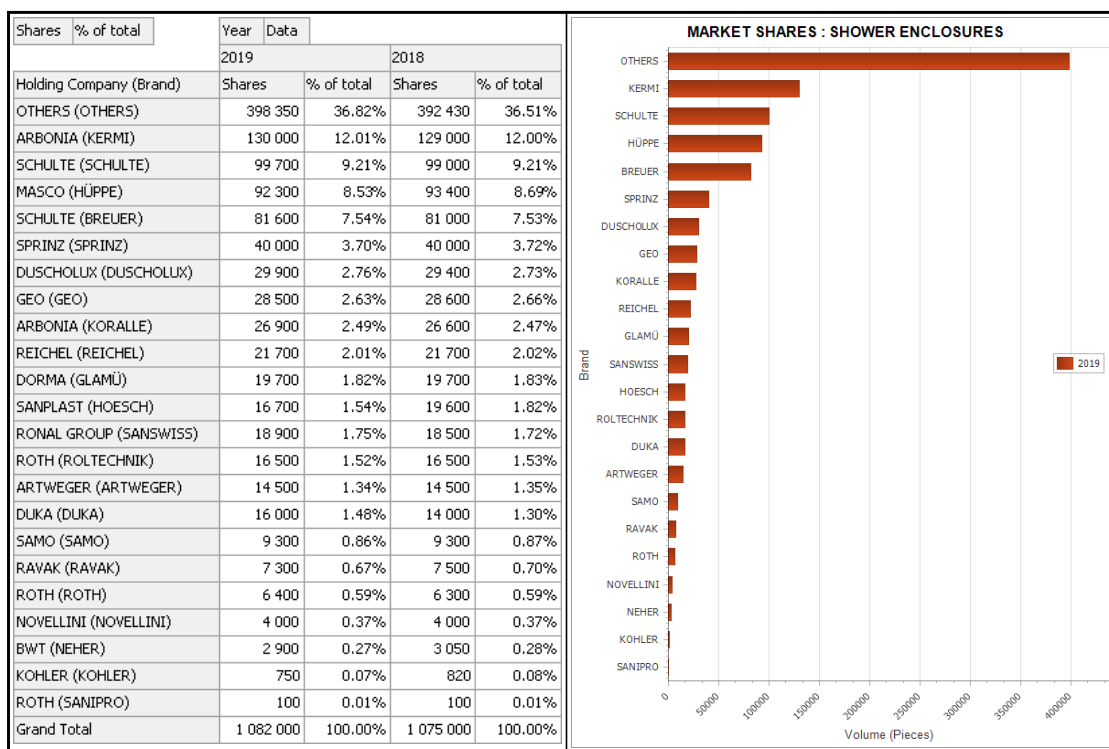
##### DE - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

#### 4.5.4 Market Shares : Shower Enclosures

##### DE - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall  
DE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 54.2%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 54.2%                          |

|              |                           |                    |                       |                    |                             |                    |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.7%      | Wholesaler<br>4.2% | Manufacturer<br>23.8% | Wholesaler<br>4.1% | Manufacturer<br>0.8%        | Wholesaler<br>1.3% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                    |
|              | 7.9%                      |                    | 27.9%                 |                    | 2.1%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 7.1%              | 40.0%      | 2.0%     | 3.0% | 0.1%       |
| <b>Installers</b> |            |          |      |            |
| 52.2%             |            |          |      |            |

|               |                      |                    |                  |                        |                    |                    |
|---------------|----------------------|--------------------|------------------|------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>9.0% | Wholesaler<br>0.0% | Internet<br>5.9% | DIY<br>24.9%           | Specialist<br>1.0% | Installer<br>44.9% |
|               | <b>Residential</b>   |                    |                  |                        |                    |                    |
|               | 85.8%                |                    |                  |                        |                    |                    |
|               | <b>New Build</b>     |                    |                  | <b>Residential RMI</b> |                    |                    |
|               | 22.3%                |                    |                  | 63.4%                  |                    |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                  | <b>Project</b>         | <b>Non-Project</b> |                    |
|               | 8.0%                 | 14.3%              |                  | 14.0%                  | 49.4%              |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.3%                   | 4.6%               | 0.0%     | 0.0%                       | 1.0%               | 7.3%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 14.2%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 6.2%                   |                    |          | 8.0%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 6.0%                   | 0.2%               |          | 7.5%                       | 0.5%               |           |

4.6.2 Route to Market: Shower Wall  
DE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 54.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 54.0%                          |

|              |                           |                    |                       |                    |                             |                    |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>3.8%      | Wholesaler<br>4.4% | Manufacturer<br>24.0% | Wholesaler<br>4.0% | Manufacturer<br>0.8%        | Wholesaler<br>1.3% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                    |
|              | 8.2%                      |                    | 28.0%                 |                    | 2.1%                        |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 6.7%              | 40.0%      | 2.1%     | 3.1% | 0.1%       |
| <b>Installers</b> |            |          |      |            |
| 52.0%             |            |          |      |            |

|               |                      |                    |                  |                        |                    |                    |
|---------------|----------------------|--------------------|------------------|------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>9.4% | Wholesaler<br>0.0% | Internet<br>5.9% | DIY<br>24.9%           | Specialist<br>1.0% | Installer<br>44.9% |
|               | <b>Residential</b>   |                    |                  |                        |                    |                    |
|               | 86.1%                |                    |                  |                        |                    |                    |
|               | <b>New Build</b>     |                    |                  | <b>Residential RMI</b> |                    |                    |
|               | 23.0%                |                    |                  | 63.1%                  |                    |                    |
|               | <b>Project</b>       | <b>Non-Project</b> |                  | <b>Project</b>         | <b>Non-Project</b> |                    |
|               | 10.0%                | 13.0%              |                  | 16.0%                  | 47.1%              |                    |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 1.3%                   | 4.3%               | 0.2%     | 0.0%                       | 1.0%               | 7.1%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 13.9%                  |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 6.5%                   |                    |          | 7.4%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 6.0%                   | 0.5%               |          | 6.2%                       | 1.2%               |           |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings



#### 4.6.3 Route to Market - Consolidated View : Shower Wall

DE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

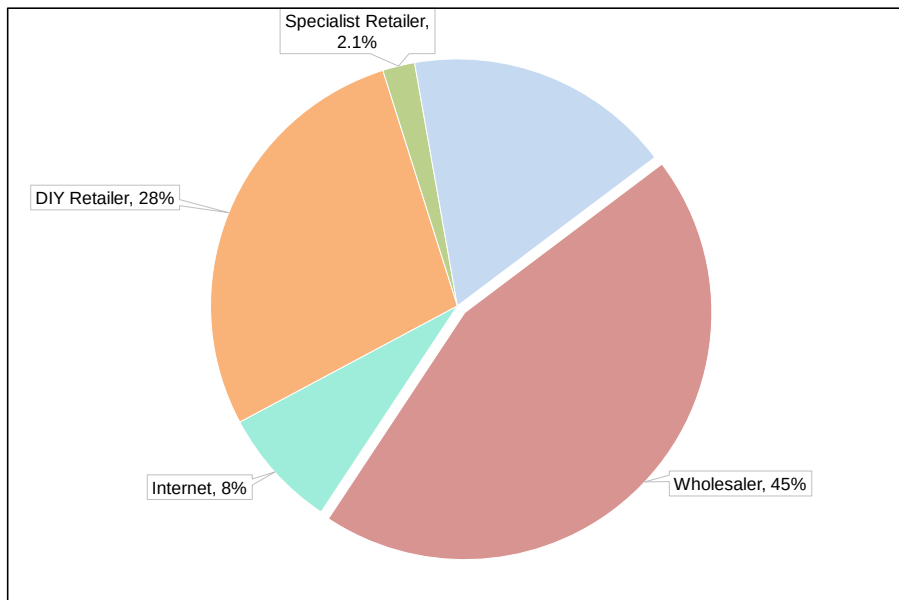
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 44.6%                           | 7.9%     | 27.9%        | 2.1%                | 17.5%   | 22.0%       | 13.5%           | 63.8%       | 0.7%            |
| 100%                            |          |              |                     |         | 35.5%       |                 | 64.5%       |                 |

#### 4.6.4 Route to Market - Consolidated View : Shower Wall

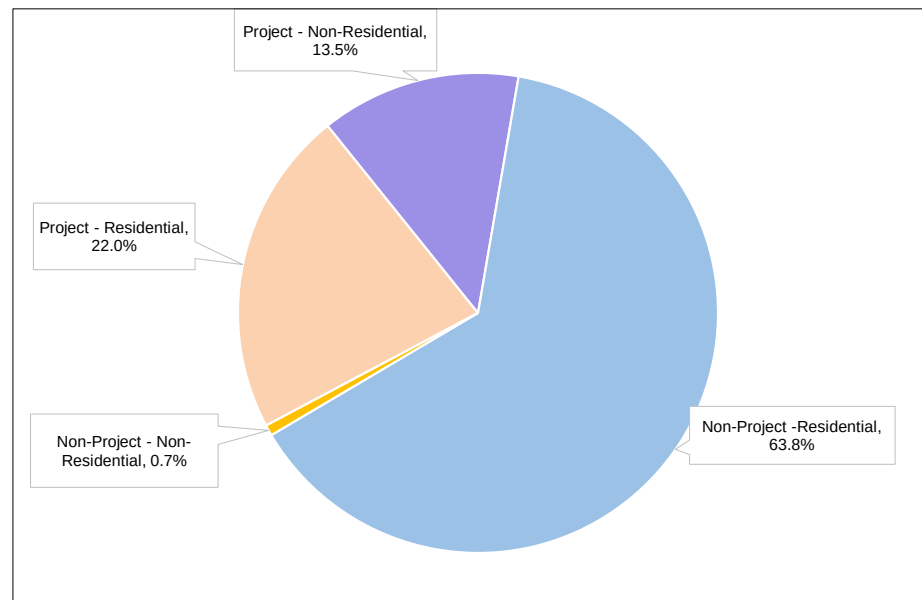
DE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 44.3%                           | 8.2%     | 28.0%        | 2.1%                | 17.4%   | 26.0%       | 12.2%           | 60.1%       | 1.7%            |
| 100%                            |          |              |                     |         | 38.2%       |                 | 61.8%       |                 |

DE - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



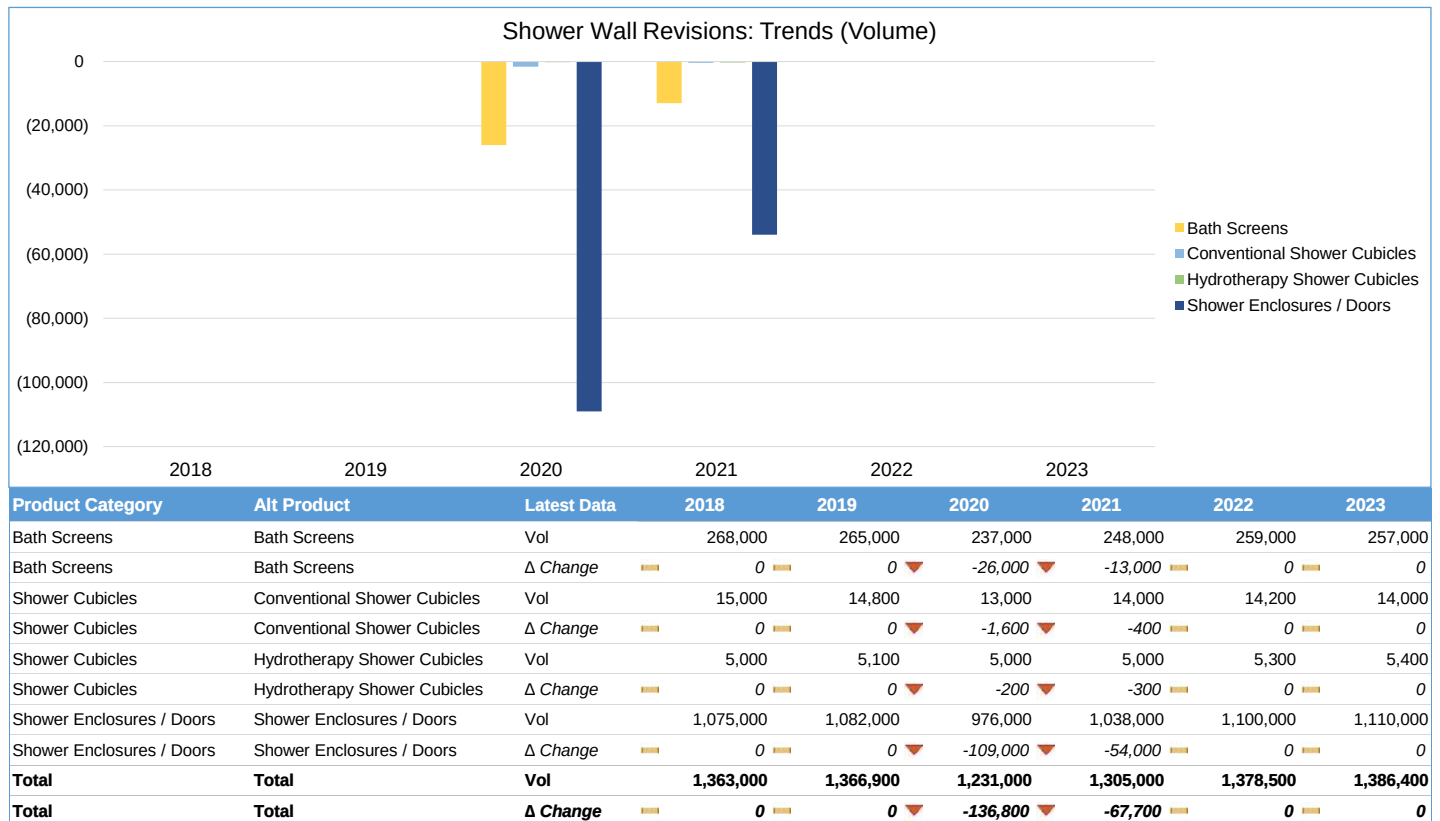
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 4.7 Revisions in the German Shower Wall Market (April 2020)

DE - REVISIONS IN THE GERMAN SHOWER WALL MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

The MSP of bath screens were revised downwards between 2012 and 2018 as a result of changes in the price segmentation. The share of the economy/ lower segment increased on the expense of the upper/ luxury segment. According to industry feedback bath screen solutions are less common in the upper price ranges, where demand is shifting towards free standing baths.

# GERMANY

## BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Market Characteristics and Technological Trends**

Initially a purely functional space, without room for creativity when compared to the living room for example, the bathroom has gradually become a showpiece of the house. Nowadays, the bathroom represents the flagship of quality and a high lifestyle for not only houses and, in a minor part, flats, but also for hotels, restaurants and other non-residential buildings. Bathroom furniture products play a central role in this process, due to their characteristic of strong eye-catching impact and the fact that they are more keenly replaced than other bathroom products such as ceramic sanitary ware, which are distinguished by a long average lifespan. The overall bathroom furniture market is heavily dependent on replacement sales. Even if the German bathroom furniture market had started to develop already in the late-1970s, it initially showed only small growth potential, which accelerated in the late-1980s and early-1990s, and is also connected to the underlying trend spreading in German bathrooms of having base units with storage space instead of old wall hung washbasin models and pedestals.

To take advantage of the recent trend among German consumers to invest in their bathroom, manufacturers of bathroom furniture focus carefully on product innovations that lead to increasing demand, with some of them establishing a market, e.g. improved lighting solutions inside drawers. Moreover, an increasing number of mirrors and mirror cabinets nowadays are equipped with sophisticated lighting solutions, such as LED lighting inside the glass. Another noteworthy growing trend is bringing technology into the bathroom, to improve the whole 'bathroom experience' with, for example, integrated touchscreen radio or Bluetooth.

Demand for all types of bathroom furniture is growing and it underlines the trend of having more storage space in the bathroom. German clients prefer spacious solutions with a monobloc washbasin unit for their main bathroom, while base units with a small washbasin are mostly installed in guest toilets. The reason for the indisputable popularity of the combination of base units sold with a monobloc countertop is due to the fear that, long term, water may damage the wood of the furniture. A relevant trend present in the mirror and mirror cabinet market sees the share of mirror cabinets, which are built into the wall, increasing further. These models, which are counted by BRG as mirror cabinets, have the advantage of having the same shape as a mirror but, at the same time, offering storage space. In some modern bathrooms stylish openings are made in the wall to be used for storage space. Such storages solutions are likely not to replace bathroom furniture and instead might reduce the need for bathrooms accessories only.

### **Recent Market Trends**

Total growth on the German bathroom furniture market slightly slowed down in 2019 when compared to the previous year. However, the growth rate is still on a high level as demand was significantly driven by new build construction and a positive RMI market. The residential new housing sector benefited from low interest

rates, growing disposable incomes and a shortage of living space, all of which triggered demand for bathroom furniture. Favourable economic conditions result in strong private consumption, which ultimately leads to a greater demand for bathroom furniture. Even if the bathroom furniture industry could benefit from the recent increase in housing completions and from the other positive economic drivers, the growth has not been completely homogeneous within the different product categories. Separate cabinets are not considered to be an essential item in a bathroom, e.g. lack of space, and, therefore, they have slightly lower growth rates than base units.

There is a trend towards base units with mineral cast counter tops, which are gaining share at the expense of ceramic washbasins. Mineral cast counter tops are usually offered by manufacturers who do not produce their own ceramic sanitary ware. They are often found in DIY and online shops and compete with lower prices when compared to ceramic products. Most bathroom furniture is attached to the wall to allow cleaning from underneath. German consumers prefer a simple design that is mainly white in colour with polished surfaces.

Regarding the colours of bathroom furniture, there is an increasing demand for models with oak design, which is a natural wood colour in different tones. There are different designs and the trend is more towards a rustic feel, with a natural-like-texture on the furniture surface. According to industry feedback, about half of the furniture is white, followed by different tones of black and grey and then oak with natural colours.

Regarding the type of washbasins, there are mainly three different solutions on the Germany bathroom market. Most hotels use a countertop basin, which is a washbasin that sits on top of a counter, which is usually made from wood. This style has found its way to the residential market and modern bathrooms are equipped with a countertop basin. This development is taking away share from the classical monobloc countertop, which by far has the highest share. The third most popular solution is the washbasin only. The total area at the top of the base unit is taken up by a washbasin.

### Prices and Market Values

Prices in the bathroom furniture market increased across all products in 2019. The price increase was driven by higher raw material prices, which were consequently passed on to consumers. However, the average MSP of base units and separate cabinets did not increase due to a growing share of the economy segment. There is a trend of German end users to move away from the middle-priced segment towards the economy and upper price range. In the past years there has been a strong increase of market players in Germany from manufacturers, that mainly focus on housing furniture. They started to include bathroom furniture into their portfolio. German end users who can afford it, invest more into good quality products. These products are less expensive than luxury lines that are presented at trade fairs, such as chic real wood editions. Demand for luxury products is only limited and consumers tend to spend a little bit less for a high-quality product.

At the same time, there is an increasing number of manufacturers that introduced bathroom furniture at the economy and lower price range. With a growing supply outside the traditional wholesale level, end users no longer need to buy bathroom furniture from professional installers. Instead, they can make use of alternative distribution channels such as e-commerce and DIY stores to look for cheaper solutions. Therefore, the overall MSP declined for base units and separate cabinets. The situation for mirrors and mirror cabinets is different, as end users prefer modern large mirrors with build in LED light. These products are gaining market shares and are replacing simple mirrors and traditional mirror cabinets. Overall, the MSP of mirrors and mirror cabinets slightly increased in 2019 when compared to previous year.

### New Housing

The new build market developed strongly in 2019 for residential apartment construction and to a lesser extend for one- and two-family homes. Sales in new housing have increased accordingly across all the categories of the bathroom furniture market. In terms of the product mix, separate cabinets are less likely to be part of a bathroom and they have a smaller share of total bathroom furniture sales in new housing. The reason for this is that empty floor space is needed to fit a separate cabinet and most bathrooms lack available space. According to the 7th fundamental bathroom study the average size of a German bathroom with WC increased from 7.8 m<sup>2</sup> in 2006 to 9.1 m<sup>2</sup> in 2017. Rented apartments with 8.2 m<sup>2</sup> average size are the smallest, followed by apartment owners with 8.6 m<sup>2</sup> and house owners with 10.3 m<sup>2</sup>. This development towards larger bathrooms is likely to benefit the bathroom furniture market. According to industry feedback, not only is the main bathroom getting larger, there is a tendency to have two bathrooms installed in a dwelling. In addition of having one main bathroom, a smaller en-suite bathroom is added to the master bedroom, or a guest toilet is replaced with a smaller bathroom. In both cases, it is likely that bathroom furniture will be installed.

Base units dominate account for the largest share, and they are followed by mirrors and medicine cabinets. Demand for all bathroom furniture products increased more significantly in 2019 when compared to the previous year. However, the strong growth of the past years seems to have reached its limits. With the COVID-19 crisis in 2020 demand is expected to drop significantly, before starting to rebound in the following years.

### Housing RMI

By far the largest part of demand for bathroom furniture products comes from the RMI market. In 2019, sales of all bathroom furniture products were positive. Base units had the biggest growth rate, followed by separate cabinets and mirror/medicine cabinets. The renovation segment tends to favour sales of higher-priced products and there is a trend to purchase high quality products on the Internet. At the same time, there is a growing supply of bathroom furniture and end users can choose from different distributions channels. There is a greater choice of

more affordable products available outside the traditional three step distribution. Installers are less likely interested in selling bathroom furniture. They might have only a limited selection of products as it is not their priority business. Therefore, they might just install everything behind the wall and the end user buys the furniture elsewhere. For example, furniture shops have a greater variety and they are cheaper, too. Moreover, furniture shops are not affected by lack of professionals and can provide installation service once the bathroom has been finalised by the installer.

Overall, demand for bathroom furniture is expected to remain positive throughout the forecast period. After a rapid decline in 2020 due to the COVID-19 crisis, it is believed that demand will pick up quickly starting from 2021 onwards. This development is likely to be triggered by a slowdown of the new housing sector, which will allow installers to catch up with bathroom renovations that have been postponed in recent years.

### Non-Housing

Total non-residential construction output marginally increased in 2019 and had a positive effect on the German bathroom furniture market. Demand for non-housing bathroom furniture mainly originates in the recreational sector in places such as hotels, healthcare buildings, nursing homes and spa and wellness facilities. In 2019, new construction output from these sectors was negative and it could not contribute to a stronger growth rate. Nevertheless, demand for base units, mirror cabinets and separate cabinets was positive in 2019, and it is believed that demand mainly comes from refurbishments. The non-housing segment only plays a minor role and generates only a small share of total demand. For example, demand for bathroom furniture is more likely to come from privately owned hospitals, which represent only one third of total hospitals. Hospitals under public ownership have a limited disposable budget and their bathrooms would be equipped with only the necessary. In contrast, public hospitals and medical wellness facilities often have well-equipped rooms with bathrooms that make you feel like home.

### Supply Structure

The main players are domestic manufacturers such as PELIPAL, FACKELMANN and STEINHOF (PURIS). The German bathroom furniture market is very fragmented, with many active players. The competition is high with new participants trying to compete for a limited pool of consumers. For example, wholesalers use their local presence to promote OEM products that they supply under private labels. With the growing share of alternative distribution channels, the market share of manufacturer that supply through wholesalers has been decreasing. Few companies are bathroom furniture specialists; instead, they are also involved in the manufacturing of kitchen furniture, e.g. FACKELMANN and NOBILIA, of home furniture, e.g. VOGEL AUER and SCHIEBE MEIER or of complete bathroom solutions, such as DURAVIT and BURGBAD. Some manufacturers design their base units to fit a brand of ceramic sanitary ware, for example. They collaborate with other bathroom manufacturers to provide a complete set.

With a tightening bottleneck of installers, local carpenters saw their opportunity to supply bathroom furniture. Like glass manufacturers competing with shower wall suppliers, carpenters gained market share on a marginal scale. Another example in the mirror and mirror cabinet market are specialists for mirrors that are not producing other bathroom furniture items but are gradually increasing their penetration in the market.

According to industry feedback, furniture shops are losing slightly their share of the total bathroom furniture market. The reason is that they start saving on personnel that is taking care of bathroom furnishing sales. Bathroom furniture only makes up about 3% of the total furniture shop sales. Therefore, bathroom furniture is not important to them and they try to cut costs by focusing on the main products only. In contrast, DIY stores and e-commerce are gaining share disproportionately. Within the DIY stores, it is mainly the ones doing well, which have competent personnel for consulting end users, e.g. GLOBUS and OBI. If a DIY lacks good service and product presentation, then sales of bathroom furniture remain low.

## **Forecasts**

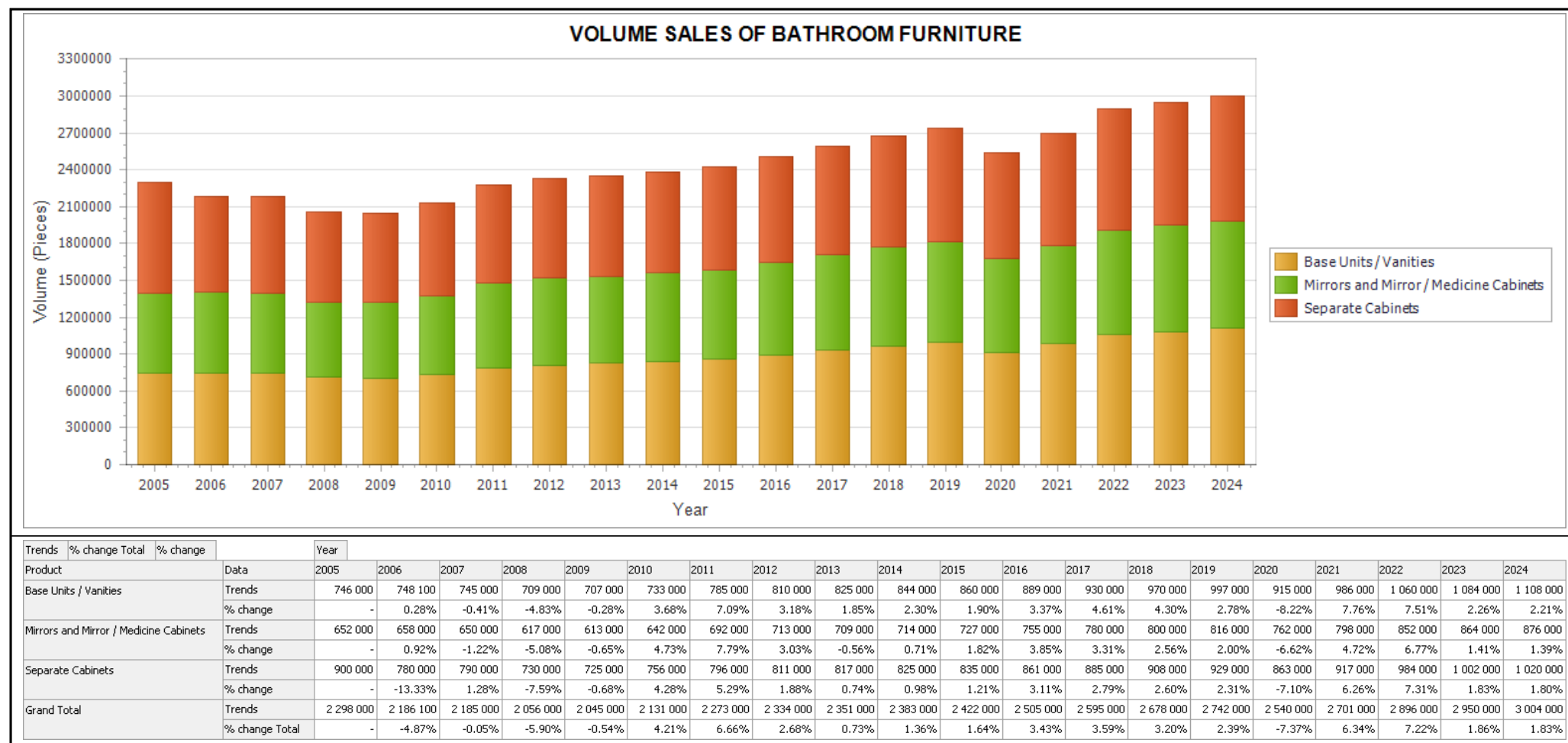
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

After the strong plunge, which was caused by the COVID-19 crisis in 2020, demand for bathroom furniture is expected to quickly recover in 2021 and to continue its positive development from 2022 onwards. Market growth is expected to be mainly driven by new housing completions and RMI demand towards the end of the forecast period. In terms of volume, the German bathroom furniture market highly depends on product replacements and bathroom renovations. Overall, bathroom furniture is a growing market, which is likely to overcome the COVID-19 crisis quickly. In most new bathrooms and renovated bathrooms there is the need for storage space. At the same time there is an increasing need for wellness and beauty products, which need to be stored away. End users add furniture to their bathroom to make it homelier. For example, the use of a separate cabinet not only adds an object to your bathroom, it also provides space for candles, incense, or a souvenir.



## 5.2 Historical Trends & Forecasts : Bathroom Furniture

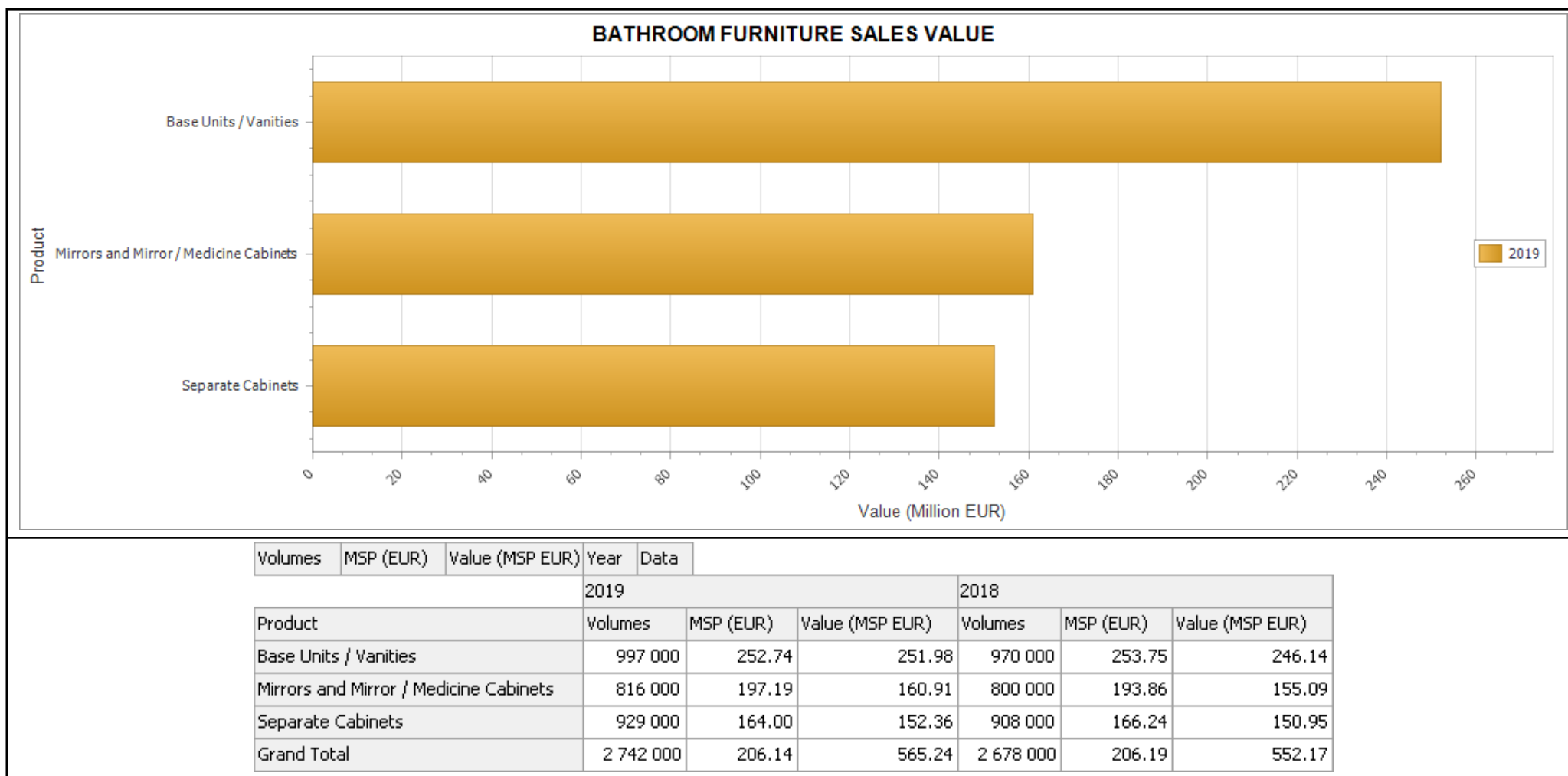
### DE - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

### 5.3.1 Prices and Market Values : Bathroom Furniture

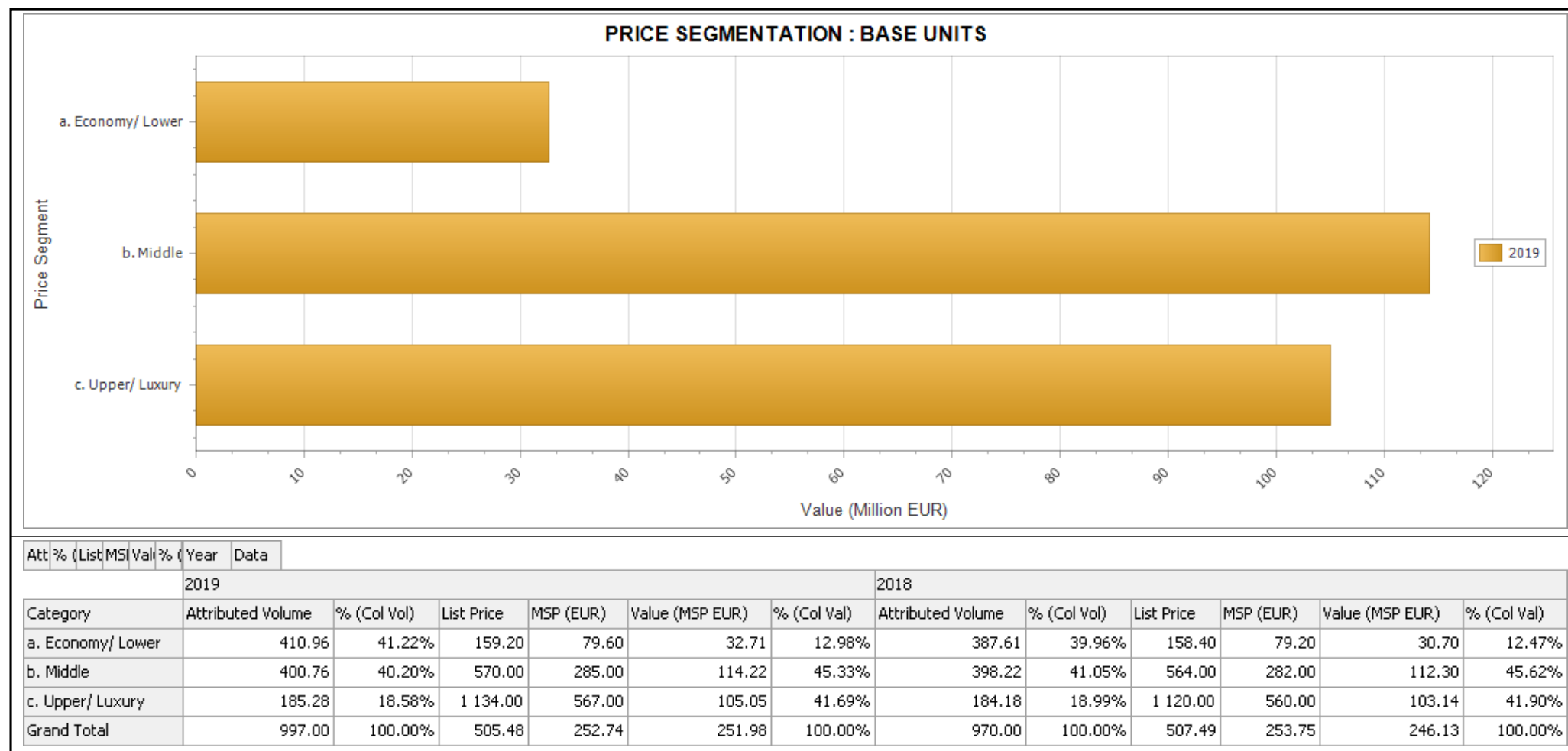
#### DE - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 5.3.2 Price Segmentation : Base Units

#### DE - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

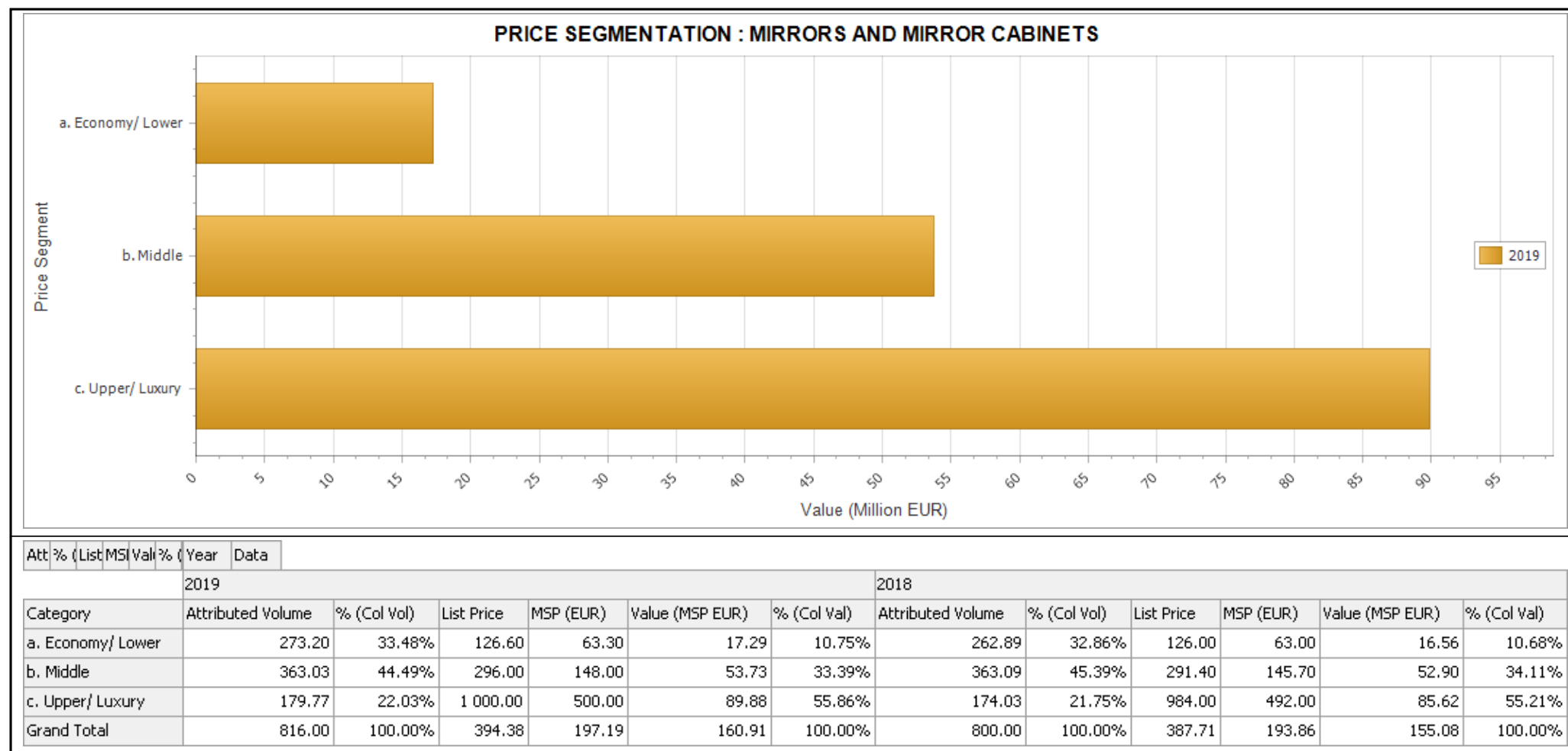


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

### 5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

#### DE - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

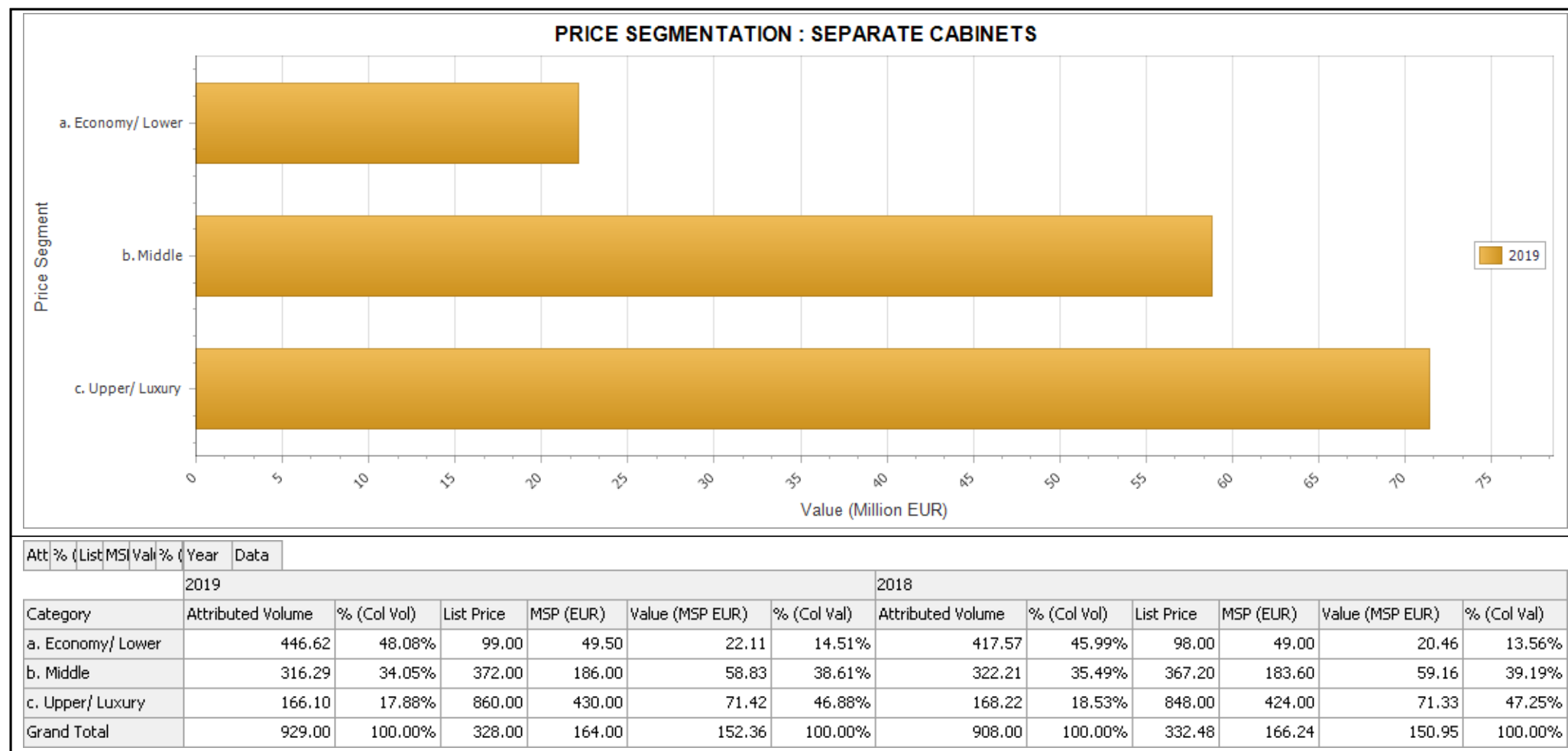


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

### 5.3.4 Price Segmentation : Separate Cabinets

#### DE - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

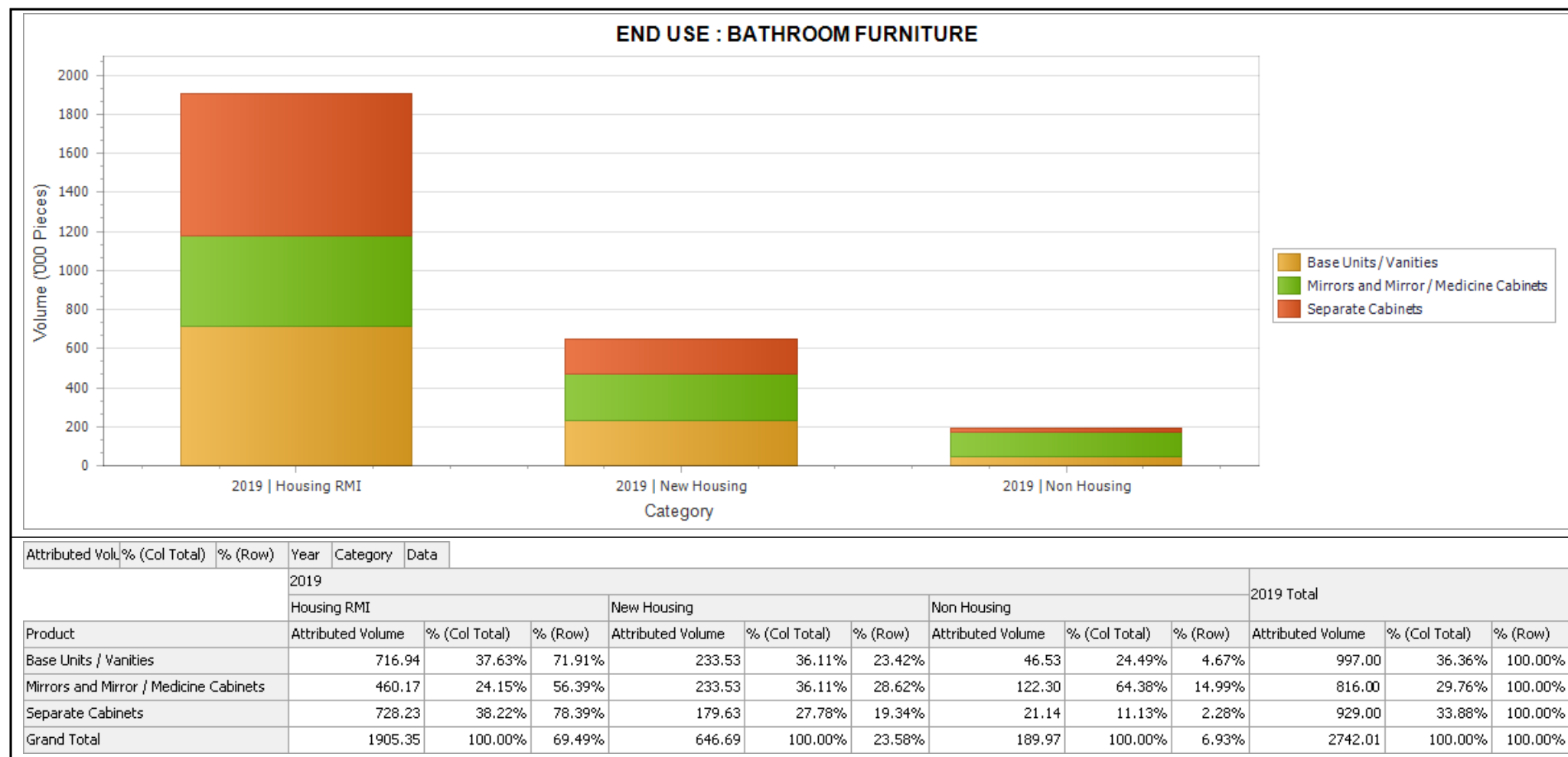


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

#### 5.4.1 End Use : Base Year

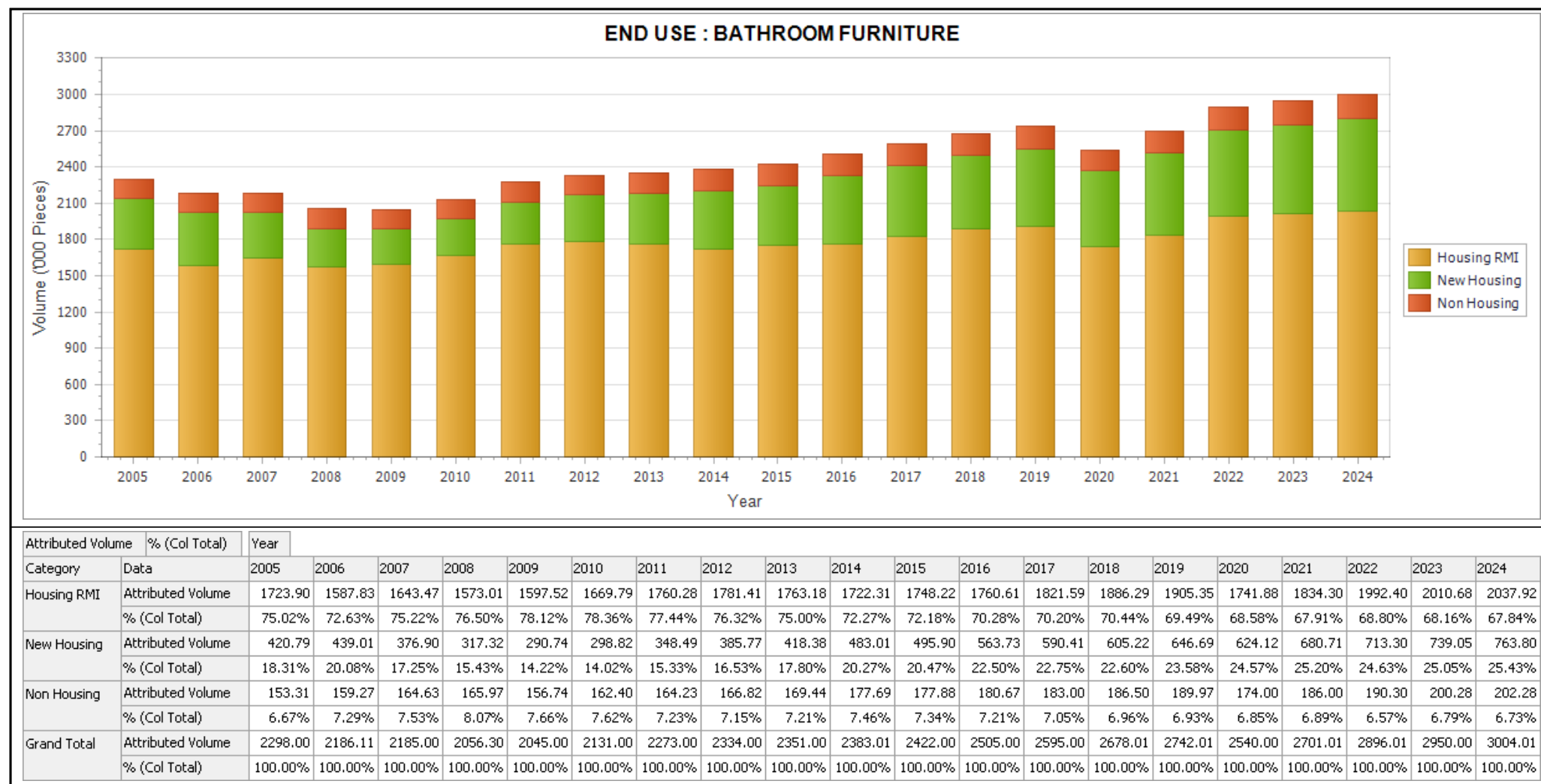
DE - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 5.4.2 End Use : Historical and Forecasts

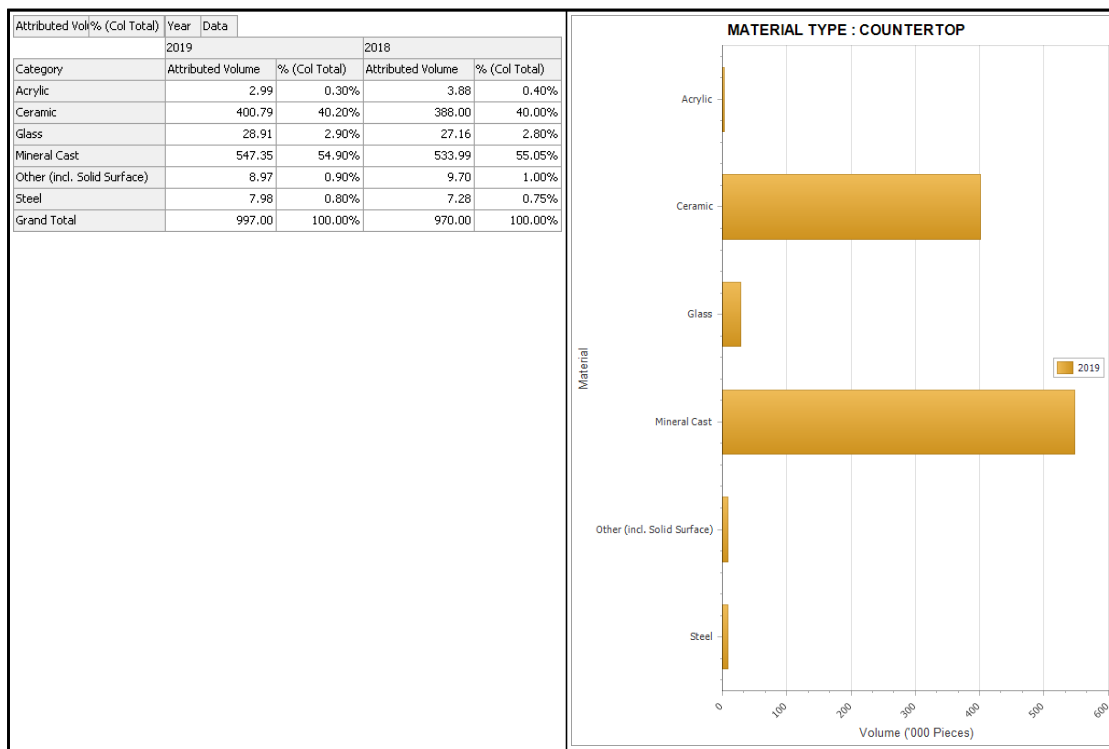
DE - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 5.4.3 Sales by Type of Washbasin Material : Base Units

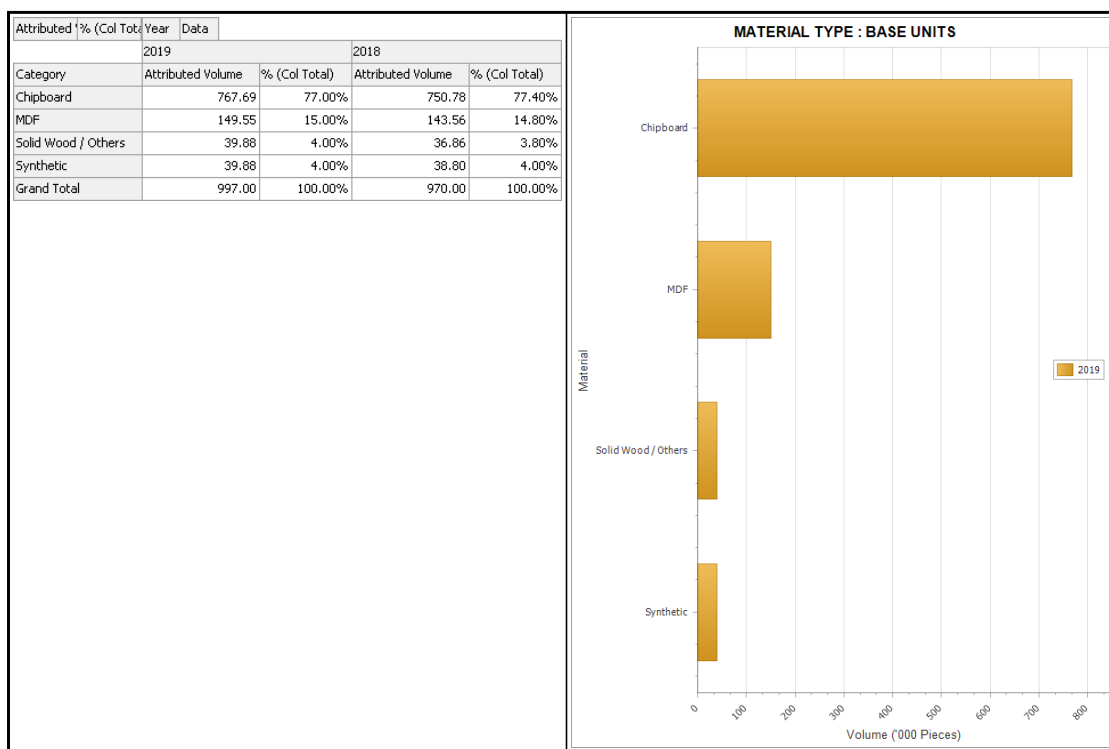
DE - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

### 5.4.4 Sales by Type of Material : Base Units

DE - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)

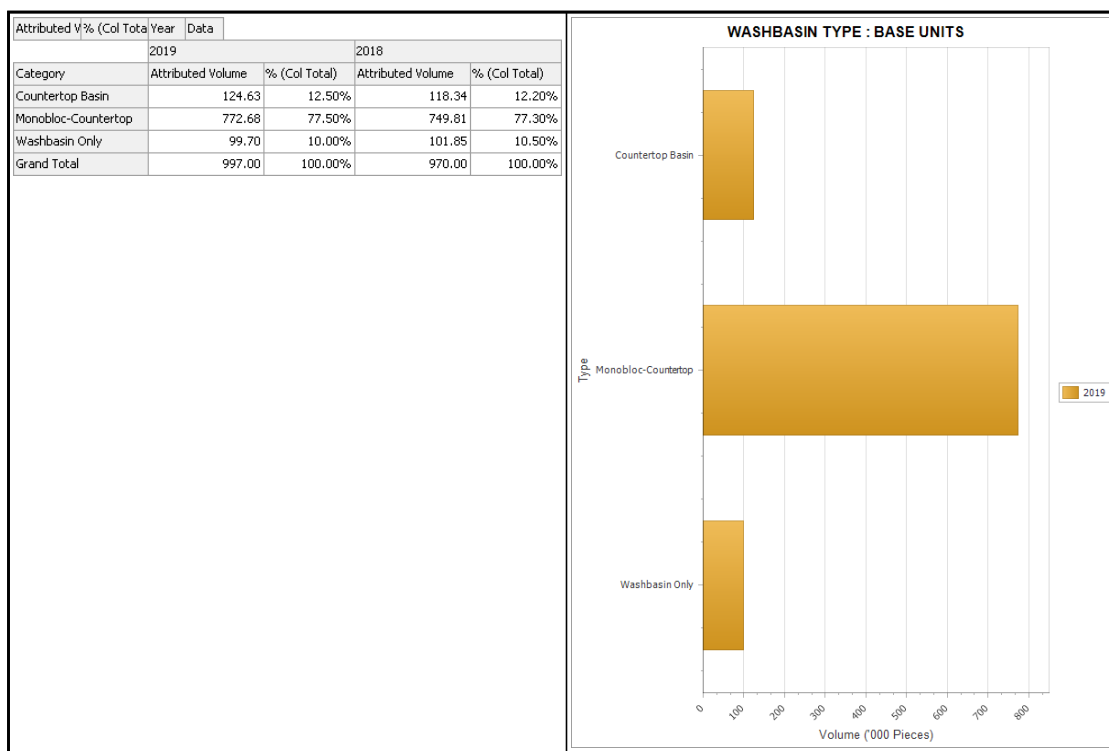


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.



#### 5.4.5 Sales by Type of Washbasin : Base Units

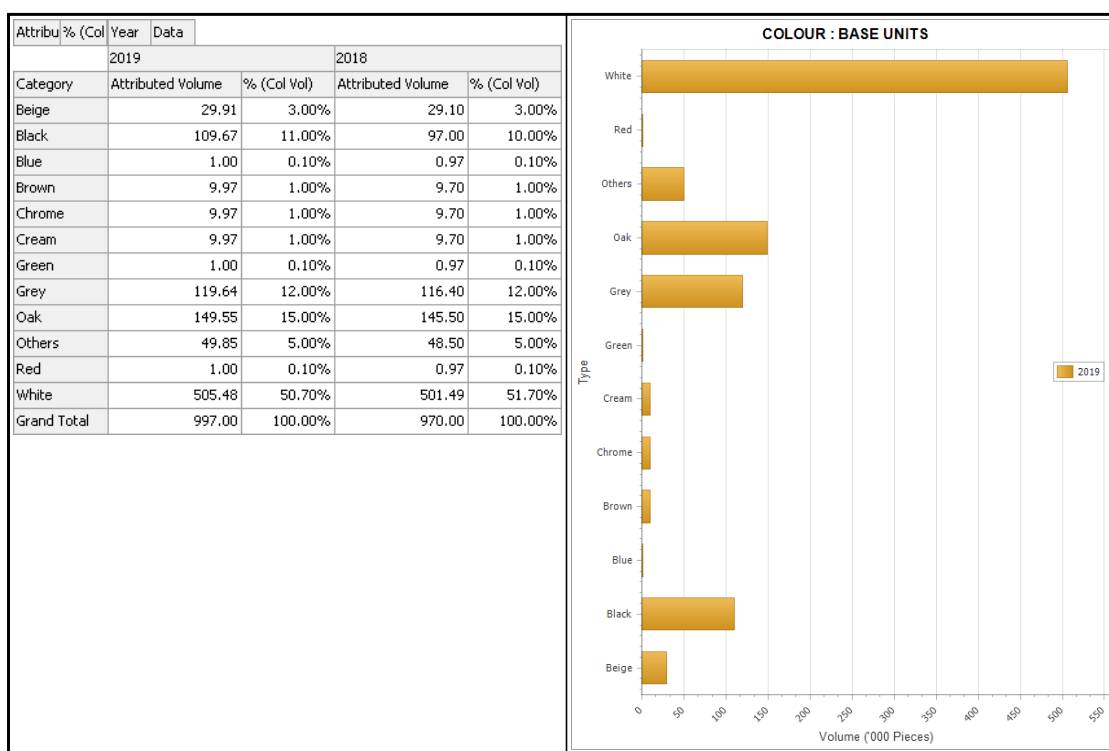
DE - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

#### 5.4.6 Sales by Type of Colour : Base Units

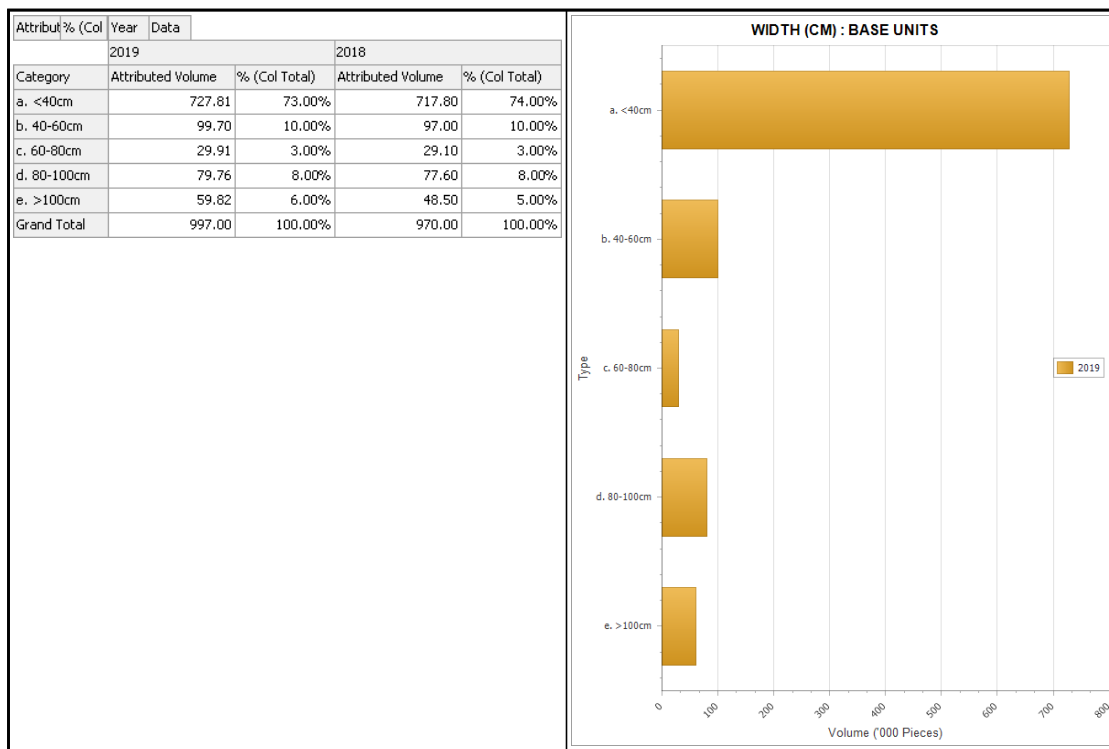
DE - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

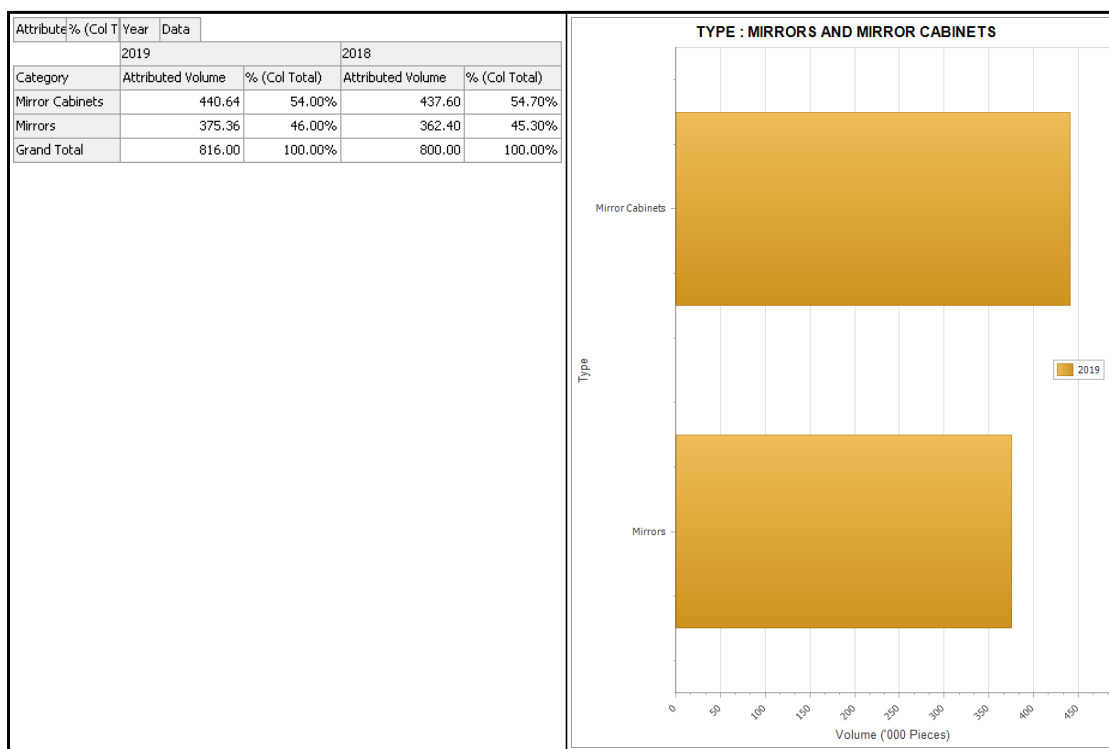
#### 5.4.7 Sales by Width : Base Units

DE - BASE UNIT SALES BY WIDTH ('000 PIECES)



#### 5.4.8 Sales by Type : Mirror and Mirror Cabinets

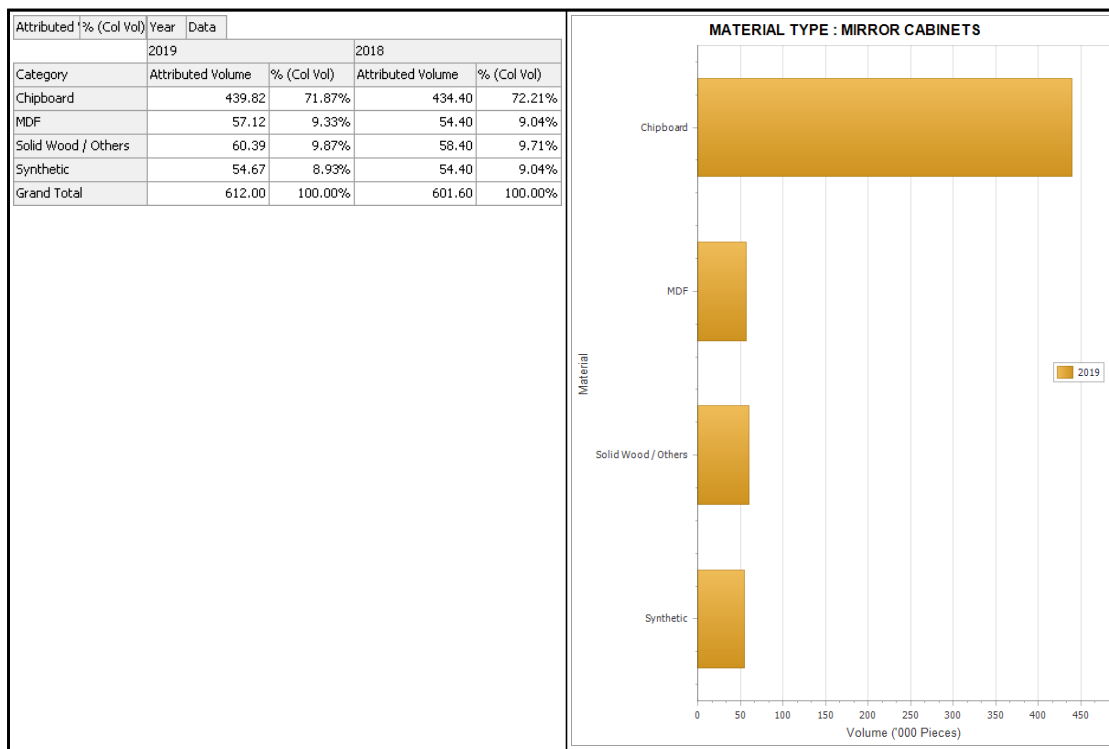
DE - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

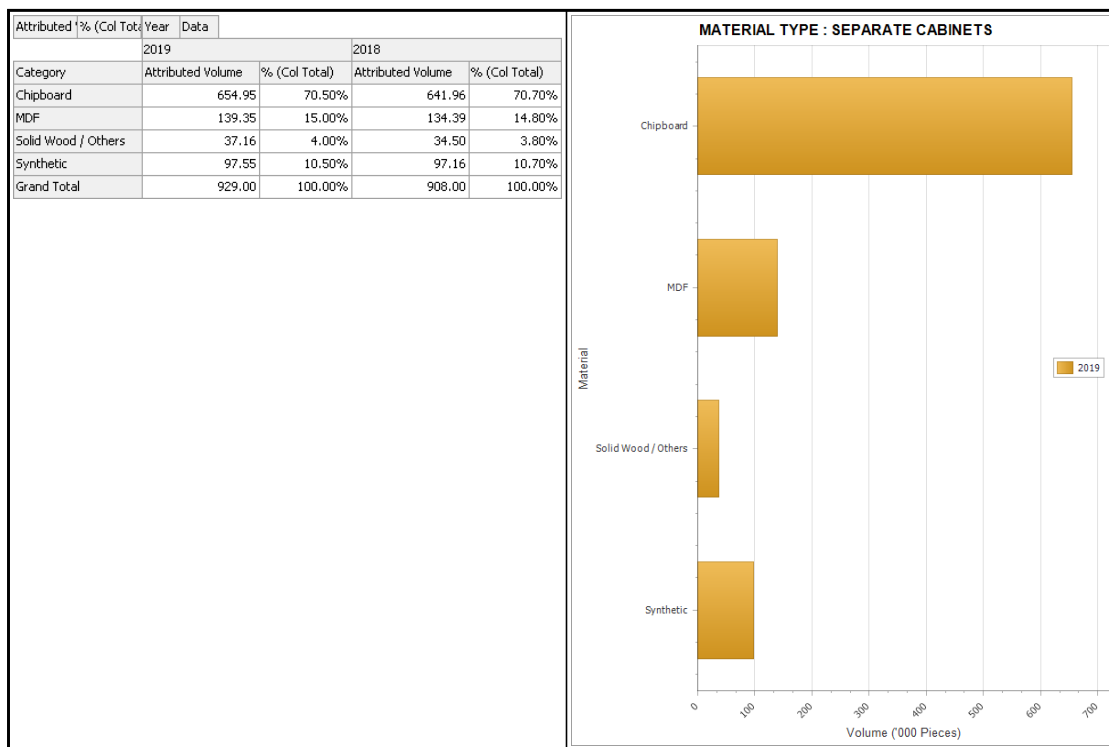
#### 5.4.9 Sales by Type of Material : Mirror Cabinets

DE - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



#### 5.4.10 Sales by Type of Material : Separate Cabinets

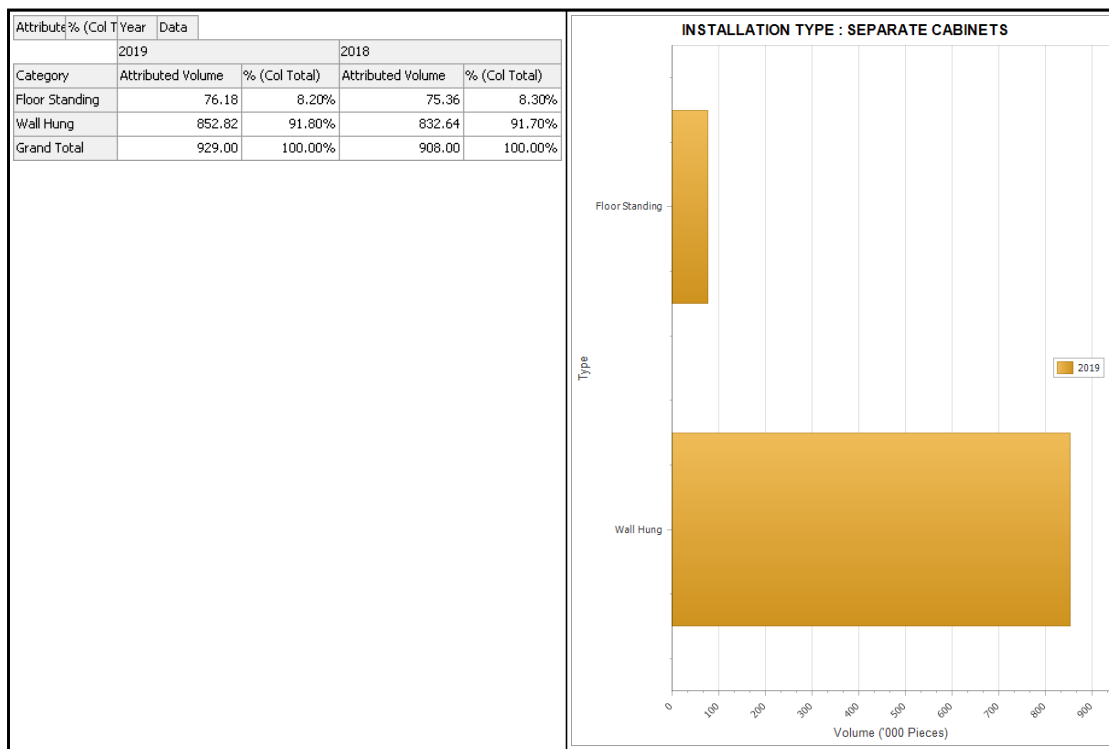
DE - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

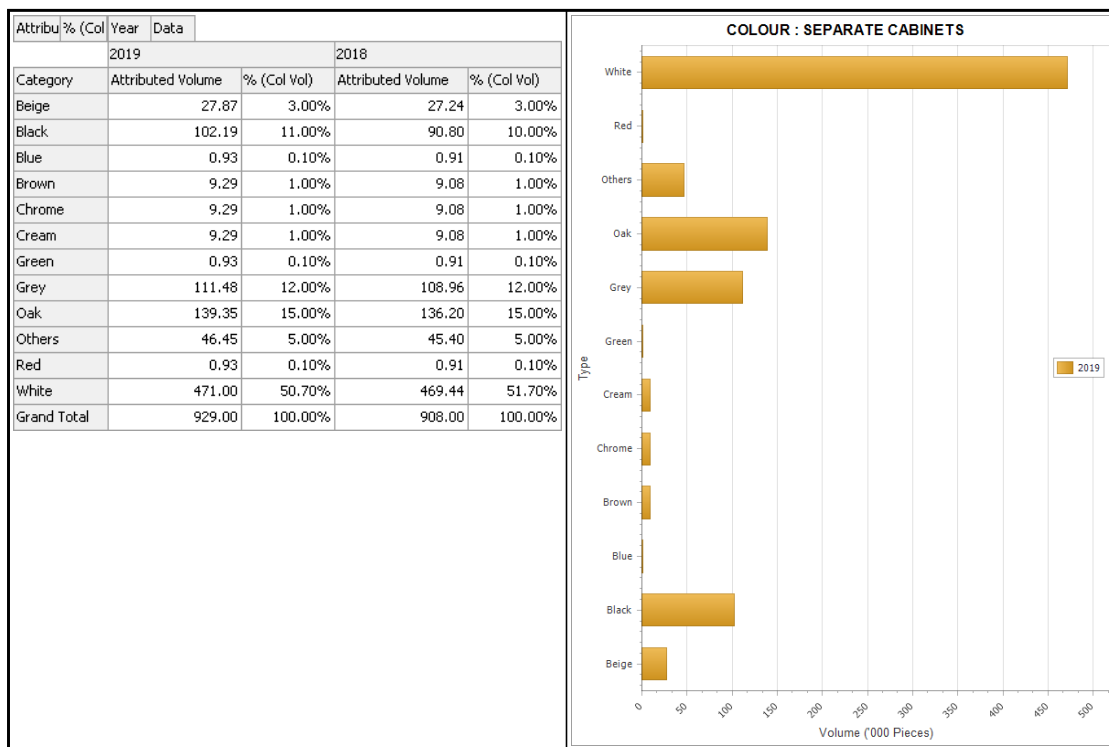
#### 5.4.11 Sales by Type of Installation : Separate Cabinets

DE - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



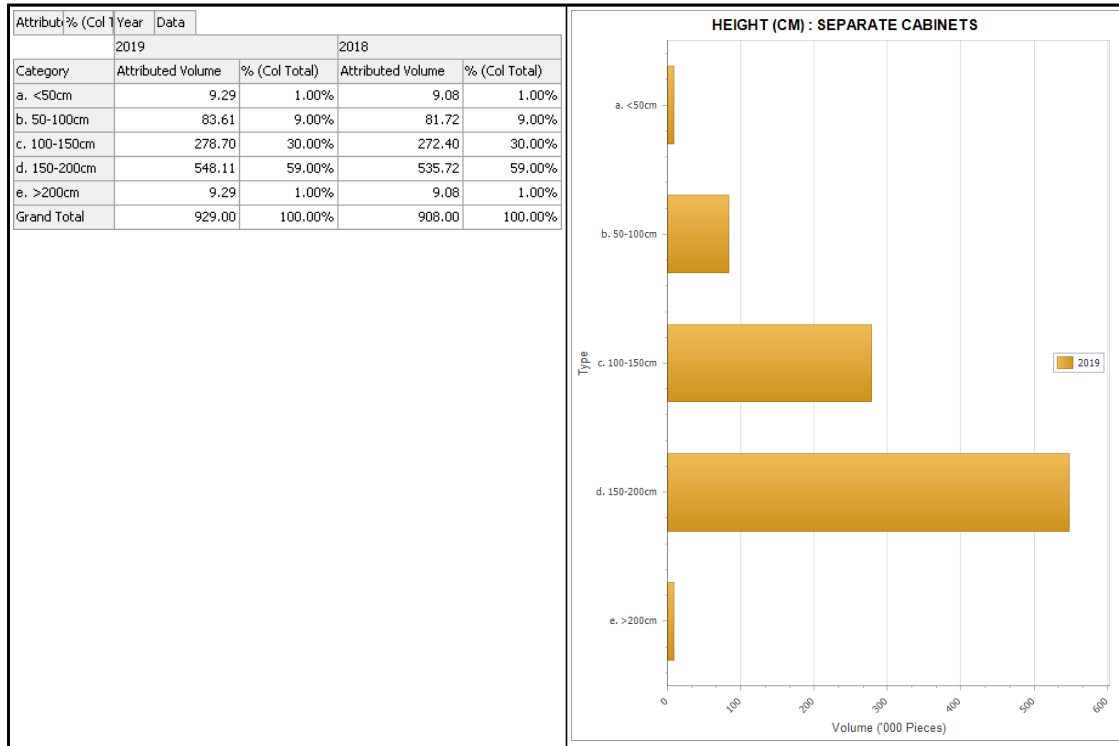
#### 5.4.12 Sales by Type of Colour : Separate Cabinets

DE - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



#### 5.4.13 Sales by Height : Separate Cabinets

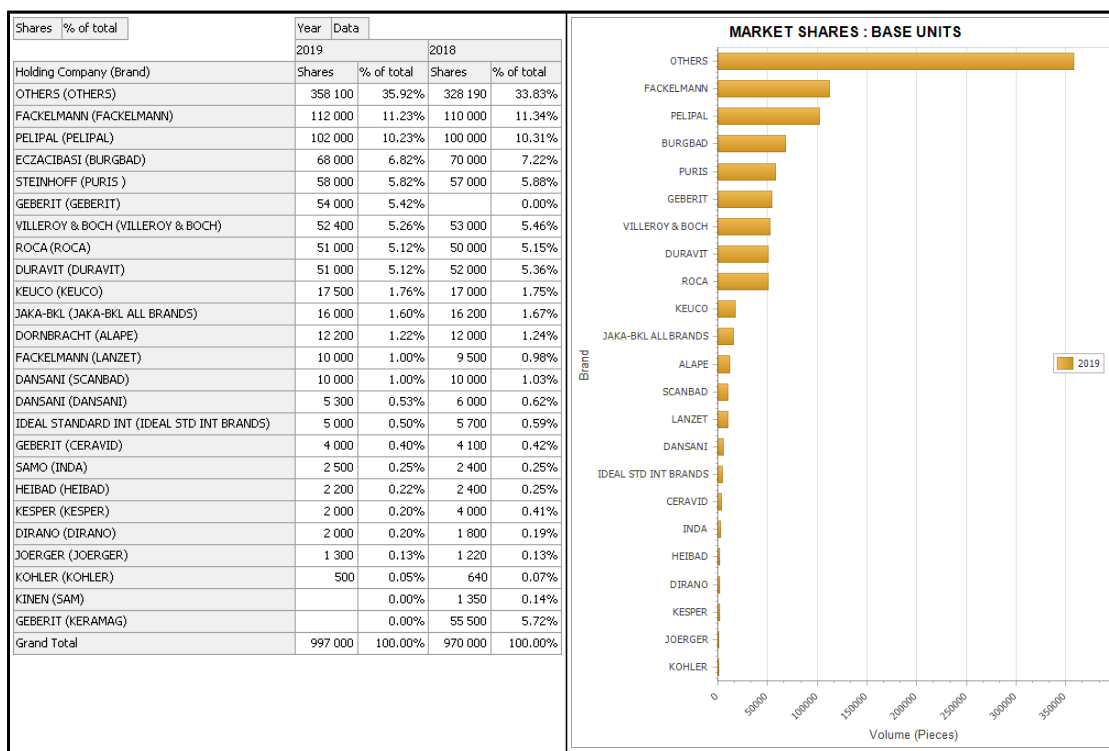
##### DE - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 5.5.1 Market Shares : Base Units

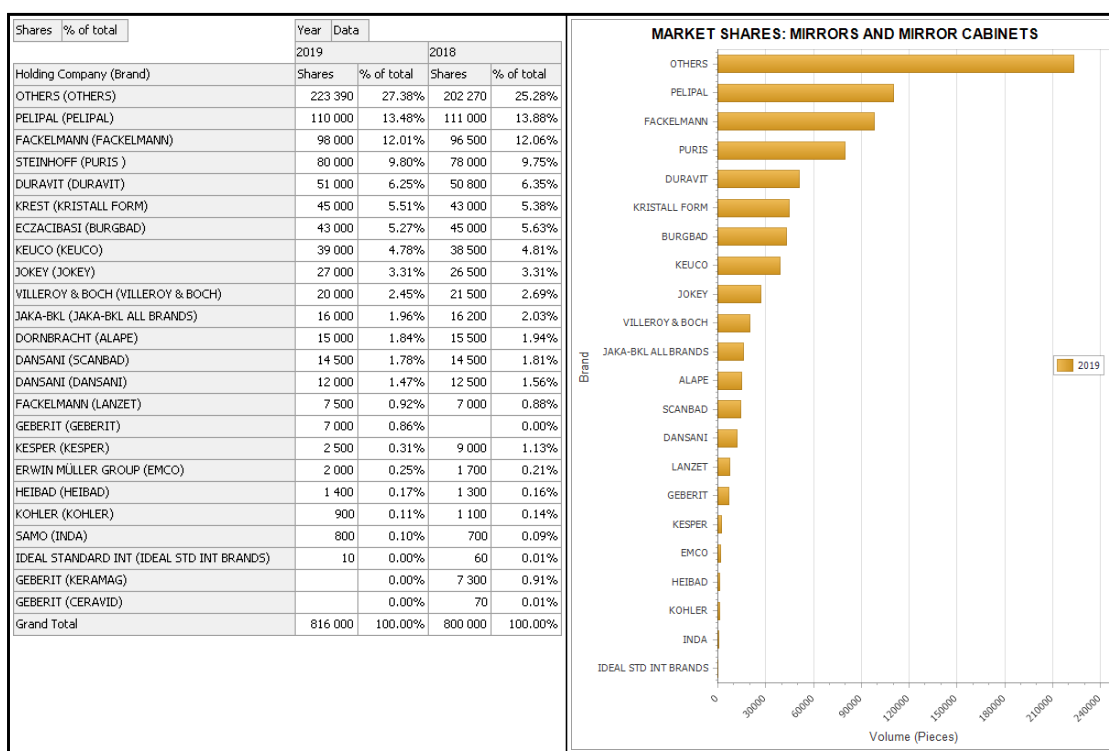
### DE - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

## 5.5.2 Market Shares : Mirror and Mirror Cabinets

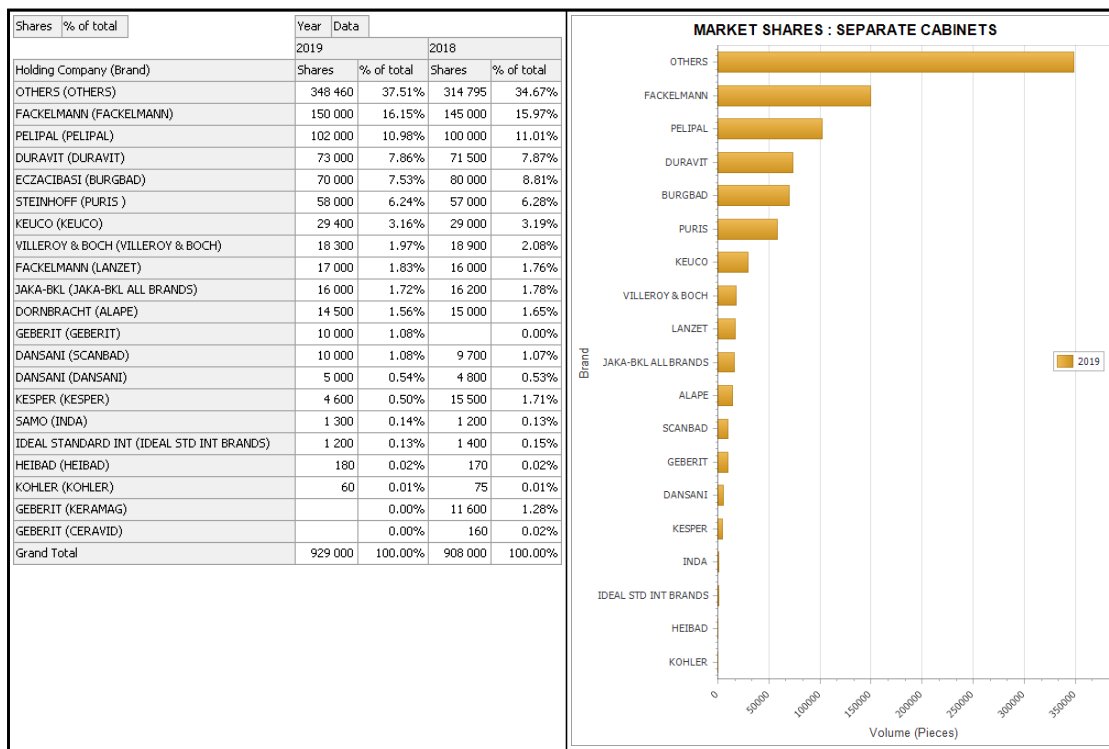
### DE - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

### 5.5.3 Market Shares : Separate Cabinets

#### DE - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture  
DE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 36.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 36.0%                          |

|              |                    |            |               |            |                      |            |
|--------------|--------------------|------------|---------------|------------|----------------------|------------|
| Retail Level | Manufacturer       | Wholesaler | Manufacturer  | Wholesaler | Manufacturer         | Wholesaler |
|              | 7.2%               | 3.2%       | 18.6%         | 4.0%       | 30.3%                | 7.7%       |
|              | Internet Retailers |            | DIY Retailers |            | Specialist Retailers |            |
|              | 10.4%              |            | 22.6%         |            | 38.0%                |            |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 5.5%              | 19.1%      | 1.0%     | 1.0% | 3.0%       |
| <b>Installers</b> |            |          |      |            |
| 29.6%             |            |          |      |            |

|               |              |             |          |                 |             |           |                 |             |          |                     |             |           |
|---------------|--------------|-------------|----------|-----------------|-------------|-----------|-----------------|-------------|----------|---------------------|-------------|-----------|
| End Use Level | Manufacturer | Wholesaler  | Internet | DIY             | Specialist  | Installer | Manufacturer    | Wholesaler  | Internet | DIY                 | Specialist  | Installer |
|               | 0.0%         | 0.0%        | 8.4%     | 21.6%           | 34.0%       | 29.0%     | 2.4%            | 2.0%        | 1.0%     | 0.0%                | 1.0%        | 0.6%      |
|               | Residential  |             |          |                 |             |           | Non-Residential |             |          |                     |             |           |
|               | 93.1%        |             |          |                 |             |           | 6.9%            |             |          |                     |             |           |
|               | New Build    |             |          | Residential RMI |             |           | New Build       |             |          | Non-Residential RMI |             |           |
|               | 23.6%        |             |          | 69.5%           |             |           | 3.0%            |             |          | 3.9%                |             |           |
|               | Project      | Non-Project |          | Project         | Non-Project |           | Project         | Non-Project |          | Project             | Non-Project |           |
|               | 7.5%         | 16.1%       |          | 8.0%            | 61.5%       |           | 2.0%            | 1.0%        |          | 2.0%                | 1.9%        |           |

5.6.2 Route to Market: Bathroom Furniture  
DE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 35.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 35.0%                          |

|              |                    |            |               |            |                      |            |
|--------------|--------------------|------------|---------------|------------|----------------------|------------|
| Retail Level | Manufacturer       | Wholesaler | Manufacturer  | Wholesaler | Manufacturer         | Wholesaler |
|              | 8.0%               | 4.0%       | 18.0%         | 4.2%       | 30.5%                | 8.0%       |
|              | Internet Retailers |            | DIY Retailers |            | Specialist Retailers |            |
|              | 12.0%              |            | 22.2%         |            | 38.5%                |            |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 6.0%              | 16.8%      | 2.0%     | 1.0% | 3.5%       |
| <b>Installers</b> |            |          |      |            |
| 29.3%             |            |          |      |            |

|               |              |             |          |                 |             |           |                 |             |          |                     |             |           |
|---------------|--------------|-------------|----------|-----------------|-------------|-----------|-----------------|-------------|----------|---------------------|-------------|-----------|
| End Use Level | Manufacturer | Wholesaler  | Internet | DIY             | Specialist  | Installer | Manufacturer    | Wholesaler  | Internet | DIY                 | Specialist  | Installer |
|               | 0.0%         | 0.0%        | 9.0%     | 21.2%           | 34.0%       | 29.1%     | 2.5%            | 2.0%        | 1.0%     | 0.0%                | 1.0%        | 0.2%      |
|               | Residential  |             |          |                 |             |           | Non-Residential |             |          |                     |             |           |
|               | 93.3%        |             |          |                 |             |           | 6.7%            |             |          |                     |             |           |
|               | New Build    |             |          | Residential RMI |             |           | New Build       |             |          | Non-Residential RMI |             |           |
|               | 25.4%        |             |          | 67.8%           |             |           | 3.0%            |             |          | 3.7%                |             |           |
|               | Project      | Non-Project |          | Project         | Non-Project |           | Project         | Non-Project |          | Project             | Non-Project |           |
|               | 7.6%         | 17.8%       |          | 8.2%            | 59.6%       |           | 2.0%            | 1.0%        |          | 2.0%                | 1.7%        |           |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings



### 5.6.3 Route to Market - Consolidated View : Bathroom Furniture

DE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2019

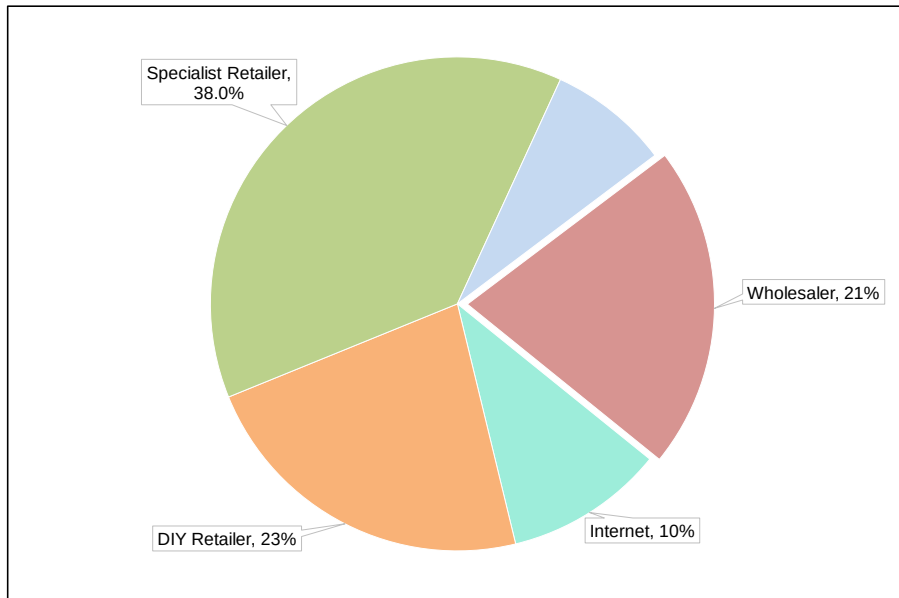
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 21.1%                           | 10.4%    | 22.6%        | 38.0%               | 7.9%    | 15.5%       | 4.0%            | 77.6%       | 2.9%            |
| 100%                            |          |              |                     |         | 19.5%       |                 | 80.5%       |                 |

### 5.6.4 Route to Market - Consolidated View : Bathroom Furniture

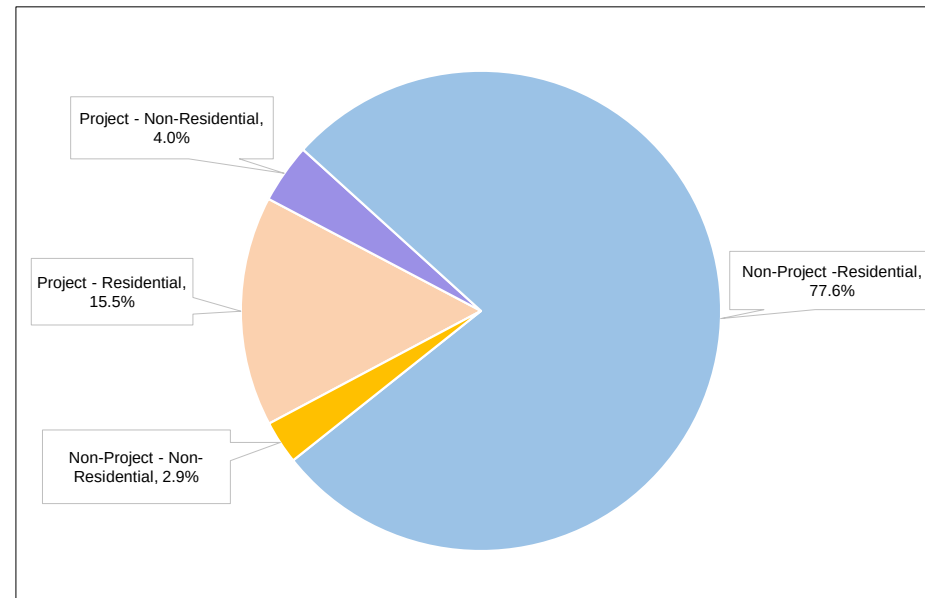
DE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 18.8%                           | 12.0%    | 22.2%        | 38.5%               | 8.5%    | 15.8%       | 4.0%            | 77.5%       | 2.7%            |
| 100%                            |          |              |                     |         | 19.8%       |                 | 80.2%       |                 |

DE - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 5.7 Revisions in the German Bathroom Furniture Market (April 2020)

DE - REVISIONS IN THE GERMAN BATHROOM FURNITURE MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

The MSPs of bathroom furniture products were revised slightly due to a better market understanding. New manufacturers were added to market shares and adjusted sales volumes influenced the distribution of price segmentation. According to industry feedback, the share of manufacturers outside the traditional sanitary wholesalers is growing. Different manufacturers have been entering the market and supply increased significantly across alternative distribution channels. Often, these products are cheaper and, therefore, the share of the lower price segments has increased. This is the case for separate cabinets and base units/ vanities. In contrast, the MSP of mirrors and mirror cabinets slightly increased with end users preferring higher quality products. For example, there is a trend to have large mirrors and mirrors with integrated speakers and LED-light. These products are more expensive and, therefore, the share of the middle and higher price segments increased.

# **GERMANY**

## **BATHROOM ACCESSORIES**

**THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS**



### **Market Characteristics and Technological Trends**

The market for bathroom accessories in Germany can be split into two broad categories. The first category includes products that are installed during the building phase and are then hardly ever replaced. Replacement usually happens only if the entire bathroom is renovated; for example, to adapt to the needs of an elderly person. Therefore, sales numbers are low in relation to other products. The products in the second category have limited durability and are replaced on a regular basis because they have a short lifespan or should be replaced for hygienic reasons. Numbers of units sold are usually high for these products. Across these products, list prices range from very low to high, depending on the brand and distribution channel.

The German bathroom accessories market is a mature market, driven largely by replacement demand and the developments in the construction industry. This market has experienced strong fluctuations in value since 2000, being in line with the development of the construction industry. The overall market did not experience the effects of the economic crisis and has been growing again since 2010, which has been in line with Germany's economic recovery, as well as developments seen on the housing market. Sales are a zero-sum game, i.e. market shares gained by one company are lost by another.

Dispensers for liquid soaps have gained in popularity and have started to replace soap holders. They are usually made of metal, glass, or plastics. An increasing number of manufacturers offer wall mounted soap dispensers, wall mounted toothbrush holders and tumblers. They are usually sold as a set. The most replaced bathroom products are individual toilet brushes, which are low in value but high in turnover. Toilet brushes have the highest sales in volume, followed by towel and bathrobe hooks. The most common material in the market is metal and its share is constantly increasing. However, quality and prices of metal can vary considerably and substitution processes between different metals exist. Compound materials are increasing in importance, especially for freestanding bathroom applications. Wood is basically non-existent in the German market, mainly because it is regarded to be unsuitable for wet rooms. In the lower-priced segments, the most common materials are plastics, ceramics, glass, and steel. In the medium-priced segments, brass, zinc, and steel are the most common materials. In the luxury segment, brass, at times refined with gold and crystals, is used.

In recent years, there has been a trend towards bathroom accessories that can be glued or sucked onto the wall. Drilling a hole is avoided because it can damage tiles, which nowadays are larger with thin joints. German consumers prefer not to damage their expensive tiles and opt for a gluing or suction solution. The company NIE WIEDER BORHEN, which is owned by TESA since 2017, launched bathroom accessories products together with a patented technique, which makes it possible to glue all types of bathroom accessories and to remove them without any trace.

Another looming trend on the bathroom accessories market is 'away from the wall'. About twenty years ago, nearly every bathroom in Germany was equipped with wall attached, drilled, towel, toothbrush, and toilet paper holders. Nowadays, Germans tend to store their towels in a cupboard, or on a freestanding towel holder, or an electric towel warmer. Fewer accessories are mounted on a wall and this leads to decreasing demand of traditional products. A growing number of consumers buys WC brushes made from silicone, which prevents dirt from sticking onto them and consequently prolonging the lifespan of this product significantly.

According to industry feedback, on average private end users buy 5 to 6 accessories for a new bathroom. Most end users, buy 3 units of bathroom accessories per one trip to DIY stores. A large share of end users buys 5 to 6 units when carrying out a full bathroom renovation. Many buy only one piece to replace a broken one.

### **Recent Market Trends**

In 2019, overall bathroom accessories sales were positive, however, with a smaller growth rate when compared to previous year. Total market value is growing with a small annual increase. Sales of some products are declining because of recent bathroom trends. For example, shower baskets are declining because more bathrooms are built and renovated with niches/ gaps in the wall. Moreover, demand for fixed toothbrush holders is declining because German consumers prefer not to drill when having expensive tiles.

Bathroom accessories are a simple way to refurbish a bathroom quickly. Demand is mainly driven by private consumption, which had a slightly stronger growth in 2019 when compared to the previous year. Bathroom accessories sales in volume and in value rose accordingly. The average price increased marginally in 2019. During times of flourishing economy end users are willing to spend more to get what they like. The share of luxury price segments increased in 2019 when compared to previous years. At the same time, the economy price segments increased, too. This can be explained by the growing trend of buying such products through alternative distribution channels, such as the Internet, supermarkets, and IKEA stores. Overall, it can be said that there is a trend towards the more extreme price segments, economy, or luxury, at the expense of the middle segment.

An overall trend within the bathroom accessories market can be observed for products that can be easily fixed to the wall. This is the case for small items such as towel holders, but also for bigger items such as soap dispensers, tumbler holder, towel rails and even shower supports. The gluing technology by BRAVAT and NIE WIEDER BORHEN can hold weights of up to 400 kg and does not leave any marks after being removed. Demand for such products is believed to increase as it provides a drilling-free solution.

## Prices and Market Values

The bathroom accessories market is highly competitive with foreign manufacturers, mainly from the Far East, reaching out to consumers directly. The price competition between manufacturers and distributors is increasing and it has an impact on the MSPs. Price increases for traditional products are limited and it is the innovative products that achieve a higher margin. It is estimated that around 90% of all bathroom accessories products are produced in China. This high percentage underlines the fact, that selling prices are justified by distribution channels. With a shift towards online purchases, end users are likely to scout for the cheapest products available. Since the installation of bathroom accessories products does not require an installer, end users are likely to install these products themselves.

Germans are changing their shopping habits and the use of the Internet has gained great importance. As a result, there has been a slow shift away from the middle price segment towards products in the economy-priced ranges. At the same time, the trend to avoid drilling creates demand for alternative products, which are likely to be more expensive. A significant shift towards innovative products has compensated the growing share of cheaper e-commerce sales and led to a marginal increase of the MSP. Bathroom accessories products with a longer lifespan, like towel rings and shelves, are usually higher in value, but lower in volume, while products with a short lifespan and the need to be replaced on a regular basis, such as toilet brushes, represent low values but high volumes.

Rising labour costs in China and a strengthened Chinese currency cause the production costs to increase. An increase in Chinese production cost might only be small, however, due to the intense competition, it is difficult to ask for higher prices. Therefore, some manufacturers such as FACKELMANN abandoned the production in China and transferred it back to Germany. Instead of employing thousands of people, sophisticated production sites in Germany have become more financially viable.

## End Use

### New Housing

Since a new bathroom needs to be fully equipped with several bathroom accessories, sales to the new build residential segment represent a high share in the overall performance of the total bathroom accessories market. The new housing segment share of total sales had a small increase when compared to the previous year. In a new bathroom a harmonious design is of importance for the end user, who chooses bathroom accessories to match design of taps and mixers. Major manufacturers, such as GROHE, DURAVIT and IDEAL STANDARD, recognized this trend, especially in the upper price segments, and expanded their product range with bathroom accessories that match their portfolio in terms of style and accent lines. The intention is to benefit from added value by offering a one stop solution for a perfectly designed bathroom. End user, who can afford it are likely to

spend the extra costs, whereas price sensitive end users are likely to look for cheaper accessories elsewhere. Since the end user no longer just buys a functional accessory but rather an additional component of the entire bathroom solution, she/he is more likely to accept accessories made from higher quality material such as glass and metal.

The overall bathroom accessories market benefited from the high number of new build completions, with multi-family house construction developing much better than one- and two-family house construction. Overall, the new housing sector increased significantly and contributed to more sales in comparison to the previous year. The positive new build sales development is expected to continue also in the coming years, in line with the increasing construction market.

### Housing RMI

Replacement demand accounts by far for most sales in the bathroom accessories market. The relatively short lifespan of several bathroom accessories fuels the need for periodical replacements to a certain extent. Given the different nature of the products being part of the bathroom accessories market, lifespans can differ a lot. While some products have a shorter lifespan than other bathroom products, such as toothbrush holders compared to baths and shower trays, some others, like shelves, can resist up to several years without being replaced. Frequently heavy bathroom replacement activities also include the substitution of old bathroom accessories with new ones that generally are better suited to the new style of the renovated bathroom, so that a total renewal of 5 to 6 units on average happens at once. Overall, RMI activity decreased marginally in 2019 when compared to the previous year.

### Non-Housing

Demand for bathroom accessories in the German non-housing market slightly grew in terms of value in 2019. Since public bathrooms are more frequently used than private ones, the products are subject to careless and heavy usage. Sturdy materials such as metal are more commonly found in non-housing bathrooms. The intention is to have a product that requires less maintenance while it withstands vandalism in public areas such as offices, sports venues, educational institutions, and transportation facilities.

Bathroom accessories in hotels and offices need to be both sturdy and pleasing to the eye. In the hotel lobby toilets are equipped with high-quality products that are long lasting. The style remains the same and the appearance is of great importance. In the accommodation bathroom accessories are of lower quality as they are changed every two to three years. They must look new and modern and can be cheaper due to a much shorter life cycle. Hospitals and nursing homes require certain characteristics to meet usability, quality standards and health regulations. The standard material in some non-housing facilities such as kitchens is stainless steel due to its antibacterial properties, ease of cleaning and long lifespan.

In 2019, new non-housing output increased and generated additional sales, although on a smaller rate when compared to previous year. There is a strong demand from buildings for education such as public schools, where bathrooms are being renovated.

### **Supply Structure**

The market for bathroom accessories is fragmented and characterised by many small to medium-sized companies, the share for which is negligible in comparison to the major companies. Companies in the market include bathroom specialists, which offer bathroom taps and mixers, bathroom furniture and bathroom accessories. Most taps and mixers manufacturers have extended their product spectrum over the years to include bathroom accessories. Additionally, many high-street retailers, such as TCHIBO, also offer bathroom accessories. The upper-priced segment is dominated by German companies. These include KEUCO, HEWI, ERWIN MÜLLER GROUP (EMCO) and LIXL (GROHE). KEUCO produces in Germany, in Hemer and in Gütersloh. EMCO is in Lingen, HEWI is in Mengerhausen, and GROHE produces in Germany, Portugal, Thailand, and Canada.

It is estimated that between 10-20% of bathroom accessories in terms of volume are purchased directly from China. Moreover, most German bathroom accessories are produced in China. Traditional DIY suppliers are CORAM NV (TIGER) and FACKELMANN. DIY stores and wholesalers supply private labels, which are performing positively. They source large numbers of products from the Far East. The products that are found in high street retailers are often sourced from the Far East, too. Specialists in the distribution flow include supermarkets, department stores and furniture retailers, such as IKEA.

In 2016, both the production companies SAM SCHULTE and SAF ARMATUREN, which are part of the SAM GROUP, went into insolvency. The SAM VERTRIEBS GMBH & CO. KG, as well as the companies in Austria and Switzerland, were not affected by the insolvency application. Around three months after the application, the SAM SCHULTE GROUP was bought by the international holding KINEN. The investors from Europe, Hong Kong and China have had previous exposure to the sanitary industry and aim to secure the operations of the German manufacturers. According to industry feedback the branch in Menden Germany was completely dissolved and the company SAM VERTRIEBS GmbH was closed. The new founded company SAM DESIGN GmbH is trying to get back into the market. However, they can only recover two product lines at the most and most customers lost their trust in the company and sales plunged in 2019 to an insignificant volume.

At the beginning of 2017, TESA acquired NIE WIEDER BOHREN, which was founded in 2005. Both companies have been working closely together since 2010. NIE WIEDER BOHREN owns several patents for gluing techniques that can be removed without any stains.



## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

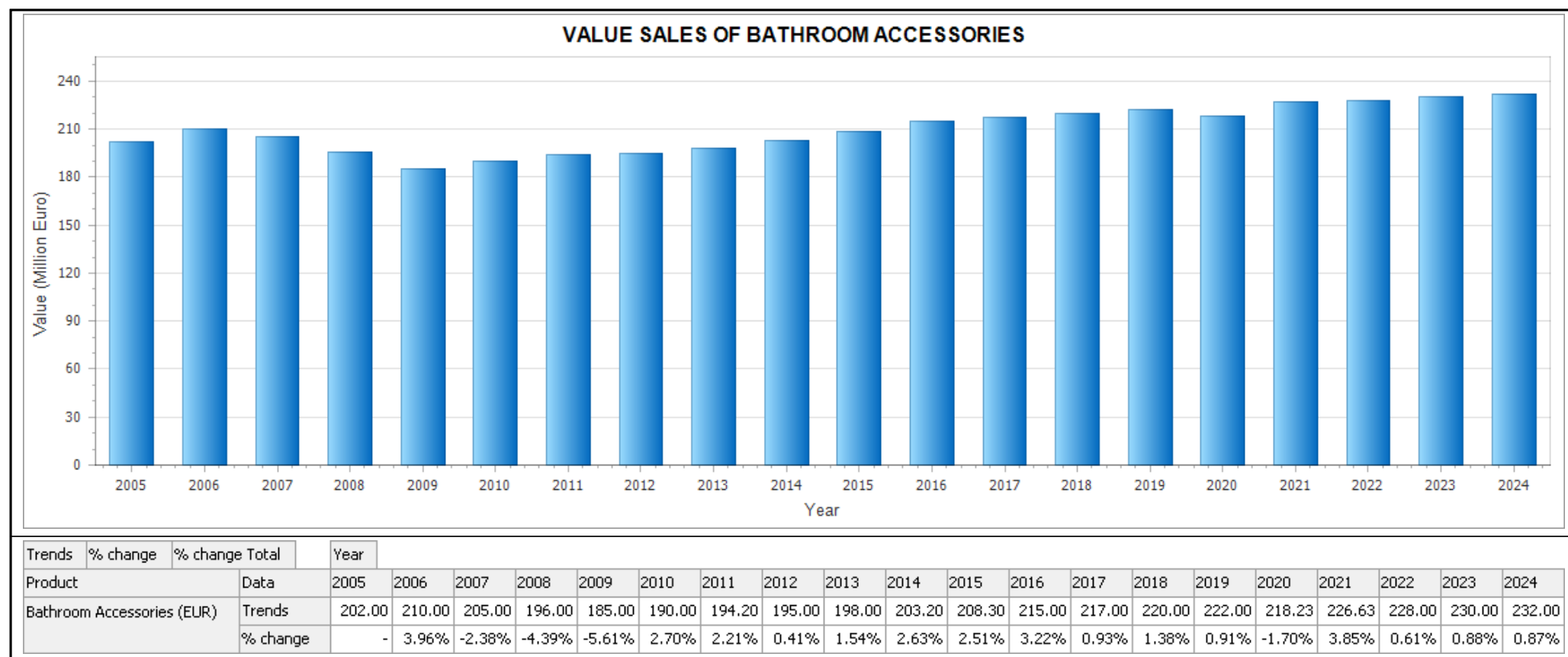
BRG expects the bathroom accessories market to continue to perform positively after 2020, following the trend of an expected increase in renovation activities in public buildings. Demand in 2020 is likely to plunge because of the COVID-19 crisis. The year 2021 is likely to be affected, too. After 2022, it is believed that sales will have fully recovered, and demand will continue to be slightly positive again.

Being a mature market, demand for bathroom accessories depends heavily on replacement sales. Apart from the years 2020 and 2021, demand for all three end-use segments is expected to grow further throughout the forecast period. Although the growth rate of housing completions is expected to weaken, demand from new housing is likely to remain on a high level. Sales of bathroom accessories products are believed to continue growing in the replacement segment in accordance with the high demand of bathroom renovations. According to the fundamental study of Germany's bathroom industry by VDS from 2017, it is estimated that around 17.7 million bathrooms have not been renovated since their construction or moving in. Their average age accounts to approximately 19.5 years, and around two million are believed to be older than 30 years. Potential for the bathroom accessories market does exist and may be favourably influenced by the trend of German consumers to appreciate their bathroom as a modern and comfortable living space as opposed to a purely functional one.

It is believed that changes in consumer behaviour will impact the distribution of bathroom accessories. This is an ongoing trend that has been observed by manufacturers claiming that sales through wholesalers are weakening to the benefit of other distribution channels. Innovative products make the installation much easier and a broader range of end users can install them themselves. Not only prices, but also design and practicality play an increasing importance. Consumers have an increasing number of products to choose from, while manufacturers are facing more competition.

## 6.2 Historical Trends and Forecasts

DE - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

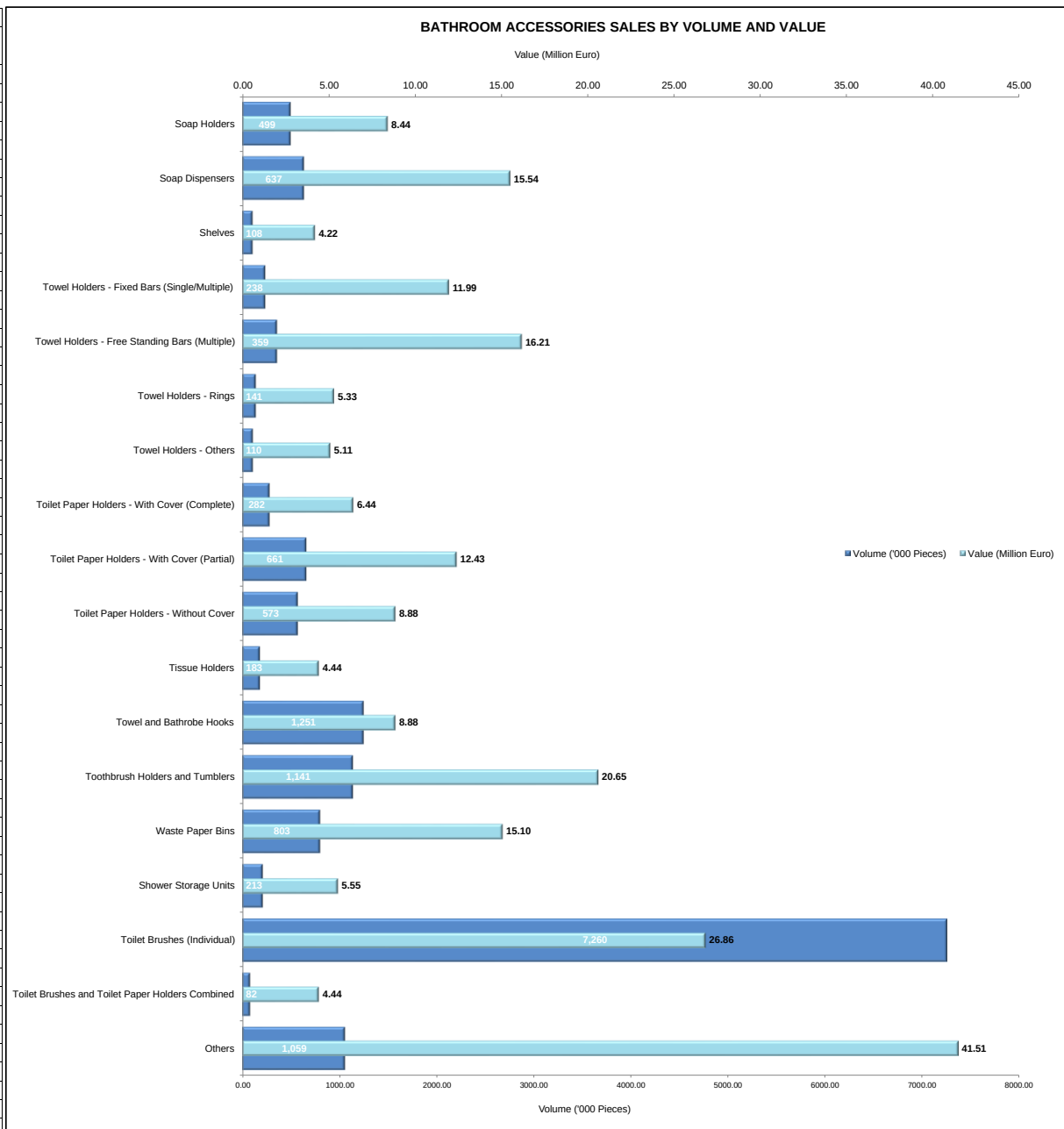
## 6.3 Detailed Prices and Market Values : Bathroom Accessories

## DE - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

| Market Value                                     |                                        | 2019                 |                      |
|--------------------------------------------------|----------------------------------------|----------------------|----------------------|
|                                                  |                                        | Volume ('000 Pieces) | Value (Million Euro) |
| Soap Holders                                     | Volume / Value                         | 499.2                | 8.4                  |
|                                                  | Share                                  | 3.2%                 | 3.8%                 |
|                                                  | Average Price (EUR)                    |                      | 16.9                 |
| Soap Dispensers                                  | Volume / Value                         | 636.9                | 15.5                 |
|                                                  | Share                                  | 4.1%                 | 7.0%                 |
|                                                  | Average Price (EUR)                    |                      | 24.4                 |
| Shelves                                          | Volume / Value                         | 107.6                | 4.2                  |
|                                                  | Share                                  | 0.7%                 | 1.9%                 |
|                                                  | Average Price (EUR)                    |                      | 39.2                 |
| Towel Holders: Fixed Bars (Single/Multiple)      | Volume / Value                         | 237.9                | 12.0                 |
|                                                  | Share                                  | 1.5%                 | 5.4%                 |
|                                                  | Average Price (EUR)                    |                      | 50.4                 |
| Towel Holders: Free Standing Bars (Multiple)     | Volume / Value                         | 359.3                | 16.2                 |
|                                                  | Share                                  | 2.3%                 | 7.3%                 |
|                                                  | Average Price (EUR)                    |                      | 45.1                 |
| Towel Holders: Rings                             | Volume / Value                         | 141.0                | 5.3                  |
|                                                  | Share                                  | 0.9%                 | 2.4%                 |
|                                                  | Average Price (EUR)                    |                      | 37.8                 |
| Towel Holders: Others                            | Volume / Value                         | 109.6                | 5.1                  |
|                                                  | Share                                  | 0.7%                 | 2.3%                 |
|                                                  | Average Price (EUR)                    |                      | 46.6                 |
| Toilet Paper Holders: With Cover (Complete)      | Volume / Value                         | 282.4                | 6.4                  |
|                                                  | Share                                  | 1.8%                 | 2.9%                 |
|                                                  | Average Price (EUR)                    |                      | 22.8                 |
| Toilet Paper Holders: With Cover (Partial)       | Volume / Value                         | 661.3                | 12.4                 |
|                                                  | Share                                  | 4.2%                 | 5.6%                 |
|                                                  | Average Price (EUR)                    |                      | 18.8                 |
| Toilet Paper Holders: Without Cover              | Volume / Value                         | 572.9                | 8.9                  |
|                                                  | Share                                  | 3.7%                 | 4.0%                 |
|                                                  | Average Price (EUR)                    |                      | 15.5                 |
| Tissue Holders                                   | Volume / Value                         | 183.5                | 4.4                  |
|                                                  | Share                                  | 1.2%                 | 2.0%                 |
|                                                  | Average Price (EUR)                    |                      | 24.2                 |
| Towel and Bathrobe Hooks                         | Volume / Value                         | 1 250.7              | 8.9                  |
|                                                  | Share                                  | 8.0%                 | 4.0%                 |
|                                                  | Average Price (EUR)                    |                      | 7.1                  |
| Toothbrush Holders and Tumblers                  | Volume / Value                         | 1 140.7              | 20.6                 |
|                                                  | Share                                  | 7.3%                 | 9.3%                 |
|                                                  | Average Price (EUR)                    |                      | 18.1                 |
| Waste Paper Bins                                 | Volume / Value                         | 803.0                | 15.1                 |
|                                                  | Share                                  | 5.1%                 | 6.8%                 |
|                                                  | Average Price (EUR)                    |                      | 18.8                 |
| Shower Storage Units                             | Volume / Value                         | 212.6                | 5.6                  |
|                                                  | Share                                  | 1.4%                 | 2.5%                 |
|                                                  | Average Price (EUR)                    |                      | 26.1                 |
| Toilet Brushes (Individual)                      | Volume / Value                         | 7 260.0              | 26.9                 |
|                                                  | Share                                  | 46.5%                | 12.1%                |
|                                                  | Average Price (EUR)                    |                      | 3.7                  |
| Toilet Brushes and Toilet Paper Holders Combined | Volume / Value                         | 81.6                 | 4.4                  |
|                                                  | Share                                  | 0.5%                 | 2.0%                 |
|                                                  | Average Price (EUR)                    |                      | 54.4                 |
| Others                                           | Volume / Value                         | 1 059.0              | 41.5                 |
|                                                  | Share                                  | 6.8%                 | 18.7%                |
|                                                  | Average Price (EUR)                    |                      | 39.2                 |
| <b>TOTAL</b>                                     | <b>Volume in '000/Value in Million</b> | <b>15 599.0</b>      | <b>222.0</b>         |
|                                                  | <b>Share</b>                           | <b>100.0%</b>        | <b>100.0%</b>        |
|                                                  | <b>Average Price (EUR)</b>             |                      | <b>14.2</b>          |

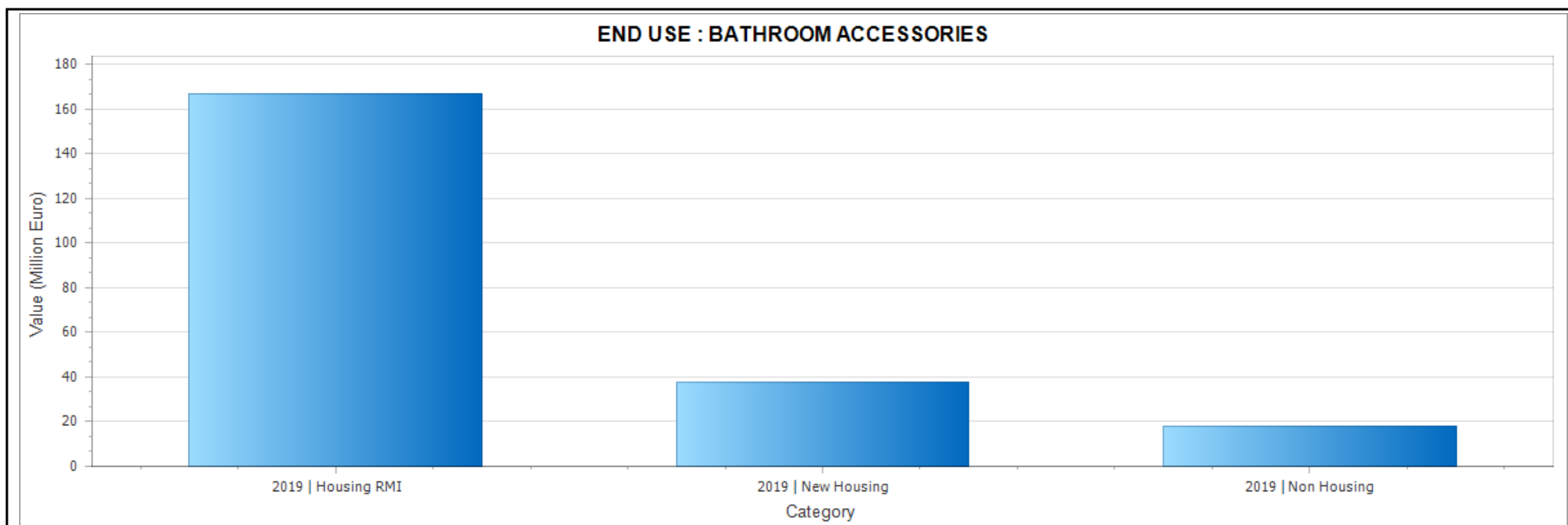
Source: BRG based on industry interviews

N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



#### 6.4.1 End Use : Base Year

DE - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)

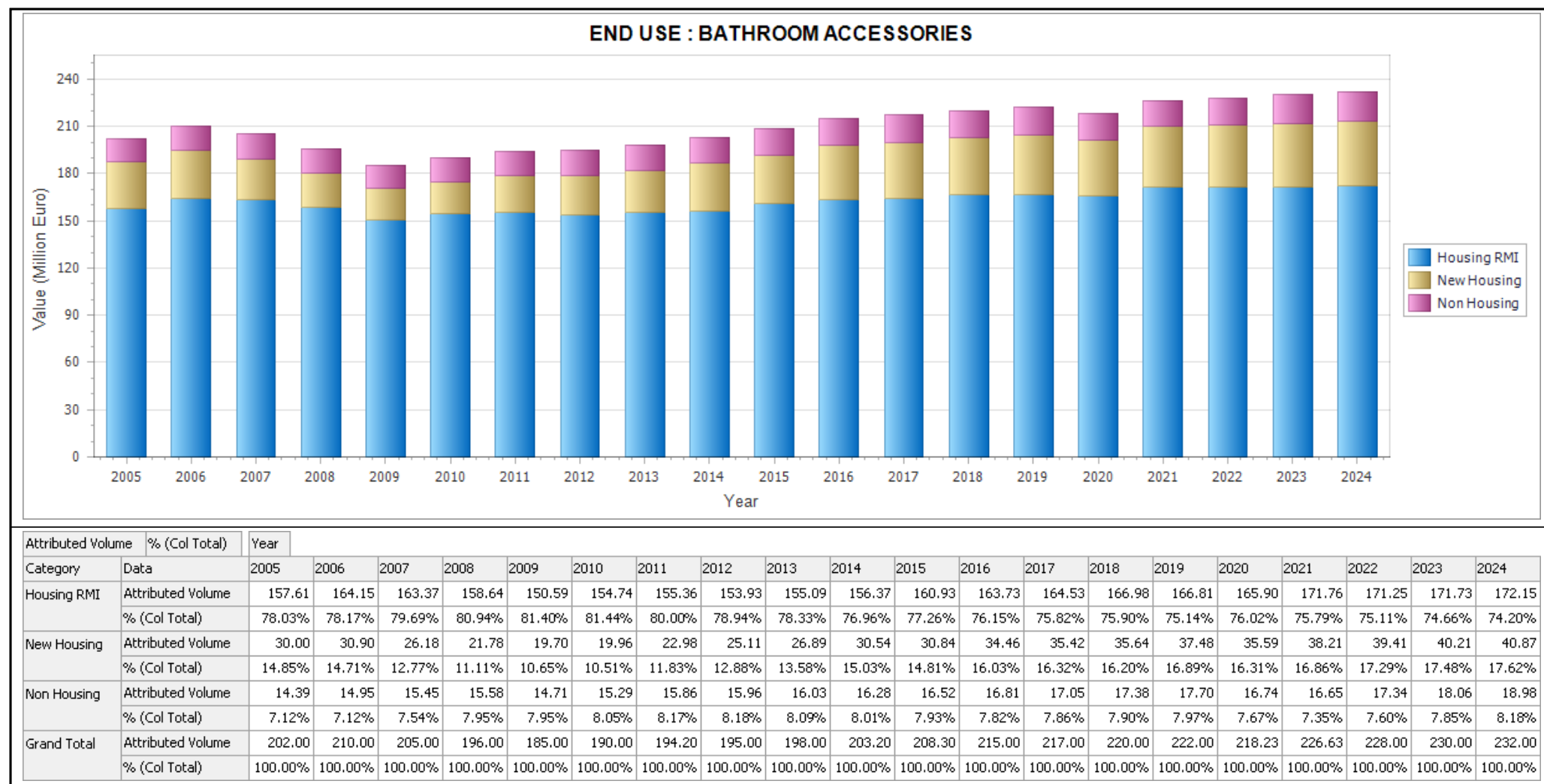


| Attributed Volume          | % (Row) | Year              | Category | Data              |         |                   |            |                   |         |
|----------------------------|---------|-------------------|----------|-------------------|---------|-------------------|------------|-------------------|---------|
|                            |         | 2019              |          |                   |         |                   | 2019 Total |                   |         |
|                            |         | Housing RMI       |          | New Housing       |         | Non Housing       |            |                   |         |
| Product                    |         | Attributed Volume | % (Row)  | Attributed Volume | % (Row) | Attributed Volume | % (Row)    | Attributed Volume | % (Row) |
| Bathroom Accessories (EUR) |         | 166.81            | 75.14%   | 37.48             | 16.89%  | 17.70             | 7.97%      | 222.00            | 100.00% |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 6.4.2 End Use : Historical and Forecasts

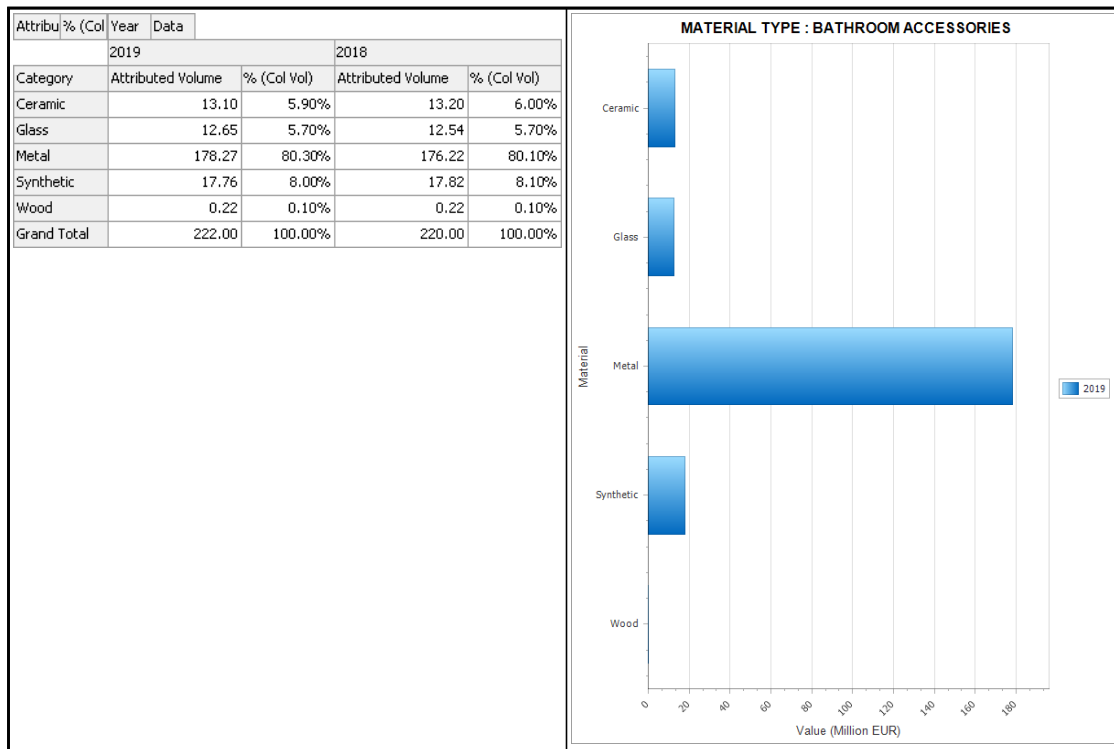
### DE - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

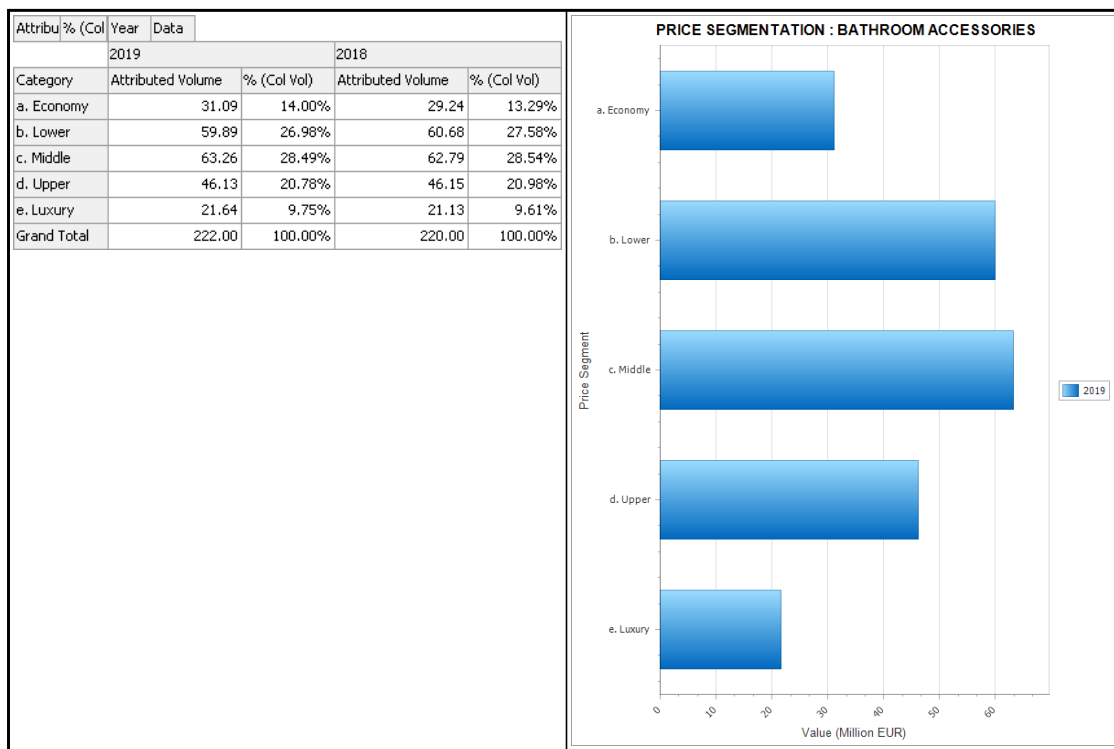
#### 6.4.3 Sales by Type of Material : Bathroom Accessories

##### DE - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



#### 6.4.4 Sales by Price Segment : Bathroom Accessories

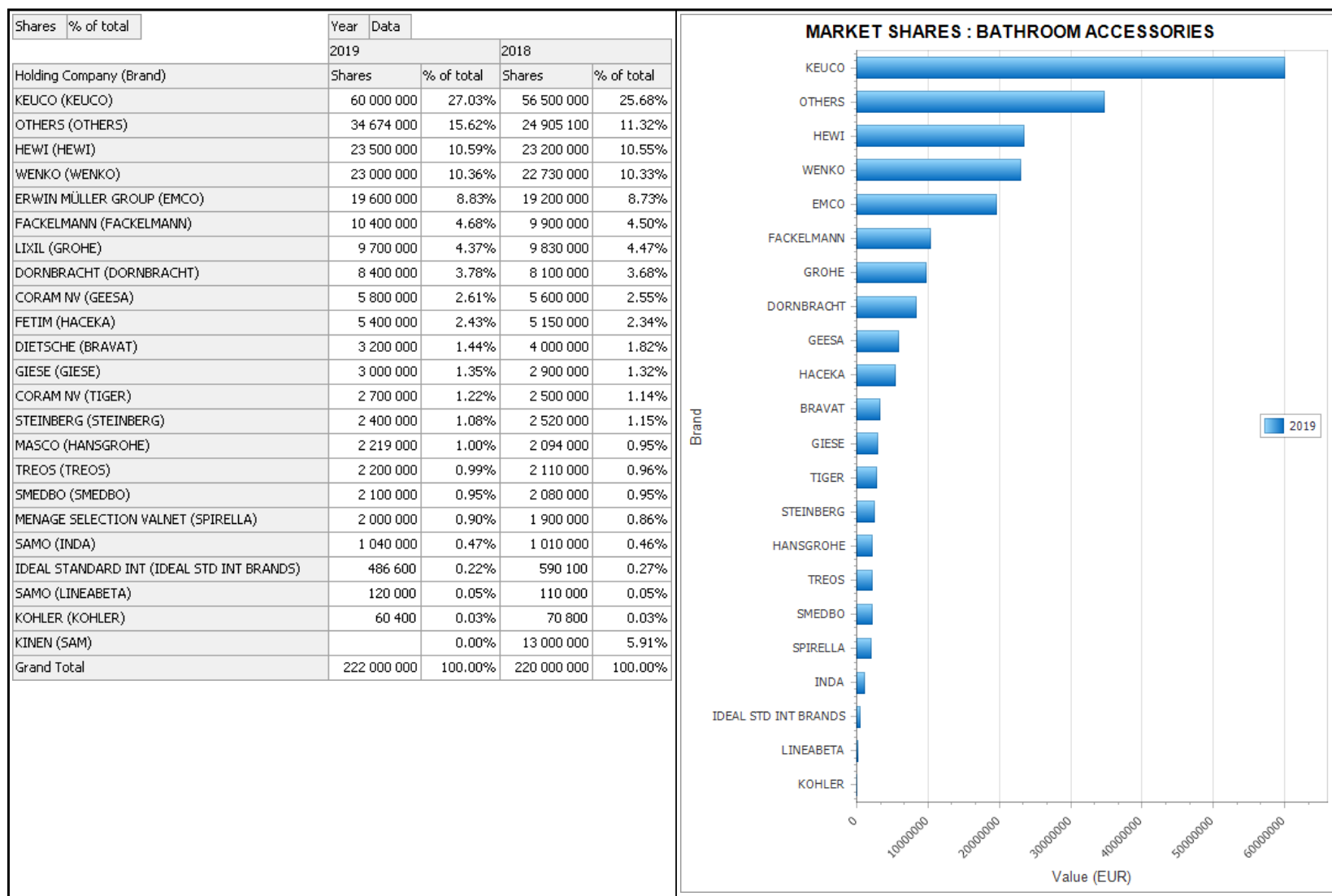
##### DE - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 6.5 Market Shares : Bathroom Accessories

### DE - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)  
DE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | <b>58.7%</b>                   |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 58.7%                          |

|              |                    |            |               |            |                      |            |
|--------------|--------------------|------------|---------------|------------|----------------------|------------|
| Retail Level | Manufacturer       | Wholesaler | Manufacturer  | Wholesaler | Manufacturer         | Wholesaler |
|              | 9.2%               | 6.0%       | 17.0%         | 10.0%      | 10.4%                | 10.0%      |
|              | Internet Retailers |            | DIY Retailers |            | Specialist Retailers |            |
|              | 15.2%              |            | 27.0%         |            | 20.4%                |            |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.0%              | 30.7%      | 1.5%     | 2.0% | 1.4%       |
| <b>Installers</b> |            |          |      |            |
| 37.1%             |            |          |      |            |

|               |              |             |          |                 |             |           |
|---------------|--------------|-------------|----------|-----------------|-------------|-----------|
| End Use Level | Manufacturer | Wholesaler  | Internet | DIY             | Specialist  | Installer |
|               | 0.5%         | 0.0%        | 13.0%    | 24.0%           | 18.0%       | 36.4%     |
|               | Residential  |             |          |                 |             |           |
|               | 92.0%        |             |          |                 |             |           |
|               |              |             |          |                 |             |           |
|               | New Build    |             |          | Residential RMI |             |           |
|               | 16.9%        |             |          | 75.1%           |             |           |
|               | Project      | Non-Project |          | Project         | Non-Project |           |
|               | 4.0%         | 12.9%       |          | 8.0%            | 67.1%       |           |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 2.2%                   | 2.0%               | 1.0%     | 1.0%                       | 1.0%               | 0.7%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 8.0%                   |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 3.6%                   |                    |          | 4.4%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 2.2%                   | 1.4%               |          | 2.6%                       | 1.8%               |           |

6.6.2 Route to Market: Bathroom Accessories (EUR)  
DE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | <b>57.0%</b>                   |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 57.0%                          |

|              |                    |            |               |            |                      |            |
|--------------|--------------------|------------|---------------|------------|----------------------|------------|
| Retail Level | Manufacturer       | Wholesaler | Manufacturer  | Wholesaler | Manufacturer         | Wholesaler |
|              | 9.4%               | 5.5%       | 17.2%         | 10.0%      | 10.3%                | 10.0%      |
|              | Internet Retailers |            | DIY Retailers |            | Specialist Retailers |            |
|              | 14.9%              |            | 27.2%         |            | 20.3%                |            |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 2.0%              | 29.5%      | 1.8%     | 2.0% | 1.3%       |
| <b>Installers</b> |            |          |      |            |
| 36.6%             |            |          |      |            |

|               |              |            |                 |             |            |           |
|---------------|--------------|------------|-----------------|-------------|------------|-----------|
| End Use Level | Manufacturer | Wholesaler | Internet        | DIY         | Specialist | Installer |
|               | 1.9%         | 0.0%       | 13.3%           | 24.2%       | 18.0%      | 34.4%     |
|               | Residential  |            |                 |             |            |           |
|               | 91.8%        |            |                 |             |            |           |
|               |              |            |                 |             |            |           |
| New Build     |              |            | Residential RMI |             |            |           |
| 17.6%         |              |            | 74.2%           |             |            |           |
| Project       | Non-Project  |            | Project         | Non-Project |            |           |
| 5.0%          | 12.6%        |            | 9.0%            | 65.2%       |            |           |

|                        |                    |          |                            |                    |           |
|------------------------|--------------------|----------|----------------------------|--------------------|-----------|
| Manufacturer           | Wholesaler         | Internet | DIY                        | Specialist         | Installer |
| 2.2%                   | 2.0%               | 1.0%     | 1.0%                       | 1.0%               | 1.0%      |
| <b>Non-Residential</b> |                    |          |                            |                    |           |
| 8.2%                   |                    |          |                            |                    |           |
| <b>New Build</b>       |                    |          | <b>Non-Residential RMI</b> |                    |           |
| 3.7%                   |                    |          | 4.5%                       |                    |           |
| <b>Project</b>         | <b>Non-Project</b> |          | <b>Project</b>             | <b>Non-Project</b> |           |
| 2.3%                   | 1.4%               |          | 2.8%                       | 1.7%               |           |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings



### 6.6.3 Route to Market - Consolidated View : Bathroom Accessories

DE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

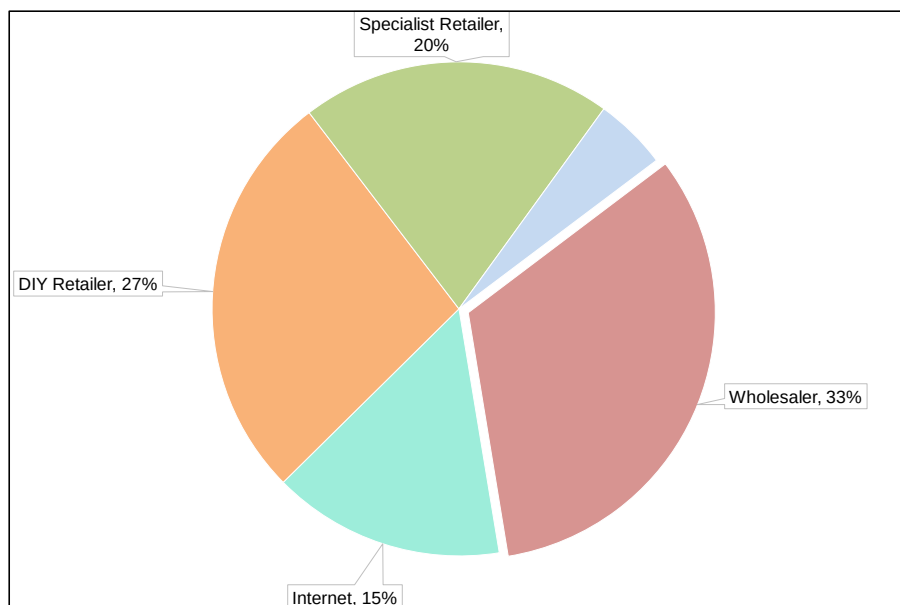
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 32.7%                           | 15.2%    | 27.0%        | 20.4%               | 4.7%    | 12.0%       | 4.8%            | 80.0%       | 3.2%            |
| 100%                            |          |              |                     |         | 16.8%       |                 | 83.2%       |                 |

### 6.6.4 Route to Market - Consolidated View : Bathroom Accessories

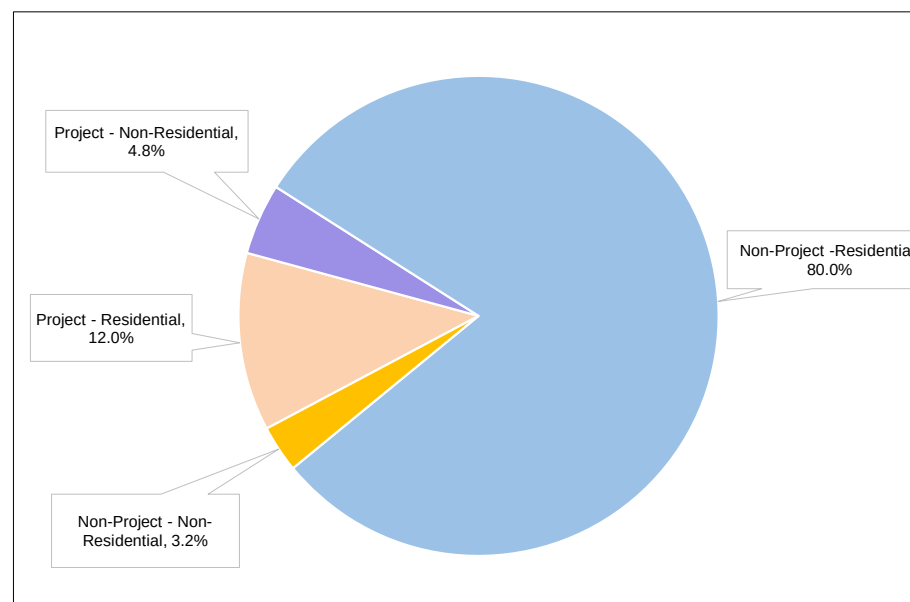
DE - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 31.5%                           | 14.9%    | 27.2%        | 20.3%               | 6.1%    | 14.0%       | 5.1%            | 77.8%       | 3.1%            |
| 100%                            |          |              |                     |         | 19.1%       |                 | 80.9%       |                 |

DE - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



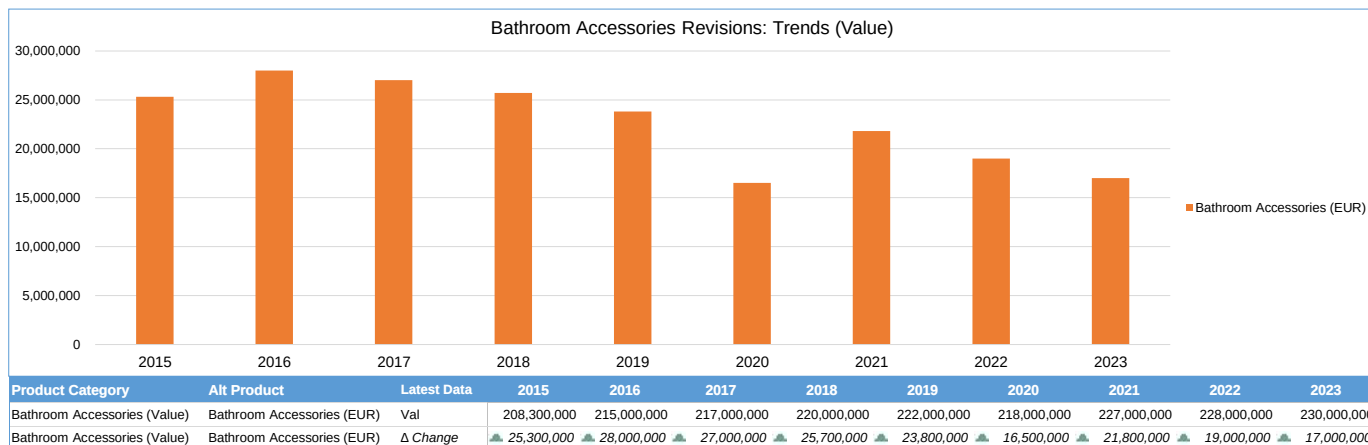
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 6.7 Revisions in the German Bathroom Accessories Market (April 2020)

DE - REVISIONS IN THE GERMAN BATHROOM ACCESSORIES MARKET

Data Comparison: April 2019



The market value for bathroom accessories was revised up for all years according to a better market understanding. New market players were identified and added to the market share table. As a result, the total value increased, and the change was adjusted historically.

# GERMANY

## SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



### **Market Characteristics and Technological Trends**

The German shower accessories market has benefited from the trend away from bathing towards showering. Over the last decade the market has performed well with strong growth during several years. A wide variety of shower heads is available with established German manufacturers, such as GROHE, HANSGROHE and DORNBACHT, offering high-priced models. Low-end alternatives are sold through non-traditional channels, such as retail shops, e.g. TCHIBO or supermarkets and food discounters, e.g. ALDI, LIDL and REAL with occasional sales.

Shower heads are one of the bathroom items that are replaced regularly, depending on the quality of the water in a geographic area. Most common are shower heads that are adjustable in height and they are gradually replacing shower heads with a single function, as they provide more comfort for the consumer. In recent years, fixed heads, in particular so-called rain showers, have increasingly taken away market shares from adjustable shower heads. A fixed shower head is almost always sold together with a hand shower. Least common are fixed side jets, which failed to establish themselves on the market. Fixed shower heads are common in public showers at swimming pools or sports centres; however, the share of fixed shower heads is also increasing in private households, as shower pipes are increasing in popularity. Shower pipes were introduced by HANSGROHE in the mid-2000s and sales have been increasing ever since. Nowadays, end users not only can buy high-priced shower pipes, but also low-priced products have become easily available in DIY and online stores.

The German market for shower accessories has a high share of flexible hoses, which are either made of metal or plastic usually in a metallic colour. The share of plastic flexible hoses, which look like metal, is slowly increasing and its share is estimated at more than 54%. Demand for flexible hoses is growing as they are commonly installed in larger showers in combination with a fixed shower head.

Shower supports include bars as well as holders. Holders that are mounted on the wall are rarely sold in the German market, and bars account for most sales. Shower bars used to be the shower item with the longest lifespan and were replaced as part of a complete bathroom refurbishment. Nowadays, it has become easier to replace shower bars by using existing drillings or non-drilling techniques for new installations. Sales of shower supports are expected to be negatively affected by growing popularity of shower pipes, rain, and hand showers.

Shower sets and shower mixers are either first time installations in new buildings (often concealed) or installations as part of a bathroom refurbishment. These are being increasingly sold, as they provide the end users with a certain convenience in buying a matching set of products. The most common set consists of a shower head, hose, and bar without a mixer. This is followed by the complete set, which also includes a mixer. Closely after is the shower set that consists of a shower

head and hose only without a mixer. This is a typical replacement product in case the shower head or hose needs replacing. Despite the popularity of shower sets among end users, single item replacements also do happen.

Several product innovations, like integrated wireless speakers and colourful lights in the shower head, have been introduced to the market and have established their market niche. Shower panels consist of body jets and multiple showerheads, which can replace standard shower sets. Sales started to take off when HANSGROHE and the French manufacturer VALENTIN introduced their units. Sales, however, have started to decline following the introduction of shower pipes (also by HANSGROHE) and fixed shower heads with hand showers. These comparably simple and less expensive products have experienced a surge in popularity. Demand for shower panels peaked more than a decade ago. Since then demand has been declining on a yearly basis.

### **Recent Market Trends**

Following the positive path of the past years, the German market for shower accessories grew also in 2019, at a slightly stronger rate when compared to the previous year. This development can be ascribed to the increased number of new housing completions and the high demand of bathroom renovations. Like with other bathroom products, there is a shift towards high quality products, which are mainly boosted by the popularity of shower pipes and large rain showers. On the other hand, there is a trend towards cheaper solutions with a certain quality standard. German consumers tend to either buy cheap shower heads (with or without a thermostat) or upper market products such as fixed rain showers together with a hand shower. For example, concealed thermostatic mixers that are covered with glass, introduced by HANSGROHE, have received positive feedback among consumers. Moreover, demand for fixed shower heads with a concealed connection to a thermostatic mixer is growing. In almost all cases a hand shower is installed together with a fixed shower head.

Demand for hydrotherapy shower panels continued to drop further in 2019. Shower panels have been suffering from the rising preference towards shower pipes, and this continued to affect sales demand in the last years, too. There is a significant demand that comes mainly from the economy/ lower price level, whilst the upper/ luxury level has almost disappeared.

The shower pipe market has achieved the strongest growth rate in 2019 with most manufacturers reporting above average sales. The main reason for the success is the experience of a rain shower, which end users are increasingly fond of. At the same time, more manufacturers are offering shower pipes for more affordable prices. In the past it was difficult to buy a shower pipe for less than EUR 400, whilst nowadays, consumers can buy models even for EUR 100.

## Prices and Market Values

The development of the average MSP for shower accessories differs greatly from one product to the other. With the gaining popularity of rain showers, end users are willing to spend more on a superior product. Since rain showers are more expensive than a standard shower head, the average price of shower heads increased moderately.

Most manufacturers have increased their prices to account for inflation and increased production costs linked to higher wages and raw material costs. This development is reflected by the average increase of flexible hoses.

The MSP of shower pipes, especially in lower price segments, contributed to a moderate increase only. With growing competition on the market, manufacturer find it difficult to justify strong price increases.

The average MSP of hydrotherapy shower panels significantly declined in 2019 as the share of products sold in the upper/ luxury and middle price segment dropped significantly. At the same time the number of products sold in the economy/ lower price range slightly declined. The shift towards cheaper products was stronger than the marginal increase of MSPs and, therefore, the average MSP declined significantly when compared to the previous year.

## New Housing

New housing demand for all products was stronger in 2019 when compared to the previous year due to the increasing number of dwelling completions the overall new housing segment benefited from low interest rates, high job security and positive consumer spending. Most demand is driven from multi-family apartments that are increasingly equipped with showers. According to industry feedback, the number of bathrooms is also increasing. It is becoming more common to have two bathrooms in a 100 square meter apartment for example. Either the guest toilets converted into a smaller second bathroom, or the master bedroom is equipped with an en-suite bathroom. All these developments benefit the shower accessories market, in particular shower pipes, which had a strong increase in 2019.

According to BRG definition, a shower pipe consists of a system that includes a fixed shower head that is mounted onto the mixer using a pipe, hand shower head and a flexible hose, shower support and a shower mixer, which can be thermostatic or non-thermostatic. It is believed that the share of shower pipes is going to increase on the expense of traditional shower sets.

Demand for shower panels in new housing slightly decreased in 2019, despite the high number of new housing completions. This shows that this product is not popular and end users prefer to install different types of shower systems such as rain shower heads and shower pipes.

The share of concealed shower installations is increasing in this segment as it is easy to install when planning during construction. Especially in the upper price segment, concealed systems are gaining popularity. In this case a large rain shower is fixed to the ceiling and a hand shower with a flexible hose is attached to the wall. Modern concealed mixers or thermostat mixers have only buttons to adjust water temperature and pressure, however, there also are more affordable solutions with a tap.

### Housing RMI

The replacement market represents the most significant segment for shower accessories, because of the shorter lifespan of these products when compared to ceramic sanitary ware, for example. Flexible hoses tend to break when used and moved regularly and shower heads are likely to become useless from limescale corrosion. The lifespan of a flexible hose is estimated to be about 15 years or longer and depends on its use. KOTTMANN, for example, gives a seven year warranty on their flexible hose. If a flexible hose breaks outside the warranty, then end users go to DIY stores to buy replacements there. If it breaks within the warranty time, then it is replaced professionally by the company. Demand for flexible hoses was positive in 2019, although with a slightly smaller growth rate when compared to previous year. Flexible hoses are either made of stainless steel or synthetics, with a trend towards the latter. The reason for this is that steel products may start to rust, while the new synthetic hoses are visually almost identical to steel – and less expensive. It is estimated that the overall market for flexible hoses is slightly dominated by plastic hoses.

The number of shower head sales in the replacement segment generate the bulk of sales due to their shorter product longevity. Replacement sales not only refer to substitutions of a single shower accessory, but also include sales of complete shower sets, often installed at the time when a bathroom refurbishment takes place. Demand for shower heads is believed to be a growing market, which benefits from the overall trend towards showering.

Demand for shower supports was positive in 2019 with a smaller growth rate when compared to previous year. This product is mostly sold in a set together with a shower head and a flexible hose. End users prefer to buy a complete set to make sure that all individual products match each other. Additionally, it is an easy and affordable way to give a newer look to the shower by replacing weary parts.

Demand for shower panels in the replacement segment declined in 2019. The product is outdated and is more likely to be replaced by a rain shower, which is nowadays associated with more wellness. However, a significant volume of shower panels sales in the replacement market remains for like-for-like replacements of products that were installed in the past. These products are of lower quality and usually need regular replacement when exposed to hard water and frequent use.

Shower pipes are a popular product for bathroom renovations and have become an established solution to enhance the shower experience. While prices used to be high in the past, nowadays, there is a great variety of good quality products for an affordable price. This development mirrors the rapidly growing demand for this product, especially in the replacement segment. MASCO (HANSGROHE) is believed to be the market leader, followed by LIXL (GROHE) and HANSA. Manufacturers such as SEE (SCHÜTTE) and KLUDI have launched new models on the ISH 2019 and target the lower price segment. SEE (SCHÜTTE) introduced a shower pipe in black colour, which is sold through many different distribution channels.

### Non-Housing

In 2019 the non-housing segment underwent a positive development in both renovation and new non-residential construction completions. The sales of most shower accessories products increased in 2019. The only exception is shower supports, which had a marginal decline that year. Most sales within the non-housing segment go to the commercial field, such as sports centres, hotels, nursing homes and, in a minor part, to private hospitals. Demand for shower panels in the non-housing segment has played a significant share in the past. Before finding its way to residential bathrooms, the product was popular in hotel bathrooms. With the introduction of shower pipes by HANSGROHE in 2008, demand quickly started to shift towards residential showers. Nowadays, shower pipes are now commonly installed in residential bathrooms, whilst the non-housing segment continues losing share.

Overall demand in the non-housing segment is closely linked to the development of the non-housing construction market. Demand for 2020 is expected to drop significantly, before starting to recover from 2021 onwards. Since the share of total shower accessories sales into non-housing is limited by buildings that have a shower, demand is likely to stay small in comparison to the total market size.

### Supply Structure

The main market players for shower accessories are HANSGROHE, LIXL (GROHE) and SEE (SCHÜTTE). In addition, there are other German manufacturers such as DORNBRACHT, KEUCO and KLUDI competing in a mature market. In contrast to the other manufacturers, SEE (SCHÜTTE) focuses on other distribution channels than the wholesale. Several players from outside the industry supply products through different distribution channels, too. Like for bathroom accessories and furniture, retailers such as TCHIBO and food discounters such as LIDL, PENNY, NETTO, NORMA, MARKTKAUF and HERKULES, generate large sales volumes. They tackle the lower-priced segment of the market with inexpensive imports from the Far East. In particular, the flexible hose market is characterised by a high share of OEM manufacturing – with retailers competing on prices with inexpensive imported products.



An important OEM manufacturer is KOTTMANN, which supplies major companies with high quality products, as well as DIY stores that sell it under private labels. Moreover, KOTTMANN uses the DIY segment to sell their branded flexible hoses directly to end users. However, branded sales make up only a marginal part of their total sales as KOTTMANN is primarily an OEM manufacturer. Its total sales by material can be divided into about one third metal and two thirds plastic. Other 'non-professional' channels that are increasing in importance are DIY and the Internet, which offer more flexibility and transparency in terms of price comparison.

Many of the large bathroom manufacturers such as DUSCHOLUX, DUSAR and LIXIL (GROHE) stopped supplying hydrotherapy products such as shower panels in the past. SEE (SCHÜTTE) is the market leader for this product and sells most of their products to the replacement segment.

Regarding shower pipes, MASCO (HANSGROHE) remains the market leader, and as a pioneer launched the first shower pipes in 2008. Other manufacturers were quickly to follow and demand for shower pipes has been growing significantly. LIXIL (GROHE) is almost equally successful with its shower pipes now and it is believed that both manufacturers together have a market share over 50%. Other significant manufacturers are ORAS (HANSA) and SEE (SCHÜTTE).

## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The German shower accessories market is expected to develop positively during the forecast period, after a strong decline in the year 2020, which is caused by the COVID-19 crisis. The shower accessories market, as a mature market, depends mainly on replacement sales. Demand from the RMI segment is expected to be significantly impacted, too. Overall, the COVID-19 crisis is expected to create a big gap in demand for 2020 and 2021 to some extent. From 2022, demand is believed to pick up quickly, before returning to a small growth rate again.

Although the impacts of the COVID-19 crisis are difficult to estimate now, it is likely that high demand for living space in Germany will remain after the crisis. Demand is anticipated from a growing number of new completions and bathroom renovations. The growing new build segment, especially for apartment dwellings, leads to an optimistic outlook for bathroom accessories products.

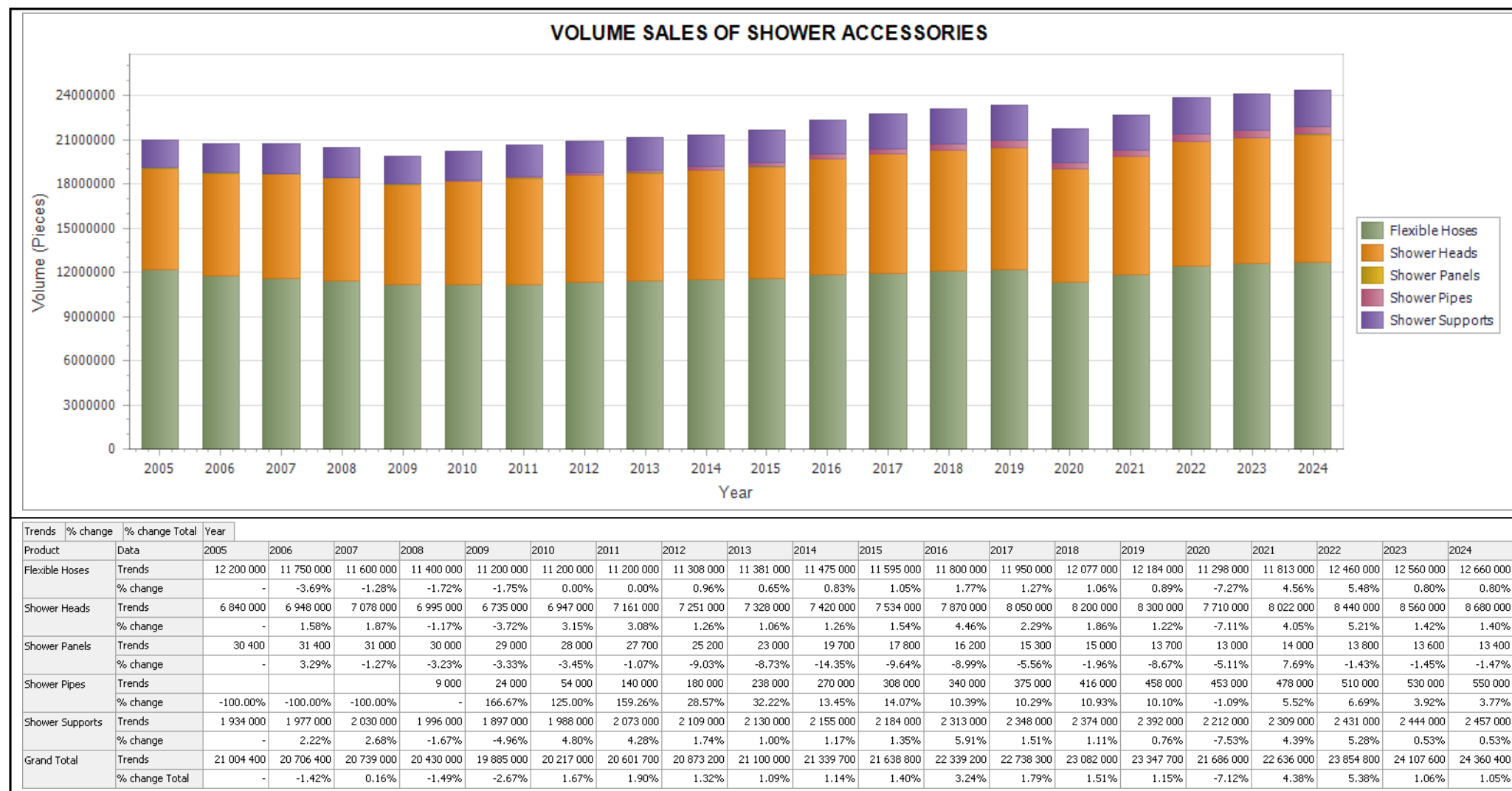
Demand for flexible hoses is likely to grow stronger over the forecast period as most new showers are equipped with a hand shower. Moreover, shower head

sales are believed will profit from this development, too. In contrast, demand for shower supports is expected to grow marginally due to the strengthening trend towards fixed shower heads and shower pipes. Demand for hydrotherapy shower panels is expected to decline slightly from 2023 onwards. While the share of the upper price segment is likely to shrink further, the share of the price entry segment is expected to continue having demand from like-to-like replacement sales.

The shower pipe market is expected to have the strongest growth rates towards the end of the forecast period. This relatively new products is winning market share and popularity in the German shower market. With manufacturers launching new models on the market, end users have a growing choice of colours, price ranges and styles to choose from. This development is likely to stimulate a further growth, while the MSP is expected to continue declining.

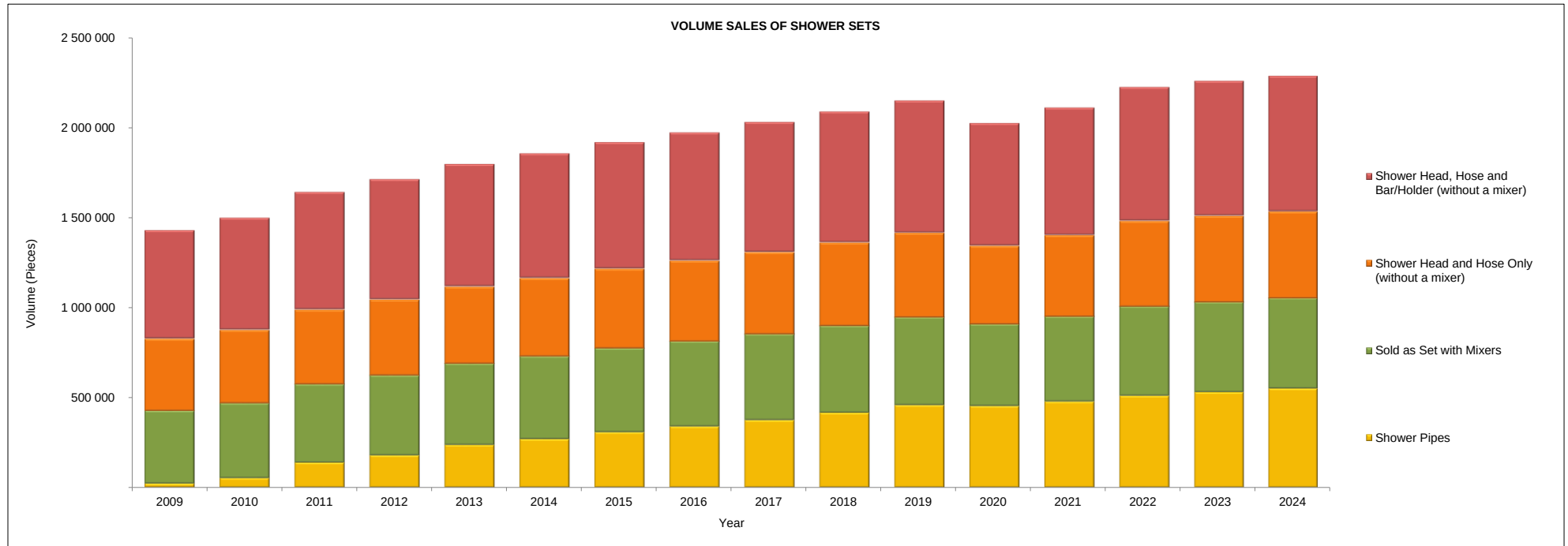
## 7.2.1 Historical Trends & Forecasts : Shower Accessories

### DE - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets  
DE - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

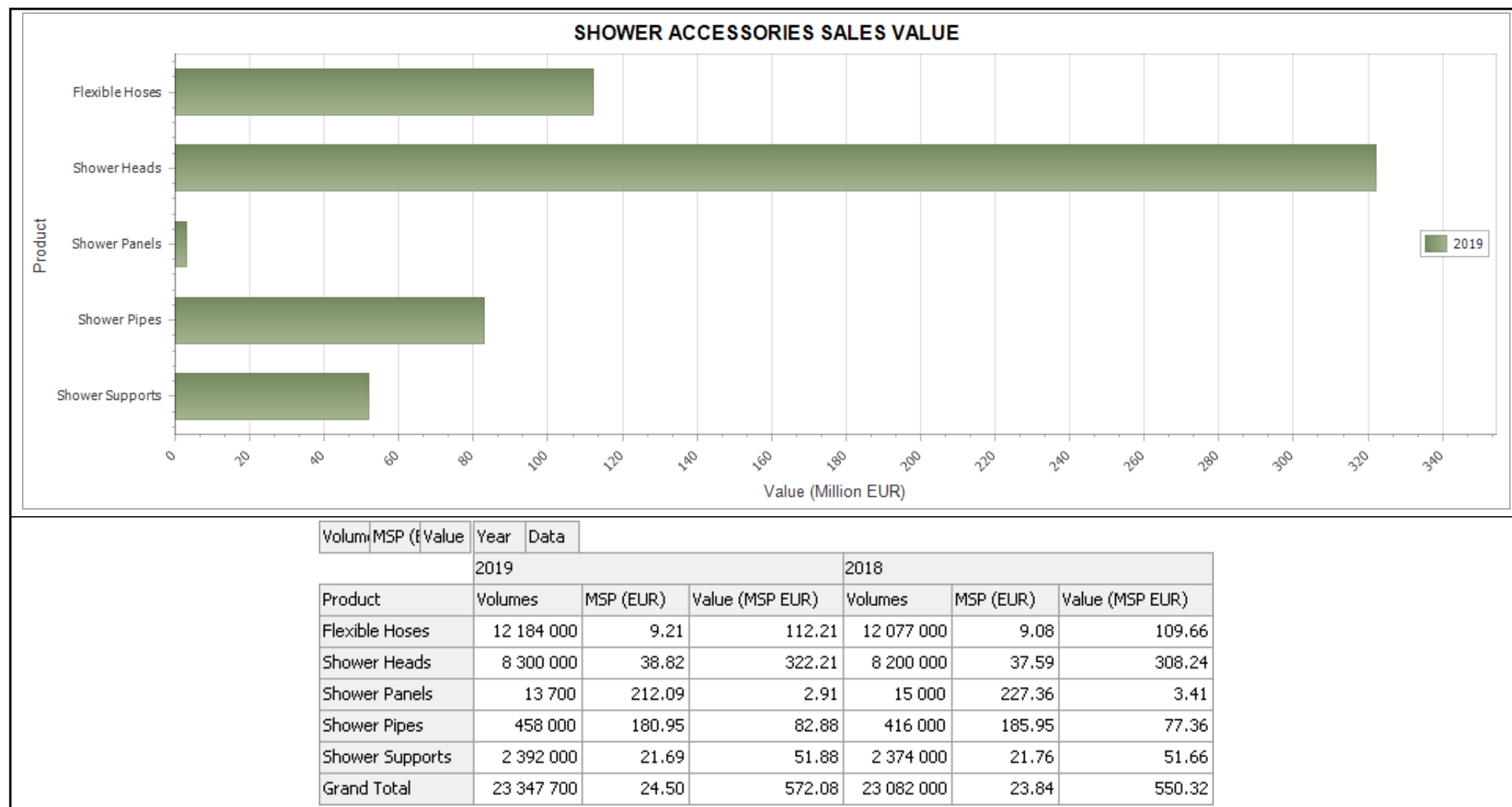


| Product Type          | Product                                            | 2009             | 2010             | 2011             | 2012             | 2013             | 2014             | 2015             | 2016             | 2017             | 2018             | 2019             | 2020             | 2021             | 2022             | 2023             | 2024             |
|-----------------------|----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Shower Sets           | Shower Head, Hose and Bar/Holder (without a mixer) | 600 000          | 620 000          | 651 000          | 666 000          | 678 000          | 690 000          | 700 000          | 709 000          | 720 000          | 725 000          | 732 000          | 679 000          | 706 000          | 741 000          | 747 000          | 751 000          |
|                       | % Change                                           | -                | 3.33%            | 5.00%            | 2.30%            | 1.80%            | 1.77%            | 1.45%            | 1.29%            | 1.55%            | 0.69%            | 0.97%            | -7.24%           | 3.98%            | 4.96%            | 0.81%            | 0.54%            |
|                       | Shower Head and Hose Only (without a mixer)        | 400 000          | 407 000          | 414 000          | 421 000          | 428 000          | 435 000          | 442 000          | 449 000          | 456 000          | 463 000          | 470 000          | 436 000          | 453 000          | 476 000          | 480 000          | 482 000          |
|                       | % Change                                           | -                | 1.75%            | 1.72%            | 1.69%            | 1.66%            | 1.64%            | 1.61%            | 1.58%            | 1.56%            | 1.54%            | 1.51%            | -7.23%           | 3.90%            | 5.08%            | 0.84%            | 0.42%            |
|                       | Sold as Set with Mixers                            | 405 000          | 417 000          | 436 000          | 445 000          | 452 000          | 460 000          | 467 000          | 473 000          | 478 000          | 483 000          | 488 000          | 455 000          | 472 000          | 496 000          | 500 000          | 502 000          |
|                       | % Change                                           | -                | 2.96%            | 4.56%            | 2.06%            | 1.57%            | 1.77%            | 1.52%            | 1.28%            | 1.06%            | 1.05%            | 1.04%            | -6.76%           | 3.74%            | 5.08%            | 0.81%            | 0.40%            |
|                       | Shower Pipes                                       | 24 000           | 54 000           | 140 000          | 180 000          | 238 000          | 270 000          | 308 000          | 340 000          | 375 000          | 416 000          | 458 000          | 453 000          | 478 000          | 510 000          | 530 000          | 550 000          |
|                       | % Change                                           | -                | 125.00%          | 159.26%          | 28.57%           | 32.22%           | 13.45%           | 14.07%           | 10.39%           | 10.29%           | 10.93%           | 10.10%           | -1.09%           | 5.52%            | 6.69%            | 3.92%            | 3.77%            |
| <b>Grand Total</b>    |                                                    | <b>1 429 000</b> | <b>1 498 000</b> | <b>1 641 000</b> | <b>1 712 000</b> | <b>1 796 000</b> | <b>1 855 000</b> | <b>1 917 000</b> | <b>1 971 000</b> | <b>2 029 000</b> | <b>2 087 000</b> | <b>2 148 000</b> | <b>2 023 000</b> | <b>2 109 000</b> | <b>2 223 000</b> | <b>2 257 000</b> | <b>2 285 000</b> |
| <b>% Change Total</b> |                                                    | -                | <b>4.83%</b>     | <b>9.55%</b>     | <b>4.33%</b>     | <b>4.91%</b>     | <b>3.29%</b>     | <b>3.34%</b>     | <b>2.82%</b>     | <b>2.94%</b>     | <b>2.86%</b>     | <b>2.92%</b>     | <b>-5.82%</b>    | <b>4.25%</b>     | <b>5.41%</b>     | <b>1.53%</b>     | <b>1.24%</b>     |

Source: BRG based on Industry Interviews

### 7.3.1 Prices and Market Values : Shower Accessories

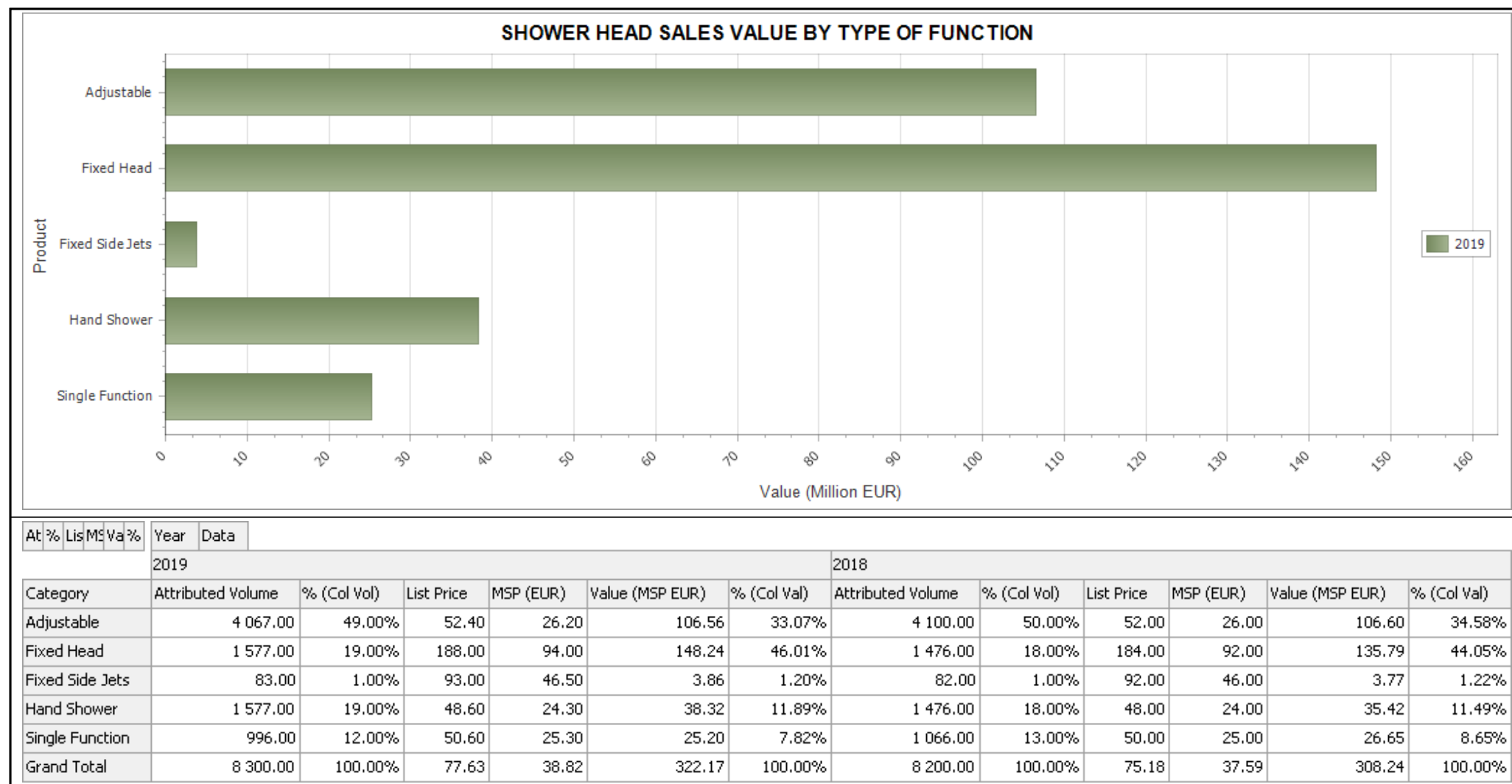
DE - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 7.3.2 Prices and Market Values by Type : Shower Heads

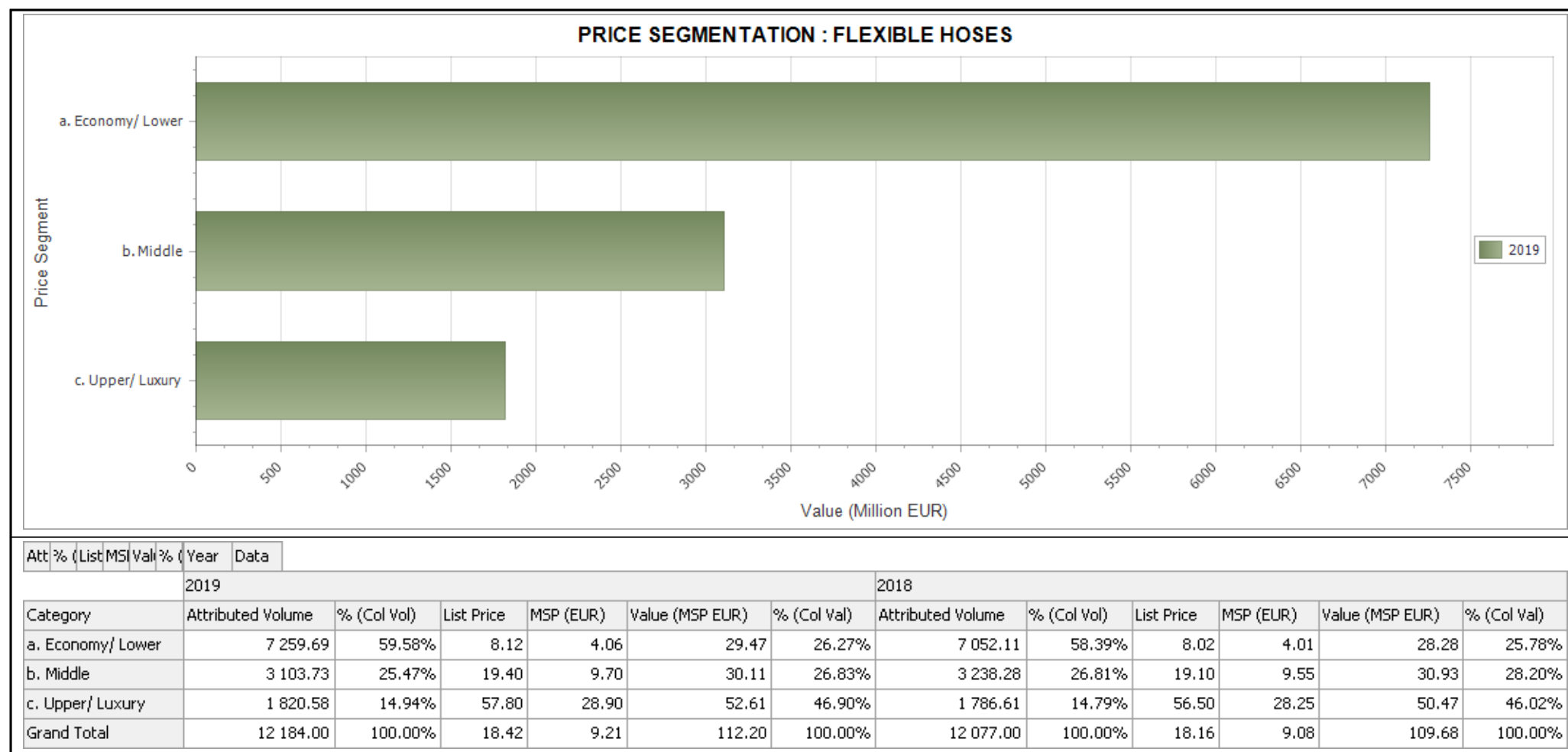
DE - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 7.3.3 Price Segmentation : Flexible Hoses

#### DE - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

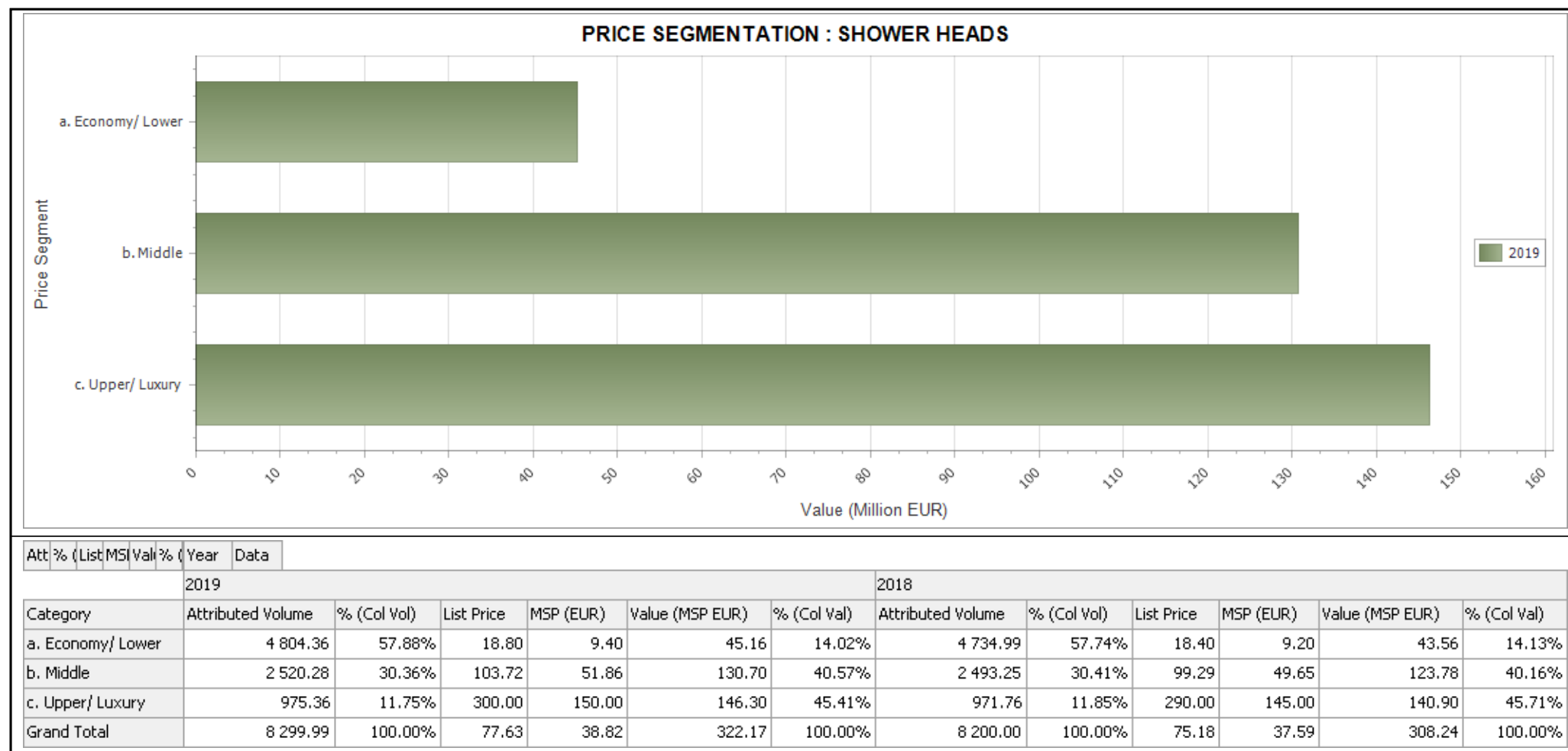


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€15, Upper/ Luxury >€15

### 7.3.4 Price Segmentation : Shower Heads

#### DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS



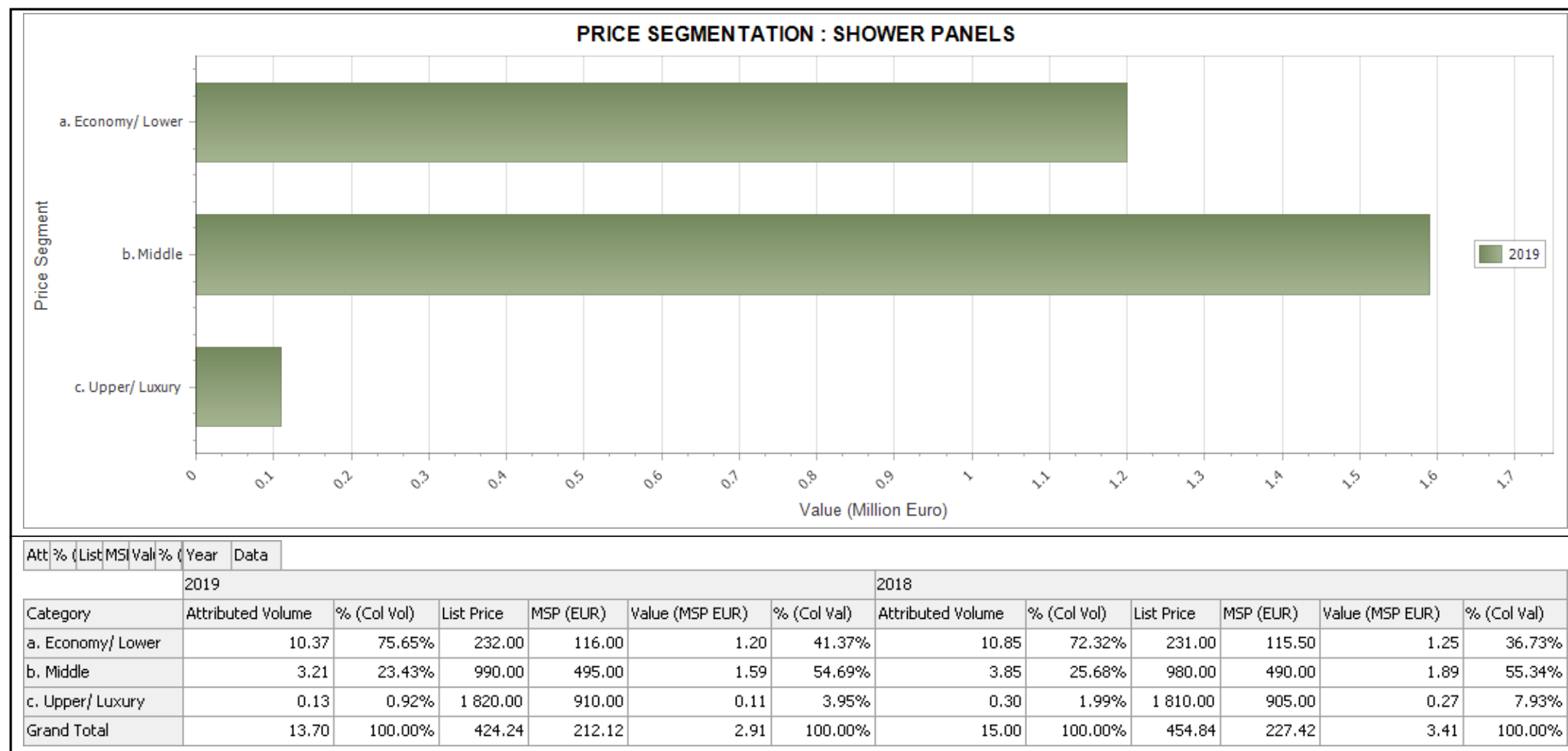
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80



### 7.3.5 Price Segmentation : Shower Panels

#### DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

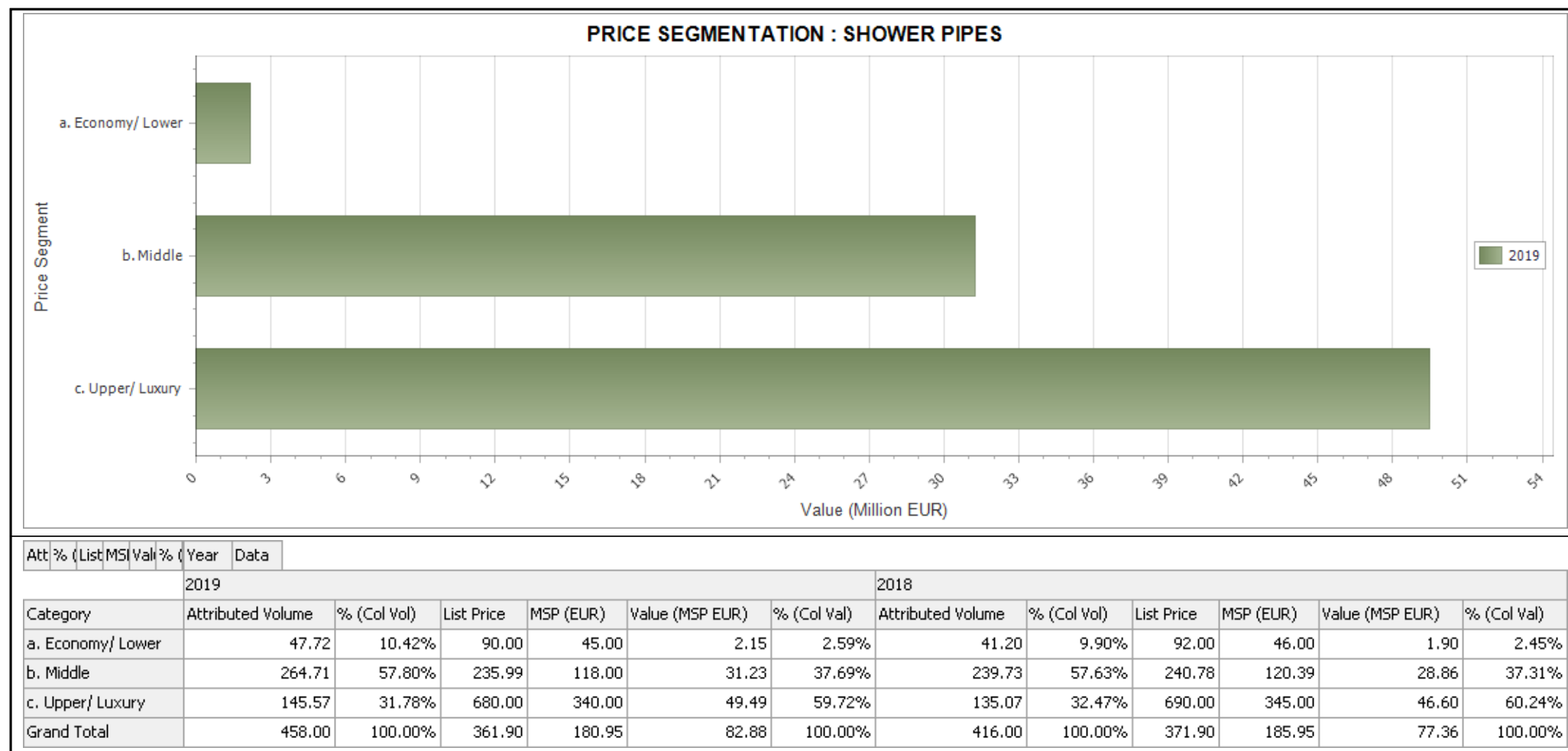


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

### 7.3.6 Price Segmentation : Shower Pipes

DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

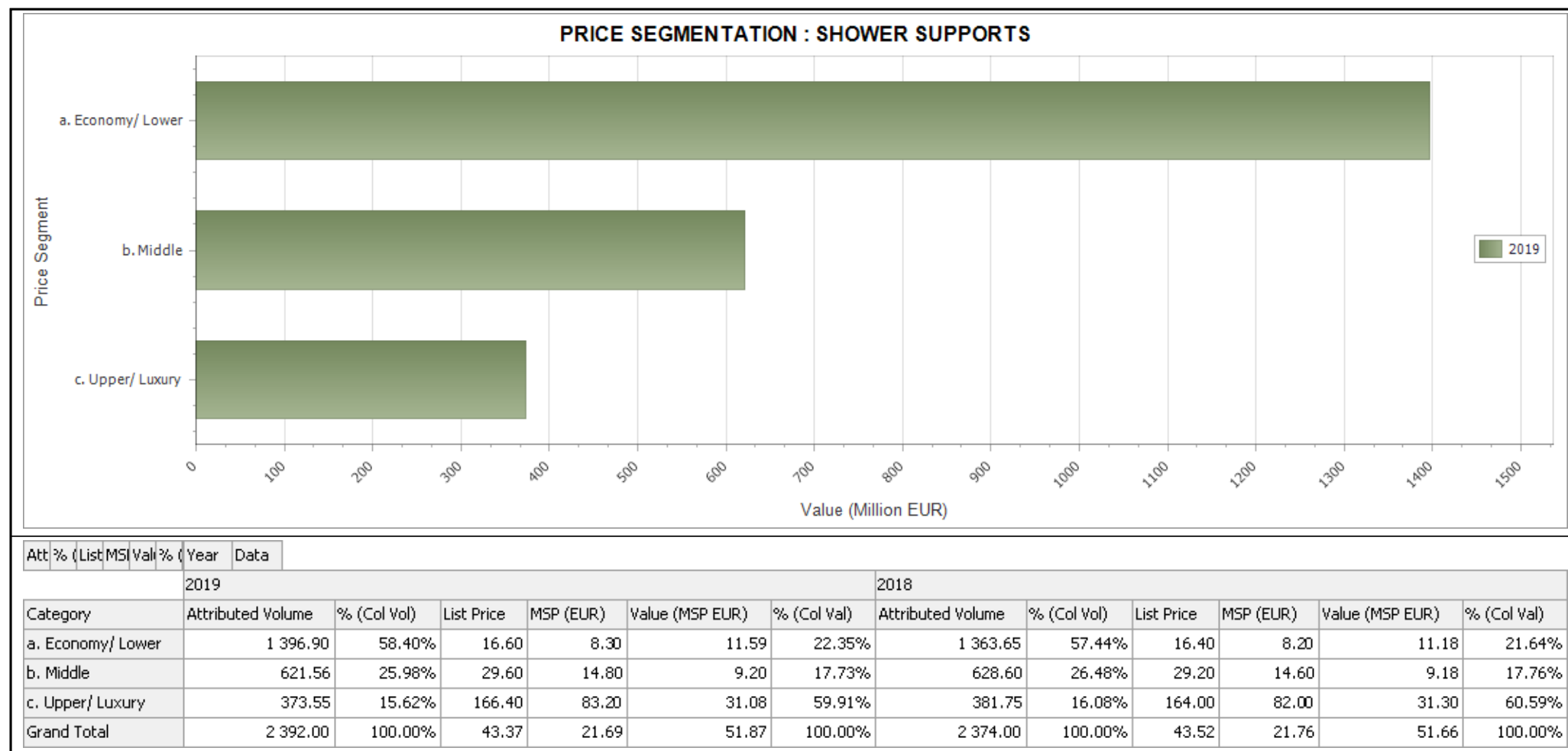


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

### 7.3.7 Price Segmentation : Shower Supports

#### DE - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

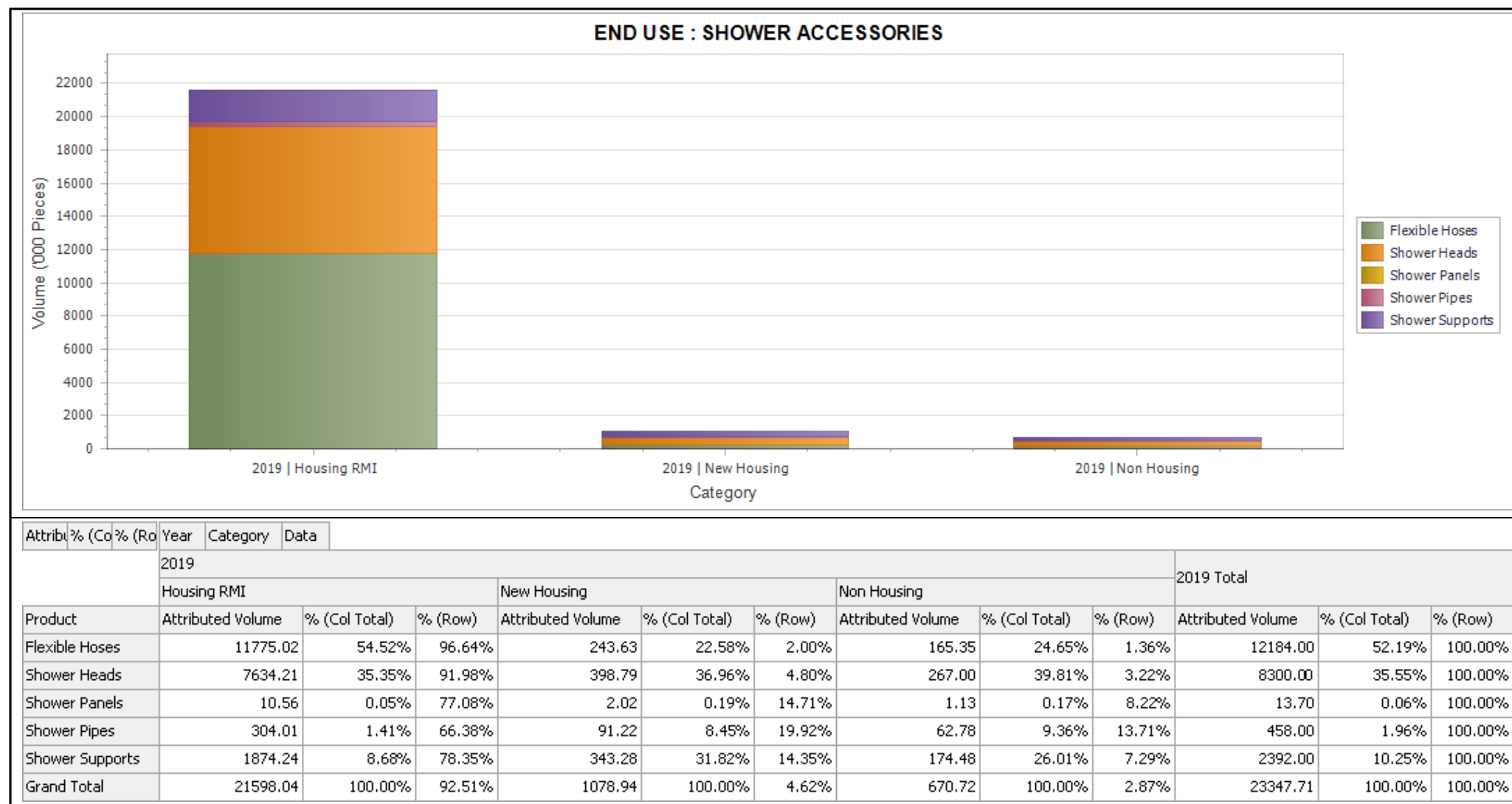


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€30, Upper/ Luxury >€30

#### 7.4.1 End Use : Base Year

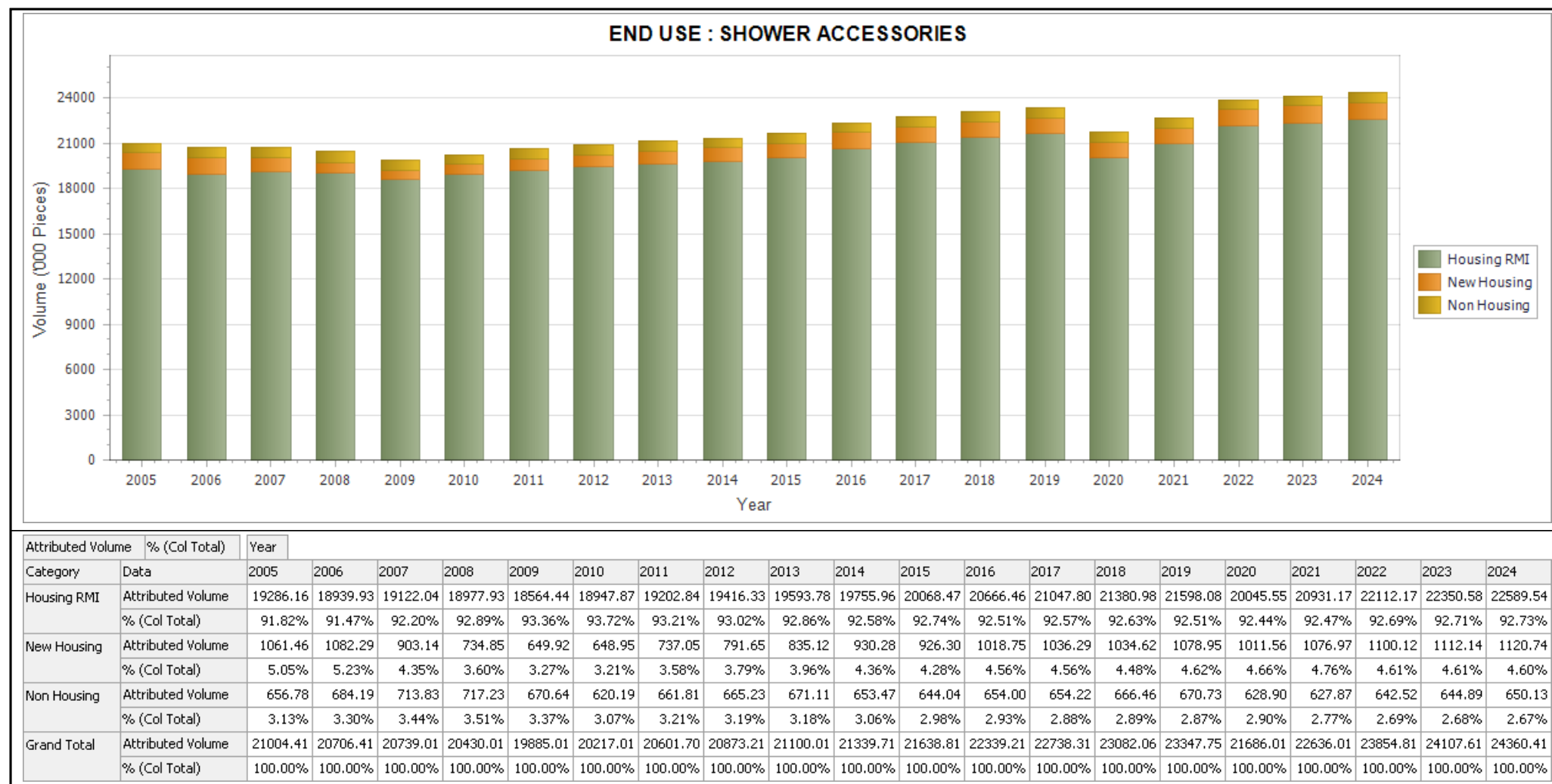
DE - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 7.4.2 End Use : Historical and Forecasts

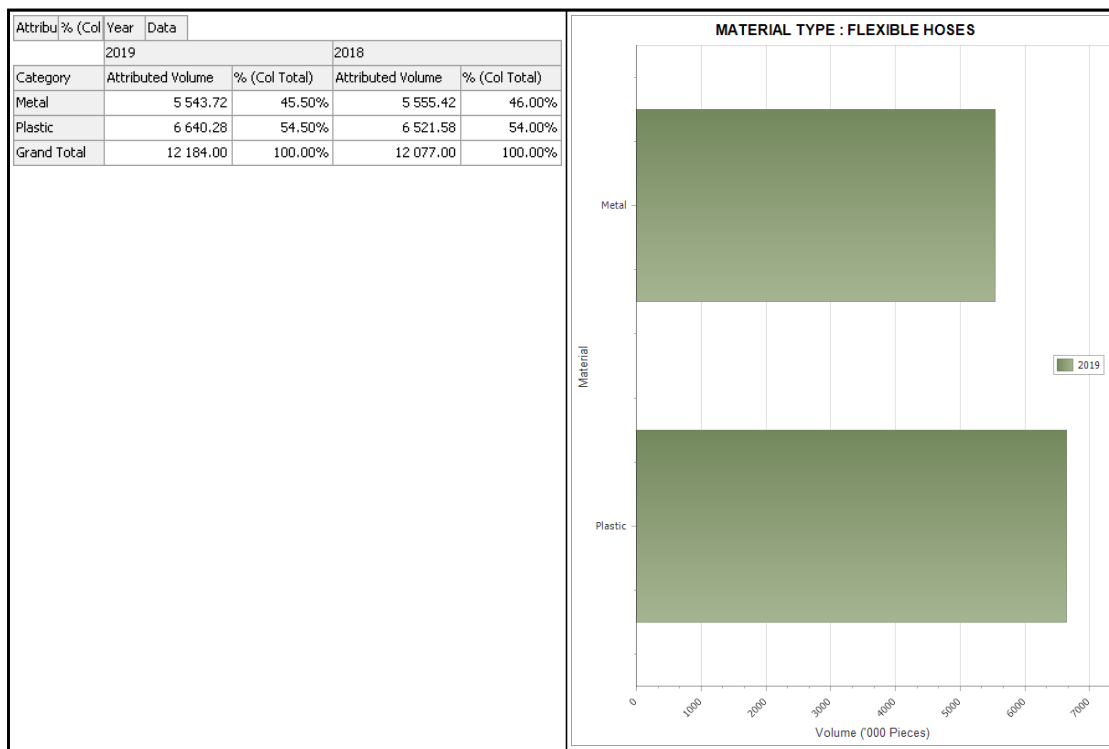
DE - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

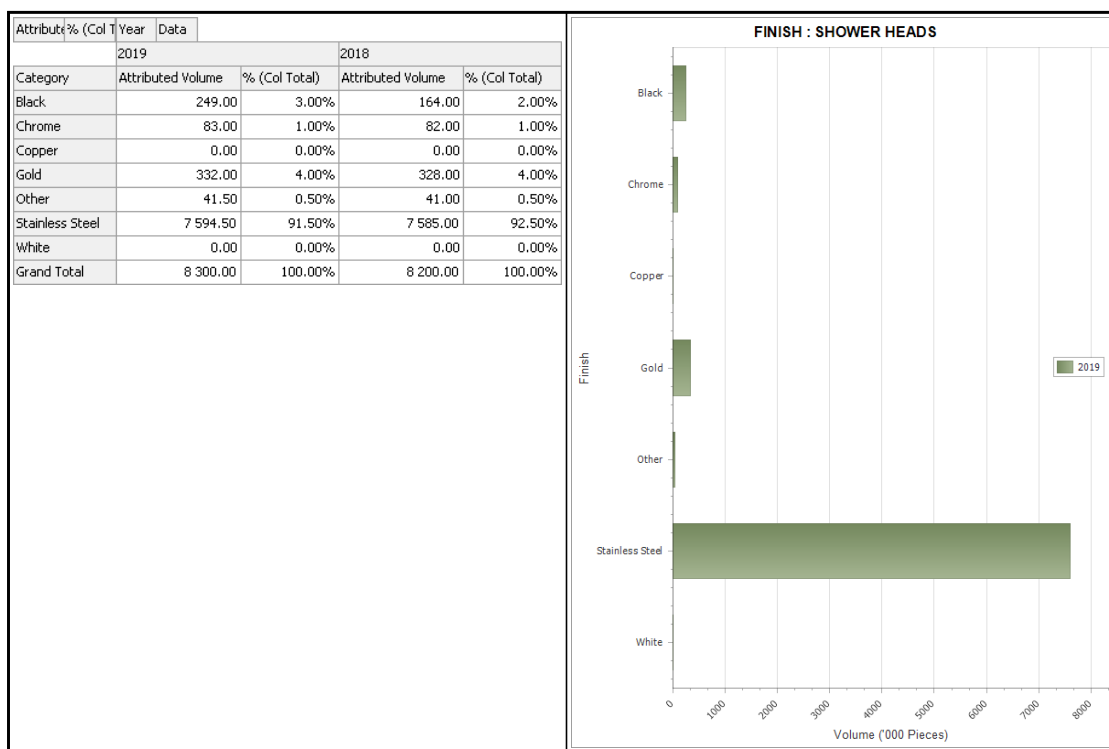
### 7.4.3 Sales By Type of Material : Flexible Hoses

DE - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



### 7.4.4 Sales by Type of Finish : Shower Heads

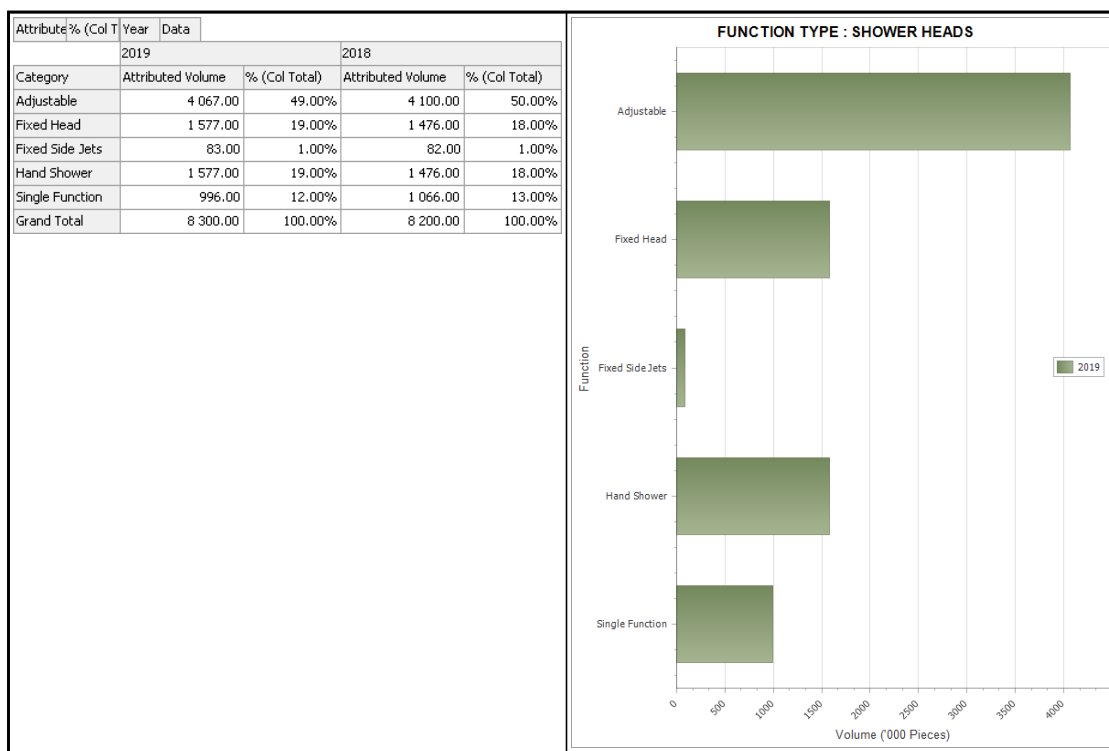
DE - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

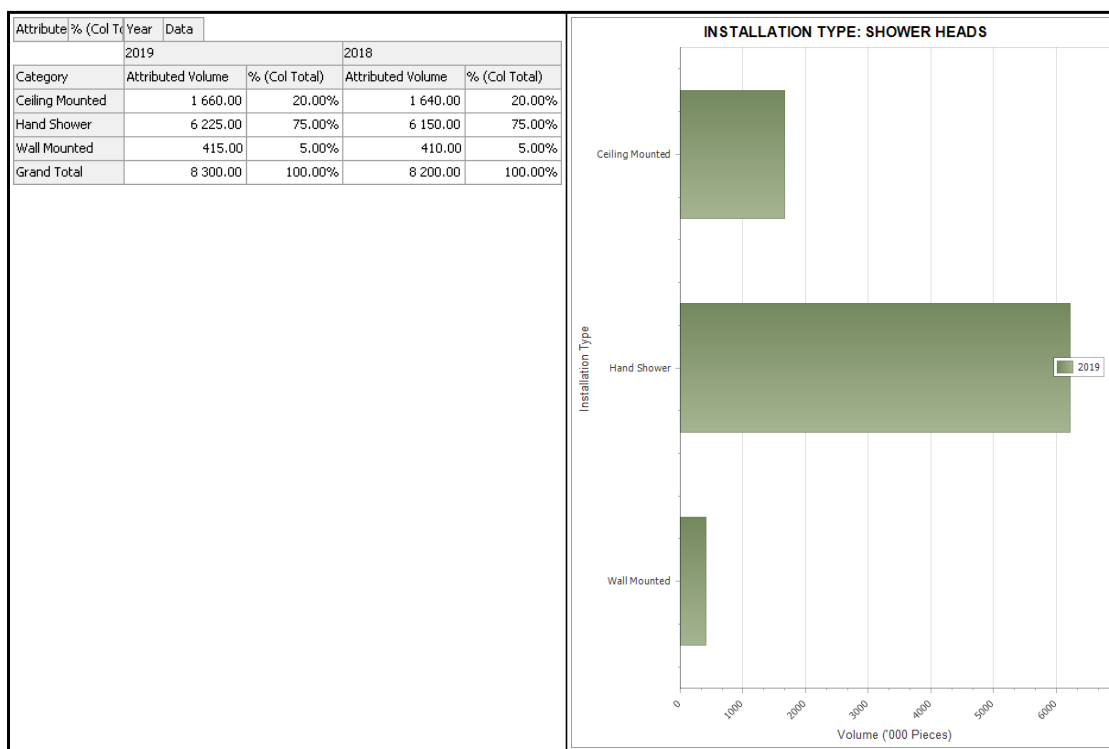
#### 7.4.5 Sales By Type of Function : Shower Heads

DE - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



#### 7.4.6 Sales by Type of Installation : Shower Heads

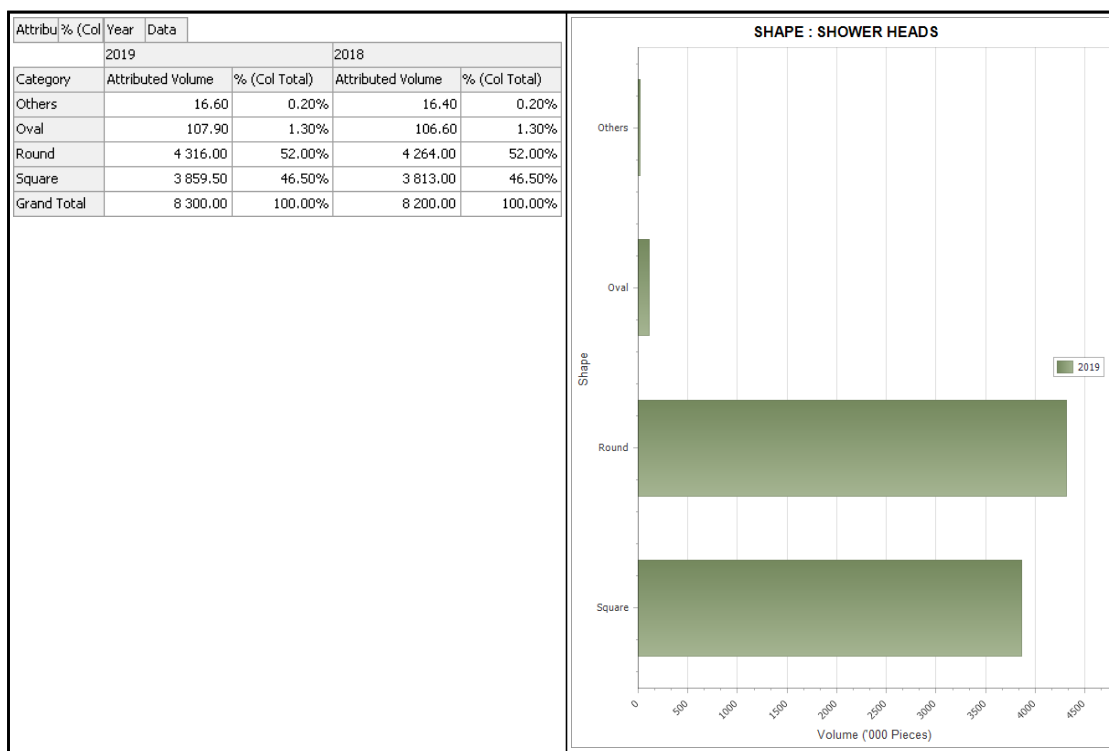
DE - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

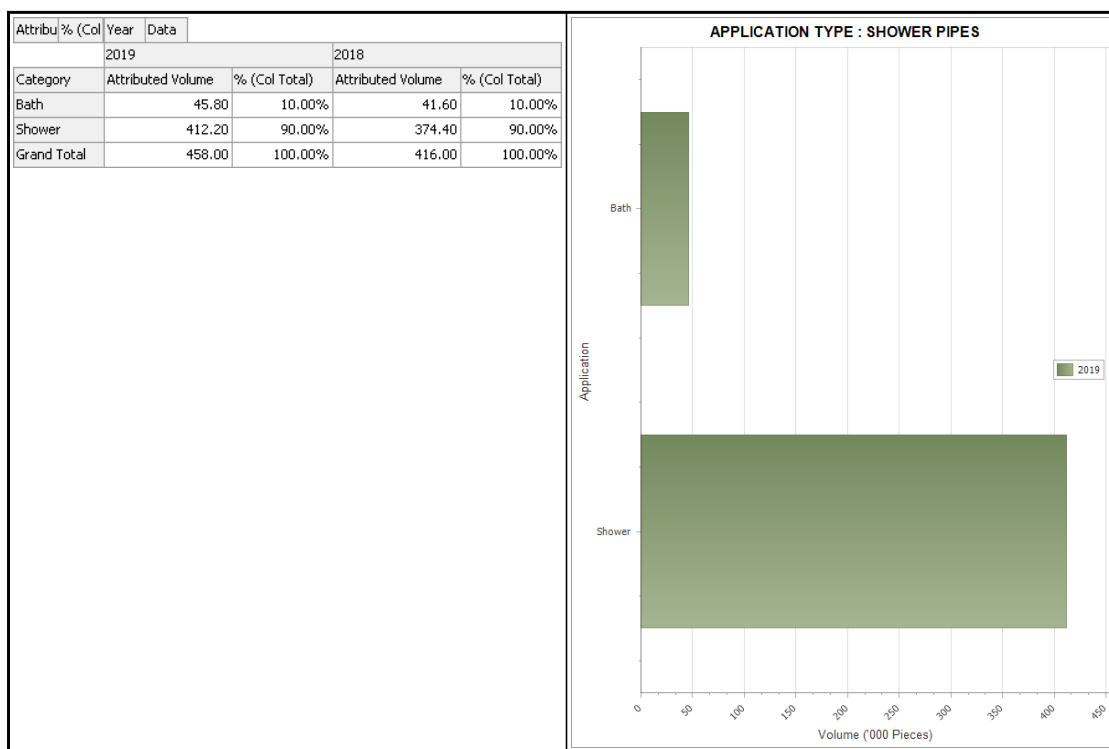
#### 7.4.7 Sales By Type of Shape : Shower Heads

DE - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



#### 7.4.8 Sales by Type of Application : Shower Pipes

DE - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)

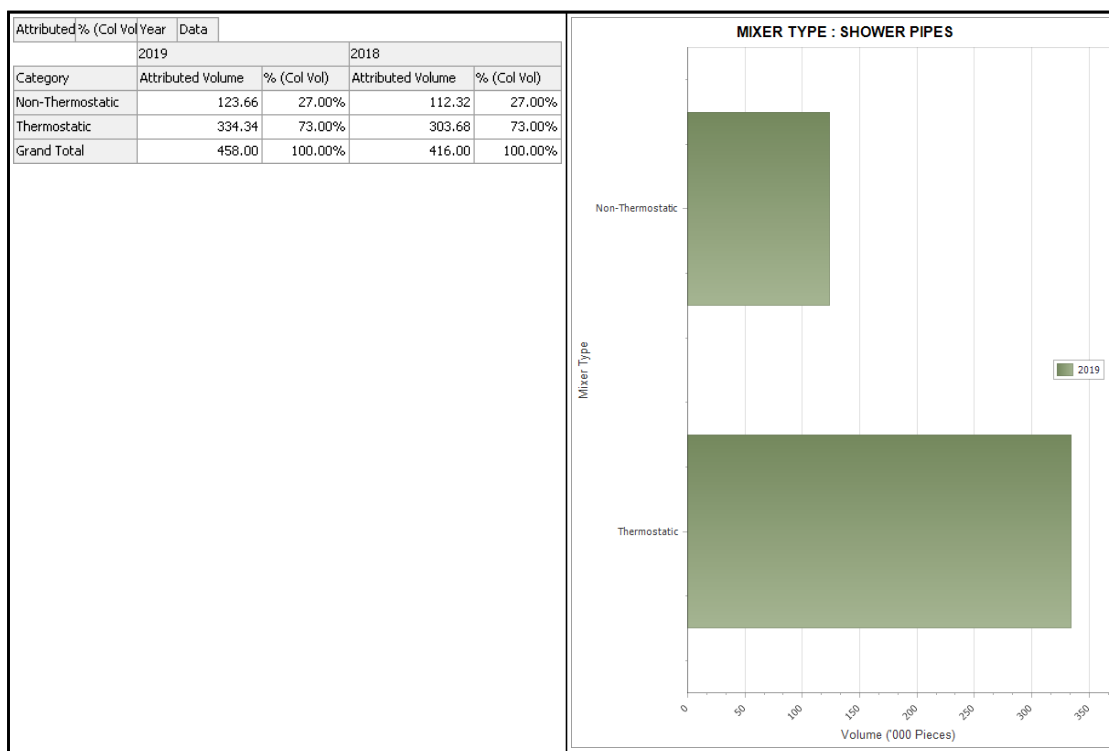


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.



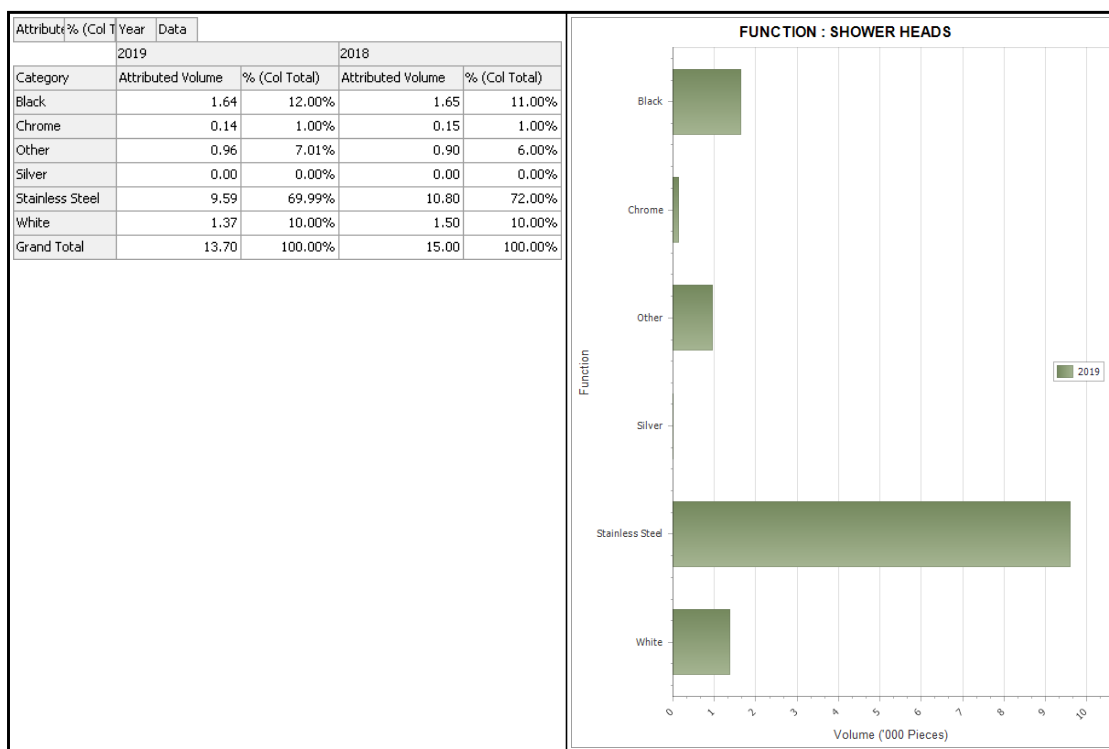
#### 7.4.9 Sales by Type of Mixer : Shower Pipes

DE - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



#### 7.4.10 Sales by Type of Finish: Shower Panels

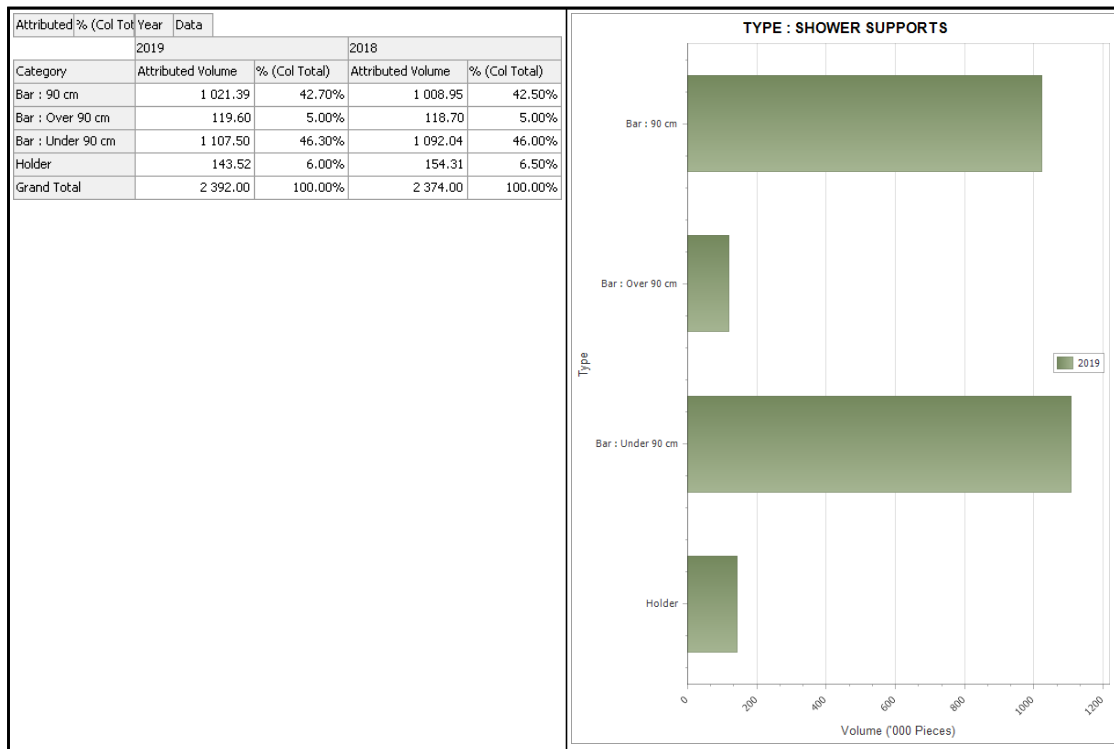
DE - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 7.4.11 Sales By Type : Shower Supports

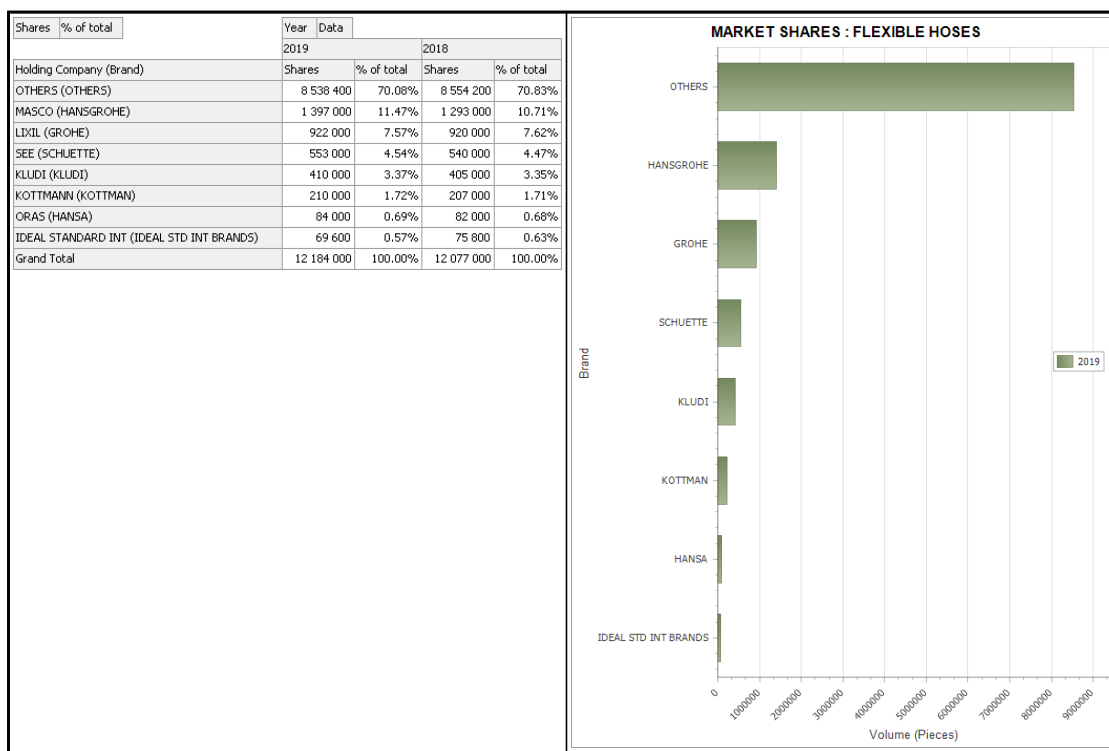
DE - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 7.5.1 Market Shares : Flexible Hoses

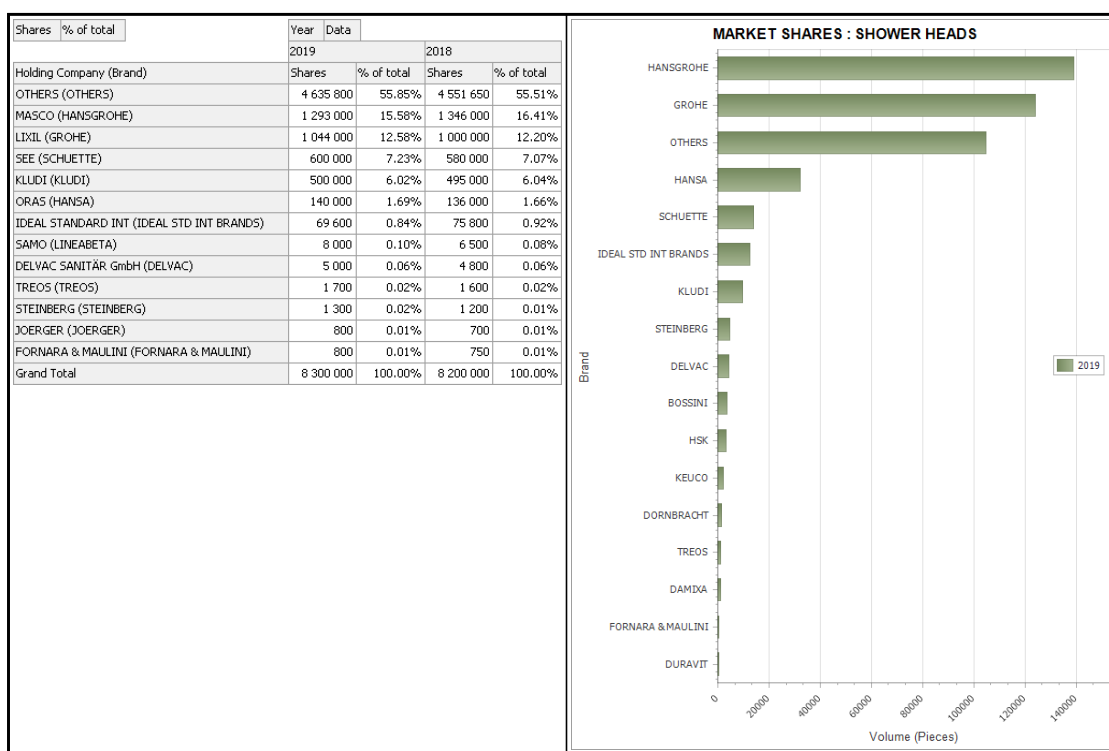
### DE - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

## 7.5.2 Market Shares : Shower Heads

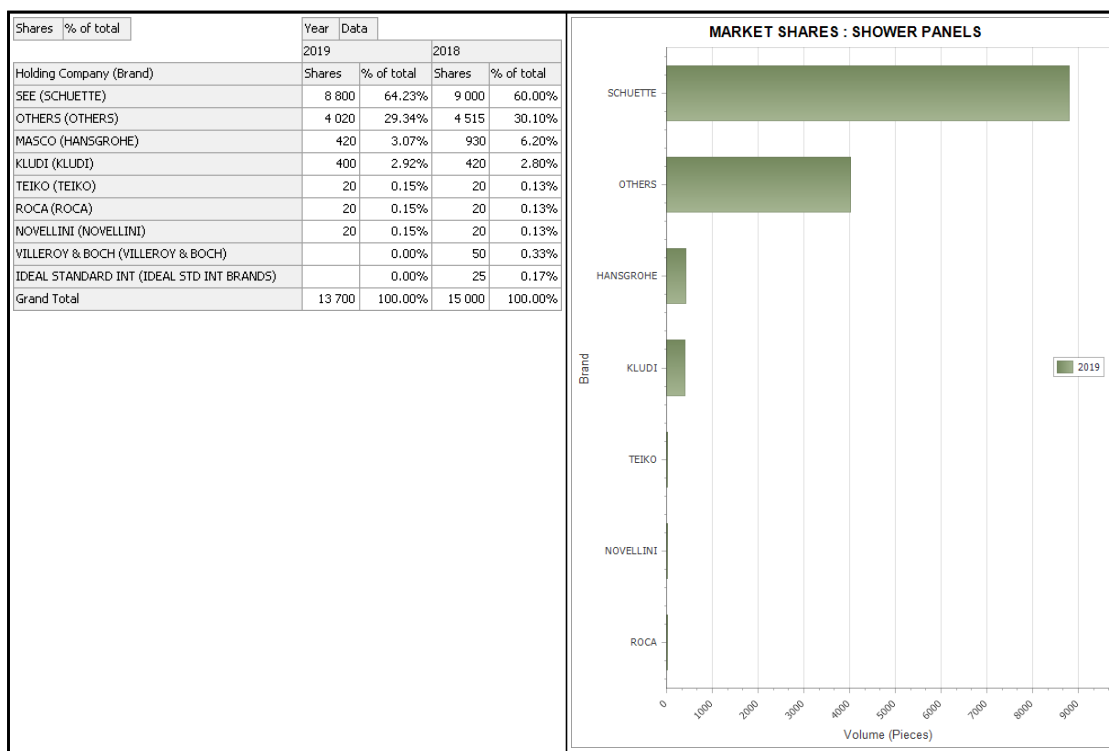
### DE - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

### 7.5.3 Market Shares : Shower Panels

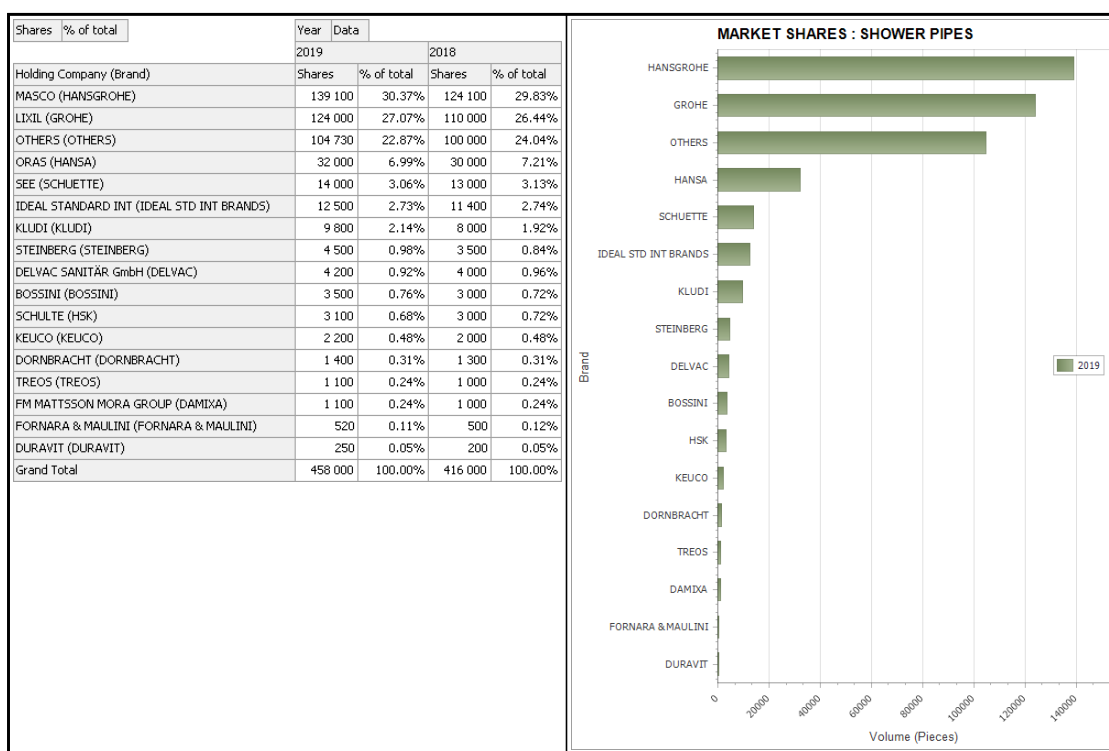
#### DE - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

### 7.5.4 Market Shares : Shower Pipes

#### DE - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1 Route to Market: Shower Accessories  
DE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 48.6%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 48.6%                          |

|              |                           |                     |                       |                     |                             |                    |
|--------------|---------------------------|---------------------|-----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>8.6%      | Wholesaler<br>13.0% | Manufacturer<br>25.4% | Wholesaler<br>16.0% | Manufacturer<br>11.3%       | Wholesaler<br>5.0% |
|              | <b>Internet Retailers</b> |                     | <b>DIY Retailers</b>  |                     | <b>Specialist Retailers</b> |                    |
|              | 21.6%                     |                     | 41.4%                 |                     | 16.3%                       |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 3.2%              | 13.9%      | 3.0%     | 5.0% | 6.0%       |
| <b>Installers</b> |            |          |      |            |
| 31.1%             |            |          |      |            |

|               |                      |                    |                   |                        |                     |                    |                        |                    |                  |                            |                    |                   |
|---------------|----------------------|--------------------|-------------------|------------------------|---------------------|--------------------|------------------------|--------------------|------------------|----------------------------|--------------------|-------------------|
| End Use Level | Manufacturer<br>1.9% | Wholesaler<br>0.0% | Internet<br>18.2% | DIY<br>36.4%           | Specialist<br>10.0% | Installer<br>30.6% | Manufacturer<br>1.0%   | Wholesaler<br>0.7% | Internet<br>0.4% | DIY<br>0.0%                | Specialist<br>0.3% | Installer<br>0.5% |
|               | <b>Residential</b>   |                    |                   |                        |                     |                    | <b>Non-Residential</b> |                    |                  |                            |                    |                   |
|               | 97.1%                |                    |                   |                        |                     |                    | 2.9%                   |                    |                  |                            |                    |                   |
|               | <b>New Build</b>     |                    |                   | <b>Residential RMI</b> |                     |                    | <b>New Build</b>       |                    |                  | <b>Non-Residential RMI</b> |                    |                   |
|               | 4.6%                 |                    |                   | 92.5%                  |                     |                    | 0.9%                   |                    |                  | 2.0%                       |                    |                   |
|               | <b>Project</b>       | <b>Non-Project</b> |                   | <b>Project</b>         | <b>Non-Project</b>  |                    | <b>Project</b>         | <b>Non-Project</b> |                  | <b>Project</b>             | <b>Non-Project</b> |                   |
|               | 2.0%                 | 2.6%               |                   | 15.0%                  | 77.5%               |                    | 0.7%                   | 0.2%               |                  | 1.5%                       | 0.5%               |                   |

7.6.2 Route to Market: Shower Accessories  
DE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 47.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 47.0%                          |

|              |                           |                     |                       |                     |                             |                    |
|--------------|---------------------------|---------------------|-----------------------|---------------------|-----------------------------|--------------------|
| Retail Level | Manufacturer<br>9.0%      | Wholesaler<br>14.0% | Manufacturer<br>25.0% | Wholesaler<br>17.0% | Manufacturer<br>11.0%       | Wholesaler<br>5.0% |
|              | <b>Internet Retailers</b> |                     | <b>DIY Retailers</b>  |                     | <b>Specialist Retailers</b> |                    |
|              | 23.0%                     |                     | 42.0%                 |                     | 16.0%                       |                    |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 3.0%              | 10.3%      | 4.0%     | 6.0% | 5.7%       |
| <b>Installers</b> |            |          |      |            |
| 29.0%             |            |          |      |            |

|               |                      |                    |                   |                        |                     |                    |                        |                    |                  |                            |                    |                   |
|---------------|----------------------|--------------------|-------------------|------------------------|---------------------|--------------------|------------------------|--------------------|------------------|----------------------------|--------------------|-------------------|
| End Use Level | Manufacturer<br>4.7% | Wholesaler<br>0.0% | Internet<br>18.5% | DIY<br>36.0%           | Specialist<br>10.0% | Installer<br>28.1% | Manufacturer<br>0.3%   | Wholesaler<br>0.7% | Internet<br>0.5% | DIY<br>0.0%                | Specialist<br>0.3% | Installer<br>0.9% |
|               | <b>Residential</b>   |                    |                   |                        |                     |                    | <b>Non-Residential</b> |                    |                  |                            |                    |                   |
|               | 97.3%                |                    |                   |                        |                     |                    | 2.7%                   |                    |                  |                            |                    |                   |
|               | <b>New Build</b>     |                    |                   | <b>Residential RMI</b> |                     |                    | <b>New Build</b>       |                    |                  | <b>Non-Residential RMI</b> |                    |                   |
|               | 4.6%                 |                    |                   | 92.7%                  |                     |                    | 1.5%                   |                    |                  | 1.2%                       |                    |                   |
|               | <b>Project</b>       | <b>Non-Project</b> |                   | <b>Project</b>         | <b>Non-Project</b>  |                    | <b>Project</b>         | <b>Non-Project</b> |                  | <b>Project</b>             | <b>Non-Project</b> |                   |
|               | 3.0%                 | 1.6%               |                   | 15.0%                  | 77.7%               |                    | 1.0%                   | 0.5%               |                  | 1.0%                       | 0.2%               |                   |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 7.6.3 Route to Market - Consolidated View : Shower Accessories

DE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

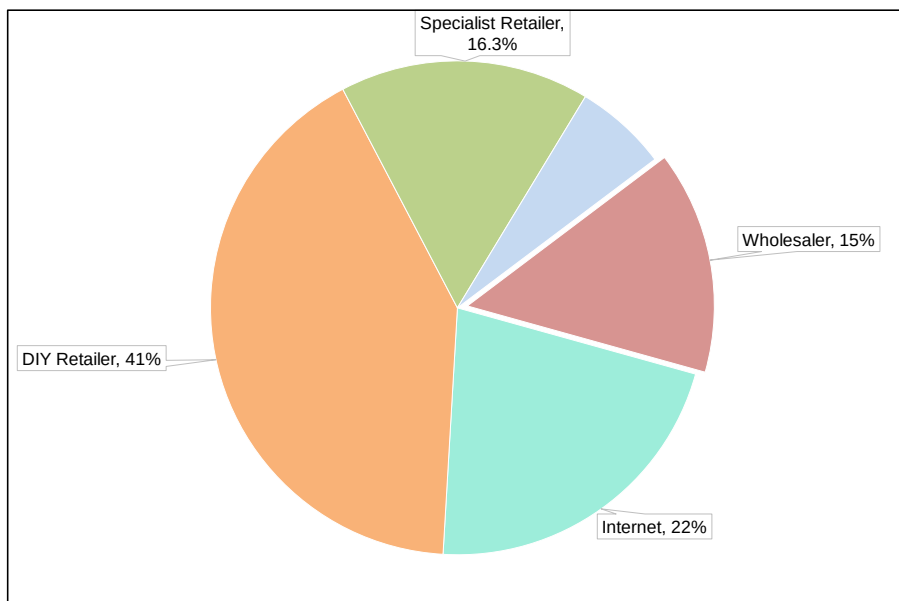
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 14.6%                           | 21.6%    | 41.4%        | 16.3%               | 6.1%    | 17.0%       | 2.2%            | 80.1%       | 0.7%            |
| 100%                            |          |              |                     |         | 19.2%       |                 | 80.8%       |                 |

### 7.6.4 Route to Market - Consolidated View : Shower Accessories

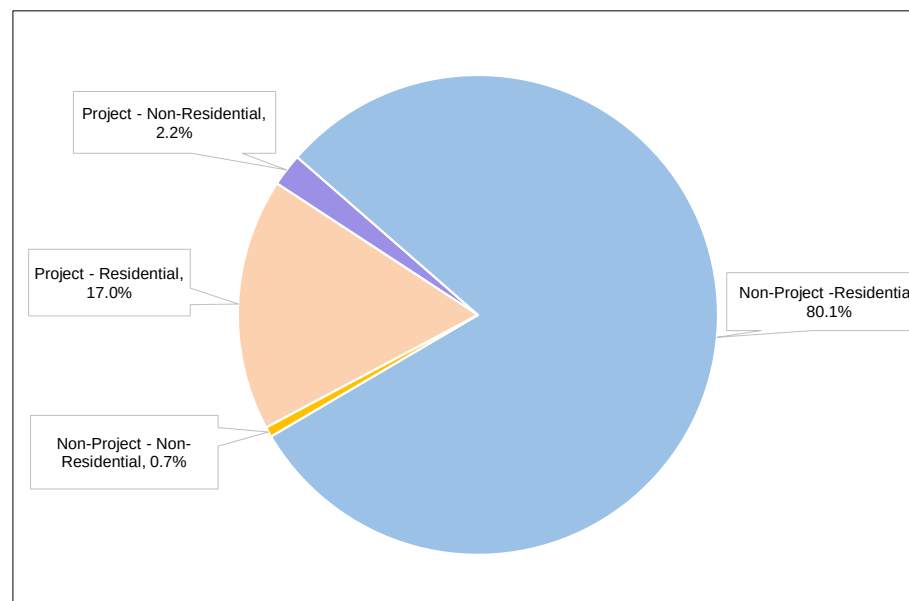
DE - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 11.0%                           | 23.0%    | 42.0%        | 16.0%               | 8.0%    | 18.0%       | 2.0%            | 79.3%       | 0.7%            |
| 100%                            |          |              |                     |         | 20.0%       |                 | 80.0%       |                 |

DE - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



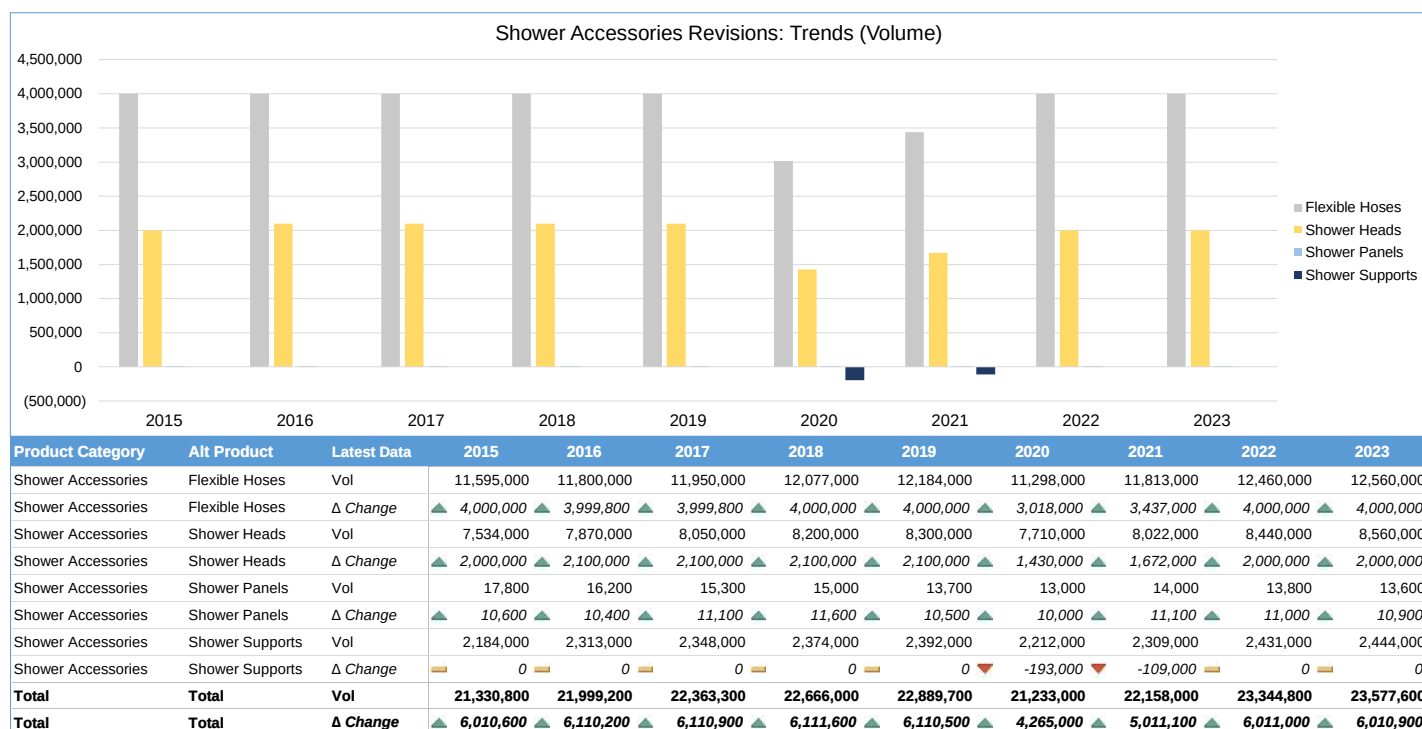
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 7.7 Revisions in the German Shower Accessories Market (April 2020)

DE - REVISIONS IN THE GERMAN SHOWER ACCESSORIES MARKET

Data Comparison: April 2019



The market volume for shower panels was revised up for all years according to a better market understanding. A new market player was identified and added to the market share table. As a result, the total value increased.

The market volume for shower heads was revised up for all years according to a better market understanding. Industry feedback suggested that the replacement ratio for shower heads, when compared to the number of taps and mixers for shower applications, was too low. Therefore, the market volume was increased to represent a more realistic ratio. This ratio is now more in line with other countries and likely to be more accurate.

The market volume for flexible hoses was revised up for all years according to a better market understanding. Industry feedback suggested that the replacement ratio for flexible hoses, when compared to the number of taps and mixers for shower applications, was too low. Therefore, the market volume was increased to represent a more realistic ratio. This ratio is now in line with other countries and likely to be more accurate.

At the same time, MSP of shower panels was significantly revised down for all years. A new market player was identified, who is clearly the market leader and mainly active in the economy/lower price segment. Therefore, the overall MSP significantly declined in accordance with a much larger share of the lower price segment.

The MSP of shower supports and flexible hoses was slightly revised down for the same reason that a new market player with a significant share was added. This resulted in a higher share of the lower price segment as previously estimated.

# GERMANY

## KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS





### **Market Characteristics and Technological Trends**

Sales of kitchen sinks are highly related to the overall kitchen market, as sinks are often bought as part of a new kitchen rather than as a single replacement item. Kitchens in Germany are mostly equipped with stainless steel sinks, synthetic kitchen sinks or ceramic kitchen sinks, in that order. The average kitchen in Germany is replaced every 20 years, which indicates the long lifespan of kitchen sinks. Kitchen taps and mixers are correlated less with the overall kitchen market, as these have a shorter average lifespan.

Synthetic sinks, in particular composite sinks, have gained in popularity over the last few years, especially in the DIY segment. Synthetic sinks were fashionable in the 1980s and early 1990s. After this peak, they suffered from image problems regarding the durability of the material. An improvement in the materials of composite kitchen sinks, led to better quality. Manufacturers were again able to compete with stainless steel kitchen sinks. The new type of materials made the surface more durable, easy to clean and water resistant to prevent stains. Nevertheless, stainless steel sinks still remain dominant on the German market as end users perceive these models to be the most appropriate material for a kitchen sink, in a private and commercial kitchen. The market consists largely of inset sinks that remain the most cost-efficient option, being highly durable, lightweight, having the widest scope in terms of design, and due to their simple installation.

The ceramic kitchen sink market is a niche market, accounting for the residual share of the total market. It is a high-quality market and sinks are made with vitreous china, an enamel coating to make the ceramic tougher, denser and shinier. Ceramic kitchen sinks are restricted in terms of volume, due to their look and price. The revival of the synthetic kitchen sink market brought back a wider variety of colours. Currently, black is the colour in the highest demand, especially when the sink is positioned next to CERAN cooktops, which are black, too. Other preferred colours are white, grey and, increasingly, beige. Some manufacturers are also trying bold colours such as pink, green and light blue, in line with having coloured cupboard units, fridges and kitchen appliances. However, demand is limited and German end users prefer classic colours.

In terms of innovations in the shape of the sinks, a few new models have been adapted to modern needs, such as small sinks, because of the increasing number of single households. In recent years, German end users have been spending more money for kitchen sinks. The reason is that the kitchen has gained importance as a living space. Having a modern and sophisticated kitchen is perceived to be a status symbol. Backed up by Germany's positive economic climate, Germans are investing more into a modern kitchen. The kitchen is turning into a sociable living space away from a merely functional room. End users are looking for products that contribute to an enhanced living standard to meet their individual needs.

## **Recent Market Trends**

In 2019, sales of all types of kitchen sinks increased in terms of volume due to stronger demand from new housing. Synthetic kitchen sinks saw the biggest growth volume-wise and demand for this product continued to be strongest the second year in a row. Sales of stainless steel kitchen sinks account for over half of all sink sales. Stainless products saw the second strongest growth after synthetic sinks in terms of volume. Stainless steel sinks generate the highest volume on the market, whereas synthetic sinks are the fastest growing type of sinks. Since kitchen sinks are mainly sold together with a new kitchen through specialist kitchen stores and furniture shops, the dependency on professional installers is less when compared to most bathroom products. Hence, the installation of kitchen sinks is not hampered by a shortage of professionals. Demand for ceramic sinks slightly increased, while demand for enamelled steel kitchen sinks marginally declined. These two products are a niche and their sales account for a very residual share of the market. In total, sales of overall kitchen sinks in 2019 increased slightly in volume terms when compared to 2018.

The construction boom in Germany has been on a high level and end users have been exposed to long waiting time, sometimes up to one year, to get a new bathroom installed. This situation benefits demand for new kitchens as end users in need of a new kitchen and bathroom would renovate their kitchen first. Most kitchen sinks in Germany have a one bowl configuration, followed by a 1.5 bowl. Although slightly increasing in share, two bowl configurations are rare. 1.5 bowl configurations are becoming increasingly popular and end users are willing to pay more for this product. When looking at the installation type, inset is by far dominating, only losing to undermount, which is slightly gaining share. Undermount kitchen sinks are becoming more popular due to aesthetic reasons. Nevertheless, it remains a niche as it can only be installed with certain countertops and the supply is limited.

## **Prices and Market Values**

In 2019, average prices for all types of kitchen sinks, at manufacturer level, increased to compensate for inflation and higher production costs. At the same time, German end users increasingly invest more money for a new kitchen and are looking for high-quality products. This trend affects the upper/luxury price segments of ceramic, stainless steel, and synthetic kitchen sinks, all of which had slightly grown in share in 2019 when compared to the previous year. Moreover, the overall market is on a relatively high price level when compared to Germany's neighbouring countries.

The increasing popularity of the Internet used as a purchasing channel, and an easy way to compare prices and models prior to buying decisions, further benefits German end users by making the market more transparent. However, sinks are rarely bought online on their own. Instead, they are an important aspect of a kitchen, which requires prior planning and consultation with specialist stores.

Therefore, the choice for a kitchen sink is more determined by its fit to a kitchen design than by its price.

### New Housing

Like the previous year, Germany's new housing segment increased and had a strong positive impact on new build demand for kitchen sinks. The kitchen sink market is closely connected to overall new housing completions, as every household requires one kitchen sink and, in some cases, more than one is installed in the same dwelling. This, however, is more likely to be in large houses rather than apartments. The rise of the residential new construction segment positively influenced sales of all kitchen sink types in Germany in 2019. Stainless steel kitchen sinks, especially in the upper price range, continued to gain importance, and so did synthetic kitchen sinks. The strong increase of new completions compensated for declining share of ceramic kitchen sinks and enamelled kitchen sinks, for which sales slightly increased in 2019. Stainless steel sinks are chosen for their long lifespan compared to ceramic. Synthetic sinks are preferred since limescale stains do not show easily when compared to stainless steel sinks. Moreover, synthetic sinks have further advantages such as an abundance of shapes and colours and being scratch-resistant. Most ceramic kitchen sinks are found in upper market segments.

### Housing RMI

The amount of kitchen sinks that were installed when replacing an existing kitchen remained on a positive level in 2019 when compared to the previous year. Additional replacement demand might be triggered due to the long waiting listings for bathroom renovations. Moreover, economic conditions have been favourable and homeowners willing to invest in their premises. A closer look at the material shows that RMI demand for all types of kitchen sinks, except for enamelled steel sinks, slightly increased. Although synthetic kitchen sinks are gaining market share, stainless kitchen sinks generate the largest volumes in this segment. The reason is that like-for-like replacement are likely to happen with the same type of material. Stainless kitchen sinks within the price entry level are more common and end users looking for a cheap replacement are likely to choose a stainless-steel product. Also, consumers are more likely to upgrade to a synthetic kitchen sink, when buying a whole new kitchen. In this case, they want to try a new material based on recommendations and out of interest for something different.

Overall, no major changes have characterised the kitchen sinks product mix. Stainless steel sinks remain the most popular product also in this segment, followed by synthetic sinks. Sales of stainless-steel sinks slightly increased, although some were substituted with synthetic kitchen sinks. Although synthetic products are not cheaper in the price entry segment, they are offered in multiple designs and colours. Stainless steel sinks are regarded to be a traditional product and end users, who are looking for something new, are more likely to choose a synthetic sink. This is particularly the case when a new kitchen is installed.

## Non-Housing

Demand from the non-housing construction and RMI output was positive in 2019 and resulted in increased demand for kitchen sinks. The medium to long-term outlook for this segment is positive, as sales to non-residential buildings are expected to remain on a stable level, after the recovery from the COVID-19 crisis. The kitchen sinks non-residential segment is mainly represented by restaurants, bars, hotels and, in a minor part, by hospitals and offices. In this segment, as in the overall market, stainless steel is the dominant product.

## Supply Structure

Most kitchen sinks in Germany are sold through specialised kitchen retailers, which either source the full kitchen, including the sink, from the kitchen manufacturer or, alternatively, they source just the kitchen without the sink and they pick a suitable one directly from a manufacturer. Either way, the kitchen sink is likely to be sold together with a predesigned and planned kitchen. Examples of specialist kitchen retailers are MUSTERHAUS KÜCHEN FACHGESCHÄFT, which is part of the MHK GROUP, and PLANA, which has more than 40 kitchen stores located in Southwest Germany. Another international player that needs to be mentioned is IKEA, which also offers planning and installation of tailor-made kitchens. In recent years, IKEA has experienced significant growth and it is estimated that its share is growing quickly.

The distribution landscape of kitchen sinks is diverse with few national and many strong regional players. Specialist retailers usually have their own team of installers. The supply structure on the German kitchen sink market remained stable in 2019. Supply of ceramic sinks is dominated by German manufacturers with high quality products. In contrast, there are only a few foreign players that are active in the market. The synthetic kitchen sink market is more diverse with German and foreign market players. The two main manufacturers, BLANCO and FRANKE, have together more than 40% of the total synthetic sink market share. Moreover, these two manufacturers have more than 70% of the total stainless-steel kitchen sink market share. They cover the whole price range of kitchen sinks.

The market of ceramic kitchen sinks is dominated by VILLEROY & BOCH, while enamelled is almost only produced by RIEBER. In the leading product materials, stainless steel and synthetic, the top three manufacturers are FRANKE, BLANCO and RIEBER. In mid-2017 HANS GROHE introduced stainless steel and synthetic kitchen sinks to their portfolio. The expert for taps and mixers decided to produce kitchen sinks to sell them in a bundle with their own kitchen taps and mixers.

## Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

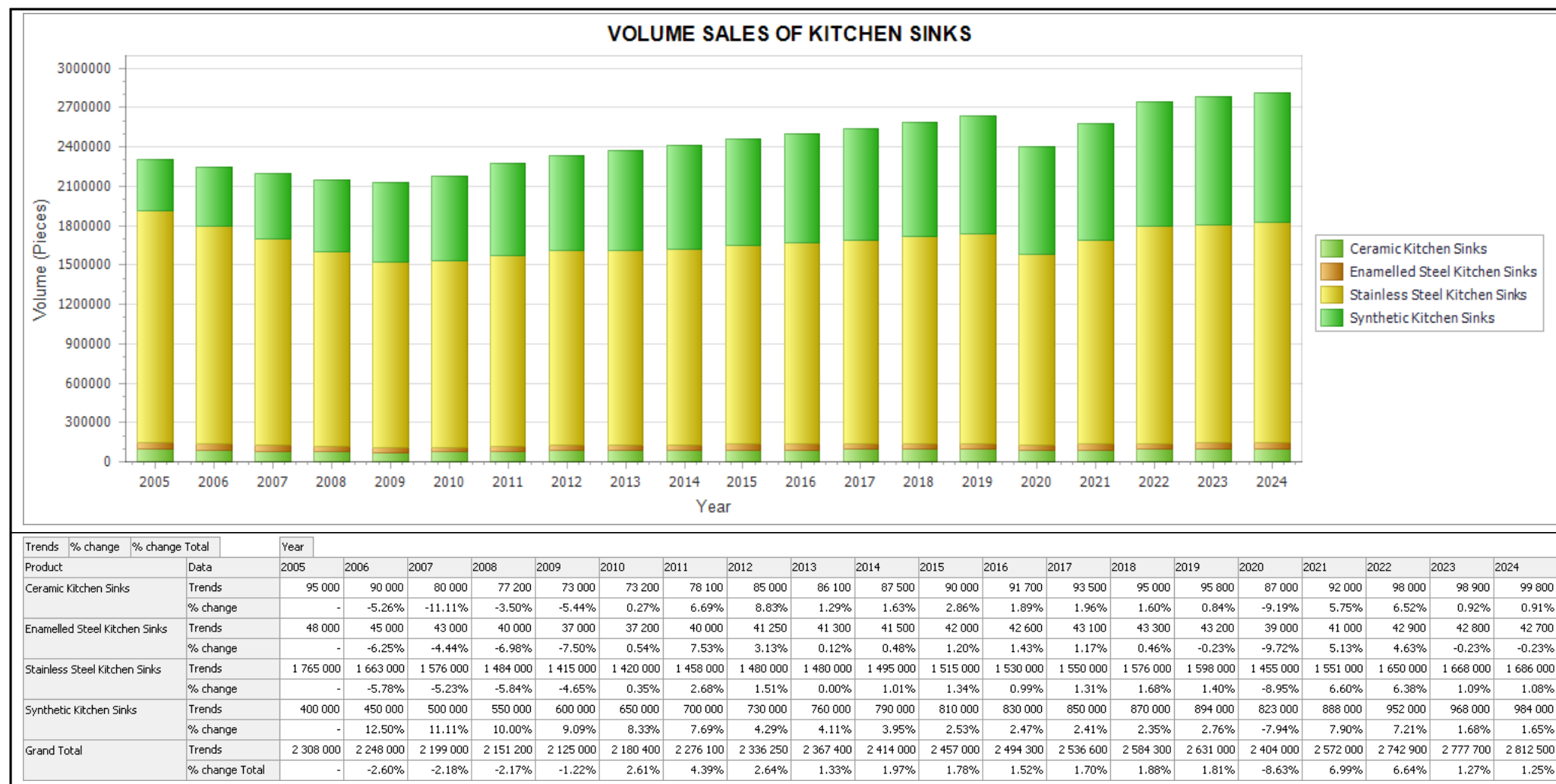
attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Apart from the strong dip in 2020 due to the COVID-19 crisis, the outlook for kitchen sinks is positive. In 2021 and 2022 demand is expected to recover quickly. From 2023 the growth rate is expected to stabilise with a slightly growth at the end of the forecast period. Demand is believed to remain high from new housing constructions, as well as from non-housing and RMI activities. The construction industry is likely to return to a peaking level after 2020 and growth is expected during the forecast period. With every new residential building demand is created for a new kitchen sink. New build is expected to grow throughout the forecast period, except for the year 2020.

The replacement segment is responsible for most kitchen sink sales. Demand from renovations is expected to remain positive with a significant growth rate in 2021 and 2022, before slowing down towards the end of the forecast period. The strongest growth rate is expected from new housing completions, which, however, is likely to decrease on a yearly basis as the construction industry has reached its capacity limits. Overall, it is expected that demand for kitchen sinks is likely to grow over the forecast period. The average lifespan of a kitchen sink is around 20 years. In most cases it is replaced together with a new kitchen. Houses built during the construction boom, which ended around 1996, are still likely to be refurbished during the coming years.

## 8.2 Historical Trends and Forecasts : Kitchen Sinks

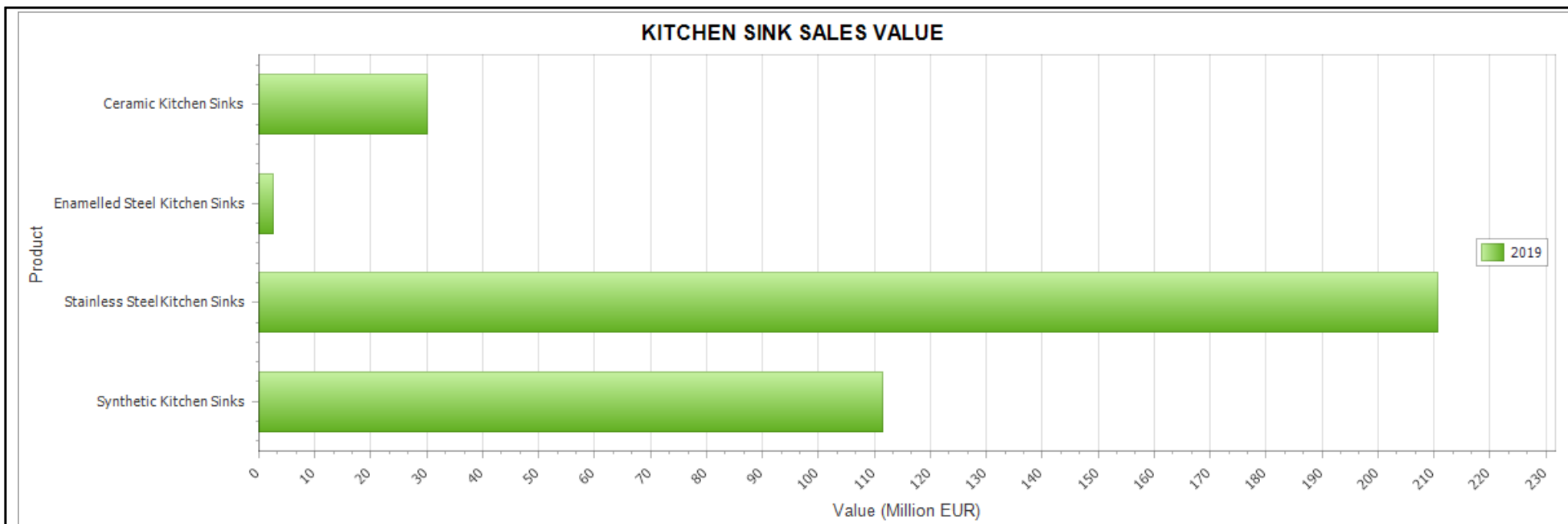
### DE - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

### 8.3.1 Prices and Market Values : Kitchen Sinks

DE - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

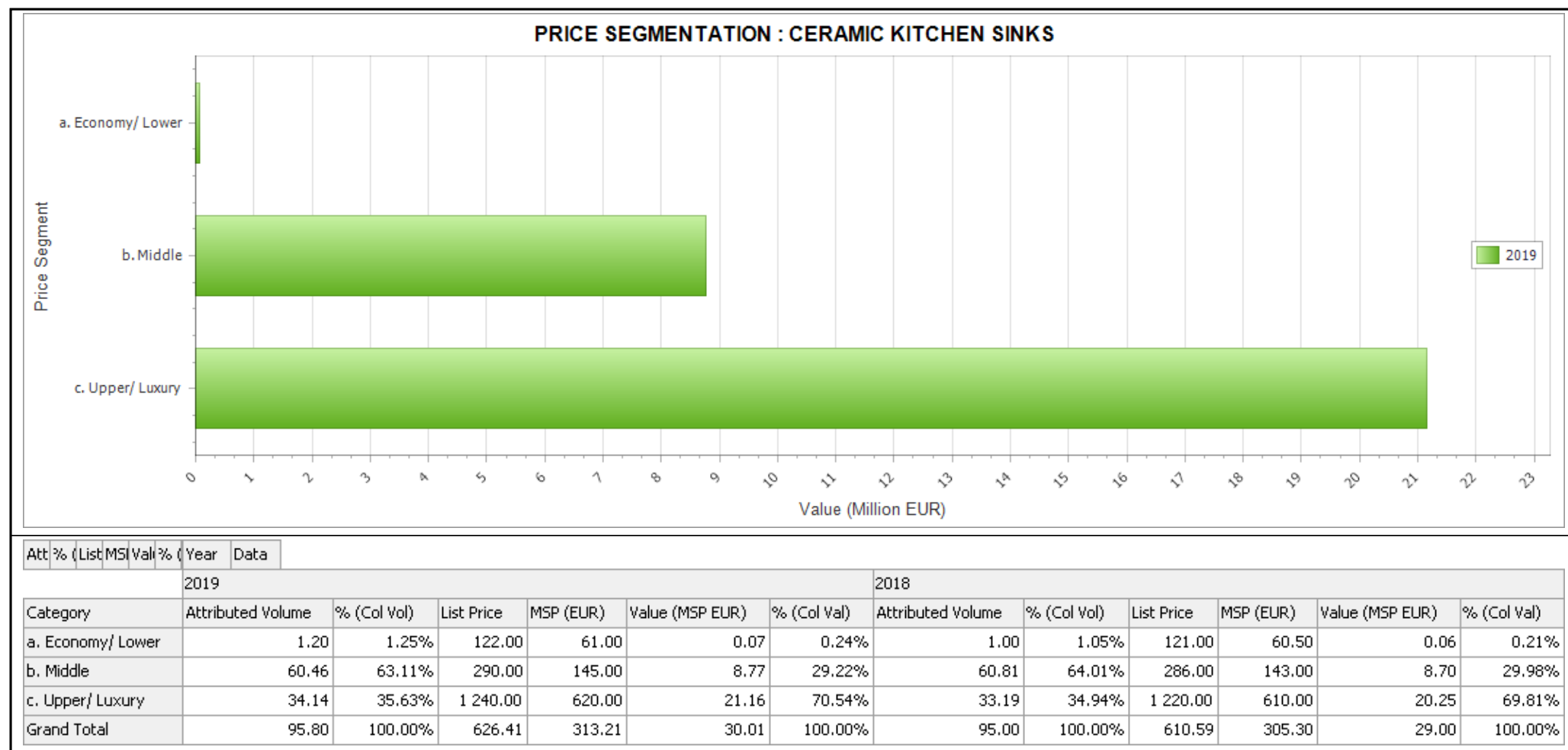


| Volumes                       | MSP (EUR) | Value (MSP) | Year            | Data      |           |                 |      |
|-------------------------------|-----------|-------------|-----------------|-----------|-----------|-----------------|------|
|                               |           |             | 2019            |           |           |                 | 2018 |
| Product                       | Volumes   | MSP (EUR)   | Value (MSP EUR) | Volumes   | MSP (EUR) | Value (MSP EUR) |      |
| Ceramic Kitchen Sinks         | 95 800    | 313.20      | 30.00           | 95 000    | 305.30    | 29.00           |      |
| Enamelled Steel Kitchen Sinks | 43 200    | 60.58       | 2.62            | 43 300    | 59.66     | 2.58            |      |
| Stainless Steel Kitchen Sinks | 1 598 000 | 131.82      | 210.65          | 1 576 000 | 127.74    | 201.32          |      |
| Synthetic Kitchen Sinks       | 894 000   | 124.56      | 111.36          | 870 000   | 122.01    | 106.15          |      |
| Grand Total                   | 2 631 000 | 134.79      | 354.63          | 2 584 300 | 131.20    | 339.05          |      |

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 8.3.2 Price Segmentation : Ceramic Kitchen Sinks

DE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS



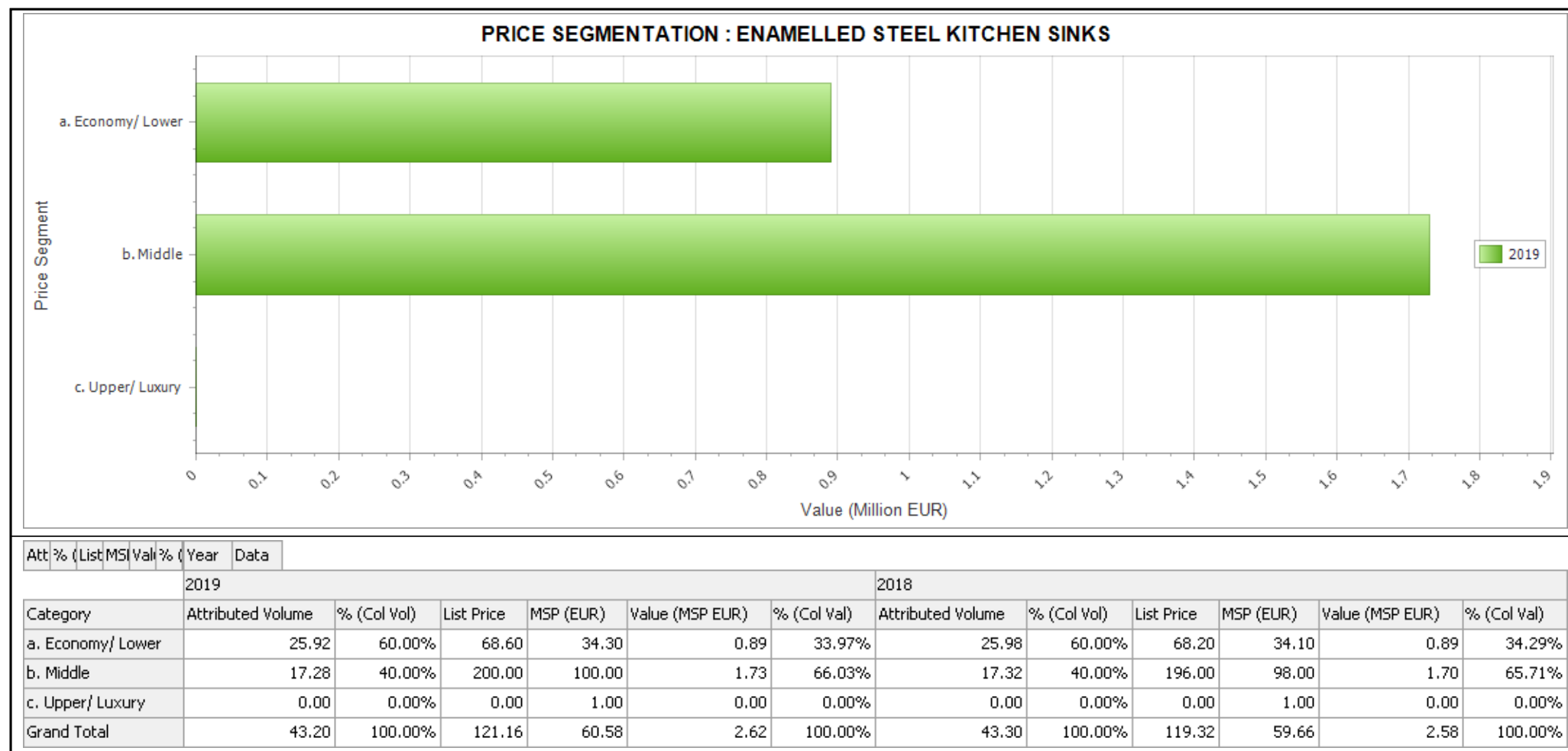
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200



### 8.3.3 Price Segmentation : Enamelled Steel Kitchen Sinks

DE - ESTIMATED PRICE SEGMENTATION FOR ENAMELLED STEEL KITCHEN SINKS

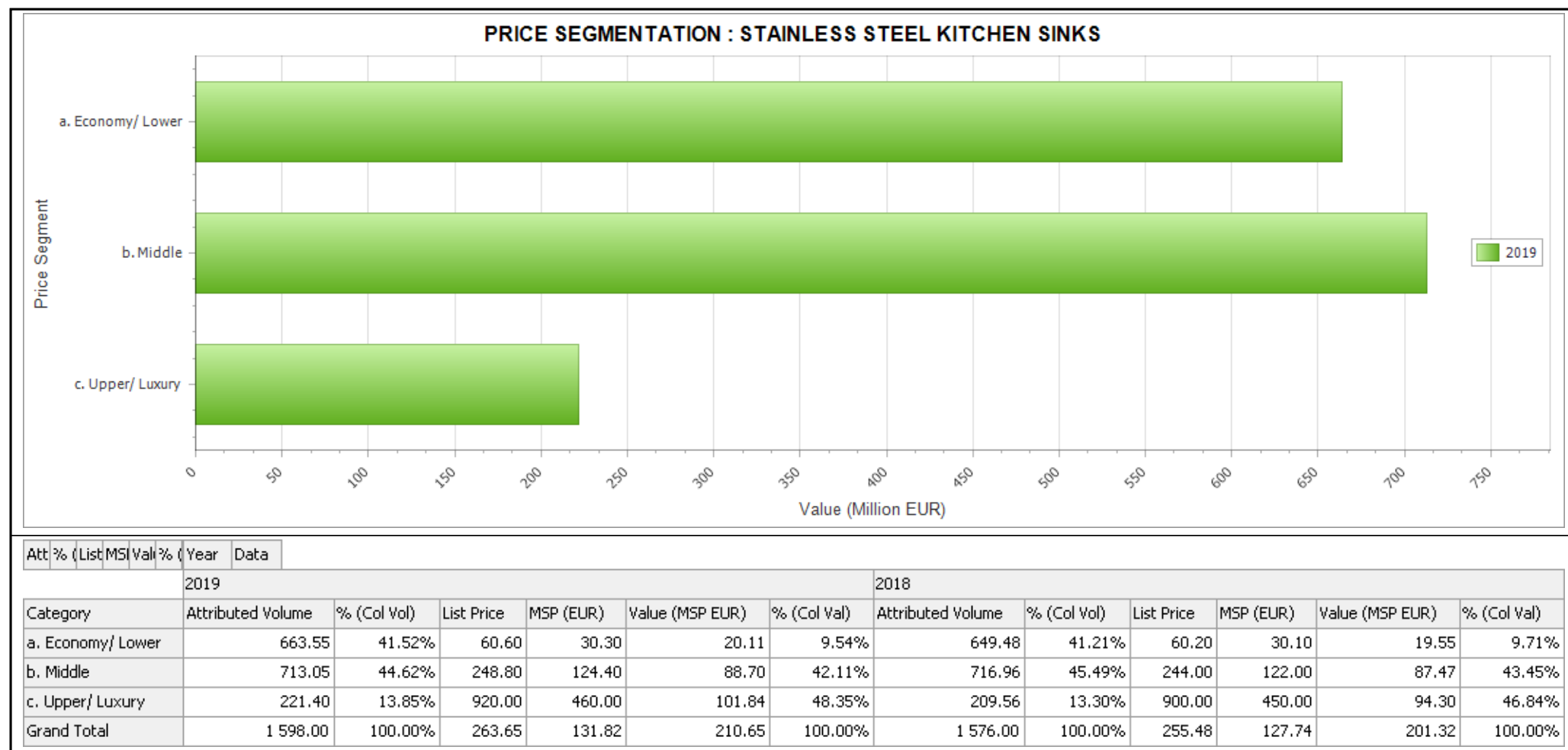


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

### 8.3.4 Price Segmentation : Stainless Steel Kitchen Sinks

DE - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

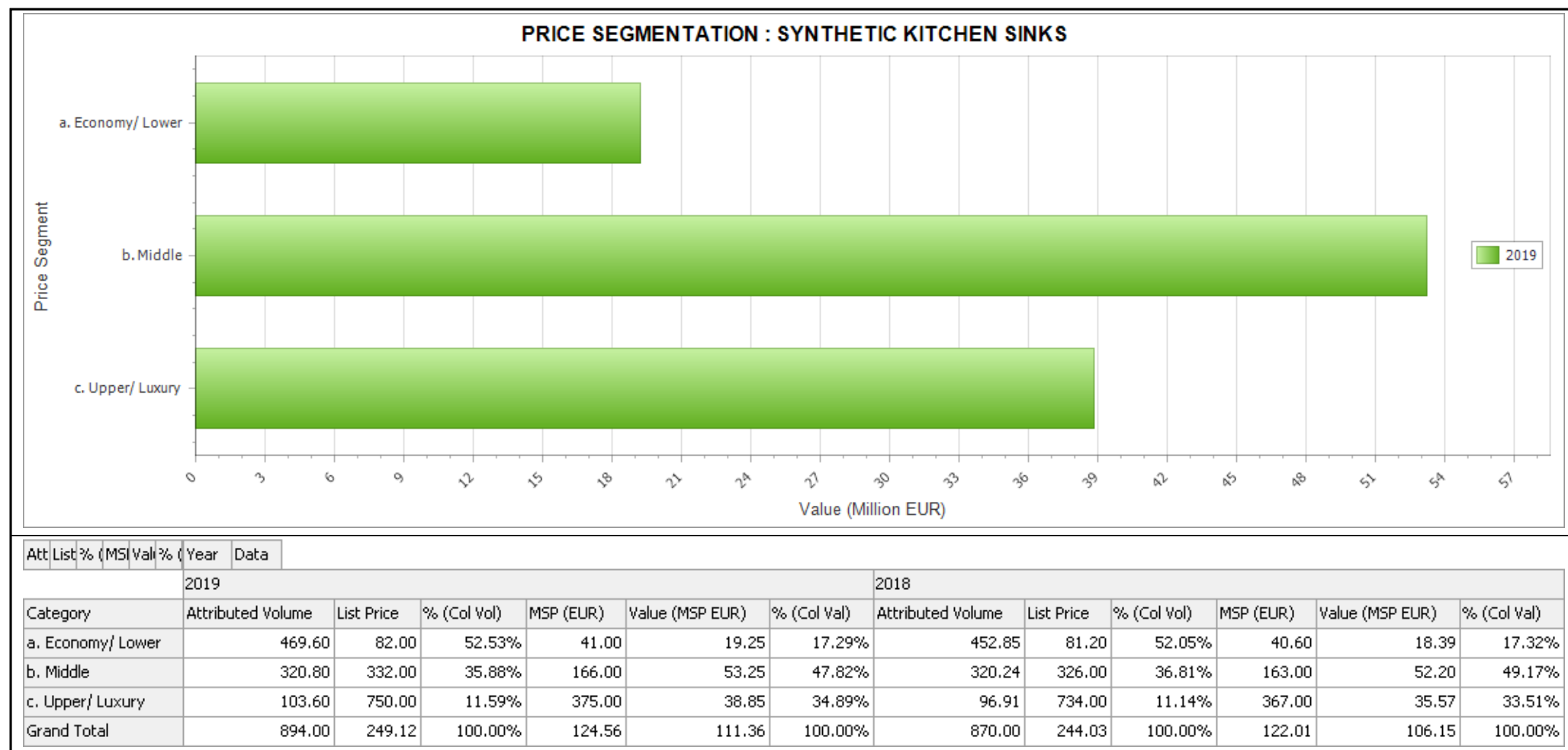


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

### 8.3.5 Price Segmentation : Synthetic Kitchen Sinks

#### DE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

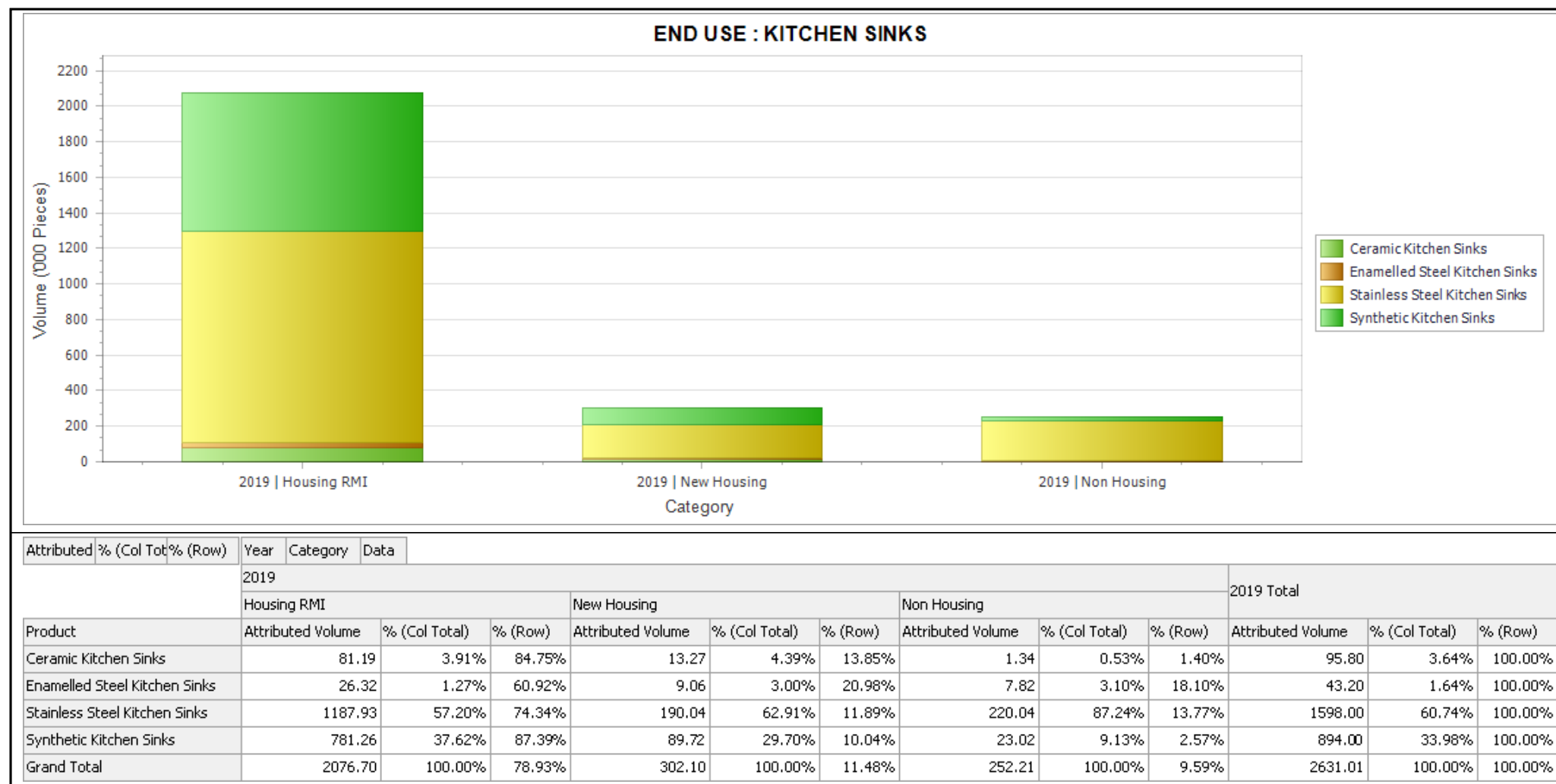


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

#### 8.4.1 End Use : Base Year

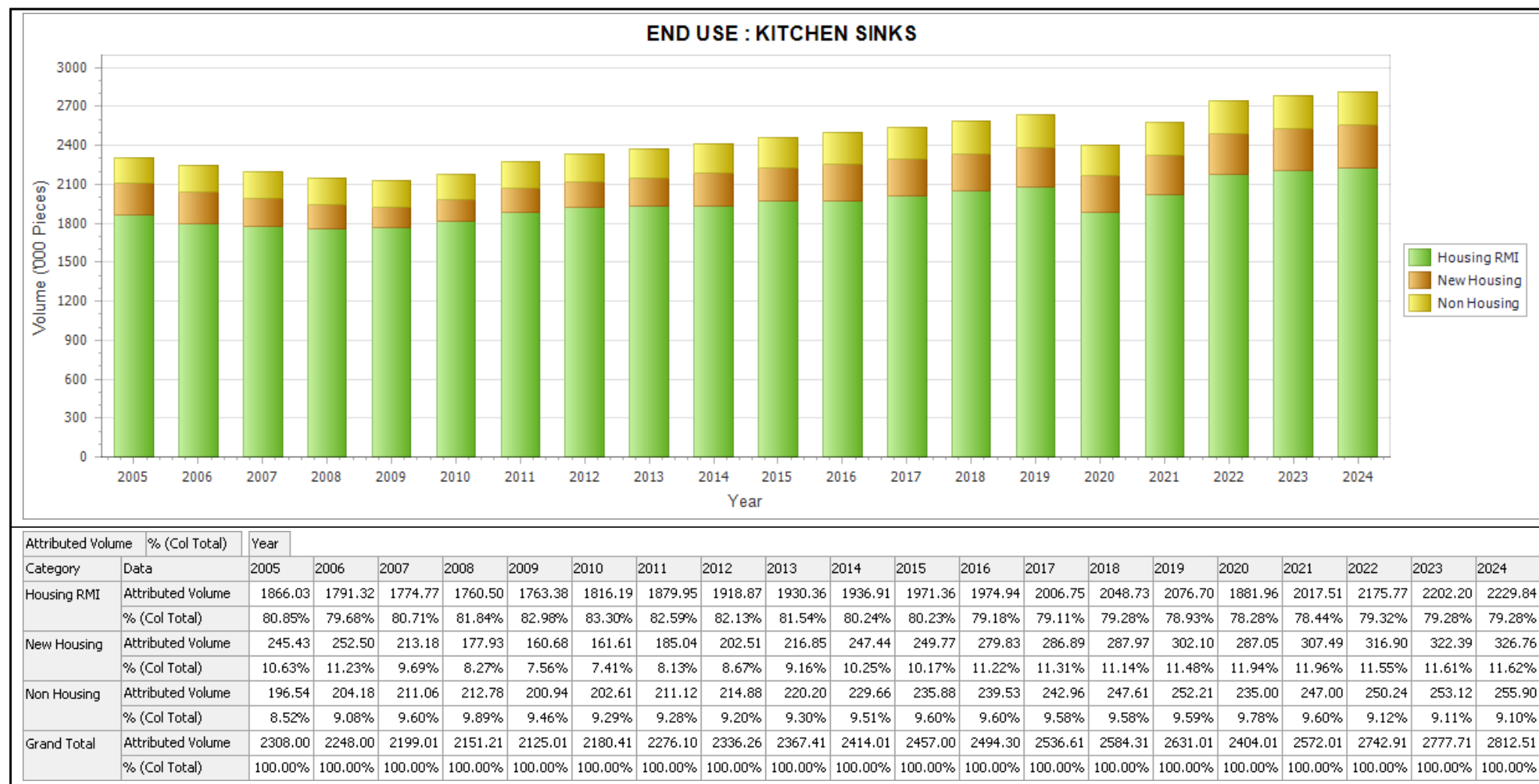
DE - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 8.4.2 End Use : Historical and Forecasts

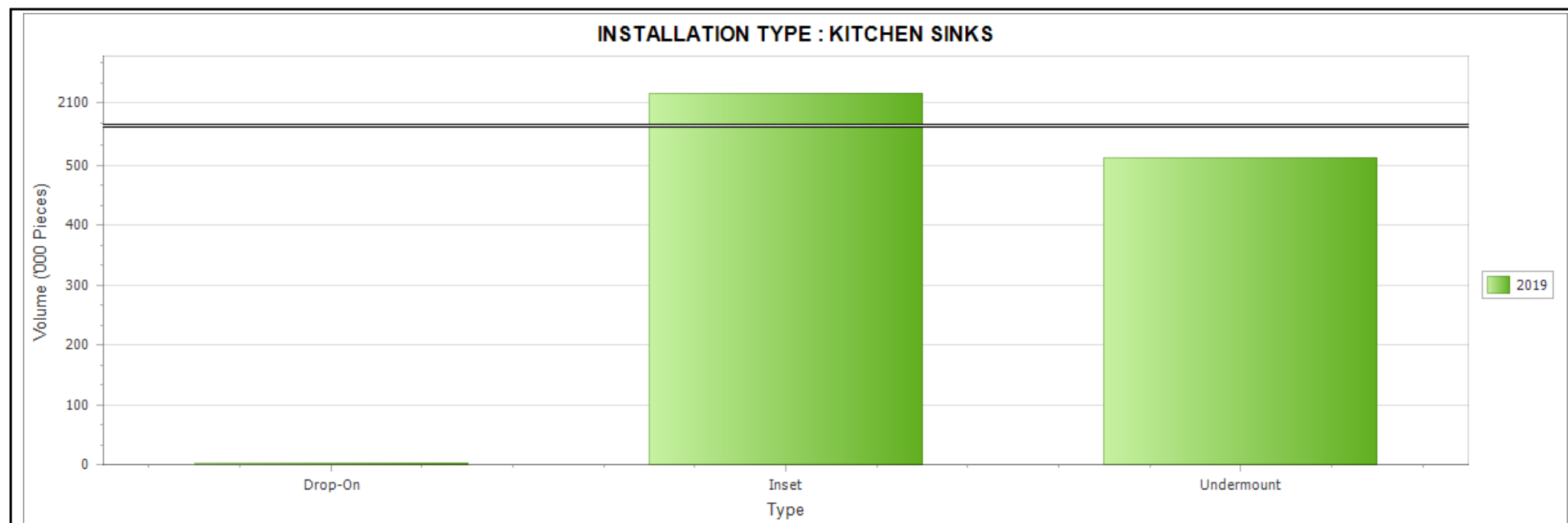
DE - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 8.4.3 Sales by Type of Installation : Kitchen Sinks

DE - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)

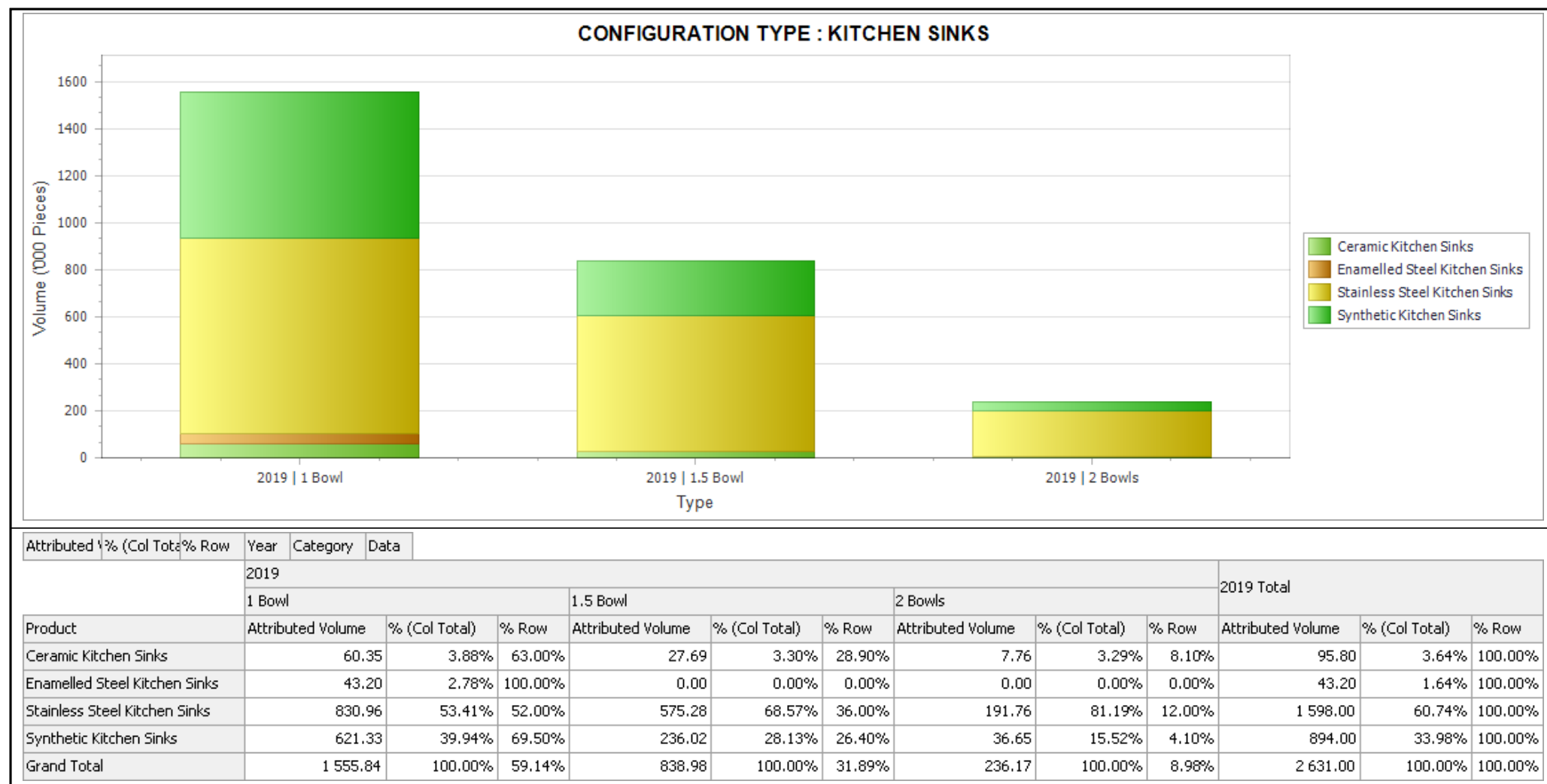


| Attributed                    | % (Col Vol)       | % Row       | Year    | Category          | Data        |         |                   |             |            |                   |             |            |  |  |
|-------------------------------|-------------------|-------------|---------|-------------------|-------------|---------|-------------------|-------------|------------|-------------------|-------------|------------|--|--|
|                               |                   |             | 2019    |                   |             |         |                   |             |            |                   |             | 2019 Total |  |  |
|                               |                   |             | Drop-On |                   |             | Inset   |                   |             | Undermount |                   |             |            |  |  |
| Product                       | Attributed Volume | % (Col Vol) | % Row   | Attributed Volume | % (Col Vol) | % Row   | Attributed Volume | % (Col Vol) | % Row      | Attributed Volume | % (Col Vol) | % Row      |  |  |
| Ceramic Kitchen Sinks         | 2.87              | 100.00%     | 3.00%   | 77.60             | 3.67%       | 81.00%  | 15.33             | 2.99%       | 16.00%     | 95.80             | 3.64%       | 100.00%    |  |  |
| Enamelled Steel Kitchen Sinks | 0.00              | 0.00%       | 0.00%   | 43.20             | 2.04%       | 100.00% | 0.00              | 0.00%       | 0.00%      | 43.20             | 1.64%       | 100.00%    |  |  |
| Stainless Steel Kitchen Sinks | 0.00              | 0.00%       | 0.00%   | 1 342.32          | 63.44%      | 84.00%  | 255.68            | 49.90%      | 16.00%     | 1 598.00          | 60.74%      | 100.00%    |  |  |
| Synthetic Kitchen Sinks       | 0.00              | 0.00%       | 0.00%   | 652.62            | 30.85%      | 73.00%  | 241.38            | 47.11%      | 27.00%     | 894.00            | 33.98%      | 100.00%    |  |  |
| Grand Total                   | 2.87              | 100.00%     | 0.11%   | 2 115.74          | 100.00%     | 80.42%  | 512.39            | 100.00%     | 19.48%     | 2 631.00          | 100.00%     | 100.00%    |  |  |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

#### 8.4.4 Sales by Type of Configuration : Kitchen Sinks

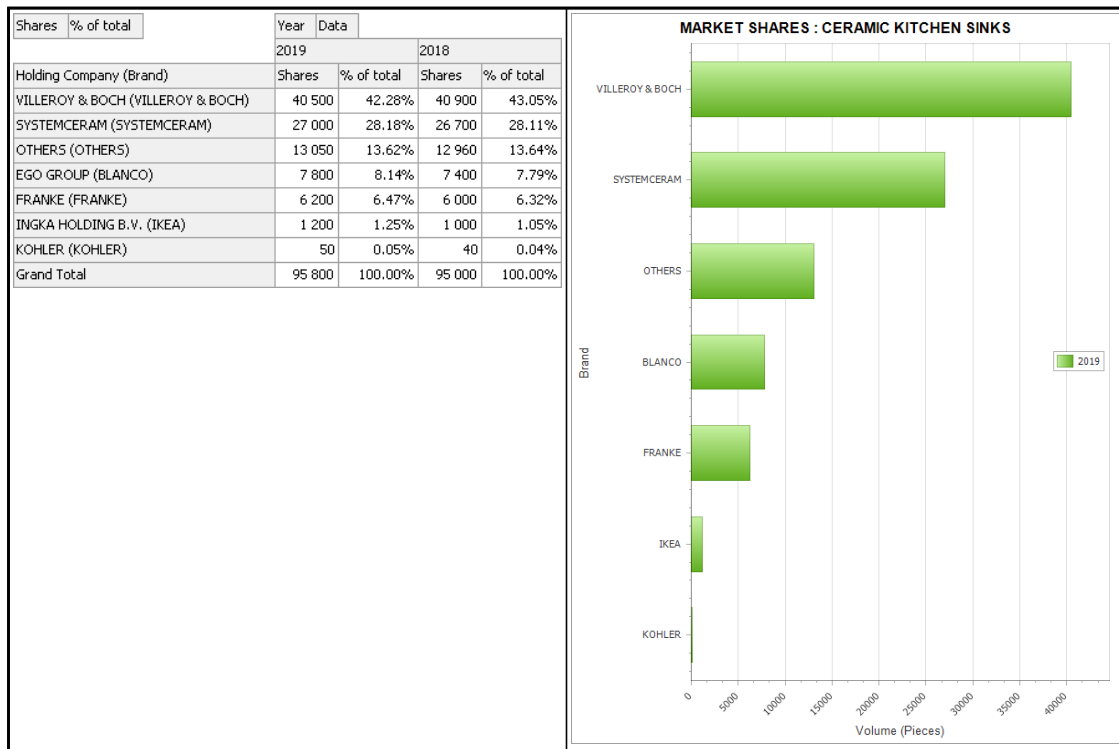
DE - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

### 8.5.1 Market Shares : Ceramic Kitchen Sinks

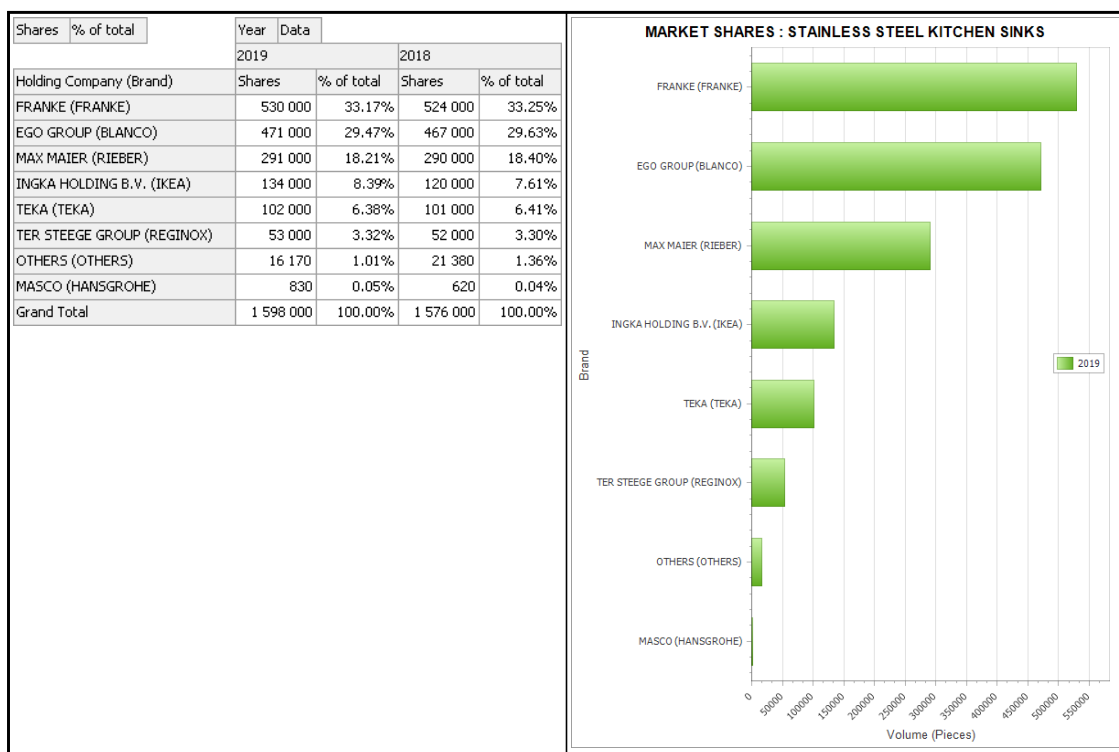
#### DE - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

### 8.5.2 Market Shares : Stainless Steel Kitchen Sinks

#### DE - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS

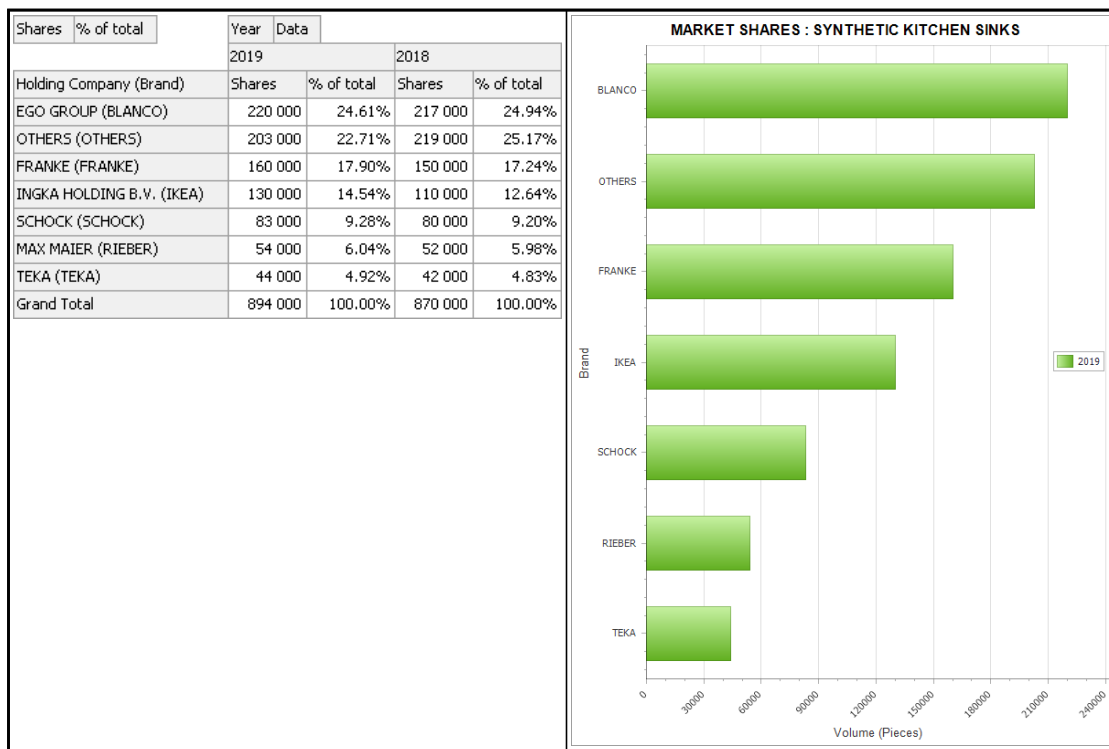


Source: BRG based on industry interviews.



### 8.5.3 Market Shares : Synthetic Sinks

#### DE - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2019

Manufacturer / Importer

| Manufacturers / Importers |
|---------------------------|
| 100.0%                    |

| 31.3%                 |
|-----------------------|
| Worktop Manufacturers |
| 31.3%                 |

Wholesale Level

| Manufacturers           | Worktop Manufacturer |
|-------------------------|----------------------|
| 20.4%                   | 5.0%                 |
| Wholesalers / Merchants |                      |
| 25.4%                   |                      |

Retail Level

| Manufacturer       | Worktop Manufacturer | Wholesaler |
|--------------------|----------------------|------------|
| 4.6%               | 1.4%                 | 1.1%       |
| Internet Retailers |                      |            |
| 7.1%               |                      |            |

| Manufacturer  | Worktop Manufacturer | Wholesaler |
|---------------|----------------------|------------|
| 10.2%         | 0.0%                 | 6.2%       |
| DIY Retailers |                      |            |
| 16.4%         |                      |            |

| Manufacturer         | Worktop Manufacturer | Wholesaler |
|----------------------|----------------------|------------|
| 28.2%                | 13.5%                | 5.0%       |
| Specialist Retailers |                      |            |
| 46.7%                |                      |            |

| Manufacturer | Worktop Manufacturer | Wholesaler | Internet | DIY  | Specialist |
|--------------|----------------------|------------|----------|------|------------|
| 5.3%         | 9.1%                 | 10.2%      | 0.0%     | 0.0% | 0.7%       |
| Installers   |                      |            |          |      |            |
| 25.3%        |                      |            |          |      |            |

End Use Level

| Manufacturer    | Worktop Manufacturer | Wholesaler  | Internet | DIY     | Specialist | Installer   |
|-----------------|----------------------|-------------|----------|---------|------------|-------------|
| 0.0%            | 0.0%                 | 0.0%        | 6.6%     | 16.4%   | 44.0%      | 23.4%       |
| Residential     |                      |             |          |         |            |             |
| 90.4%           |                      |             |          |         |            |             |
| New Build       |                      |             |          |         |            |             |
| 11.5%           |                      |             |          |         |            |             |
| Residential RMI |                      |             |          |         |            |             |
| 78.9%           |                      |             |          |         |            |             |
| Project         |                      | Non-Project |          | Project |            | Non-Project |
| 4.2%            |                      | 7.3%        |          | 9.0%    |            | 69.9%       |

| Manufacturer        | Worktop Manufacturer | Wholesaler  | Internet | DIY     | Specialist | Installer   |
|---------------------|----------------------|-------------|----------|---------|------------|-------------|
| 0.0%                | 2.3%                 | 2.9%        | 0.5%     | 0.0%    | 2.0%       | 1.9%        |
| Non-Residential     |                      |             |          |         |            |             |
| 9.6%                |                      |             |          |         |            |             |
| New Build           |                      |             |          |         |            |             |
| 3.5%                |                      |             |          |         |            |             |
| Non-Residential RMI |                      |             |          |         |            |             |
| 6.1%                |                      |             |          |         |            |             |
| Project             |                      | Non-Project |          | Project |            | Non-Project |
| 2.2%                |                      | 1.3%        |          | 3.0%    |            | 3.1%        |

8.6.2

Route to Market: Kitchen Sinks  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2024

Manufacturer / Importer

| Manufacturers / Importers |
|---------------------------|
| 100.0%                    |

| 32.0%                 |
|-----------------------|
| Worktop Manufacturers |
| 32.0%                 |

Wholesale Level

| Manufacturers           | Worktop Manufacturer |
|-------------------------|----------------------|
| 20.0%                   | 5.0%                 |
| Wholesalers / Merchants |                      |
| 25.0%                   |                      |

| Manufacturer       | Worktop Manufacturer | Wholesaler |
|--------------------|----------------------|------------|
| 5.0%               | 2.0%                 | 1.5%       |
| Internet Retailers |                      |            |
| 8.5%               |                      |            |

| Manufacturer  | Worktop Manufacturer | Wholesaler |
|---------------|----------------------|------------|
| 10.3%         | 0.0%                 | 6.3%       |
| DIY Retailers |                      |            |
| 16.6%         |                      |            |

| Manufacturer         | Worktop Manufacturer | Wholesaler |
|----------------------|----------------------|------------|
| 29.0%                | 14.0%                | 5.0%       |
| Specialist Retailers |                      |            |
| 48.0%                |                      |            |

| Manufacturer | Worktop Manufacturer | Wholesaler | Internet | DIY  | Specialist |
|--------------|----------------------|------------|----------|------|------------|
| 3.7%         | 9.0%                 | 10.0%      | 0.0%     | 0.0% | 1.0%       |
| Installers   |                      |            |          |      |            |
| 23.7%        |                      |            |          |      |            |

End Use Level

| Manufacturer    | Worktop Manufacturer | Wholesaler  | Internet | DIY     | Specialist | Installer   |
|-----------------|----------------------|-------------|----------|---------|------------|-------------|
| 0.0%            | 0.0%                 | 0.0%        | 7.6%     | 16.6%   | 45.0%      | 21.7%       |
| Residential     |                      |             |          |         |            |             |
| 90.9%           |                      |             |          |         |            |             |
| New Build       |                      |             |          |         |            |             |
| 11.6%           |                      |             |          |         |            |             |
| Residential RMI |                      |             |          |         |            |             |
| 79.3%           |                      |             |          |         |            |             |
| Project         |                      | Non-Project |          | Project |            | Non-Project |
| 4.6%            |                      | 7.0%        |          | 10.0%   |            | 69.3%       |

| Manufacturer        | Worktop Manufacturer | Wholesaler  | Internet | DIY     | Specialist | Installer   |
|---------------------|----------------------|-------------|----------|---------|------------|-------------|
| 0.0%                | 2.0%                 | 2.2%        | 0.9%     | 0.0%    | 2.0%       | 2.0%        |
| Non-Residential     |                      |             |          |         |            |             |
| 9.1%                |                      |             |          |         |            |             |
| New Build           |                      |             |          |         |            |             |
| 4.0%                |                      |             |          |         |            |             |
| Non-Residential RMI |                      |             |          |         |            |             |
| 5.1%                |                      |             |          |         |            |             |
| Project             |                      | Non-Project |          | Project |            | Non-Project |
| 2.5%                |                      | 1.5%        |          | 3.5%    |            | 1.6%        |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

### 8.6.3 Route to Market - Consolidated View : Kitchen Sinks

DE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2019

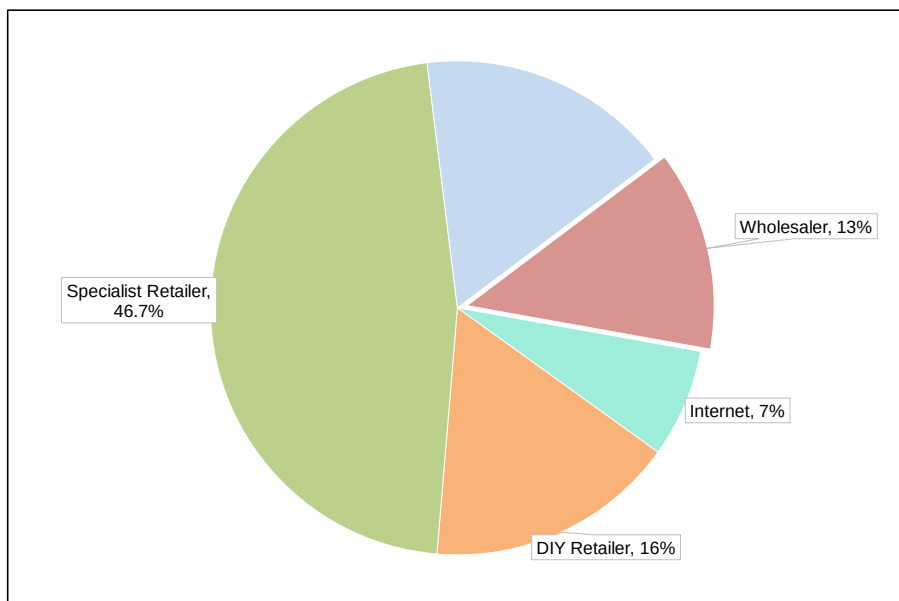
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 13.1%                           | 7.1%     | 16.4%        | 46.7%               | 16.7%   | 13.2%       | 5.2%            | 77.2%       | 4.4%            |
| 100%                            |          |              |                     |         | 18.4%       |                 | 81.6%       |                 |

### 8.6.4 Route to Market - Consolidated View : Kitchen Sinks

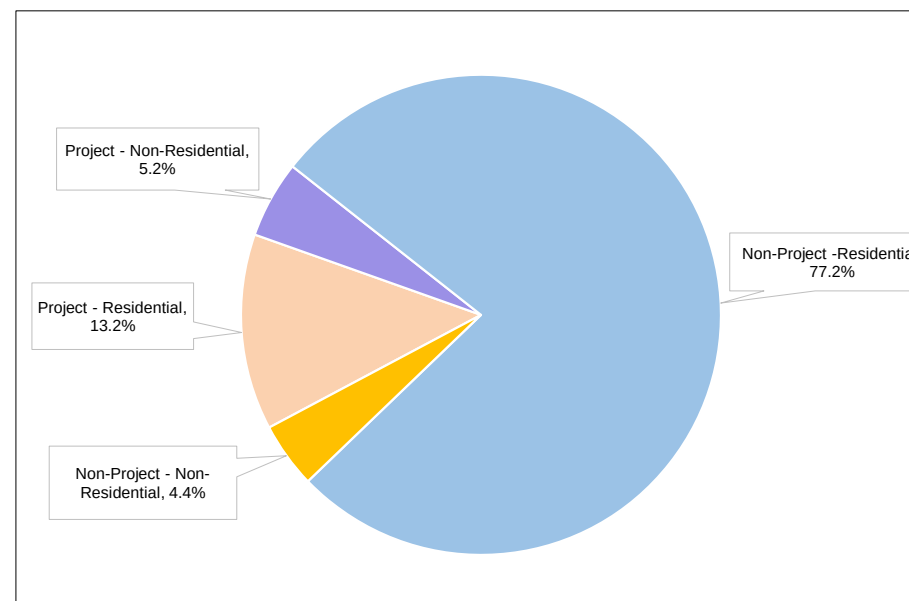
DE - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 12.2%                           | 8.5%     | 16.6%        | 48.0%               | 14.7%   | 14.6%       | 6.0%            | 76.3%       | 3.1%            |
| 100%                            |          |              |                     |         | 20.6%       |                 | 79.4%       |                 |

DE - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2019



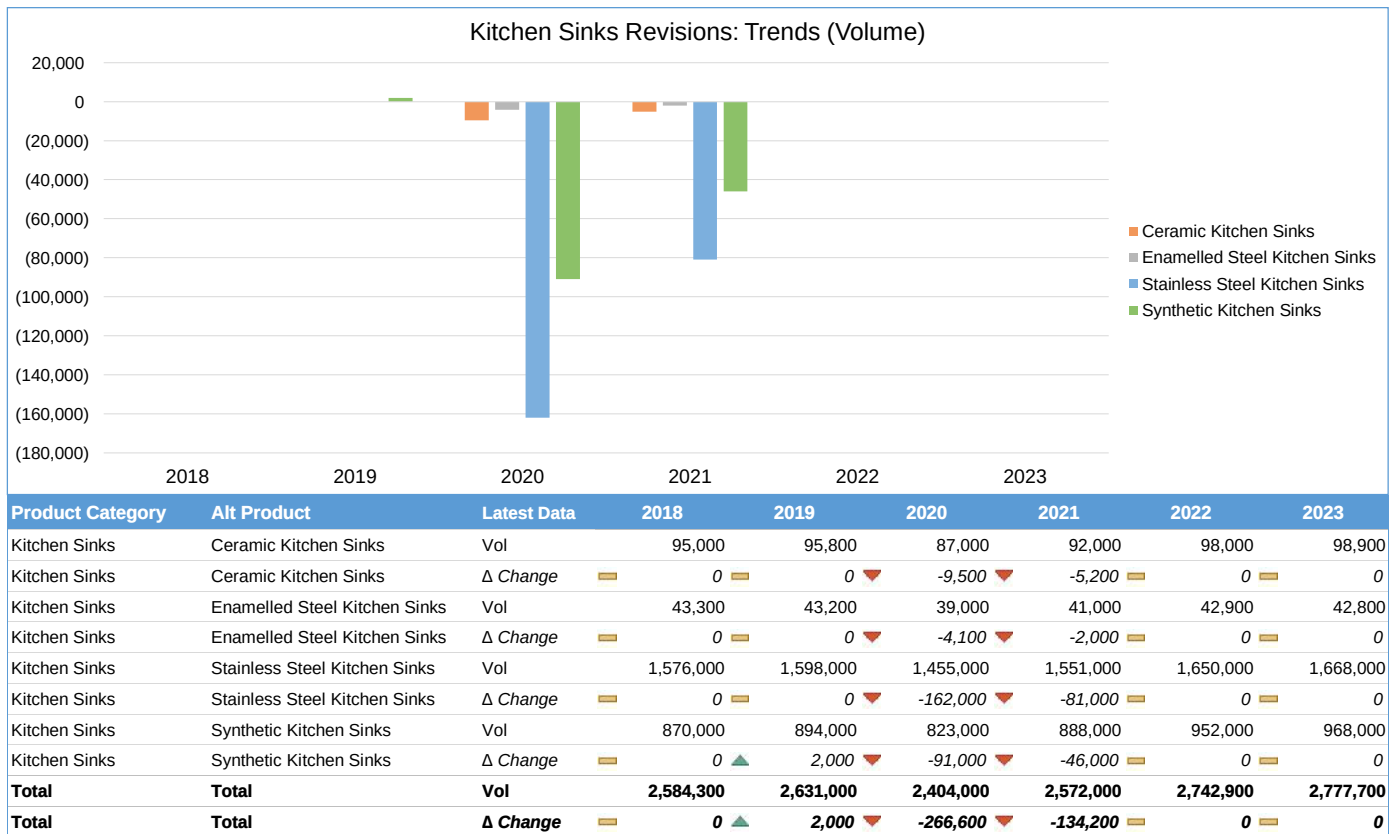
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 8.7 Revisions in the German Kitchen Sinks Market (April 2020)

DE - REVISIONS IN THE GERMAN KITCHEN SINKS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.

# **GERMANY**

## **KITCHEN TAPS AND MIXERS**

**THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS**



### **Market Characteristics and Technological Trends**

Sales of kitchen taps and mixers in Germany started to decline with the beginning of the crisis about a decade ago. Low private investment and construction activity, with a drop in newly built dwellings had a negative impact on German consumer expenditure. During the financial crisis, sales plunged in 2008/2009 and this was accompanied by intense price competition and a trend towards the lower-priced segment. Since 2010, the market has started to recover with solid growth, except for the years 2012 and 2013. More recent developments indicate a shift of German end users towards more expensive kitchens. In fact, the kitchen is more and more developing into a living area, where people like to host and socialise with guests. The kitchen has gained importance as a status symbol and Germans are willing to spend more money for a modern kitchen.

The average kitchen in Germany is being replaced every 19 to 20 years. Kitchen sinks are usually replaced together with the whole kitchen. Taps and mixers correlate less with the overall kitchen market as they have a shorter average lifespan. Most sales are seen in the refurbishment sector. The German kitchen taps and mixers market is characterised by high maturity and saturation. Sales are driven by the level of private consumption in the country and the developments in the construction industry.

Several product innovations, like boiling hot water and sparkling water taps and electronic mixers for the kitchen, have been introduced to the market and established their market niche. Cleanliness and hygiene are an important topic for modern consumers, as well as comfort and design. Two head mixers are an outdated product and broken ones are likely to be replaced by one head mixers. Many companies have taken this into account and do not offer two head mixers anymore. An exception are luxury brands such as DORNBRACHT, which have released newly designed two head mixers in their classic product range. Pillar taps hardly have any significance on the market for kitchen taps and mixers in Germany. DORNBRACHT has a few models that are intended for filling pots and are located near the cooking stove. One head mixers are the most popular type of mixer, and the market remains broad in terms of quality and price ranges. The shift from two head mixers towards one head mixers is also evident in the DIY market, as two head mixers do not provide a meaningful price advantage. German consumers rather spend a bit more for one head mixers to have more comfort.

'Showerettes', with a pull-out spout, or taps with flexible spouts, have increased their penetration over the last few years. Other types of kitchen taps and mixers are rather expensive if bought from well-established manufacturers. Many are characterised by an extravagant design and are fashion items. Newly launched products, such as taps provided with a switch on and off button, are expected to influence the residential and non-residential upmarket of future years.

## **Recent Market Trends**

The German kitchen taps and mixers market performed well in 2019 with most demand coming from sales of one head mixers. Growth was accelerated because of a booming new housing market and positive RMI activity. With kitchens gaining importance as a status symbol, German end users are more willing to renew their kitchen, especially when interest rates are low. Furthermore, kitchen taps are mainly sold together with a new kitchen through specialist kitchen stores. Such sales do not depend on the busy schedules of professional installers. If an end user must choose between renewing first their kitchen or bathroom, it is more likely to be the kitchen. The installation of kitchen taps and mixers is not hampered by the lack of installers. Moreover, kitchen taps and mixers are replaced three times more often than the ones in the bathroom.

Demand for kitchen taps and mixers is driven by the economy and upper/ luxury market segments. Demand from the lower segments is linked to increasing online and DIY purchases. Nowadays, these alternative distribution channels offer affordable good quality products, which end users have easy access, too. Waiting months for an installer to fix a broken tap is not possible, and end users make use of faster alternatives for replacing broken taps and mixers.

## **Prices and Market Values**

The German market is, when compared to its European neighbouring countries, a relatively high-priced market. Especially in recent years, German end users have started to invest more into high quality kitchen products such as taps and mixers. In 2019, the average MSP for all kitchen types increased to account for macroeconomic reasons such as inflation and increasing production costs.

Moreover, manufacturers make use of the opportunity to increase prices because demand is growing. Nevertheless, the market for kitchen taps and mixers is highly competitive, which makes it more difficult for manufacturers to impose extreme price increases. A significant amount of kitchen taps and mixers are imported from abroad and imports continue gaining market shares. Moreover, the consumer's trend of comparing prices on the Internet before purchasing the product increasingly obstructs remarkable price increases on the market, too.

A new kitchen sink is often bought together with a new tap and mixer. FRANKE and BLANCO are two dominating manufacturers, which sell their sinks together with their own taps and mixers that are produced abroad. Prices for kitchen taps and mixers range from low imports from the Far East to high well-known European brands, which are generally distributed via wholesalers and installers. Similar to the sanitary taps and mixers market, some established manufacturers, such as GROHE and HANSGROHE, offer their products through different distribution channels. The same taps and mixers might be offered at different price ranges, depending on the distribution channel. According to industry feedback, a sanitary tap found in a DIY store or online might be up to three times cheaper than the same product distributed by an installer or in a showroom.

## New Housing

The increase in new housing completions in 2019 created stronger demand for kitchen taps and mixers. Solid growth was recorded for sales of one head mixers, which are by far the most popular type of mixer in German kitchens. Two head mixers have benefited from more new house completions in the economic and upper price segments; however, sales figures are marginal. Electronic taps and mixers are a niche; however, they have the strongest growth rate in this sector. The market for boiling hot water taps is still hampered by its high prices when compared to products from QUOOKER for example, which are a cheaper alternative. Sales in the new housing segment tend to follow the number of dwelling constructions very closely. Usually, one set of mixers is sold for every new build residential house.

## Housing RMI

Demand for taps and mixers in the RMI segment increased compared to last year. The kitchen taps and mixers market could profit from the positive trend in the renovation activities, with more Germans having renovated their kitchen in 2019. Additionally, the largest number of sales stems from like-for-like replacement decisions, as breakages require quick replacement. Within this segment, the standard one head mixers account for the largest part of the sales followed by two head mixers' sales. Demand for two head mixers in the RMI segment increased slightly in 2019 since like-for-like replacements are most common. Demand for electronic taps and mixers is strongly growing within the housing RMI segment, although sales remain marginal.

## Non-Housing

Generally, kitchen products tend to have muted demand from non-housing as not every commercial building requires a kitchen, unlike bathrooms. Most kitchen taps and mixers go into gastronomy, i.e. restaurants and hotels. In 2019, the demand for kitchen taps and mixers was slightly higher compared to 2018. One head mixers are the most common item in the non-housing segment, but increased sales of two head mixers and pillars contributed to the uptick in sales in this market.

## Supply Structure

The German kitchen taps and mixers market has well established players and relatively stable market shares. Like bathroom and shower accessories, the market for kitchen taps and mixers is dominated by German manufacturers. Kitchen taps and mixers are generally manufactured by companies that specialise in the bathroom sector, such as GROHE, KLUDI, DORNBRACHT and HANSGROHE. These manufacturers supply their product through wholesalers, however, DIY stores are increasingly playing a more important role. These companies have a strong market share in the RMI sector.



The market for new housing taps and mixers is dominated by kitchen sink manufacturers, who sell their sink together with their taps. The German company BLANCO is the clear market leader followed by the Swiss manufacturer FRANKE. In 2011, the manufacturer SEE (SCHÜTTE) was bought by KIRCHHOFF and is part of the SEE HOLDING, which employs more than 150 employees in Wallenhorst in Germany, Salzburg in Austria, and Hong Kong. SCHÜTTE produces all its products according to German quality standards in the Far East. SCHÜTTE is the market leader for sales outside wholesalers and distributes most of its taps and mixers through DIY stores, followed by furniture specialist stores and occasional promotions in food discount stores such as ALDI, LIDL PENNY and NORMA.

Kitchen taps and mixers are not only offered as part of special campaigns in supermarkets such as LIDL and ALDI, but they also are available in certain online shops such as REUTER. The market share of online and DIY sales is believed to increase at the expense of the traditional distribution channels.

The product spectrum of kitchen sanitary taps and mixers includes residential and commercial products, such as special taps and mixers for institutional kitchens or laboratories. These products are offered by manufacturers that specialise in commercial kitchens.

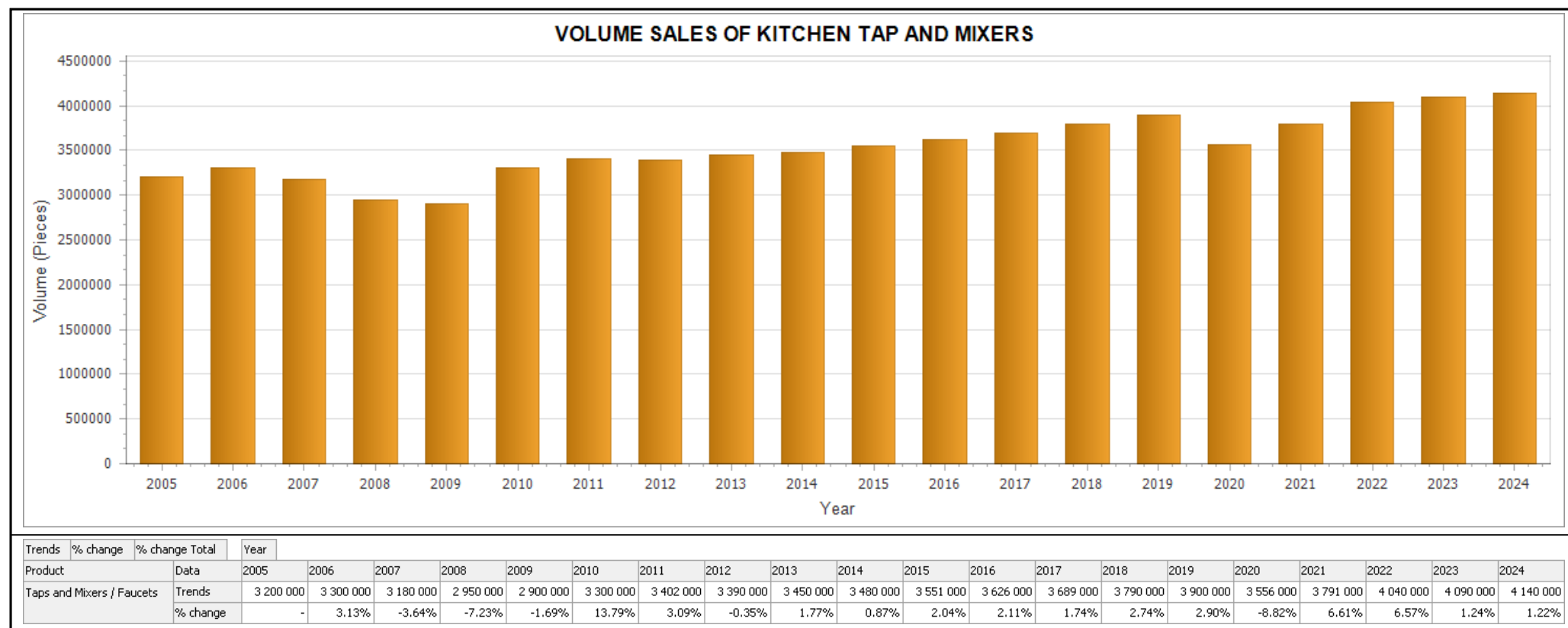
## **Forecasts**

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Demand for kitchen taps and mixers is believed to remain positive during the forecast period, with the exception for the year 2020. The severe impact of the COVID-19 crisis is believed to cause a strong dip in 2020 and in 2021 to some extent. Sales are anticipated to return to their former level in 2022, with demand coming from new constructions and further kitchen renovations. BRG expects a positive demand from 2020 onwards, which is likely to weaken towards the end of the forecast period. This is due to the current forecast for economic development and the fact that new construction is likely to slow down. In terms of product mix it is expected that sales of all product types, i.e. pillar, one and two head taps and mixers are going to gain in volume during the forecast period.

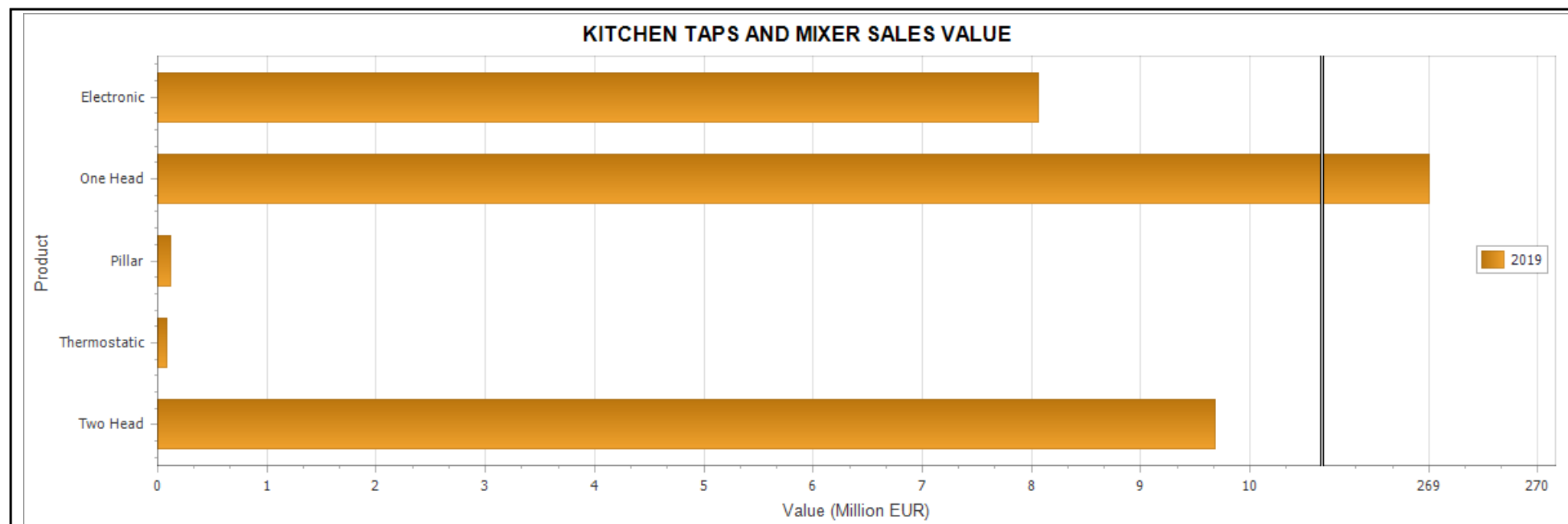
## 9.2 Historical Trends and Forecasts : Kitchen TM

### DE - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

## DE - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET

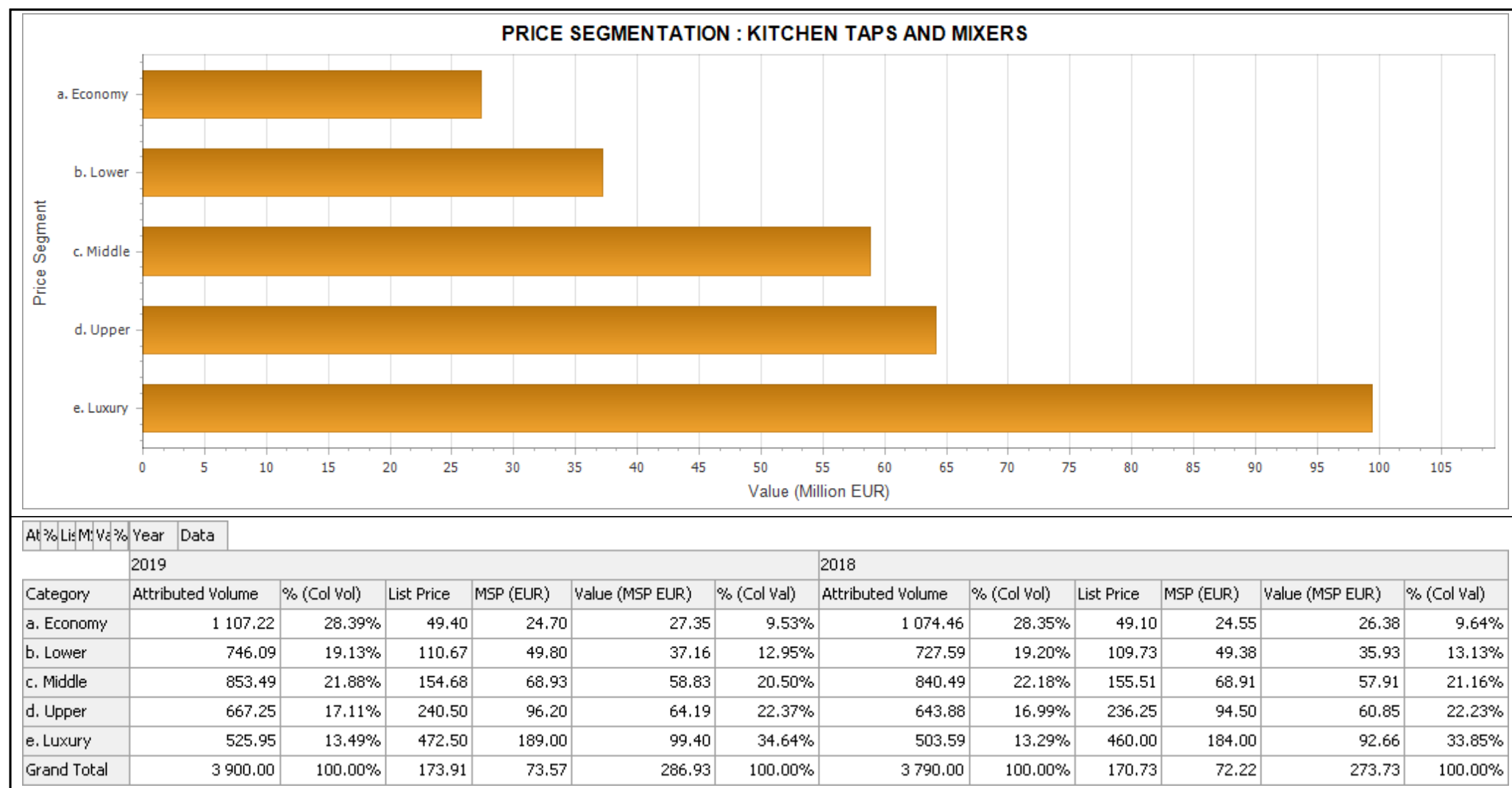


| At %         | List M %          | Val %       | Year       | Data      |                 |             |                   |             |            |           |                 |             |
|--------------|-------------------|-------------|------------|-----------|-----------------|-------------|-------------------|-------------|------------|-----------|-----------------|-------------|
| 2019         |                   |             |            |           |                 |             | 2018              |             |            |           |                 |             |
| Category     | Attributed Volume | % (Col Vol) | List Price | MSP (EUR) | Value (MSP EUR) | % (Col Val) | Attributed Volume | % (Col Vol) | List Price | MSP (EUR) | Value (MSP EUR) | % (Col Val) |
| Electronic   | 18.23             | 0.47%       | 1 105.00   | 442.00    | 8.06            | 2.81%       | 18.23             | 0.48%       | 1 085.00   | 434.00    | 7.91            | 2.89%       |
| One Head     | 3 700.10          | 94.87%      | 171.87     | 72.70     | 269.00          | 93.75%      | 3 593.68          | 94.82%      | 168.56     | 71.30     | 256.23          | 93.61%      |
| Pillar       | 4.55              | 0.12%       | 52.93      | 25.30     | 0.12            | 0.04%       | 4.41              | 0.12%       | 52.55      | 25.12     | 0.11            | 0.04%       |
| Thermostatic | 0.50              | 0.01%       | 405.50     | 162.20    | 0.08            | 0.03%       | 0.49              | 0.01%       | 400.00     | 160.00    | 0.08            | 0.03%       |
| Two Head     | 176.62            | 4.53%       | 123.15     | 54.80     | 9.68            | 3.37%       | 173.20            | 4.57%       | 121.87     | 54.23     | 9.39            | 3.43%       |
| Grand Total  | 3 900.00          | 100.00%     | 173.92     | 73.57     | 286.94          | 100.00%     | 3 790.00          | 100.00%     | 170.73     | 72.22     | 273.73          | 100.00%     |

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

### 9.3.2 Price Segmentation : Kitchen Taps & Mixers

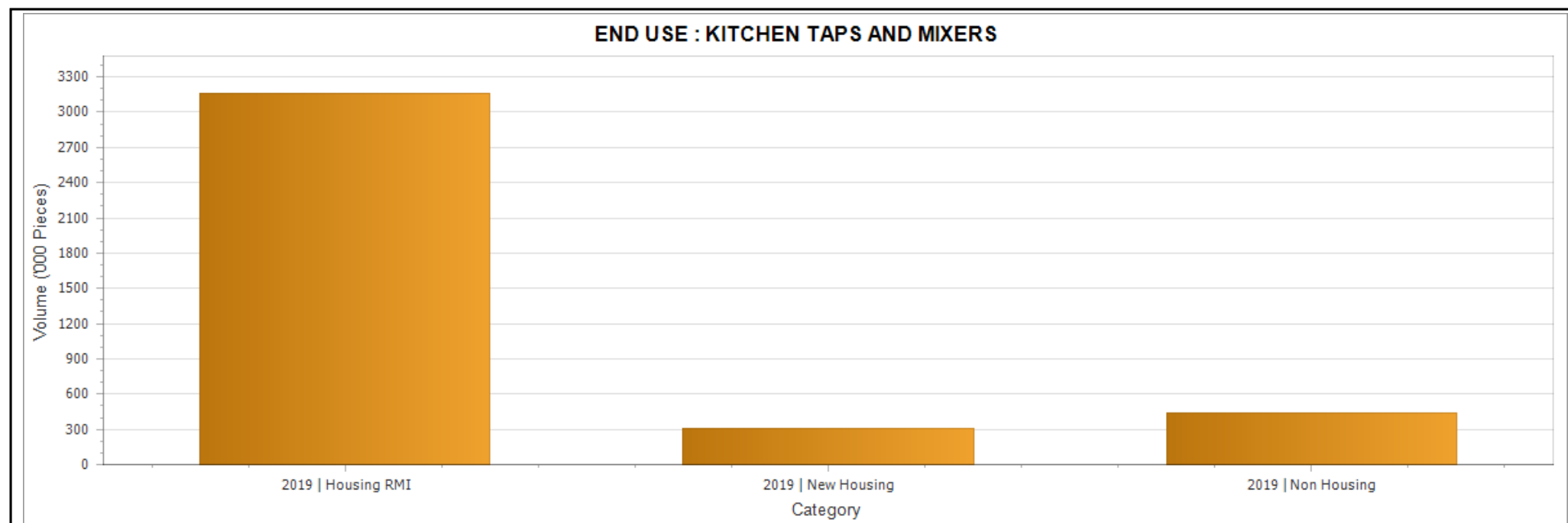
DE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

End Use : Base Year

DE - SALES OF KITCHEN TAPS &amp; MIXERS BY END USE SEGMENT ('000 PIECES)

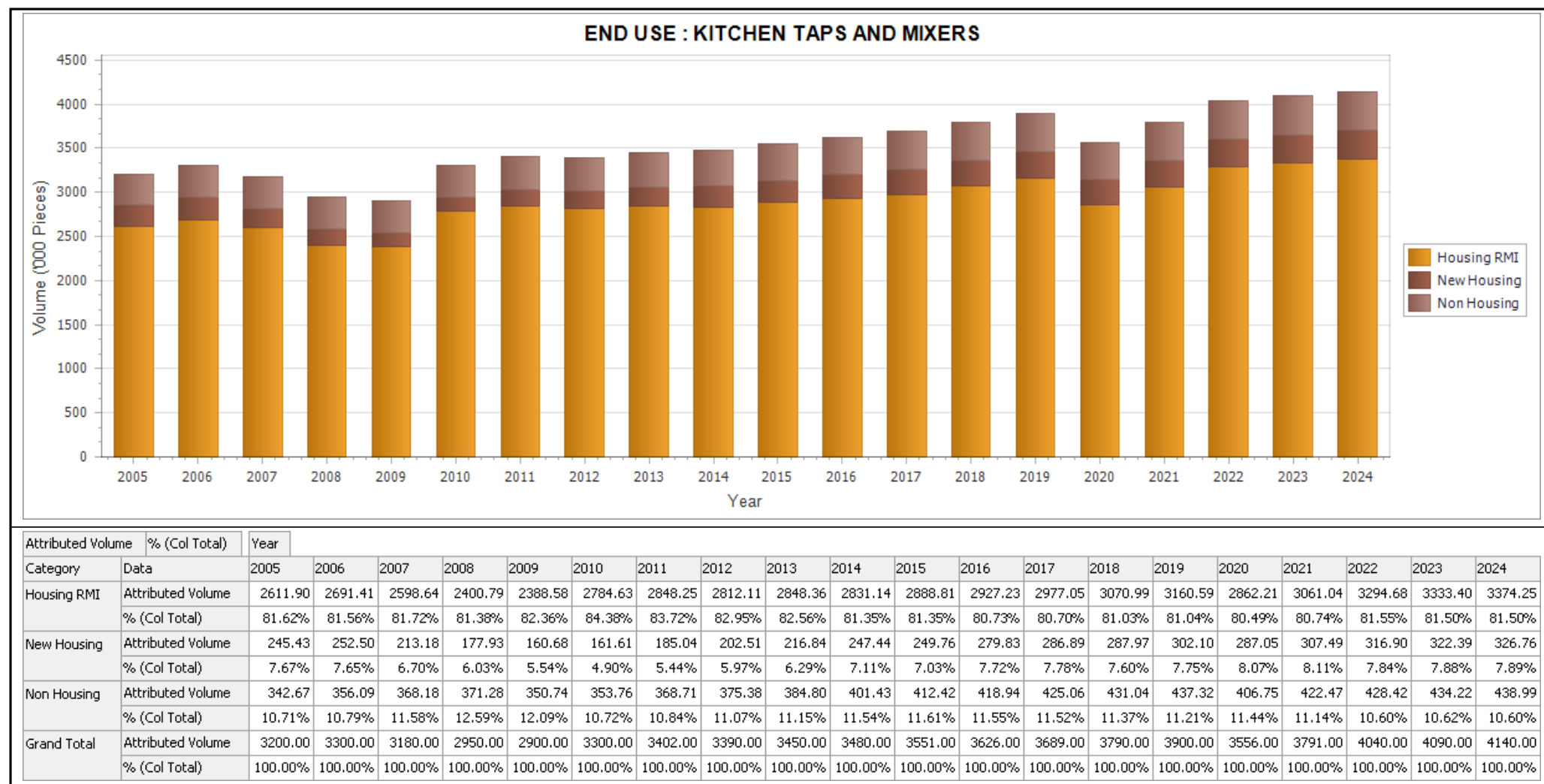


| Attributed Volume                 | % (Row)           | Year        | Category          | Data        |                   |             |                   |            |  |
|-----------------------------------|-------------------|-------------|-------------------|-------------|-------------------|-------------|-------------------|------------|--|
|                                   |                   | 2019        |                   |             |                   |             |                   | 2019 Total |  |
|                                   |                   | Housing RMI |                   | New Housing |                   | Non Housing |                   |            |  |
| Alt Product                       | Attributed Volume | % (Row)     | Attributed Volume | % (Row)     | Attributed Volume | % (Row)     | Attributed Volume | % (Row)    |  |
| Kitchen Taps and Mixers / Faucets | 3160.59           | 81.04%      | 302.10            | 7.75%       | 437.32            | 11.21%      | 3900.00           | 100.00%    |  |

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 9.4.2 End Use : Historical and Forecasts

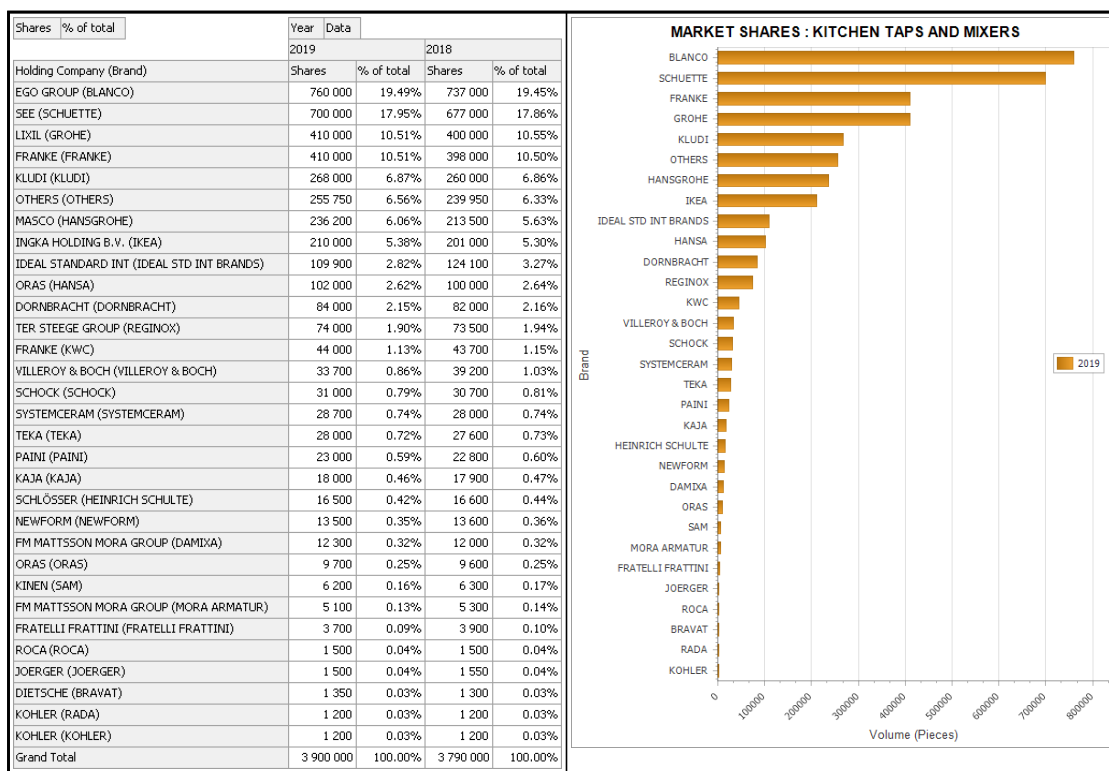
### DE - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

## 9.5 Market Shares : Kitchen Taps & Mixers

### DE - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2019

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 31.3%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 31.3%                          |

|              |                           |                    |                       |                    |                             |                     |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|---------------------|
| Retail Level | Manufacturer<br>9.8%      | Wholesaler<br>4.1% | Manufacturer<br>22.8% | Wholesaler<br>9.0% | Manufacturer<br>27.2%       | Wholesaler<br>12.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                     |
|              | 13.9%                     |                    | 31.8%                 |                    | 39.2%                       |                     |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 7.7%              | 3.2%       | 3.0%     | 2.0% | 11.2%      |
| <b>Installers</b> |            |          |      |            |
| 27.0%             |            |          |      |            |

|               |                      |                    |                    |                        |                     |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|---------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.2% | Wholesaler<br>0.0% | Internet<br>10.9%  | DIY<br>29.8%           | Specialist<br>25.0% | Installer<br>22.8% | Manufacturer<br>1.0%   | Wholesaler<br>3.0% | Internet<br>0.0%   | DIY<br>0.0%                | Specialist<br>3.0% | Installer<br>4.2%  |
|               | <b>Residential</b>   |                    |                    |                        |                     |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 88.8%                |                    |                    |                        |                     |                    | 11.2%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                     |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 7.7%                 |                    |                    | 81.0%                  |                     |                    | 4.2%                   |                    |                    | 7.0%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                     | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 1.3%                 |                    | 6.4%               | 6.0%                   |                     | 75.0%              | 3.2%                   |                    | 1.0%               | 3.6%                       |                    | 3.4%               |

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets  
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2024

|                         |                                  |
|-------------------------|----------------------------------|
| Manufacturer / Importer | <b>Manufacturers / Importers</b> |
|                         | 100.0%                           |

|                 |                                |
|-----------------|--------------------------------|
| Wholesale Level | 20.0%                          |
|                 | <b>Wholesalers / Merchants</b> |
|                 | 20.0%                          |

|              |                           |                    |                       |                    |                             |                     |
|--------------|---------------------------|--------------------|-----------------------|--------------------|-----------------------------|---------------------|
| Retail Level | Manufacturer<br>11.0%     | Wholesaler<br>4.5% | Manufacturer<br>34.0% | Wholesaler<br>2.4% | Manufacturer<br>26.0%       | Wholesaler<br>10.0% |
|              | <b>Internet Retailers</b> |                    | <b>DIY Retailers</b>  |                    | <b>Specialist Retailers</b> |                     |
|              | 15.5%                     |                    | 36.4%                 |                    | 36.0%                       |                     |

|                   |            |          |      |            |
|-------------------|------------|----------|------|------------|
| Manufacturer      | Wholesaler | Internet | DIY  | Specialist |
| 8.0%              | 2.1%       | 3.5%     | 2.0% | 8.0%       |
| <b>Installers</b> |            |          |      |            |
| 23.6%             |            |          |      |            |

|               |                      |                    |                    |                        |                     |                    |                        |                    |                    |                            |                    |                    |
|---------------|----------------------|--------------------|--------------------|------------------------|---------------------|--------------------|------------------------|--------------------|--------------------|----------------------------|--------------------|--------------------|
| End Use Level | Manufacturer<br>0.0% | Wholesaler<br>0.0% | Internet<br>11.8%  | DIY<br>34.4%           | Specialist<br>25.0% | Installer<br>18.2% | Manufacturer<br>1.0%   | Wholesaler<br>1.0% | Internet<br>0.2%   | DIY<br>0.0%                | Specialist<br>3.0% | Installer<br>5.4%  |
|               | <b>Residential</b>   |                    |                    |                        |                     |                    | <b>Non-Residential</b> |                    |                    |                            |                    |                    |
|               | 89.4%                |                    |                    |                        |                     |                    | 10.6%                  |                    |                    |                            |                    |                    |
|               | <b>New Build</b>     |                    |                    | <b>Residential RMI</b> |                     |                    | <b>New Build</b>       |                    |                    | <b>Non-Residential RMI</b> |                    |                    |
|               | 7.9%                 |                    |                    | 81.5%                  |                     |                    | 4.0%                   |                    |                    | 6.6%                       |                    |                    |
|               | <b>Project</b>       |                    | <b>Non-Project</b> | <b>Project</b>         |                     | <b>Non-Project</b> | <b>Project</b>         |                    | <b>Non-Project</b> | <b>Project</b>             |                    | <b>Non-Project</b> |
|               | 1.5%                 |                    | 6.4%               | 7.0%                   |                     | 74.5%              | 3.0%                   |                    | 1.0%               | 3.5%                       |                    | 3.1%               |

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings



### 9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2019

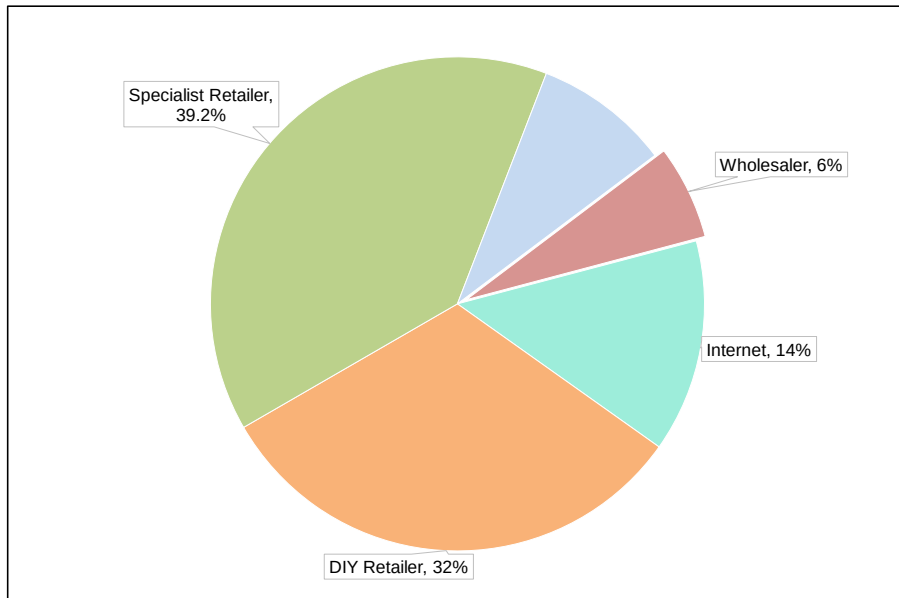
| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 6.2%                            | 13.9%    | 31.8%        | 39.2%               | 8.9%    | 7.3%        | 6.8%            | 81.5%       | 4.4%            |
| 100%                            |          |              |                     |         | 14.1%       |                 | 85.9%       |                 |

### 9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

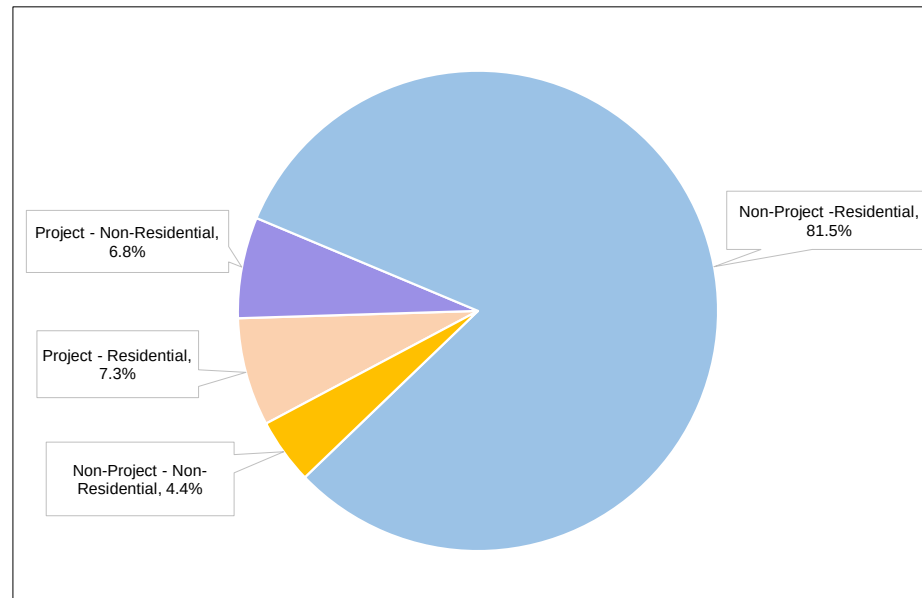
DE - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2024

| Route to Market - End Use Level |          |              |                     |         | Project     |                 | Non-Project |                 |
|---------------------------------|----------|--------------|---------------------|---------|-------------|-----------------|-------------|-----------------|
| Wholesaler                      | Internet | DIY Retailer | Specialist Retailer | Direct* | Residential | Non-Residential | Residential | Non-Residential |
| 3.1%                            | 15.5%    | 36.4%        | 36.0%               | 9.0%    | 8.5%        | 6.5%            | 80.9%       | 4.1%            |
| 100%                            |          |              |                     |         | 15.0%       |                 | 85.0%       |                 |

DE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



DE - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



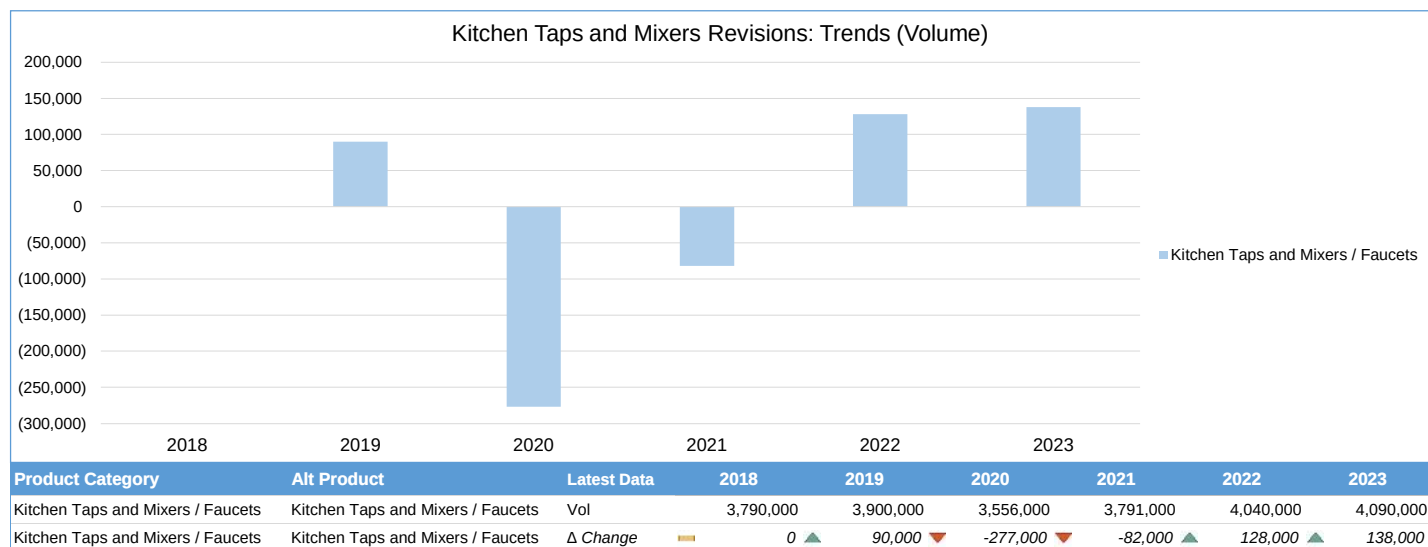
Source: BRG Based on Industry Interviews.

\*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

## 9.7 Revisions in the German Kitchen Taps and Mixers Market (April 2020)

DE - REVISIONS IN THE GERMAN KITCHEN TAPS AND MIXERS MARKET

Data Comparison: April 2019



No or only marginal changes have been made to historical volumes for this market.